

Indian Bank (INDIANB)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Aug 2022

The Vice President
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra- Kuria Complex
Bandra East, Mumbai-400 051
NSE Symbol: INDIANB The Vice President
BSE Ltd.
25, P. J. Towers
Dalai Street, Mumbai-400001
BSE Scrip Code- 532814 is Indian Bank 254-260, a4 1511911-14 Tat,
uTerp, - 600 014
Corporate Office
254-260, Avvai Shanmugam Salai,
Royapettah, Chennai - 600 014
VRT151/Phone: 044-28134076/28134698/28134484 45, ilriff1414 ALLAKARAD
-flici) tat' -&Li•
INVESTOR SERVICES CELL
(3111C./ website: www.indianbank.in
tJle1/ e-mail: ibinvestorrelations@indianbank.co.in
Ref No.: ISC/131/2022-23
Date: 05.08.2022
Dear Sir/ Madam,

Subject: Transcript of Post Earnings Concall / Meet held on 01.08.2022
In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
and in continuation of our letter No. ISC/121/2022-23 dated 29.07.2022 and letter
No.ISC/126/2022-23 dated 01.08.2022 regarding Analysts / Investors Concall / Meet,
we are enclosing a copy of Transcript of said post Earnings Concall/ Meet held by the
Bank on 01.08.2022 on the Financial Results of the Bank for the First Quarter (Q1) of
FY 2022-23 ended June 30, 2022.

The Concall Transcript is also available on our Bank's website www.indianbank.in
This is for your information, record and dissemination please.

Yours faithfully,
For Indian Bank
c----41(0J317
(Dina Nath Kumar)
AGM & Company Secretary
Encl: A/a

Indian Bank Q1 FY'23 Results
Post Earnings Conference Call / Meet
Held on 01.08.2022
Transcript
Management: Shri S L Jain
MD & CEO
Shri Imran Amin Siddiqui
Executive Director
Shri Ashwani Kumar
Executive Director
Moderator: Shri Anand Dama Analyst,
Emkay Global Financial Services

Anand Dama (Host - Emkay Global): Good evening, everyone. We have with us today Indian Bank's top management represented by MD and CEO, Shri S L Jain, and Executive Directors, Shri Imran Siddiqui and Shri Ashwani Kumar, and the other management. We would request MD sir to briefly touch upon the key highlights of the first quarter FY '23 results and the outlook on growth, margins and asset quality. Over to you, sir.

S. L. Jain, Managing Director and Chief Executive Officer: Good afternoon. Welcome to the earnings call of Indian Bank for the Q1 FY '23. As far as our business is concerned, our business has grown by 9% Y-o-Y. And our business deposit has grown by 8%. And the CASA has grown by 8%, but this on the strength of current deposit grown by 14%, saving by 7%. Advances has grown by 9% on the strength of RAM credit growth of 12%. RAM means, Retail, Agri and MSME, which is 61% up over book. Under RAM, retail has grown by 14%. Under retail, housing loan has grown by 11%, auto loan has grown by 22%, personal loan has grown by 32%, jewel loan has grown by 42%. Likewise in Agri, we have grown by 13%. So crop loan has grown by 9%. Under crop loan, jewel loan is 53%, that has grown by 16%. SHG credit has grown by 35% under the investment criteria. And MSME has grown by 8%. And the MSME medium has grown by more than 25%. So that is business side.

As far as our profitability is concerned, our operating profit has grown by 4% Y-o-Y, but sequentially, it has

grown by 30% and net profit has grown by 3% Y-o-Y, but sequentially grown by 23%. The net profit has grown on the strength of NII growth, which is 13% on Y-o-Y and 7% on Q-o-Q. In addition to NII growth, our non-interest non-treasury income has grown 37% Y-o-Y and Q-o-Q 17%. In the non-treasury non-interest income, the fee income has grown by 35%, recovery in bad debt has grown by 15%, Forex income by 133%, PSLC 17%. So all overhead income streams had grown in double-digit or even more. And the growth in expenses were moderate, and as a result, our OP has grown and our NP has grown.

As far as asset quality is concerned, our gross and net NPAs coming down sequentially quarter-after-quarter, quarter-after-quarter. It is at 8.13% as against 8.47%. Likewise, NNPA has also come down from 2.27% of last quarter to 2.12%, and the PCR, provision coverage ratio has improved from 87.38% to 88%. As far as our collection efficiencies is concerned, it is 94% as against 95%. And our SMA 1 and SMA 2 has come down from 0.98% to around 0.61%. So -- and the capital position is 16.51%. If we add the profit of the current quarter, it is 40 bps more, 16.91%. Slippage in the quarter was around 2,885 and around 50% of the slippage is from the restructured book. Under the corporate, major slippage is in the Retail Future Group, and one sugar account, one government account, which money has been received in July. So this as far as our RWAs are concerned, our A and above-rated account have increased and you see our RWA has decreased from 65% of the credit a year back to around 60%. Our cost of deposit has declined by 3 bps to 3.85%. Yield on advances have grown by 16 bps, and as a result, our NIM has grown to 3.10%. Cost-to-income ratio has also come down substantially to 41.94% and ROE is 14.18% and ROA is 0.73%. So all the ratios are showing improving trend. This is the summary substance of the current quarter and the real growth was by 4% and 3% on Y-o-Y because of the Treasury contribution. It was last time INR605 crores as against this INR105 crore. And likewise the MTM provision was INR56 crore. Last year, it was INR236 crore. That gap has been filled by core operations by increasing NII and other income.

Now, I'm open for questions. Along with me, our ED Imran ji and our ED Ashwani Kumar ji and corporate GMs and CFOs.

Anand Dama: Yes. Thanks for the brief highlight. Sir, first in, basically wanted to check like the outlook on the growth, which has been slightly lower than what we have seen versus the

peers. And secondly, is the outlook

on margins and asset quality. And then I think we can take questions from the participants

S. L. Jain: So, credit growth, we are growing 9%. But in corporate side, we are negative by 2%. But if you see the corporate, every quarter, we are hitting INR2,000 crores to INR3,000 crores, every quarter from September to December, December to March, March to June. Considering all these, our growth for the year as a whole should be around 10% plus, minus 2%. And our growth was mainly in the RAM sector and our growth was low, because in the first quarter, there was interest rate dislocations, and we are interested in good return on our advances. So because of the rate issues, we have grown in this sector more.

Anand Dama: So, good to hear sir, that you're focused on profitability rather than growth.

S. L. Jain: This is reflecting in our ROA and ROE.

Anand Dama: Certainly sir. Sir, secondly, your outlook on asset quality?

S. L. Jain: Our gross and net interest is continuously declining, and considering our SMA position as on 30th June, collection efficiencies. By the end of the year, we expect that our gross NPA should be around 7% and the net NPA should be below 2%.

Anand Dama: Yes. Sure, sir. We can start taking the questions now. Mr. Ajmera you have the first question. Please go ahead.

Ashok Ajmera: Good evening, sir. Thumbs up and real good compliment to you sir for giving such a fantastic result for the bank, and especially on the treasury operation as well. Every bank is facing a bigger problem and they're are going negative, we are still plus in the treasury, so is it has come down. So, sir, my first question, sir or observation or suggestion you may call it anything from your side, some comment, going forward, where do we stand on our investment book or treasury front like what if you take the trading profit and also the MTM on the AFS and HTM? And in the remaining three quarters of the year, how much scope there is a rate hike which maybe 25 basis points to 50 basis points and what is your guess about it? So my first question is around the investment and treasury.

S. L. Jain : Yes, as far as our treasury book is concerned, we are around INR 1,85,000 crore, and of which AFS is around INR53,000 crore and a modified duration of AFS is 1.91. Now we have the valuation on 30th was 7.45. Today it is 7.30. So virtually on the current rate, there is a write-back. And going forward, we expect that the bond yield should be in the range of 7.25 to 7.75. So, as and when the yield is going beyond 7.5, we are making investment, as and when it's coming down from 7.30, then we will be selling. This is our position. So based on the market we will be taking a call. But going forward, if the interest rates remains between this, then there will be write-back.

Ashok Ajmera: Sir, our non-SLR book is over INR38,000 crore, any provision or any pressure there on the non-SLR, we are fully covered for any kind of losses mark-to-market or anything on non-SLR, corporate bond?

S. L. Jain: In a non-SLR, you see, there is security receipts of around INR3,200 crores fully provided. And rest INR18,000 crores is for the recapitalization bond and all. So there is nothing more here for provisions side.

Ashok Ajmera: Sir, coming on the restructured -- our restructured book, sir, now with the COVID restructuring and other thing, now the payments have already started, now, the installments and the interest payment from all these accounts. So what is our experience on this and then SMA 1 and SMA 2, I mean, going some of that because your standard asset restructured. So where do we stand on the recovery efficiency on the restructured book, especially, though the restructuring, which were done with a special differentiation

under COVID. And what is the total amount of restructure?

S.L. Jain: Yes. Actually we have done the restructuring of INR22,000 crores. As on date, the standard restructured books is around INR16,580 crores, which is

around 4% of our book. Right. And as far as retail is concerned, it is absolutely doing good, retail and agriculture, and corporate actually, two or three big accounts have slipped, and therefore, there is a slippage in that. But the remaining I think we are more or less safe. Only the stress is in the MSME sector, that is appearing in our SMA 1 and SMA 2. So how this MSME book will be, we are monitoring this SMA, MSME book.

Ashok Ajmera: With the total size of SMA 1 and SMA 2, even below INR5 crore or so?

S.L. Jain: Our SMA 1 and SMA 2 in the restructure -- I will tell you the restructure -- collection efficiency in our restructuring book is around 88%. Right. And SMA 1 and SMA 2 is -- in the retail, it is only 0.13%, agriculture 0.41% --- 2.78% is in the MSME. But you see, in MSME, what we have done, we have given the GCL, we have given the COVID restructuring. So -- but first, in this process, the economy itself is improving. So slowly, slowly will come out. So we expect that does not be a major slippage on this account and all other portfolios are well behaving.

Ashok Ajmera: Sir, my last question in this round of questioning is on the employee cost, which has come down as compared to many of the other banks. Here it is -- it has come down in this quarter by almost about INR400 crores. So is it one-time -- is it going forward, we are going to have the book of -- I mean employee cost every quarter of only INR1,540 crore?

S.L. Jain: No, one it is -- that INR400 crore last time we have provided one-time this pension provision. That was a one-time item. Otherwise, my cost is INR1,200 crore per quarter. So with INR4,800 crores and INR350 crore of it (inaudible) it's not INR1,400 crore. So that around INR6,300 crore to INR6,500 crores, should be the cost.

Ashok Ajmera: Sir, if the moderator permits, just last one question on this credit growth only which you had answered partially. Where do you see the growth coming from, and what is your idea of increasing now where the things are looking a little better as you yourself said to increase correspondingly or comparatively the corporate book a little faster than what you are basically guiding or targeting? Can we not look at little more a bank of your size, which has already crossed I think more than INR10 lakh crore of your business. Can we look at little higher and from where do you see this credit coming in and what are the sanctioned pipeline?

S.L. Jain: So you see the RAM side, absolutely no issue, and corporate you got to see from October to December, December to March, March to June every quarter we are growing INR2,000 crores to INR3,000 crores. We are having around INR19,000 crore of term loan sanctions in hand and INR14,000 crores working capital utilization. And last quarter too, we have sanctioned around INR19,000 crores, INR20,000 crores, and the proposals are coming from the road projects, proposals are coming from the City Gas Distribution, proposals are coming from the cement, proposals are from textiles, proposals are from NBFCs, proposals are from the power sector. So these are the major sectors we are getting the proposals. But the issue is that you should get a better pricing and margins. So we are basically margin conscious. And if we are getting a good return on the transaction, definitely we will not increase. So therefore, considering all these things and view, I have given the conservative guidance of a 10% credit growth.

Ashok Ajmera: Very well taken sir. Thank you very much for giving this opportunity. I'll come back if the moderator permits me again for the second time. Thank you.

S.L. Jain: Thank you, sir

Anand Dama: Thank you. We have next question from Jai Mundhra. Jai please go ahead.

Jai Mundhra: Hi, sir, good evening, and thanks for the opportunity. Sir, you have given decent disclosure on restructuring loans. So I just wanted to check how much of the restructuring standard accounts out of INR16,600 crores, how much of that -- how much of those are

already out of moratorium and have started billing?

S.L. Jain: My point is the INR16,000 crores moratorium is no more there. Moratorium was in the last year.

Some moratorium in the COVID part of the restructuring, but to my mind, major part of the book is billing.

Jai Mundhra: Okay. And secondly, sir, on your yield on advances, right, so it has increased in a sizable manner qoq. So I just wanted to check, is there any one-off or you have managed to pass on the yield transmission or how should one look at it?

S.L. Jain: My EBLR linked advances is around 42%, first. And RBI has increased the repo rate 40 bps and then the 50 bps. 40 bps in May, which we have passed in June. Even the June also partially we passed. And third one, MCLR also increased in the month of June. So putting all these three effects, and second, we are more aggressive with the retail side where margins are there. So, considering all these things, there is some improvement in margin. And corporate, you see corporate is very competitive pricing

Jai Mundhra: Right. So in your case sir, if EBLR -- let us say, RBI hiked the repo rate on 4th May, the EBLR-linked loan will reprice almost immediately or there is a reset period, maybe one month, two month, three month? Or how does the contracted rate, the new rate when does the new rate reflect? Would that reflect within two, three days or this could take some one month, two month?

S.L. Jain: We will pass on immediately in EBLR in one or two days' time. But wherever we have given -- somewhere -- some transaction it is given in the next month, otherwise majority of transaction we are clearly writing that it will be passed on immediately.

Jai Mundhra: Okay. Understood. And last two question, sir. First is on your tax rate, right, so last few quarters, we were having negative tax rate as we had accumulated losses. This quarter, there is some positive tax rate. So how should one look at it? And what should be the full-year tax rate one should assume?

S.L. Jain: Yes, you see because of the amalgamations, we were getting the benefit of carry forward losses of erstwhile Allahabad Bank. Now, in the last call, I told you that, in the current financial year, the tax credit will be available partially. So the tax credit available considering this and based on the accounting standard for a year as a whole, we have worked out the tax liability, it will be around 10% of the PBT in this financial year.

Jai Mundhra: Understood. And last question is, sir, if you have the ECLGS number, total sanctioned, total disbursed, outstanding and GNPA in that book? That would be very useful, sir.

S.L. Jain: The ECLGS is around INR8,000 crores – near INR8,000 crores. And in the NPAs, last quarter ECLGS is just around INR112 crore also. But we have provided fully and total NPA on ECLGS book is around INR400 crore

Jai Mundhra: Sorry sir, out of INR8,000 crore outstanding around INR400 crores is the NPA, roughly 5%, right?

S.L. Jain: Right.

Jai Mundhra: Great, thank you, sir. I'll come back in the queue. Thanks.

S.L. Jain: Thank you

Anand Dama: Sure. Sir, one more question which has come in the chat box again relates to the lower tax rate that we have seen during the current quarter. So the question is basically how much carry forward losses that we have under the Income Tax Act? I think on the balance sheet, we don't have much losses

S.L. Jain: So while calculating tax provision for a year as a whole, what will be the possible income of the bank for the year as a whole and what will be the carry-forward losses, calculating everything in mind and based on the Accounting Standard 25, we have calculated the tax liabilities. And accordingly, it works out to be 10%.

Anand Dama: Okay. But sir, any -- anybody would know, basically the CFO, basically what's the accumulated carry forward losses that we have?

S.L. Jain: We will let you know

Anand Dama: Sure sir. Yes. Next question, yes Mr. Ajmera, you can unmute yourself and ask your question.

Ashok Ajmera:

Sir, my the second round, may I ask you what is the advances total breakup in terms of the interest rate, fixed rate, MCLR, EBLR so that we can get some idea what is the breakup of the total credit -- total advances of the book – bank book. What is it?

S.L. Jain: Total credit around 42%, 43% is EBLR, around 45% is MCLR, remaining, our fixed rate are staff advances, overseas advances.

Ashok Ajmera: And while the EBLR comes into effect immediately, the MCLR takes some time. So what is the time lag to in that case.

S.L. Jain: Actually MCLR calculation formula is dependent on your cost of deposit, right? So slowly, slowly, the deposit rates are increasing. And based on the increase in the deposit cost and the formula, MCLR walks out. So what happens, it was 7.30%, and we have increased from 1st June, 7.4%, 1st July 7.55%. So 10 bps plus 15 bps, 25 bps we have passed on. Now we will take a call for today on the next MCLR, because it is decided monthly basis.

Ashok Ajmera: It means, the lag here maybe one month to 40 days, depends on what day it is announced

S.L. Jain: Actually, not one month. It depends on your deposit cost. Suppose by one year deposit cost earlier 5.10%. Now, it has increased to say 5.30%. So as and when I will increase that deposit rate. So we are not increasing deposit rate from 5.1% to 6%. So based on the available liquidity in the market, based on the competition in the markets, we are taking a call on the deposit rates.

Ashok Ajmera: We can say that we can assume that almost 50% of the book is with immediate effect and 50% may have some delayed credit effect

S.L. Jain: MCLR, again MCLR-linked loans, somewhere it is a one-year MCLR, somewhere it is a three-months MCLR, somewhere it is a six-month, so it will come for repricing over that period.

Ashok Ajmera: And sir on the recovery front, sir, the recovery is from the written off accounts and various other recovery like asset recovery and reconstruction companies, which is getting delayed quarter after quarter. But I think it should materialize in this quarter. So what is that book size? How much loan is going to go in the first tranche of the INR50,000 crore if it did not revise? And how much gross NPA so that we can have the idea of gross NPA coming down? And secondly, is there any other ways, which you are trying to sell your loan book to other assets recovery companies, if not NARCL or any other kind of because that gross book has come down gross book come down only by this means only. And what are the recovery target from the written off accounts and the remaining quarter of the year?

S.L. Jain: So I'll confirm it. Initially eight accounts were identified in place. Out of the eight accounts, three accounts, we have already resolved. So remaining is the five accounts, around INR1,200 crores. Again there's around eight or nine account of INR1,300 crores, so INR2,500 crore. Out of INR2,500 crores, first we are having 100% provision. Second, out of INR2,500 crores, maybe around INR2,200 crores is already fully provided and written-off. So whatever money we will be receiving will be a gain. And third question of yours is about that recovery number. So you see, in FY'21, we recovered around INR5,500 crores, FY'22, we recovered INR7,200 crore. In FY'23, we internally decided to recover INR8,000 crore, which is INR2,000 per quarter. We recovered INR2,000 crore plus in the first quarter. So likewise, second, third and fourth quarter, we will again recover INR6,000 crores.

Ashok Ajmera: We can have the similar kind of recovery scenario?

S.L. Jain: Yes. We believe so.

Ashok Ajmera: And sir, those two, three accounts, which were there like which were there like they're SREI and Future all now fully provided for now 100%? You had any how much was the exposure of on SREI?

S.L. Jain: SREI INR1,800 crore fully provided.

Ashok Ajmera: It's a fraud declared account?

S.L. Jain: It is fully provided. Even we have provided last year. Sugar account also we have fully provided.

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also we have fully provided, pension also we have fully provided.

Ashok Ajmera: So pension in this special family pension, this thing, it is I think carry forward for now a few years?

S.L. Jain: No, no, it fully provided last year itself.

Ashok Ajmera: So that's great, sir. I think that impact will not come in the future profitability now

S.L. Jain: No. So everything has been provided here.

Ashok Ajmera: So now the only concern is that the free float is very less, sir, in our stock actually because of the government holding. Is there any plan of the holding to bring it down so as to make it a little more free stock available in the market in the coming months?

S.L. Jain: My capital adequacy ratio is 16.51% as against 11.5%. And the profit if I add a profit of this quarter, it is 16.91%. So we are much above the minimum regulatory requirement. So capital wise, we are comfortable. But we are having enabling provision from our shareholders and the Board about raising our capital. So we will take a call during the whole year depends on the requirement of the funds and the market conditions

Ashok Ajmera: Okay, sir. Thank you very much. Really you're doing very well. I mean, we have been seeing the results of some of the other banks, but you've performed exceedingly well. And I wish you all the best for the remaining part of the year or remaining career. Thank you very much.

S.L. Jain: Thank you, Ajmera ji. Thank you.

Anand Dama: Yes. Thank you. Sir, we have one question in the chat box, particularly again on your deposits.

And that's basically that what are the challenges that we're facing in deposit accretion? I think our deposits declined quarter-on-quarter? So what was the reason for that? And what are the, basically, strategies to mobilize deposits going forward where, basically, we are seeing lot of competition from the peers as well?

S.L. Jain: So, of course, the deposit has declined from March to June, but that is measured all is in the moment of deposit. What happens in a government deposit, last quarter, money comes, and in the first quarter, has been expended. So automatically your deposit will come down. But what as an organization what we have done? So in December, we came out with the tablet banking. So through tablet, we can go to any institution and open an account. In the last quarter the June quarter, we have opened around 8 lakh accounts as against 2 lakh accounts of the last year. And 40% of these accounts have been opened through tablets. Now we have done even the current account also we are starting opening through the tablets. What will happen, then we can go to any institutions and open the account or any organization and open the accounts. And in addition to that we are having number of schemes for mobilization of saving deposits and current deposit. We are focusing on educational institutions, colleges, we are focusing on a number of things for increase in overall deposit. But as far as domestic, saving deposit and CASA is concerned, our domestic deposits is maintaining around 42% or so, near to 42%. And even in the government accounts, we have opened SA account. Last quarter, we opened 55 more accounts, so 155 accounts we are reviewing. 1,200 accounts we opened colleges, institutions, and all for getting them to just deposit. So we are focusing on that.

Anand Dama: Okay. So that itself will drive you basically the deposits or you need to raise the deposit rates as well?

S.L. Jain: Deposit rates are decided based on the market conditions as well, liquidity in the market conditions. Because we should be relevant in the market, but we don't want to be a price leader in the market for deposit.

Anand Dama: Sure sir. So, we have next question coming in from Sonaal. Sonaal, please unmute yourself and ask your question.

Sonaal: Thank you, sir for this opportunity. I have couple of questions. Firstly, sir, what was your SMA 1 and SMA 2 over INR5 crores in the corresponding quarter last year? So I am referring t

o June 2022 -- 2021 quarter?

S.L. Jain: Okay. That I'll tell you. June '21. And in addition to that, you can ask.

Sonaal: So what is the overlap between your standard restructured book and SMA 1 and SMA 2 above INR5 crores?

S.L. Jain: So INR16,580 crore of a restructuring book we are having. Out of this, INR7,400 crores is in retail.

Here the collection efficiency is 90-plus. And if you see the even the slippage from this book was around INR187 crores last quarter. And likewise, in agriculture also INR1,000 crore of a restructuring book we are having and here the collection efficiency is 86%. Our MSME restructuring, we are monitoring virtually.

Basically this is the area we have some kind of a stress is there because of economy. First we supported them. Now, the MSME who are capable has come out from the SMA 1 and SMA 2 as well.

Sonaal: Sir, my apologies. My question was a bit different. What I was trying to get was what is the common number between your SMA 1 and SMA 2 above INR5 crores and your standard restructure so that we don't double-count the number. That was the purpose why I was asking this.

S.L. Jain: So, SMA 1 and SMA 2 includes restructuring SMA 1 and SMA 2. So there is no double-counting as such. So this is the total SMA 1 and SMA 2 we are having.

Sonaal: And you have a standard restructured book, so what is the common number between the two is what I'm trying to understand.

S.L. Jain: Common number between?

Sonaal: Standard restructured book and SMA 1 and SMA 2.

S.L. Jain: Sir, I'm just repeating whatever SMA 1 and SMA 2, we have disclosed, includes restructuring.

Sonaal: Yes. That's why I'm saying the double-counting, so if we add the restructure book in SMA 1, SMA 2, it will lead to double-counting.

S.L. Jain: Okay, understood. Okay. So out of this SMA 1 and SMA 2, how much is on account of restructuring. SMA 1 and SMA 2 is INR1,896 crore is SMA 1 and INR1,552 crores is SMA 2 out of restructuring

Sonaal: Thank you, sir. And if you could give us SMA 1 and SMA 2 above INR5 crore number for the last year in the same quarter?

S.L. Jain: That we will provide you.

Sonaal: Sir, how is the underlying total SMA 1, SMA 2 movement, is that on the same lines as of SMA 1 and SMA 2 above INR5 crores?

S.L. Jain: It is on the same line, the collection efficiency is on the same line, sir. So automatically it is on the same line.

Sonaal: Understood. Thank you very much.

Anand Dama: Thank you, Sonal. We have next question from Sushil Choksey. Sir, please go ahead.

Sushil Choksey: Congratulation to Indian Bank management for a great result. Sir, my first question is our dominance is in Southern states, where service economy and manufacturing, both are doing well. So in view of that, what is the best optimistic CD ratio I can see in the bank?

S.L. Jain: Presently our CD ratio is around 73%, right? So naturally, we would like to maintain that ratio at this amount. Last quarter, it was 70%. So it should be around 73% level.

Sushil Choksey: You don't think with so much of PLI scheme and so many manufacturing businesses coming, specifically on auto, ancillary, solar and other things in Southern states and just around your headquarters, your dominance with the presence with Southern companies, CD ratio can exceed 75%, 76%?

S.L. Jain: Point is that, you see, our deposit in the first quarter has come down. So we are focusing on the deposit more in the second quarter and try to maintain 73% of -- 73% of the CD ratio or even 74% also it can happen.

Sushil Choksey: Sir, with Southern economies more a saving-oriented economy, what is different that our CASA ratio is not improving?

S.L. Jain: The CASA, we are growing at 8%, 9% the way our deposit is growing. So, and you see from the last two, three years when the amalgamation started, we are -- this fully [ph] we're increasing it. This year, we are focusing on increasing CASA ratio, and therefore, this tablet banking and all, we are going to the customers for opening the account. We're focusi

ng on that.

Sushil Choksey: Sir, but the integration bank and your current bank, both are homegrown for you. So how does the synergy and benefit work for you better?

S.L. Jain: Yes, it is working, better sir. That is reflecting in the growth in NII sir. That is reflecting in improvement in ROA, it is reflecting in growth in ROE, it is reflecting in growth in cost-to-income ratios, in all places it is reflecting sir.

Sushil Choksey: So what's your outlook on international business, digital expenditure for future growth strategy, digitization? And how do you see retail business growing in your bank over a period of two, three years, and outlook on gold loan?

S.L. Jain: Yes, good question, sir, you've asked about the digitization. But the work is going on the digitization. In the last month, we came out of the pre-approved personal loans, we have already launched. We have already launched pre-KCC renewal digital. Shortly, we are launching that gold loan, home loan portal, MSMEs, Mudra loans, four, five journeys we will be launching in between today and our Foundation Day, that is on 15th August. And after that also, every quarter, we are working on that six or seven new journeys we will be launching. So that's one part of our digital side. And the other part is you see our mobile banking has increased 75% in one quarter. So we are focusing on our mobile banking, and as a result, all digital transactions have improved substantially. In HR side also we have done number of changes, performance management system. New system has been brought in and implemented in the bank. And in the IT infrastructure side we have done a number of things. We are having 1,000 digital banking champions, right, and we are having this middle way through which we have started doing API integrations, omnichannel we are doing. So that number of things are going on in the digital side in the bank. So the result of which will be seen maybe after six months too earlier, six months for each and every segment.

Sushil Choksey: Sir, you have gold loan outlook?

S.L. Jain: Sir, gold loan, we are growing 16%, 17%. In Agri side and even 42% in the personal loan side. What we have done around 421 retail shop we have created in the last quarters. These branches are doing gold loan only. So because there are huge opportunities there is southern part. So we are focusing on that, focusing not only in Tami Nadu, even Kerala also.

Sushil Choksey: So if your growth is approximately the CD ratio of 73% maintain or 74%, how much do you see growth coming out of retail and how much out of corporate banking?

S.L. Jain: So point is that we'd like to maintain our RAM 61% plus, minus 2% here, and in corporate also, but we are margin conscious. So if we are getting good return, we will grow.

Sushil Choksey: Sir, and what's your outlook on credit cost on an optimistic side?

S.L. Jain: The credit cost of the bank is in around 2.02% right, and here because of the 100% provision we have made for sugar account and or Future accounts and all. Going forward, what we see because SMA 1 and SMA 2 has come, down, so slippage will be coming. So our credit cost for the year as a whole should be lower than 2%.

Sushil Choksey: Sir that you are guiding very conservatively and you've provided 100% on all the NPAs, are you estimating that your losses are going to accrue from some other SME assets, which you are holding or it is you want to remain conservative and outperform the market?

S.L. Jain: You are 100% correct, sir, we should be conservative while giving you guidance.

Sushil Choksey: Sir, thank you and all the best.

S.L. Jain: We should be able to deliver better than that.

Sushil Choksey: Sir, thank you and all the best to the entire team and management of Indian Bank.

S.L. Jain: Thank you, sir. Thank you.

Anand Dama: Yes, thank you. Next question we have from Dixit Doshi. Dixit, please unmute yourself.

Dixit Doshi: Yes, thanks for the opportunity. Actually, most of my questions have been answered.

Just one

last question. Any outlook on the NIM? We have improved it very nicely to 3.1% this quarter. So how do you see it going forward?

S.L. Jain: You see, we have 42% is in EBLR, right, and in an increasing interest rate, what will happen, your asset will be repriced first and the liability, then the deposit rates is also increasing in the market, right, in one-year deposit, two-year, three-year deposit. So, considering this in view, we are of the view that we should be able to maintain our margin of 2.91% of the last year. It can be better than this, but we should be able to protect that margin.

Dixit Doshi: Yes, thanks

Anand Dama: Yes, thanks, Dixit Next question we have from Manish. Manish, please unmute yourself and ask your question.

Manish: Yes, hi, thanks for the opportunity. Sir, my question is around your MSME loan. So if I look at your MSME book, almost 25% of the book is stressed. So can you give some qualitative comments on if there's any specific MSME cluster where you are witnessing this kind of a pressure? That's one. What is your average yield on MSME? That's the second part. And third is, what's the ground level impact on your MSME customer right now? Are they facing any major issues in terms of margins, in their cash flows coming back to the pre-COVID level? So some color on MSME side. That would be useful. Thank you.

S.L. Jain: Sir, I request Imran ji, who is in-charge of MSME to take the question

Imran Amin Siddiqui: Sir, our MSME borrower has generally after COVID most affected people were the MSME. But after this improvement in economic conditions, the MSME borrower slowly, slowly coming out of stress. Even our SMA book in SMA 1 and SMA 2 has come down in MSME from previous quarter. Regarding -- none of the specific sector, mainly this hospitality and all were under more stress, but across the board, the MSME book was under stress. But now what we are doing now, we are running a campaign to improve our MSME book in INR5 crore and above because there we get better margins and there the quality of asset is also very good. In our recent campaign, we have mobilized around INR7,500 crore proposal, and out of that INR2,000 crore has already been sanctioned and INR500 crores has already been disbursed. And the kind of yield we are getting in the MSME is around 8.5%. So going forward, we will be having a better asset quality in MSME.

Manish: So if I heard you correct, you mentioned 8.5% yield on the MSME portfolio, correct?

Imran Amin Siddiqui: Yes. Roughly 8.5%.

Manish: And out of your MSME restructured book, is the moratorium over or are there still customer under moratorium?

Imran Amin Siddiqui: Majority is over.

S.L. Jain: Majority of the account over actually.

Imran Amin Siddiqui: Yes

S.L. Jain: And in addition to that, in MSME, we are also focusing on cluster-based financing where the NPAs are there. So we are giving number of clusters. Roughly 37 clusters we are already having. There, NPAs are comparatively low. So we are focusing on that space.

Manish: And do you expect with the kind of mortality we have seen in MSME this quarter to continue in the next couple of quarters or you think those are largely over?

S.L. Jain: The way the MSME is behaving -- the way the economy is improving, right, so -- and these MSMEs have survived, sir, in the last one year, two year, three years. So we hope that going forward, the slippage should come down from that.

Manish: Sure. Thanks a lot. Thank you, sir. And all the best.

Anand Dama: Thank you, Manish. Jai, you have the next question. Please unmute yourself and ask your question.

Jai Mundhra: Hi, sir. If you can specify the sector of the government loan account, which slipped during the quarter, and it has already been upgraded in the quantum?

S.L. Jain: One account of it was trading account, around INR200-odd crores, which we have provided 100%

and the money has been received in July, so it will be upgraded -- it will be reduced and provision will be returned bank.

It is closed, virtually it is closed, INR226 crores.

Jai Mundhra: Okay. And secondly, sir, if you have the number for restructuring book, which is legacy restructuring or MSME restructuring, which is outside of this COVID INR16,000 crore, and there was some small amount which was there last year, last quarter, if you have that amount, which is outside COVID?

S.L. Jain: It should be a very small amount, because majority of these accounts would have been covered in the COVID part, in any case, which is a very, very small amount.

Jai Mundhra: Understood. And then, sir, if you have the PV01 of the treasury book number for AFS book?

S.L. Jain: It is around INR8.19 crores or so. Satish ji, our GM Treasury is on the line.

Satish Kumar: Sir, our PV01 is INR8.80 crores.

Jai Mundhra: Right. Yes, sir. Okay. That is all from my side. Thank you.

Anand Dama: Thank you, Jai. Sir, we have one question in the chat box relating to a government comment, basically they are again looking for consolidation. So what is your view on that?

S.L. Jain: See, this is a government call. As far as our bank is concerned, considering we are the best in terms of ROA, ROE, cost-to-income ratios and all. So remaining call is to be taken by the government.

Anand Dama: So basically can you be an acquirer again?

S.L. Jain: Currently, there is no such moves, not in our knowledge. But we are growing. We are growing, our NII growing, profits are growing, the 88% PCR we are having, so bank is on the growth path.

Anand Dama: Sure sir. Any other participant, if have a question, you can unmute yourself and ask your question. I think, sir, that nobody has a question anymore. So we are done.

S.L. Jain: Thank you.

Anand Dama: Do you have any closing remarks to make?

S.L. Jain: Yes, our ED Ashwani ji will speak.

Ashwani Kumar: Yes, just as our MD was also explaining you, the way we have been growing, and in all parameters, bank has done good performance and great ROE, ROA, and our gross NPA is coming down, our net NPA is coming down, our NIM is improving, our cost of deposit is under control, our cost-to-income ratio is also coming down, so we are very conscious and mindful of the bottom line as well while giving corporate advances and we are aiming to grow in the same fashion our loan growth in maybe RAM, may be corporate. We intend to maintain the same RAM percentage going forward, and whatever future liabilities, that all have been taken care during the current quarter or the earlier quarters. Initiatives also we have taken all digital, be it on the lending platform or for the liability side platform. So bank is ready for the future growth also. So I believe the guidance given, we will be achieving all those guidance and next quarter will see a better performance in the coming quarter. Thank you.

S.L. Jain: Thank you all are analysts and investors

Anand Dama: Thanks for the participants. With that, we will close the call. Thanks a lot.

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■■■■■■■■/website: www.indianbank.in

■-■■■/e-mail: ibinvestorrelations@indianbank.co.inø■■■■■■■■ø■■■■■■■■

██████████, ý██████-600 014

Corporate Office

254-260, Avvai Shanmugam Salai,

Royapettah, Chennai - 600 014

■■■■■/Phone: 044-28134076/28134698/28134484

Ref No.: ISC/197/2022-23 Date: 11.11.2022

The Vice President

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra- Kurla Complex

Bandra East, Mumbai-400 051

NSE Symbol: INDIANBThe Vice President

BSE Ltd.

25, P. J. Towers

Dalal Street, Mumbai-400001

BSE Scrip Code- 532814

Dear Sir/ Madam,

Subject: Transcript of Post Earnings Concall / Meet

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

and in continuation of our letter No. ISC/187/2022-23 dated 01.11.2022 and letter No.

ISC/192/2022-23 dated 04.11.2022 regarding Analysts / Investors Concall / Meet, we

are enclosing a copy of Transcript of said post Earnings Concall/ Meet held by the

Bank on 04.11.2022 on the Financial Results of the Bank for the Second Quarter (Q2)

and Half Year period of FY 2022-23 ended September 30, 2022

The Concall Transcript is also uploaded on Bank's website and the same can be

accessed through below link:

<https://indianbank.in/wp-content/uploads/2022/05/Q2-FY23-Post-Result-Concall->

Transcript.pdf

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary

Encl : A/a

Indian Bank Q2 FY'23 Results

Held on 04.11.2022

Transcript

Management: Shri S L Jain

Shri Imran Amin Siddiqui

Executive Director

Shri Ashwani Kumar

Executive Director

Moderator : Shri Anand Dama

Page 2 of 18 Anand Dama (Host - Emkay Global) : Good afternoon, everyone. We have with us today Indian Bank MD and CEO, Shri SL Jain, ED Shri Imran Siddiqui, and ED Shri Ashwani Kumar for Indian Bank's Second Quarter Post Results Concall. I would request Jain sir first to brief on the results that we had in the second quarter, and also provide some outlook on the growth, margins and asset quality. Also, would request sir to discuss about the standard asset provisioning norms which have been implemented and been enforced on lot of public sector banks in the recent past, that has been talked about by a lot of public sector bank managements during these calls. So would request sir to touch upon that point as well. Over to you, sir.

S. L. Jain , Managing Director and Chief Executive Officer: Yes. Good afternoon. Welcome to all analysts and investors in the post -results second quarter. So, as far as business of the bank is concerned, we have grown by 10% on a Y-o-Y basis. Under business deposit we have grown by 7%, savings deposit we have grown by 7%, and the current deposit we have grown by 9%, so CASA we have maintained at 41%.

In the credit side we have grown by 14%. So, the credit in the RAM sector we have grown by 13%. Under the RAM, retail we are growing 14%, agriculture we are growing 15%, MSME we are growing 9%, and corporate we are growing 6%. And we are having the RAM share of 62% which has improved from 60% to 63%. So, the RAM is a prime area of growth. This is the business number.

If you see the profitability number, our NII has grown by 15%, our operating profit has grown by 11%, and our net profit has grown by 12%. In addition to NII, our other incomes, whether it's fee-based income it has grown by 18%, our Forex income has grown by 171%, and PSLC income has increased. So, excluding the treasury impact, our other income has grown by 7%. So NII 15%, other income net of treasury 7%. Operative expenses have grown by 4%, resulting increase in operating profit by 11%, and the provisioning since our asset quality is improving, so the net profit has grown by 12%. If you see the pre-tax profit, it has grown by 160% or so.

Now coming back to the asset qualities, our asset gross NPAs have come down to 7.30% and net NPA to 1.5% from the 2.12%. The reason being the slippage was around Rs2,300 crores and the recovery was around Rs3,300 crores or so. Under the slippages, basically in Rs2,300 crore, around 45% of slippage comes from the Agri, and around a Rs. 400-odd crore is from the restructured book.

The slippage from the restructured book is coming down which was around INR1,400 crores in March, and then June INR1,000 crores, and then September it is around INR400-odd crores. So, the restructured book is, you can say, performing well. As far as the capital part is concerned, we are at 16.15%. And if we add six months profit of INR 2,400 crores, it works out to be 16.92%, close to 17%, so bank is adequately capitalized.

Now coming to your specific questions about the margins and all. Last year margin was 2.91%. In the first quarter it was 3.10%, and the second quarter it was 3.20%. The repo increase of 90 bps, 50 bps has been passed on during the quarter ended September, and the 50 bps which was announced in September will be passed on this current quarter.

As far as MCLR is concerned, you see from 1st April till today, our MCLR, one-year MCLR which is a measure, has increased from 7.30 to 8.10. So around 80 bps MCLR increase we have done. If you see the deposit rates from, say, 1st April till today, so we have increased the deposit rate in various buckets. So, it is from 1.1% to 1.4% in the range of various buckets.

So, since the 41% is CASA and 60% is term deposit, so, on average 130 bps, so you can say 60%, so 80 bps we have passed for as a part of MCLR. So, considering this and also considering the fact that interest rates have tightened in the

markets, so we are of the view that we should be

able to protect our margin at around 3% to be on the conservative side, this is a margin.

Page 3 of 18 Now, regarding the provisioning of standard assets and others, we are governed by the RBI guidelines, and whatever are the RBI guidelines and whatever has been told by the RBI through instructions and all, we have fully complied with it. So, this is where we stand today.

In addition to these numbers, bank is working very hard on digitization. So, in digitization we have launched various journeys, whether it is pre-approved personal loan for salaried, whether pre-approved personal loan for professional and self-employed, loan against FD, then the Mudra loan, then the KCC renewals, then our insurance products, all we are giving through mobile banking. And bank is totally focusing on digitization, so your mobile registration which was around 58 lakhs a year back has crossed 1.02 crores.

So, since all these products we are offering through mobile banking, so mobile bank is totally focusing on increasing the mobile activation, so you see the 76% rise, likewise the internet banking has also increased. And the digitization which was around 70% a year back is now 82%.

And in addition to these customer friendly journeys, we have also rolled out the performance management system in the bank, where the KRA of each and every employee, each and every officer will be tracked based on the targets given by them. So it will give the productivity increase going forward.

In digitization -- in addition to this we are doing number of other things as well, whether it is a middle -ware so that we will be able to pay by API integrations, and horizontally we can grow. Because with the API integrati on you can grow your businesses. There's omnichannel we are also doing. We have also onboarded the lending platforms, so that we will be able to come out more and more customer friendly journeys in the time to come. We are also working on the trade finance module where we will be open -- able to offer customer facing services so as to have better customer experience and to increase our income.

Now, I am open for question -and-answer, and with me my both the Executive Directors and the top management team her e.

Anand Dama: Yes, sir, thank you for touching upon all the points. Sir, particularly on the margins before we take the Q&A, I think that is one very important aspect that we have seen across public sector banks that some of the banks have seen very strong margin uptick during the current quarter, but the uptick that we had seen in our bank was relatively moderate versus the peers, so any specific comments over there?

S. L. Jain : So margin of course 15%, but you see this year, this quarter out of 2,30 0 slippages, 1,059 slippage is on agri. In Agri what happens, in KCC it is a long time to classify account because based on the duration of the account. So, there is a interest reversal of around INR260 crores, major interest reversal has happened on all t hese accounts.

In addition to that what we have done, we have also done interest reversal for the restructured account, the moratorium period interest which has been capitalized as per the then guidelines, that also be have reversed. And because of these t wo the NII growth which is appearing 15%, moderately lower. But this is as per the RBI guidelines in total.

Anand Dama: Yeah, thanks, sir. Now we open the floor for Q&A. First question we have from Mr. Ashok Ajmera. Please unmute yourself.

Ashok Ajmera: Good morning, Jain sahib. And the team, good noon. Sir, compliments for yet another good quarter for the bank which -- I mean, the overall financial position of the bank you have managed very well, along with the -- even asset quality, and most of the para meter -- the ratios and the figures are within the given guidance and parameters.

Sir, having said that, my first questi

on or rather some information required on the overall treasury operations, though segment wise there is an income of INR1,441 crores, th e profit in the treasury, Page 4 of 18 but overall if you look at it, and with this rising interest rate scenario and now with this Fed increasing 70 basis point again, and maybe RBI also now accordingly will match it maybe 50, 60 basis points going forward, what are y our views and observations on or you are comments on the overall treasury operations of the bank, sir, including the money which you are making from the foreign exchange transactions?

S. L. Jain : So our investment book is of 184,000, right, so 25% of this is in the HFT and AFS book. Here you see what we have done, we have churned out the portfolio. The treasury bill which was around INR 9,500 crores has come down to INR 4,500 crores. So INR 5,000 crores amount we have churned out, and invested in the centra l government or state government securities where the yield is better, because -- what we are doing is wherever the yield is more than 7.5%, we are increasing our portfolio, where it is less than the 7.5% we are selling. That way we are doing last quarter, so we have made up profit of INR 125 crores as well in the last quarter, even in this volatile time. So, this is the one way, and we will continue to have that kind of strategy. And in this process what happened, our yield has also improved in the overall treasury book as well as in the HFT and AFS book.

In a Fore x, what we have -- from last six to eight months of from last one year we're seeing that Forex profit is continuously increasing, 171% or so. So, there are opportunities in the Fore x market, first point. Second point, we are having GIFT City operation. Third point is, we're very active in the merchant turnover, in the derivative markets. So, in our Forex desk, we have made it active, and as a result you are seeing that whatever is the losses or the decline in profitability because of the treasury, because of the market, mostly we are covering through our Fore x operations and all. And that is why -- how we are managing, and we'll continue to do so because still the margins are available in the busine ss.

Ashok Ajmera: But sir, with the liquidity being sucked by the RBI measures, are you getting some pressure on the liquidity side? Because some of your money has got blocked in this foreign -- Forex forward premium and other things, so will it continue o r do you -- are you observing any pressure on the liquidity front, sir?

S. L. Jain : No, see, liquidity side we were comfortable, our LCR is around 142%, that's one point. Second point is that the way the liquidity has been tightened, both sides we are increasing the rates, either on the deposit side and advance side and maintaining our margins. Of course, the liquidity is being tightened, so as a result what happens, the sh ort-term interest rates have increased. But simultaneous, the yield has also increased, and we are the intermediary. So still we have opportunity to make money.

Ashok Ajmera: Sir, coming towards the recovery side, sir, how comfortable we are as per the target given for the overall recovery and recovery from written off accounts? And what is the

development on the NCLT front and also NARCL front, how much accounts are going, how much money is going? Because now NARCL has become very active, so I think any colour on that, latest position on that, sir, on the recovery and NARCL, accounts going to NARCL.

S. L. Jain : So whatever -- in the beginning of the year we said that our recovery will be around INR8,000 crores. So in six months our recovery is INR 4,438 crores, which works out to around 55%. So in a half year, 55% remaining we'll be able to achieve.

Likewise in AUC recovery, which we call T WO recovery is around INR 1,600 crores of our targets. As against INR1,000 crores, we are at INR890 crores or close to INR 900 crores, here

again 55%.

So target vis -a-vis achievement we are better than this. Going forward, since we are recovering around INR 2,000 -odd crores every quarter, we'll continue to do so. And from where we are getting strength, because we still have INR 24,000 crores of account on NCLT, we are having a compromised pipeline, we are having NARCL as well, and we will do SARFAESI sale. And last Page 5 of 18 quarter also we have done INR 58,000 crores number of compromises as against INR 39,000 crores in the Q1, so that way we are focusing on this.

As far as NARCL is concerned, sir, around INR 5,400 crores of account which they have shown interest which is around 21 accounts. And in the four accounts we are at an advanced stage, where the amount is around INR500 crores. So we may be getting around 25% or 30% of that account, because this is Swiss challenge will happen and then the exact price will come out.

Ashok Ajmera: You are there in that big six Swiss challenge company also, where against 234 - I mean, 500 -- some 438 or something has come from Phoenix? Are you there in that account?

S. L. Jain : Yeah, we are there in that account. We are there.

Ashok Ajmera: Just couple of small observations, sir, on your notes to the accounts. Note number 15, under the COVID -19 framework the outstanding is INR 18,422 crores and NPA slipped is INR 1,190 crores and recovery is also around INR 1,163 crores. So, INR 16,000 crores is still outstanding there. What is your guess on that, that if you look at the same proportion of the recovery and the NPA slipping, I mean, it is almost equal so far. So going forward, out of the INR16,000 crores outstanding, how much do you think will slip to the NPA?

S. L. Jain : So, you see, in INR 18,000 crores basically two, three big accounts, The Future Group and all accounts, they have been restructured and they have been slipped. And that is why this NPA numbers are showing higher.

If you see the reality, how much has been slipped in the March quarter, how much in the June quarter and how much in the September quarter. So, September quarter INR463 crores as against the June quarter of INR 1,094 crores, so it has come down 50%. And prior to that last year it is INR1,705 crores, because of The Future Group and all. So when the slippage is coming down from the restructuring book, it gives us a strength that the remaining accounts are standard and will continue.

Ashok Ajmera: Okay. but last is on note number 17

Anand Dama: Sir, Mr. Ajmera, request you to come back in the queue.

Ashok Ajmera: Just last, Anand. Note number 17, sir, under the provision framework, INR 780 crores out of that provision that is write -off is the non -fund base amount out of total of INR 16,017 crores. So how much more is the non -fund base is there, because that is as good as totally going, I mean, slipping.

S. L. Jain : No. Ajmera sir, that's the RBI guideline. RBI guidelines said that as per the 7 June, '19, circular you have to make a 35% provision on the exposure. So exposure includes your fund based and non -funds. So the number which you are telling is the INR780 crores is a non -fund where we have made 30% -35%.

Ashok Ajmera: Okay. So total will be INR 2,000 crores non -fund, I mean, if it is 35% for entire non-fund is provided for?

S. L. Jain : INR 1,780 crores, 35% of which has been provided.

Ashok Ajmera: Okay. All right. Still -- I mean, some amount still left there.

S. L. Jain : No, but what happens is these are three years -- and accounts are standard, sir. Account are standard, so that is going on. So guarantees are which -- suppose we have given guarantee for one year, two years, three years, it will continue. Yeah. Yeah, of course. And guarantees are against performance, guarantees are against bid bond, so you can't say the entire will come.

Page 6 of 18 Ashok Ajmera: Okay. Thank you, sir for this round. If time permits, and Anand allows me,

I will
come back again.

Anand Dama: Yeah, thank you Mr. Ajmera. Next question we have from Gaurav. Gaurav, please unmute yourself

Gaurav : Hello, sir. Thank you so much for the opportunity. And congratulations on very good set of results. Sir firstly on the asset quality, whatever numbers we have disclosed, they seem to point at very good, healthy underlying recovery in all the assets that we own. But sir, two, three quarters back we used to disclose the SMA -1 and SMA -2 for the entire portfolio, which we changed to

above INR5 crores book. And it would be very great for all of us to understand how the recovery or how the performance of that portfolio is moving, which is below INR5 crores book. So if you could share SMA -1 plus 2, the combined figure or individual figure for the entire book, that will give us a lot of comfort.

S. L. Jain : So, actually in line with the industry trend we have started showing this INR 5 crores and above. But you see, we are also showing the collection efficiencies. So, collection efficiency is 95%. So, from that also you can make out, because we are showing the collection efficiency separately for retail, agri, MSME, and the corporate.

Gaurav : Yes, sir but you can --

S. L. Jain : In fact, this number has come down from 0.61 to 0.5.

Gaurav: What has come down from 0.61 to 0.5?

S. L. Jain : This INR 5 crores and above SMA -1 and SMA -2 which was around 0.61 in the June quarter, has come down to 0.5 in the September quarter.

Gaurav : Yes, sir, that is for the above INR5 crores, which you have anyways disclosed. I am talking about the below INR 5 crores, which was INR18,000 crores at the end of December 2021. So, any subjective indication would be really helpful, whether this 18 has moved to 15 or you know it has been same or it has gone to 20?

S. L. Jain : When your collection efficiency is improving, it should come down as such.

Gaurav: Okay, great. And sir on the provisioning side, the current run rate of around INR 2,000 crores INR 2,200 crores, do you expect this to continue for another two quarters or so? Or you expect this to come down substantially now that there is a very healthy performance across your advances?

S. L. Jain : So our net NPAs has remained INR 6,000 crores, right, so that is 1.5%. And so credit cost which is around 2.01%. So going forward, I am expecting that our credit costs should come down from the 2%.

Gaurav: So for this financial year you are expecting it to be at 2%, right?

S. L. Jain : It should be less than 2%.

Gaurav : Okay. And sir for what next year, FY'24.

S. L. Jain : No, that decision we'll take on 31 March, based on the available numbers. Otherwise, INR6,000 crores is not a big amount, considering our operating profit of INR 3,600 crores of one quarter.

Gaurav: INR 6,000 crores or INR 8,000crores, sir. I think --

S. L. Jain : How the portfolio will behave, then only we'll be able to tell.

Page 7 of 18 Gaurav: Sir, you said INR 6,000 crores or you said INR 8,000 crores, because current run rate seems to point it that the number will be INR 8,000 crores for FY'23?

S. L. Jain : But I'm talking about the net NPA number.

Gaurav: Okay. Okay. And sir, in terms of --

S. L. Jain : So, remaining amount which is to be provided.

Gaurav: Okay, so INR 6,000 crores sir, that you can provide in three quarter itself, but --

S. L. Jain : That one I can't say. At this point we can't say. Because this is a dynamic position, this is business. How much will be recovered, how much will be slipped and all that.

Gaurav: And sir, in terms of loan growth, do you still intend to grow your book at 10% plus/minus 2% or 12% or 8%, or you would like to rephrase it to higher number?

S. L. Jain : So point is that, you see 14%, but because we are retail bank, 62% of our book is retail, and the margins are also there.

Gaurav: Correct.

S. L. Jain : That is why the healthy margin. So we'll continue

to grow 12%, 13% in the RAM sector.

But overall, in corporate what happens, because of the -- some of the corporate, the interest rates are not making sense from the risk-reward point of view.

So, we will continue to remain selective, we'll continue to remain choosy, because we should get a good margin over that. So that is why I told that 12% plus/minus 2%. If there is opportunity in the credit substitute, we'll go to credit substitute. But at the end of the day we should get a good margin .

Gaurav: Okay. So, I thought it is 10% plus/minus 2%, now it is 12% plus/minus 2%?

S. L. Jain : No, 12% plus/minus 2%.

Gaurav: Perfect, sir. Perfect.

S. L. Jain : So, everything is based on the margin available. We can grow also, but ultimately you should get a margin. You have some PSLC obligation, but because we are having PSLC also, we have selling. So, from the risk-reward point of view it should make sense.

Gaurav: Okay. Okay. Thank you so much, sir. All the best.

Anand Dama: Yeah. Thank you, Gaurav. Sir, next question we have from Rajesh. Rajesh, please go ahead. Rajesh, please unmute yourself.

Rajesh : Hi. I have a few questions. The first question is, can you just clarify, there is talk about wage agreement revision? If yes, what can be the impact of that, and by when we can see some clarity on that?

S. L. Jain : Wage revision will be due from 1 November, 2022, so it is not yet due. But we have to make some provisions from the December and March quarter, because this is the way every time we used to make provision. So this time also we'll make provision based on estimate, but the negotiation has not yet started.

Rajesh: Okay. So last time this provision was made in which year?

S. L. Jain : Every year based on -- every quarter we used to make.

Rajesh: Okay. So, basically -- so you're saying that even in FY '22 there was a wage revision and then what was the actual -- can you just tell me what was last three, five years' trends, if any?

Page 8 of 18 S. L. Jain : No, negotiation has not yet started, sir. So, based on the negotiation, based on the demand, we will make out estimates, what can be the increase, and based on that we'll factor in.

Rajesh: No, no. My question is, when was the last revision?

S. L. Jain : Last revision was on 2017.

Rajesh: 2017. Okay.

S. L. Jain : 1 November, 2017, and every five year it happens.

Rajesh: Understood. And then from 1 November, 2017, in the last five years it means, what has been the actual increase?

S. L. Jain : No. 1 November, '17, actually last time around 10% or 12% of the rise has been given.

So it depends -- it depends what is the current rate, what is the --

Rajesh: You mean on annualized basis. You mean on annualized basis 10% to 12% hike, what you're talking about or the total 10% for five years?

S. L. Jain : 10% on an annualized basis only. That was the last time to my mind. Actually, I'll go back and check, but this was the increment. So, depends -- depends actually what is the demand, where you stand.

Rajesh: Okay. And so from third quarter onwards, therefore, you will start making provision assuming some estimates, am I right, that's what you're saying?

S. L. Jain : Yeah. Assuming some estimates, so that when the actual settlement will take place, we have enough provision

Rajesh: Understood. And our cost -to-income ratio, how do you see your cost -to-income ratio over full year and for the next year?

S. L. Jain : So, you see, our cost to income ratio was 41% or 44%, right? So cost -to-income two major factors, NII we are growing 15%, 18%, absolutely no issue. In other income, because of the treasury it gets fluctuated, otherwise, expenditures are under control. So, this should be in the range of which we are in, not substantial difference, sir.

Rajesh: So, are you saying that your cost -to-income ratio -- because if I look at your total operating expenses for the quarter, it is about just

4%. So are you saying operating expenses on a full -year basis also we should assume roughly about -- say last year was about INR11,000 crores, we should assume about 5% to 6% increase every year, are you trying to hint that?

S. L. Jain : Yeah. In the normal, situation half year it has grown by 4%, right?

Rajesh: Yes.

S. L. Jain : So, that we can -- these estimates you can make, sir, because I have given all information to you.

Rajesh: Yeah, that's what I'm trying to understand, because on operating expenses beyond a point we don't have any further --

S. L. Jain : No, expenditures are under control, sir, expenditures are under control. And the way businesses are growing, naturally NII should grow.

Rajesh: Okay. And my last question is, on incremental basis what the CD ratio is ?

S. L. Jain : So, you see, it was around 70% in September. In March, it was around 72%. It is 74% today.

Rajesh: Okay, okay. Got it. So, incremental it would be about what 85 -90 kind of thing?

Page 9 of 18 S. L. Jain : Because my point is that, what kind of liquidity you are having, based on that only you take call.

Rajesh: Yeah. Yeah. Very good. So, by when you think probably you may need equity infusion?

S. L. Jain : Presently our capital adequacy is around 17% -- 16.15% which we disclose, and half -year profits INR0.77 -- 16.9%. So presently we are adequately capitalized, sir. So even though we have shareholders' approval and everything , so we'll take a call if the opportunity so arise.

Otherwise, presently we are comfortable.

Rajesh: No, no. There is no doubt at 16% you are comfortable. My question to you is, sir, at what capital adequacy ratio you think you will need to raise capital to fund your future growth?

S. L. Jain : Okay, okay, understood. So point is that 11.5% is a minimum requirement, right? So 1% you can have over and above the minimum requirement. So 12%, and however 13% is a minimum level where we should go for raising capital, that is how we work actually.

Rajesh: So basically, if you're --

S. L. Jain : And one more point is that, second is from the generation point of view. So when you are generating six plus if you have generated INR2,400 crores. So generation itself is taking care of your future needs. So, going forward, the requirement of raising capital seems to be less to me,

because generation will take care of everything.

Anand Dama: Yeah, Mr. Rajesh, please join back the queue.

Rajesh: Thank you.

Anand Dama: Thank you. Our next question we have from Mona. Please restrict your questions only to two.

Mona Khetan: Yeah, hi, sir. Good evening.

S. L. Jain : Good afternoon.

Mona Khetan: Yeah, good afternoon. So, firstly on the recoveries you had this quarter, which were pretty strong at INR2,600 crores. Are there any one-off there? Are there any large accounts?

S. L. Jain : No, one-off, maybe one account of maybe INR200 crores, INR300. NIL, one account, INR300 crores.

Mona Khetan: Sure. And when it comes to the restructured book, so I'm assuming that almost all of it is built by now. So, from this current book, what sort of slippages do you expect hereon?

S. L. Jain : So, what I told initially, Q1 was INR1,094 crores, so close to INR1,100 crores, which has come down to INR460 crores, so 50%.

Mona Khetan: Right.

S. L. Jain : Right? So, this gives us a comfort that going forward the pain will be less from this book.

Mona Khetan: Okay. But you don't have a number in mind that off this maybe a 10% would overall slip.

S. L. Jain : It is very difficult to say how much will slip. But you see, our collection efficiency, it gives us a comfort that, no, we should not have an undue worry on account of that.

Mona Khetan: Sure. So if we look at Slide 33, where you have given the details of restructuring, this recovery percentage, is that the collection efficiency for each of the portfolios, the last column?

S. L. Jain : Right. This is a restructuring -

- recovery in the restructured book of that portfolio.

Page 10 of 18 Mona Khetan: Recovery percentage.

S. L. Jain : Recovery percentage. So, the due versus collection.

Mona Khetan: Yes.

S. L. Jain : Okay. So it gives 90% of the amount we are recovering, this is what you are saying, from the restructured book.

Mona Khetan: Yes. Overall. Okay, sure. And just finally on this restructured, the current outstanding under COVID restructuring is about INR16,000 crores, and then there is also this MSME restructuring of another INR2,200 crores. So is there any overlap between the two restructurings?

S. L. Jain : Yeah. It will be madam, it will be, because it is continuing the assets which were under stress naturally. After that COVID has come, so some overlapping will be there.

Mona Khetan: So, is the entire INR2,000 crores sort of also coming in the COVID restructuring or half of it -

S. L. Jain : May not be entire. Some can be, but we do not have that kind of replicate number or otherwise I'll calculate and we'll provide you.

Mona Khetan: Yeah. If you could just share the total restructuring including the 2x of any overlaps.

S. L. Jain : Okay. Understood.

Mona Khetan: And just finally on the tax rate, so we have had fairly low tax rates over the last few quarters, and this quarter it was at 22%. So what sort of tax rate do you expect for the full year?

S. L. Jain : So, tax provisions we calculate based on the estimated profitability for the entire financial year, because tax is to be calculated on entire financial year. And the benefit which we are getting on account of carry-forward or on account of income tax reductions under Section 36(17) because rural, non-rural and all. Considering this we calculate tax liability for full year, and accordingly we provide. So since our profitability is increasing, naturally the incremental part you have to give 25% of the tax, because we are in the new tax regime. And therefore, on an average, which was 10% in the first quarter has come down to 16%.

Mona Khetan: Sorry. It has increased to 22%, right, the tax rate?

S. L. Jain : For quarter alone, but we are not paying tax, we are paying for tax for the year.

Mona Khetan: Okay. For H1?

S. L. Jain : So, H1. So you calculate on H1.

Mona Khetan: So, 16% is the rate one could assume for the full year?

S. L. Jain : Near to that.

Mona Khetan: Or it could be higher because of next two quarters' better profitability?

S. L. Jain : Based on the profitability estimates which we have done. So it should be near to that level. Exact amount, of course, will be calculated based on the expense.

Mona Khetan: Sure. And just one last point on the employee expenses, you had earlier said that you expect employee expenses of INR6,300 crores to INR6,500 crores for full year. Now with this additional provisioning that you're saying on expected wage revision, could this number be higher from a full-year perspective?

S. L. Jain : Yeah. It can be slightly higher, because we have to provide for four months. What

happens, we make a provision on employee benefit based on the FIMMDA rates. So what Page 11 of 18 happened based on the 15 years rates, rates have slightly come down on 15 years, and we discount this as a liability for actuarial valuation. So, therefore, there is still a slight increase in the salary -- this provision part, AS -15 part. Other part of overheads are slightly increased because of the DA increase and increase in salaries and all. So, going forward, earlier was INR6,700 crores or so number, so it can be near to that level or INR100 crores, INR200 crores plus or minus.

Mona Khetan: Okay. Sure. Thanks a lot.

S. L. Jain : Actual we'll be able to know based on the actuarial valuation, because major part is this.

Mona Khetan: Sure. Than k you.

Anand Dama: Yeah. Thanks, Mona. Next question we have from Manish. Please unmute yourself and stick maximum one to two question on

ly.

Manish: Yeah, hi. Thanks for the opportunity. Sir, I have just one question. If I look at your priority sector book , almost 97% of your NPA is contributed by priority sector loans, which is around -- which translates to 20% of GNPA, against public sector peers' number of 7% to 8%. So the two things here, do you think we need to revisit our priority sector strategies, n umber one? And what are the steps are you taking to bring this kind of number down to the industry level, maybe at 7% - 8%? That's it. Thank you.

S. L. Jain : So this -- I agree with you. Basically, the priority sector the NPAs are in KCC, agriculture, and the MSME and all. These are the major. So what we are doing, we have specific OTS schemes for MSME also and specific OTS scheme for agriculture. And therefore, I told, 58,000, 60,000 of OTS we have done in the last quarter and we will continue to focus on OTS and bring down this outstanding.

Manish: So, apart from Agri, even if I were to look at your MSME segment, there also the number looks pretty high, compared to what other public sector bank rep orts. So, if you can also touch about that, how do you want to bring that part down?

S. L. Jain : So, how can you do the reduction, only through OTS, because these are the small account, you can't go to NCLT or any other way. So, either the asset sell as a bundle or as a part of the OTS. In the OTS what happens, your haircut is less in comparison to other. So we have come out with a specific OTS scheme for education loan, for MSME, because there also NPAs are high, and the Agri loan. So, we will be continuin g to focus through OTS for recovery of these loans.

Manish: So, what you talked about is the collection part. What I was more interested in understanding is on the underwriting part, so are you doing any changes there?

S. L. Jain : I agree. Yeah, I agree. So you see, in Agri part we have grown 9%, but you see, 55% in Agri is a jewel loan, where we are growing 16%. So the NPAs are basically coming in other than these jewel loan. So, there we are not growing to that extent, we are grow ing more on that. So from the underwriting point of view, from the education loan also we have entirely changed our scheme. We are going to the premier institutions, competitive rates. So that also we are focusing on.

Third one, in Agri side we have specifically created 421 branches. We have posted jewel loan champions. We have purchased Karatmeters. So we have number of things in the gold loan side, not only to boost our portfolio but also to attain quality. Likewise, in SSG where the N PAs are less and the yield is better, we are focusing -- in addition to the southern part, we are focusing on to the Orissa, Rajasthan, UP. So from the underwriting point of view, where the NPAs are more, we are coming out from that, and focusing on the ar ea where margins are better and NPAs are less.

Manish: Thanks, and all the best.

Page 12 of 18 Anand Dama: Yeah. Okay. Thank you, Manish. Next question we have from Mayank. Please go ahead.

Mayank: Yeah, hi, sir. Thanks for the opportunity. You shared that there was int erest reversal on restructured book, which has been capitalized. Can you share quantum of that?

S. L. Jain : It should be around INR 100-odd crores some - some INR 100-plus crores. INR 115 crores.

Mayank: Okay. And is there any particular reason it was done in this quarter? Or whether that -- whether it can come in next quarter also, in coming quarters also?

S. L. Jain : No. This we have done, basically what happens, this was a peculiar time when the five months moratorium was given, and that amou nt was capitalized as a part of RBI. And what to do with this capitalized part, because then your instalments, everything is based on that capitalized part. So therefore, this amount was kept, and this has been -- since whatever has been not realized has be en reversed.

Mayank: Okay. So restructured book which sl

ipped into NPA, and whatever interest was accrued earlier, that has been reversed.

S. L. Jain : Yeah. Yeah. For the moratorium period, that five-six months period, from March to

August.

Mayank: And in future, whatever slippage comes further from the restructured book, some amount might continue in the future as well?

S. L. Jain : Naturally, naturally. Whatever is uncollected, will be. So point is that now this major part has been collected.

Mayank: Yeah. Got it. Second question is on Agri slippage. So sequentially it has been higher for us. Is it seasonal in nature? Because for other times Agri slippage typically come in Q1 or Q3?

S. L. Jain : Yeah. What happens, we have major exposure in erstwhile Allahabad Bank, again Allahabad was in UP and Bengal, right. So based on the harvesting period the timeline has been fixed as July. So it came in the month of July, and that is why it is higher. Based on the -- in the area where we are exposed more, based on that the slippage cost. Because the season or -- harvesting season depends on that particular crop and --

Mayank: So for us, like Agri slippage will be typically seasonally can be higher in Q2 and Q4, is that the way to look forward?

S. L. Jain : Yes, yes. Basically in July and January.

Mayank: Got it. And to previous participant question like we shared 12% to 13% growth. So that plus or minus 2%, that is on RAM or that is on entire portfolio?

S. L. Jain : That is on entire portfolio.

Mayank: Okay.

S. L. Jain: RAM, we are continuously growing 12%, 13%.

Mayank: Right, right. And in terms of like wage revision from December onwards, you might start making some provisions. So assuming like 10% kind of increase in the wages, so what kind of absolute provision we might have to make each quarter?

S. L. Jain : So that calculation we are yet to do. Because some part is the retirement benefit, some is known part. So that -- every calculation depends on the demands and what can be the sustainable demands.

Page 13 of 18 Mayank: Okay . Got it. Thanks. Thanks a lot. Thank you, sir.

Anand Dama: Yeah, thanks Mayank. Next question we have from Jai. Jai, please unmute yourself

Jai: Yeah. Hi, good afternoon, sir. Sir on PCR, so we have seen a sharp increase from 75% to 80% this quarter. Is this due to some ageing provisions or you have done some accelerated provisioning in this quarter? And how should one look at the PCR going forward? Do you intend to keep it at 80% or it can actually decline?

S. L. Jain : For the PCR 91% and for other than the PWA it is 75% to 80%, I agree with you. In some of the projects -- road projects and all we have made a provision because some of the road projects have gone into arbitration where the security maybe the issue from the auditor's point of view. In some of the account we have made 100% provisioning. So, this is based on the security dilution in the particular asset.

Jai: Right. And sir related question is, you mentioned in your opening remarks that you are fully compliant on RBI maybe directions on standard assets provisioning. But do you expect any more standard assets provisioning on some of these quasi-sovereign, sovereign, civil supply, Discom kind of an account which have been provided at accelerated basis at other banks?

S. L. Jain : It depends on which account you are in? What is the position of your account? Whether account is performing? And suppose in big accounts what happens, INR1,500 crores, these are with the various banks -- various banks where the account is SMA -0 or SMA -1, and it has not been -- no reservation plan is -- on those accounts, basically, the 7 June '19, circular triggers. Right? So that based on particular banks' position, where we are there or not there, we'll take the call.

Jai: Yeah. So, sir, you would be knowing, right, that these are five, six accounts. And is there any additional standard assets provisioning required for Indian Bank?

S. L.

Jain : My point is that you see from the Indian Bank perspective I can tell you. We are in 62% of retail books, RAM books. So, we are not having much exposures on bigger accounts that way we are a retail bank. So, any provision because whatever it comes, we're not having undue worry on account of that.

Jai: Understood. And last question, sir. If I look at your regulatory retail deposits, and that number as per last quarter is the lowest of all PSU banks by wide margin at around 45%. So, have you looked into that that why is your LCR compliant deposits are such low at 45% versus 60% -65% at other banks -- other PSU banks?

S. L. Jain : CFO, you can answer. Otherwise, we'll go over the details -- we'll provide you the details

Jai: Sure sir. Thank you so much, sir. And all the best.

Anand Dama: Yeah, next question we have from M.B. Mahesh. Mahesh, please unmute yourself.

MB Mahesh: Sir, I have just one question. In Slide 6, the foreign loans that you have in your portfolio, if you could just kind of give us a break-up of that particular loan book, sir. And the reason ?

S. L. Jain : You're talking about the international book?

MB Mahesh: Yes, sir.

S. L. Jain : Yeah. So international book is basically around INR26,000 crores. We are having branches in Singapore, GIFT City and Sri Lanka, these are three places. And the credit is basically the syndicated credit, which is ECB credit, the trade finance credit, and loan to banks or institutions. These are four major credit categories where these loans have been given.
Page 14 of 18 MB Mahesh: Out of this how much would be, let's say, credits given to institutions which are based out of India, sir?

S. L. Jain : That number we'll calculate and we'll provide you, but these are the major four categories.

MB Mahesh: But just to kind of extend this question, any reason why we have chosen to grow this book, given that it's anyway low -margin business to begin with? And if domestic demand is reasonably strong, why bother growing this book?

S. L. Jain : No, actually, there 's margins available on that particular book, that is the reason for growth of this book. So, suppose you are getting a good margin there, then you grow.

MB Mahesh: But the domestic margins usually are much stronger as compared to the international margins , even if you adjust for the cost at which you operate in those branches. Just trying to understand, why do this business in the first place?

S. L. Jain : No, what happens, some of our customer too our having business in India and overseas as well. So some of the business are through the client here booked in a domestic business and some of the business is booked in the international.

MB Mahesh: Okay. Perfect, sir.

S. L. Jain : And somewhere we are also giving the -- suppose we have given them SBLC limit, so that we can discount. So, we'll earn SBLC commission here, and we'll earn there also, put together it is a good margin.

MB Mahesh: Okay.

S. L. Jain : Okay. So, some margins we are getting on account of commission, some margin we are getting on account of income. So, that is a -- that all put together gives you a good margin to take a call.

MB Mahesh: Sir, just one clarification. What would be the duration that you're running on this book?

S. L. Jain : So, duration maybe less than one year for a major part of the book, because trade finance and institutions are less than one year.

MB Mahesh: Okay, sir. Thanks.

S. L. Jain : But indeed -- but syndicated credit were slightly three years. There they are slightly three years, syndicated and ECB.

MB Mahesh: Perfect, sir. Useful. Thanks a lot.

Anand Dama: Thank you, Mahesh. Next question we have from Mahrukh. Mahrukh, please go ahead.

Mahrukh: Yeah. Hello, sir. Hi. Thanks. Sir, I just had one question that one of your peer bank CEO said that for state -owned banks the CD ratio peaks at 74% -75%, so do you agree with that? As in the

that do you, I mean, would this be your peak ratio and beyond this it would be faster deposit growth?

S. L. Jain : Point is that CD ratios are at 74%, 75%. But you see SLR, 30%. So, ultimately your overall liquidity has to be seen. So if you will be able to grow deposit at a competitive pricing, then we can increase our CD ratio. But when you are having invested book at 30% and advanced 74% - 75%, then ultimately, how you manage the balance sheet or you will continue to have borrowings. So generally, we are stable type of bank. So, borrowings generally we take occasionally, or we take against the SLRs and all.

Page 15 of 18 Mahrukh: Okay. But would you like to increase your CD ratio from your own? Or how do you view your CD ratio from current levels? Or would you like to maintain it at this level? Or it's not a parameter you would track as such?

S. L. Jain : No, no, we are tracking 72% -74%, we can go even 1% -2% higher. Because what happens when you are expecting credit growth to be 12% and deposit growth to be 7%, naturally 1% or 2% it will increase, in that situation.

Mahrukh: Got it, sir. Thanks a lot. Thank you.

Anand Dama: Thank you, Mahrukh. The next question is from Suraj

Suraj: Yes, thanks sir. Couple of questions. So what would be the share of your wholesale deposit in the overall term deposit? The reason I am asking this question is because if I see your TD number, that is flat on QoQ basis, while CASA has grown. But again, your cost of deposit has increased higher than the peers. So, I just wanted to get a sense what would be the share of wholesale deposit in the overall term deposit .

S. L. Jain : So, the cost of deposit is around 4.0% per annum, 4.02%. So, there is not an increase -- major increase in the cost of deposit, 3.85% to 4.02%. Because the interest rates have increased. We have increased that deposit rates, I told you. From March level to this level are around 110 to 140 bps. So that impact will come, sir. And your question that major part of our deposit is in basically a stable level.

Suraj: Okay. But what would be the wholesales share in this -- in the term deposit?

S. L. Jain: Exactly I don't know, but it should not be more because , Maybe INR 70,000 crores. So maybe around 10% -11%. So, 70,000 crores, so you can 12% -13%, because INR 6 lakh crores of a deposit we are having.

Suraj: Okay. Understood, sir. The second question is, sir, on the restructured book. So out of this INR 16,000 crores, how much of the book has come out of moratorium and how much is still under moratorium, if you can mention that?

S. L. Jain : No. Major part of it has come down -- come out of moratorium.

Suraj: Okay. Sir then –

S. L. Jain : I told you the recovery percentage and everything.

Suraj: Understood, sir.

S. L. Jain : And already one year has passed

Suraj: Okay. Understood, sir. The question is then on the slide number 33, where you have given the disclosure on the restructured book. Here in the column it is mentioned there is some additional funding to this restructured book, so if you can just explain what is this additional funding that would be there?

S. L. Jain : What happens, we are having term loans, we are having cash credit account as well. So, what happens based on the availment on that particular day it is a part of additional availment on interest and somewhere interest also debited on the last day, servicing of interest. So , all these factors -- considering this position is on particular day.

Suraj: Okay, okay. Understood. Last two questions, sir. If you can disclose the ECLGS number, what will be the total outstanding ECLGS and how much NPAs you have on that book?

S. L. Jain: Okay. We -- in fact, we have INR11,000 crores of ECLGS we have given. Current outstanding is INR6,500 crores and the NPA number is around 300. So, 3% of the total ECLGS we have given is NPA in that.

Page 16 of 18 Suraj: Sorry sir, I missed the NPA number. If

you can repeat?

S. L. Jain : Around 300, exact about 300 something - 370 or some amount 363.

Suraj: Okay. Okay, sir. I understood. And the last question sir, you mentioned couple of interest reversal during the call. One is on the agri slippage, one on the restructured loans and all that, if you can mention the cumulative total interest reversal in 2Q, and the similar number for 1Q, that would be great. Yeah, that is all from my side.

S. L. Jain : So my CFO will tell. CFO, what is the total interest reversal in the second quarter?

Sunil Jain: There is a total reversal of INR 230 crores, sir , that KCC interest reversal . INR 115 crores, because of COVID moratorium.

S. L. Jain : What is the total reversal that is the point? Total is, to my mind, is 260 plus 115, plus others. So, around INR400 -odd crores should be around 260 plus 115, 375 plus, small. So it should be around INR400 crores.

Suraj: Okay. And a similar number 1Q would be, I mean, approx, ballpark number?

S. L. Jain : Similar number of the last quarter can be INR 100 crores and all, cannot be more than that. Last quarter it is INR 100-odd crores.

Suraj: Understood sir. Thank you so much.

Anand Dama: Thank you, Suraj. Our next question we have from Mr. Ashok Ajmera.

Ashok Ajmera: Yes, sir. Thanks for giving the opportunity again. Sir, in our non -SLR book INR 37,199 crores, there is INR 1,034 crores of security receipts, SRs. So I believe that SR is 100% provided for. Is it the gross figure, net figure, or net provided for?

S. L. Jain : As part of the SR guidelines from Reserve Bank of India, when you take an SR, and whatever provision you are having in your book is to be netted off, and remaining you have to do mark -to-market on -- in your treasury book. So, this INR 1,034 crores remaining amount is fully provided.

Ashok Ajmera: Fully? Because in the notes to the account we have mentioned that we have 100%

S. L. Jain : It is fully -- SR is fully provided, all these accounts, big, big account, all are fully provided here, pension is fully provided.

Ashok Ajmera: Okay. So it is a net -net

S. L. Jain : And bank is not amortizing the provision in fourth quarter and everything. Everything is taken care here.

Ashok Ajmera: And one item of this share of PSU, corporate and other. Share means it is equity shares? Because its share of PSU, corporate and others in the non -SLR, does it mean that equity shares?

S. L. Jain : Yeah, it is equity shares. Because in treasury we keep on purchasing.

Ashok Ajmera: Yeah, yeah. I mean only, little -- I mean it is -- share of, it gives different -- shares or equity shares or?

S. L. Jain : Our share can be in our three RRBs. So I can tell you three RRBs. And all three RRBs are having net NPA zero, sir? And a profit of INR359 crores in the six months. So, all my RRBs are basically NPA free, that way.

Ashok Ajmera: So, that share can be there.

Page 17 of 18 S. L. Jain : So, I can tell you, in the half year ended three RRBs put together have a profit of INR394 crores against INR283 crores of the last, and growth of 39% in profitability in all the three RRBs are doing good.

Ashok Ajmera: And what about both -- what about your two major subsidiaries, they are also doing well?

S. L. Jain : Yeah, Universal Sompo has given dividend to us as well, and doing good profit.

Ashok Ajmera: Okay, sir. So now, sir any guidance on your -- our credit cost is a little higher at 2.0%

S. L. Jain : Yeah, credit cost should come down to less than 2%, sir.

Ashok Ajmera: Less than 2% or less than 1.5%?

S. L. Jain : No, less than 2% if it improves, then 1.5% as well. It will be less than that.

Ashok Ajmera: Sir, our NBFC portfolio exposure is around 14% as I see. What are our views on lending through NBFCs, through onward lending as well as co-lending and a tie-up with the NBFCs for increasing our reach to the lower strata of the society, sir?

S. L.

Jain : So, our NBFC for -- 99% of our NBFC is A and above. So, that is one part. Second, we had done tie-up with number of NBFCs for co-lending and we are having co-lending exposures as well.

We have done co-lending for education loan, we have done co-lending for MSME loan, we have done co-lending even for the gold loan. Wherever we are not having access, our -- the NBFCs are doing gold loan and depositing gold with us at the end of the day. So the securities is with us. So, we have done number of co-lending tie-up with NBFCs

Ashok Ajmera: And I believe that is at 20-80 proportion co-lending?

S. L. Jain : Right. That's the target.

Ashok Ajmera: And what is the total approximate exposure there, co-lending?

S. L. Jain : Maybe around INR 1,000 crores plus, sir. Because MSME is also there, retail is also there. Exactly should be around INR 1,000 crores.

Ashok Ajmera: Going forward, sir, you see I'll start with my first question only, that overall in India the things are looking good. Most of the public sector banks for the first time in the last quarter and this quarter have done comparatively better than what was originally expected from them, in spite of all the pressures and the global turmoils, Ukraine-Russia war.

So, according to you, you are a very senior banker, forget about only business of your bank, your size. But otherwise, you've handled very, very big bank like Bank of Baroda also. So there -- what I mean, what is your opinion sir on going forward, especially for Indian public sector banks, where are we going from here? I mean, is there any -- still there are some hiccups, there can be some problem, there can be some chunky accounts coming in again, or there can be some pressure on the recoveries, SMA-2 number going up or slipping to NPA or here onward we will have a comparatively smooth sailing, sir?

S. L. Jain : So, on the public sector bank space, I could tell you that all banks are; first, adequately capitalized. Second, adequately covered also. The PCR of all public sector banks are ranging between 85% to 90% plus. So that way we're fully, fully covered. And whatever recovery will come, either will come as a part of PW recovery or major recovery. So, capital-wise they are fully covered and provision-wise they are fully recovered, this is the second part.

Page 18 of 18 And the third one, business size. You see all public sector banks are growing, are growing in double-digits, are having good franchise, getting good CASA. So their cost of deposit will continue to be lower. And when you are not having a provisioning buffer, naturally your spread will be higher, and cost of all banks are controlled. And they are doing lot of digitization, each bank is doing digitization. Government of India is also having the Ease Reforms where number of things are improving, best practices are coming, whether it is in HR, whether it is in the technology, whether it is in the MSME, all sectors -- all banks are improving their performance, productivity, and all.

So when their cost will be under control, provisioning risk is not there, and they also learn from the experience as well. You see the corporate book of any of these Public Sector Banks, hardly any stress or stress are very low, which is manageable. So, going forward, as a group they should perform better, sir.

Ashok Ajmera : Okay, sir. Thanks. Thank you very much. And even you are treasury is also doing comparatively better, in fact, in spite of all these pressures. Congratulations and compliments to all of you, and all the best for future, sir. You yourself are a Chartered Accountant and you are definitely handling this bank very well. And thank you, Anand, for giving me opportunity twice for such a long time. Thank you. Thank you, sir.

S. L. Jain : Thank you.

Anand Dama: Yeah. Sir, last question that I have is basically touching upon the same standard asset provisioning stuff. So what

is our exposure to FCI, that's Food Corporation of India?

S. L. Jain : No, this account -specific, Anand -ji, we don't discuss account specific issues, unless it becomes NPA, otherwise all are standard accounts.

Anand Dama: Sure sir. That's it from our side. Do you have any closing comments to make?

S. L. Jain : Thank yo u. Thank you all the investors, analysts for your insightful discussion. And your discussion will help us and will in fact guide us for taking a better decision. Thank you once again. And kindly continue to support us. Thank you.

Anand Dama: Yeah, thank you all. Thanks to the participants. That's it. We will close the call now.

S. L. Jain : Thank you.

Housing Loan has grown by 12%, Jewel Loan has grown by 23%, Auto Loan has grown by 27%, and Personal Loan has grown by 35%. Again, Agriculture growth is 15%. 53% of Agriculture is Crop loan which is growing at 17%, Investment credit is 54%, Agri allied 11% and SHG growth is 56%, and Infrastructure and ancillary has grown 40%. In MSME, we have grown by 6%, Micro 16%, Small negative 4% and Medium 14%. You must be seeing then from last four-five quarters, we are growing between 13% to 15% in the RAM segment and maintaining over 61%- 62% RAM share. Corporate has grown by 7%. But if you see the write-off of INR 5,000- INR 6,000 crores, it is around again 13%-14% of our gross. So we are actually growing 13%-14% in the corporate credit side.

Coming to the business and the profitability side. Our operating profit has grown by 24%. And operating profit has grown on the strength of our NII growth, which is 25%. In addition to NII growth, there is a growth in non-interest income as well. So, bad debt recovery has grown by 53%. Fee income has grown by 6%. If you see in nine months, it is around 18%. Processing fees has grown by 20%. Cross selling 81% and Forex is just double, 99%. PSLC on a QoQ it is coming down, but if you see in nine months, we have grown there, because what happened in the PSLC the pricing is better in the first quarter, is again the third quarter, so we have front-loaded that and in nine months our PSLC commission is better than this.

As far as NPAs are concerned, our gross NPA has come down from 7.30% to 6.53% and net NPA has come down from 1.50% to 1% and provision coverage ratios have improved to 93.59%. Capital adequacy slightly come down 15.74%, reason being that we are not adding the nine months profit, whereas the business is growing. If I add the nine months profit, it is 119 bps higher than this, so it is around 17% of a number. So, capital wise we are adequately capitalized. Net NPA has come down to 1%. Provision coverage has improved to 93.5% or close to 94%. SMA2 is at 0.77% against 0.5% last quarter. So, in terms of numbers, SMA1 is around INR1,100 crores. So there are two, three accounts where we have received the money subsequent to that. Otherwise the collection efficiencies is 95%. We are maintaining the collection efficiency, SMA 2 is slightly higher. One more reason is that, what happened the RBI has increased repo rates, that EMI is increased. But there are two options, one is to increase the EMI. Second is to increase the repayment period. We have gone for increase in EMI. And around in retail side around a 90% of the people we are either we have taken a revised standing instructions over the NACH mandate and that way we are again improving. As fa

r as slippages is

concerned, this is the second quarter again, the slippage is INR1,313 crores, whereas the recovery is INR2,600 crores, just double. Last quarter, our slippage was INR2,400 crores and recovery was INR3,255 crores. At the beginning of the year we said that we will recovery INR8,000 crores and our pro rata is INR2,000 crores per quarter. So is against INR6,000 crores or three quarter we are at INR6,500 crores, so close to 110% of our recovery, resulting in reduction of gross and net NPA. So, the slippage of INR1,192 crores. 40% of this slippage is from the restructuring book, that is around INR418 crore. What we have done this time, INR634 crore provision we have created in standard asset, for to Page 2of11make the restructured book 15% is against the minimum regulatory requirement of 10%, to strengthen our balance sheet.

As far as our margins are concerned, our margin has improved, and it is improving quarter-on-quarter, it has moved to 3.74% in December. Our ROA has also improved from 0.71%, to 0.80%. Our ROE has improved from 13.83% to 15.21%. Cost income ratio is coming down from 44% to 43%. So, you see in all our parameters, we are giving a better performance vis-a-vis the last quarter, as well as the last year. So, from business front, from the asset quality front, from the capital front, from the stress front, from the balance sheet strengthening side, in addition to that we have made a INR75 crore of provision for wage revision for two months. We have also made INR105 crores of a provision for PLI, performance linked incentives, which will due on getting incremental in operating profit, that the way we are moving in increase in operating profit, naturally you have to pay the PLI. So, we have made a provision of PLI on this December quarter. Earlier we have made the provision in the March quarter, so we have front-loaded that also. So, this is all about profitability, business, asset quality, capital, collection efficiency, provisioning.

And now, I am open for question and answers

Anand Dama: Thank you, sir. Before we take up the questions, I had put up a question about the deposit growth being far, far lower at about just 6% for us. And that is true for the industry as well. So, is basically that's more of a strategy that you want to consume the internal liquidity first and then raise the deposit rates and mobilize deposits or is it more to do with that every bank is struggling and so, we are also struggling on the deposit front?

Shri S.L. Jain: You see, the 6% is on the current year. You see the deposit growth of our Bank in the last year. Our deposit growth was 10%. All around all people were having 7%, 8%. So, we have in fact built the deposit in the last year itself. On the incremental part, it is a 6%. Of course, you rightly said that, banks are struggling for deposit, basically we too are mobilizing deposits and in the last nine months, we have opened around 27 lakhs, 28 lakhs new accounts and we have started off well around 45% of our accounts are being opened through tablets, so when you are opening account through tablet, actually are going to the institutions' office and you are getting a quality customers. We are focusing on educational institutions, we are focusing on colleges we are around more than 1600, such fee collection in colleges account. We are focusing on that. We are focusing on temples. We are

focusing on institutions. We are focusing on RERA. In various sector where the deposits are more, because the small deposit, you will not be able to achieve major number. We are too working on institutional account. We are too working on a SNA account or a CNA account. So all areas. Virtually we are opening the accounts. We too have created a deposit war room or office at a journal offices. In the morning evening we are having compares. But issue is very simple, we want to have a deposit at a lower rate of interest, which we are getting a 2.9% or 3%, whereas you know in the short-term market

the interest rates for the Bank deposit is around a 7.5% to 8% in between. So our endeavour is to get a better deposit and that way we will be able to contain our cost. But going forward, this is a challenge and we are fully geared up for that. We have created a team. We have created a government relationship vertical at various places. Because we are very strong in UP, so Lucknow. We are in Tamil Nadu, Chennai. We are in Bangalore, Calcutta, Chandigarh and then various places we too are creating to get a bulk of these accounts. We know sir, this is a challenge for future is entirely, entirely dependent on the deposit accretion part.

As far as the margin part. Okay. Let me answer your question first, right. So, second question you are talked about the margins. So, you know our MCLR loans is 56% and remaining 7%- 8% is fixed or otherwise repo link advances. So, what happens this with the increase in the repo, the repo has been repriced, right, but the deposits, of course, earlier we used to take one year deposit at 5.50%, now we are taking at a 6.50% or a special deposit at a 7%. So, with the repricing of the deposit, naturally the cost will increase. But the way our balance sheet is, 56% MCLR, you see here in the term deposit also Page 3 of 11 40% is a CASA, 60% is a term deposit where repricing will come. Here in MCLR also repricing will come. So, the issue is only that in MCLR we will be able to say increase by 1.2%, 1.3%. Here 1.4%, 1.5%, some gaps, but this can be managed with the repricing or with a increase business growth or a product mix. These are the three, four strategies we will have, to protect our margins.

Next question was of asset quality. I already clarified you that our asset quality is getting better and better and better. And that this one is a slowdown, macro slowdown, you asked about that. Our Bank is a Retail Bank, you see 62% continuously we are growing in the Retail side of Retail Gold Loan or Housing Loan, then huge demand for housing. Now the all the people are back to the offices and you see the housing, even the housing, houses are not available virtually, auto loans, so the growth is happening in all segment and we are growing slowly, slowly in that. In Corporate, we continue to remain choosy, because in the bond market, the spread has increased whereas as the credit market spread has not increased. So, there's no point of taking money at a bulk deposit and giving at a lower rate, where the margins are not adequate or not proper. So, we remain selective in this quarter as well. Bulk deposit of course, if we have a margin we will take. We will not have margin, naturally we would like to contain our costs and protect our margin and profitability.

Anand Dama: Yes, that's very good to hear, sir, that you are consuming internal liquidity and also focusing on margins, rather than just the growth.

Shri S.L. Jain: And our LCR is 100, 130, 140 bps.

Anand Dama: Amazing sir, amazing. We'll take first question from Mr. Ajmera, but would request you to restrict maximum two to three questions, thereafter you can always join the queue. Over to you, sir.

Ashok Ajmera: Hello. Am I audible?

Anand Dama: Yes, Mr. Ajmera, please go ahead.

Shri S.L. Jain: Ajmera Ji, yes.

Ashok Ajmera: Sir, good evening. And again complement for you, sir, for very good set of number and all-round growth, as you narrated in your address also just now and the figure also speaks. So, there is nothing much as far as the overall growth is concerned and you already answered about the corporate credit growth and the Retail. I have got a few information point and some specific information. One is, sir, about the NARCL and now that the process has started and four account with INR485 crore was reported by you last time and nine account were expected for INR3,346 crore. So, where do we stand on the NARCL front and what is the status going to be in this quarter, January, March quarter, sir?

Shri S.L. Jain: Okay. I'm telling you, sir there actually o

ut of 43 account identified by the NARCL, 20

account pertains to us and the aggregate book balance for this is around INR5,200 crore. Out of this 20 account, eight account were having balance of INR3,300 crores, we have received the offer, right. Out of these eight account, four account actually amount is more or less crystallized, four is under the Swiss Challenge and all these, right. So, we are expected that this four accounts we should get money in the current quarter or in the beginning of the next quarter. Remaining nine account where the offer is likely to receive, because the due diligence and everything has happened. So, that nine account is around INR900 crores. And three accounts were under still the due diligence is in progress, that is INR1,000 crore account. So, the sum and substance I can tell you that the first eight account out of this four account is more or less finalized, where we should be able to get money and four account where the Swiss Challenge and everything will happen, may take time.

Page 4 of 11 Ashok Ajmera: But sir, this is the figure which is coming out now and especially in that some cases of

Swiss Challenge, do you think that we are going to get more than what we were expecting basically, originally?

Shri S.L. Jain: In some of the account that what happens, in some of the accounts even the bids are received even above that NARCL, right.

Ashok Ajmera: Yes

Shri S.L. Jain: So, that is a process, sir. That is a process of bidding. So, if we are getting a good price, naturally we'll go with that price. And you see, we as far as our Banks' bottom line is concerned, we are fully provided. But fact remains we are interested in much higher and higher amount. And that always security, present value of the securities, what is the liquidation values, there are number of considerations prior to deciding that.

Ashok Ajmera: Oh, that's point well taken, sir. Sir, there was an ECLGS account, what is the NPA number this quarter as against INR363 crore you reported last time. Is it increased or it is under control?

Shri S.L. Jain: No, no. I am telling you we have given ECLGS close to INR11,000 crores, right. And the current balance is around INR7,700 crores, so around a 70% amount, we are having around INR439 crore of ECLGS NPA, INR430 crore or so, but this is INR430 crores is of course we will fully realize, but we have made provision.

Ashok Ajmera: Sir, this personal loan growth you are seeing 35% and SHG 56%. In personal loan, what is it the same corporate which are having accounts with our their staff loans or what kind of how this growth is coming and from where is it coming, 35%, 40% growth in personal loan portfolio?

Shri S.L. Jain: Yes. Let me tell you. What happens, sir, you might have heard that have come out with a digital lending products, right. So, we have done, first, we have started pre-approved personal loan towards salaried class, right. So that is around a four, five, six months. Then we have increased it professional and self-employed. Then we have increased this to our Housing Loan customers. Then we have increased our Auto Loan customer. And I'm telling you, the delinquency virtually nil, nil NPA, virtually this is five or six, because we based on our based on the CIBIL score, based on our internal benchmarks, we are giving this pre-approved personal loans and the product and with a three clicks you can get this money credited in your account. So, here what happens, your margins are also there, delinquency is not there, and we know the customers, so we these are all ETB customers. Now, based on the experience, we'll move to the NTB customer as well.

Ashok Ajmera: So, what about the credit cost, sir? Credit cost?

Shri S.L. Jain: No, I'm telling you, hardly any NPAs, hardly. Two, three accounts only. Okay. So, our credit cost, credit cost was 2% in our first quarter and in the second quarter. Now, it is 1.41% in the third quarter, average is 1.80%. Now you see my net NPA has come down to 1%. S

o, my credit cost is

substantially come down in the next quarter.

Ashok Ajmera: Yes, because that is what is actually where we were a little lacking actually, because the credit cost, but now it is coming down, so it can give you a good picture because your NPA is also under control.

Shri S.L. Jain: Yes. And actually what is the risk? Risk is from two side, no sir. One is a SMA, second one is the restructuring book. Restructuring, we have made 15% provision and this time INR634 crore of provision we have made in the quarter. And in restructured book, our collection efficiency is 90%

Ashok Ajmera: Can you give some color on the treasury operations, sir? Now that things are stabilized.

Page 5of11Shri S.L. Jain: What we have done in treasury, sir, actually two, three things we have done. One is that you see, some of the money which was in the treasurable also we have shifted around INR3,000 crore to Centre or State Government Securities or a bond, right.

Ashok Ajmera: Yes, sir.

Shri S.L. Jain: So, that way, and the same time we are having treasury profit as well in the current quarter and the modified duration of AFS and HFT is 2.2% and that PV01 is around 8%. And yield on investment is improving and what we are doing, sir. This is from September quarter. What we are doing, sir, that 10-year benchmark, if it is 7.35% plus then what we are buying or if it is less than that we are selling. This is how we are making some money in that. Trading profit of INR130 odd crores we got in last quarter, besides improvement in yield by 13 bps.

Ashok Ajmera: That's great, sir. So, sir, on the whole I mean everything looks very fine. I'll come back in the next round, if the time permits. Thank you. Thanks a lot.

Anand Dama: Next question is from Mahrukh Adajania, Yes, Mahrukh you may unmute yourself and go ahead.

Mahrukh Adajania: Yes, hi. Hello, sir. Heartiest congratulations. Sir, my first question, Anand already touched upon it, but I would just like to again have your views on this. Sir, margins, domestic margins expanded 54 bps sequentially and your EBLR is not much higher than other banks. It is similar to other banks, it is a good proportion, but it is not necessarily higher. So, what really drove the margin expansion in domestic NIMs if our EBLR proportion is quite similar to other banks? And that's my first question. And then what is the outlook in fourth quarter? Do they come off from here and how do they behave in FY24?

Shri S.L. Jain: Madam, there are two issues here. Of course in a quarter-on-quarter, it is expansion of 54 bps, but you see when in the last quarter what happened, there was an interest reversal of INR400

odd crores, resulting reduction in the margin. So, that as against our interest reversal of around INR450 crores in the last quarter, this quarter is on INR140 crores. That is a one factor of this and second one is that we have increased our MCLR also and so therefore the margin has expanded and in addition to that business has also grown, mix, business mix and all.

Mahrukh Adajania: Got it.

Shri S.L. Jain: Then outlook is that, madam, what is our last, last year margin is 2.91%, right. We have told that we will protect 3%. Then 3.1%, 3.2%, 3.74% and we think that the next quarter also, because the repo which was increased in 8th December is passed now only for 23 days now and another three months benefit we will get and that MCLR too we have increased and the 56%. So, this benefit we should get in the next quarter as well, partially.

Mahrukh Adajania: Got it. So, next quarter we are good on margins and then in FY 24, how do margins hold?

Shri S.L. Jain: Actually, point is that, how the margin will be improving, that two to three points, there are function of two, three things. One is your product mix, what kind of product mix you are having, first, right. What happens, madam, madam there are Retail credit, there is a Wholesale credit, right. So, if you do more Wholesale credit, naturally your margin will be less, be

cause you all will be in AAA,

AA, where the interest rates are lower than this. So, this one. Now slowly this corporate credit interest rate is also improving. So, if we would have given three months or six months earlier and for a one year that we could have continued the same interest rate. So, now we remain selective and we have not grown too big on this. So naturally, with the product mix also our interest rate increases. And you see, one more thing, when your CASA is 40%, 60% in term liability and 56% is MCLR, both the things are matching. And with the increasing interest rate, with the increasing product volume, we of course Page 6 of 11 there will not be that 3.7%, 4% margin, but we should be able to protect our margin slightly better than historically.

Mahrukh Adajania: Got it, sir. Sir, and what -- where do you see deposit and loan growth in FY 24?

Anyway sir, your domestic CD ratio is 73%. So, you would still have some room there, right?

Shri S.L. Jain: So, domestic credit growth depends on number of factors. One factor is, let us wait for the budget, what kind of infrastructure push government is going, giving to the infrastructure sector, right. What kind of public sectors are making investments in -- in other investment, road, and other sectors as well. But for us, I am telling you for us, we will continue to grow 13%, 14%, because we are a Retail Bank. We are not a Bank which is having a 55% or 60% Corporate and entirely dependent on Corporate. We are 62% Retail. So and a stable Bank and a stable Bank, so we'll continue to grow.

Mahrukh Adajania: Okay, sir. Sir, and what is this PLI provision you talked about, what is that, why you need that?

Shri S.L. Jain: Madam, what happens is, for the existing agreement with the union and associations, when you are having growth in operating profit of 15%, you are required to give 15 days PLI, extra salary. If your profit is operating profit growth is 10% to 15%, you have to give 10 days PLI. If your operating growth is more than 5% to 10%, you are required to give 5 days PLI. And that this PLI you have to pay on declaration of 31st March result.

Mahrukh Adajania: Got it. Sir, so operating of 15% and above is how much PLI you said? Sorry, sir

Shri S.L. Jain: If our operating, will grow 15% or more than 15%, we are required to give 15 days PLI (Profit linked incentive).

Mahrukh Adajania: That for the full year, right?

Shri S.L. Jain: Profit linked incentive to our employees. It is profit linked incentives to our employees. This is applicable for all bank, not to me alone. All PSBs.

Mahrukh Adajania: Yes. Got it. And sir, your wage provision is for two months this quarter, right?

Shri S.L. Jain: Right. Because, the settlement is due from 1st November.

Mahrukh Adajania: Yes. Okay, sir. Thank you so much.

Shri S.L. Jain: Thank you, madam. Thank you.

Anand Dama: Yes. Thank you, Mahrukh. Next question we have from Mona. Mona please unmute yourself.

Mona Khetan: Hello. Hi, sir. Good evening, and thanks for the opportunity. So, firstly, on the MCLR book of 56%, how much is linked to one years and six month MCLR, if you could share that data?

Shri S.L. Jain: Major part should be with one year MCLR, madam, major part of that. Off late, what we started doing that we started linking with the three months, because we are in an increasing interest scenario, right. So, as on date suppose out of 56%, 40% is on a one year MCLR. So, this will come for repricing. But what happens in last six months, we moved ourselves from one month to the three month or a six month or a one month, because increasing interest, there is no point of giving one month MCLR, but the earlier one will come for repricing and we'll take a call.

Mona Khetan: Got it. Sure. And on the Personal Loan book, PL book, what are the yields you have?

Shri S.L. Jain: We are having around 10.5% to 11% of a yield.

Mona Khetan: Okay. And I missed the wage revision number, how much we have provided this quarter?

Page 7 of 11 Shri S.L. Jain:

Around INR75 crores, INR74.90 crores, INR75 crore, madam.

Mona Khetan: Okay. Okay. And just finally, yes, so the balance sheet data is not available this quarter in the PPT. So, if you could share the borrowing, investment and cash quantum at the end of quarter?

Shri S.L. Jain: That, madam, that our CFO will tell madam, because we are required to submit on a half yearly basis, that is why may not be available here. That is as per the regulatory guidelines. But number we'll give, no problem. Separately we'll share, madam. You can share with, madam.

Mona Khetan: Sure. And on the Agri book, what is the share of Gold Loans within that?

Shri S.L. Jain: In Agri is a 53%, madam. And 53% and that part is growing 17% and we actually what we have done, we have identified 650 branches for Gold, where wherever we have placed the gold loan champions and now with the digital gold loan renewal, right, the Karatmeter for doubly checking the quality of gold. So, we are focusing on that.

Mona Khetan: Sure. And just finally on the restructured book, if I see you've given a INR15,000 crore total restructured outstanding. This is inclusive of the MSME restructuring of INR2800 crore in the notes to accounts or exclusive of that?

Shri S.L. Jain: No, these are basically RP1 and RP2 restructuring and major part is already a part of that also, these are overlapping there. What I told, madam, this number was INR16,000 crores, right. So, as on date, it is INR15,200 crores, right, and INR400 crore has been slipped. So, it means 96% of our book is very good, because only INR300 crore, INR400 crore is virtually slipped. But as a proactive measure, we have made the additional provision of INR600 crore in the quarter.

Mona Khetan: Right sir, I get that. I'm just trying to understand what would be the total outstanding book, ex of any overlaps between MSME and the COVID provisioning 1 and 2? Would it be closer to INR17,000 crore or would it be around INR15,000 crore?

Shri S.L. Jain: Actually this INR15,200 crore, that is a INR2,800 crore. So, if you take a 50% maybe INR1000 crore more or INR1,500 crore more, not beyond that.

Mona Khetan: Okay. Okay. Sure, sir.

Anand Dama: Mona, sorry. We have to take other questions. Yes, next question we have from Dixit Doshi.

Dixit Doshi: Yes, thanks for the opportunity. Just three questions. Firstly, you mentioned that we will be growing at 13%, 14% on the advances side, can you just give us some target on the deposit side, how do you see the growth? My second question is on the credit cost side. So, as you have mentioned that SMA 1 and 2 is quite low and now our net NPA is just INR4,000 crore. So how do you see provisions in the next year, not in the Q4, but FY24? And my last question is on the tax rate. So, from FY '24 we will come into the normal tax rate or still we will not come?

Shri S.L. Jain: No, you're one point is that your credit cost, right, INR4,000 crores, so naturally going forward our credit cost will be substantially lower than what is at present, right. At present it is 1.8%, right. This is one this is a sure, this is sure virtually, because you can't have a credit cost because more than your net NPA and net NPA itself is 1%. So, this is sure, sir. Now, second point you talked about is the credit growth vis-a-vis deposit growth, right. So, we will be taking the deposit based on the credit growth and our focus will always be on maintaining 40%, 41% CASA. So, deposit growth will be based on the need only, otherwise, there is no point of taking money at a bulk rate 7%, 8% and not having proper margin, because we have to add the CRR cost there on. So, we will take the deposit based on the credit need. Now, third point you talked about the tax rate, so next year will be done on a normal tax rate. But the benefit which was available partially in the current year will be over in the current year.

Page 8 of 11
Dixit Doshi: Okay. Thank you

Anand Dama: Thank you Dixit. The next question we are having from Satya. Satya

please unmute yourself.

Satya: Thank You. Mr. Jain you have just answered my question I had for you. So thank you.

Anand Dama: Thank you. Next question we have from Jai Mundhra. Jai please unmute yourself.

Jai Mundhra: Yes. Hi, sir, good evening. I have couple of questions. First is, sir, your note number 17, June 7 circular, right, which still have some INR14,000 crores of NPA and where we have, if I read it correct, the PCR seems to be less than 10%, at around INR1360 crores. So what does this mean, sir? Does this mean that as and when, I mean you may have to require more provisioning on this pool of assets going forward?

Shri S.L. Jain: No, no. Note number 17 is very clear, sir. Amount of loan to be classified as NPA, INR14,731 crores. Amount of loan classified as NPA is INR14,731 crore, nothing 100% over has been classified as NPA.

Jai Mundhra: No, they are classified as NPA, but it's the other column says that the provisions, additional provision required is INR1360 crore which you have already done. But I mean the total provisions for these, this pool of assets would be substantially higher, right?

Shri S.L. Jain: No, no. You see, there are two things. That is a 7th June circular, this talks about that if you are not transferred, you have not found a resolution plan within six months, then you have to refer it to the NCLT and if you have not referred it to the NCLT, you are required to make a higher provision of 20% or a 30%, right. This is the circular, sir. Now, where I stand, my provision coverage is 94%. My provision other than the PWA is 85%, and this is a provision over and above which we are fully provided. So, no issue here.

Jai Mundhra: Sure, sir. And secondly, on your slippages, sir. I mean this quarter slippages have declined substantially. I think Agri slippages have come down because your cycle is slightly different from other banks, but how should we look at the slippages in a normalized situation, let's say ex of Agri or maybe in near-terms on FY24? So, your initial guidance was slightly higher, we have done better than that. So, how should we look at slippages going forward?

Shri S.L. Jain: We are always conservative in giving guidance, that is a problem and we always do better than what we say, right. So, now point is that a slippage part, the slippage is governed by two, three things, sir. What is your collection efficiency? So, collection efficiency is 94%- 95% continuing. Second, what is your SMA 1 and SMA 2. SMA 1 and 2 is slightly higher, because of the reason I told you, because of that EMI part, because of the revision in EMI which we are following up and therefore we are not seeing much worry here at all, much worry here for that further slippages, higher slippage rate, slippage will always be there, but not higher slippage.

Jai Mundhra: So, is this the new normal?

Shri S.L. Jain: And you see the Corporate and measure is in Corporate, in Agri side 53% is gold and again that 13% SHGs were already 1% or 2% and we are not beyond that and all over you see the slippages which came is first INR1000 crore from the restructuring book, then INR469 crore, INR419 crore major part is coming from the restructuring program, which too is coming down. So, we are not seeing worry here, sir.

Jai Mundhra: No, no, of course, sir, nothing to worry. But I was trying to understand what would be the normalized slippages. If I look at last three quarters, slippages are like INR3,000 crores, INR2,500 crores and now INR1300 crores, right, so I mean what should be the business as usual or normalized slippages considering we have been Retail, considering the business.

Page 9 of 11 Shri S.L. Jain: Last quarter slippage mainly because of Agri book, right. INR1,000 crores is from my Agri book.

Jai Mundhra: Right. Okay. Okay. And then, sir, the two questions on, first one on MCLR, right. So, it is right that you can keep rising MCLR as for the cost of deposit, but what I wanted to understand is, how much of the MCLR hike actually

gets transmitted, right, because this MCLR would be applicable to Corporate borrowers. And they would have other avenues or they can negotiate as well, right. The transmission may not be as 100% as under the EBLR, so in your sense, let's say in last 12 months you would have hiked MCLR by 125 bps, 130 bps, what would be the actual MCLR pass on? Some of the customer may negotiate, may renegotiate or something else spread can change. So, out of 100bps MCLR that you announce higher, how much actually gets transmitted?

Shri S.L. Jain: Your question is correct, sir. My point is that suppose my cost has increased, I have to pass on. So, if you are not ready to give me an increase cost, then we say, we allow them to go. Then we will grow in an area where we are having margins, right. So, you see that is why Corporate growth is 7%, whereas the other growth is 15%. So this is again I have to take care of my margins, my profitability.

Jai Mundhra: No. So, I'm not asking for future, I'm asking in the last 12 months, how much, let's say, 100 bps, 130 bps MCLR that you have announced.

Shri S.L. Jain: You see, sir, our growth, credit growth is increasing, growth is happening, right. And if I add the write-off part around which around 4% or 5%, it is of 12% or 13%. So point is that when you are able to grow 12% or 13%, then you are successful in passing on the increased cost. And you are maintaining your margins as well, not to 100%, maybe 60%, 70%, 80%, it depends, sir. Then we will find some other opportunities. And you see, but you see my book, AA, AAA, it is continuously increasing.

Jai Mundhra: Right. Okay. Understood. And lastly, sir, on your co-lending arrangement with Rupeek, right, so if you can elaborate a bit, is this state specific or it is like multiple states where you have this arrangement? And how does Rupeek differentiates between you and some of the other private banks where they have the similar arrangement?

Shri S.L. Jain: My issue is very simple, sir. Somebody is coming for a gold loan, I will be with him for a co-lending, provided he deposit gold at the end of the day to me. So my risk is eased. What is the benefit to the customer is that, he is not required to keep the gold, first point. And then he can have a higher margin. But point is that because we are not having the reach at all places, which the NBFCs is having, NBFCs are always having the benefit of a reach, they can go to any interior part where I'm not having the branch. But for me, it makes a sense because I'm getting some margin and my risk is hedged.

Jai Mundhra: No. But this is a Pan India tie-up, right, it is not a state specific tie-up?

Shri S.L. Jain: Yes, it's Pan India tie-up, but initially we started with few branches and going forward with having experience with them, we will increase number of branches, there is no restriction in going in any geography.

Jai Mundhra: No, what I was trying to understand is, how would Rupeek. I mean do you have a separate firm guidelines that this kind of a loans should come to Indian Bank and this kind of a loan may go to some private banks, which also have the similar arrangement with Rupeek?

Shri S.L. Jain: We have told them what kind of a loan we will have. We have our own agreement with them. And what will be the SOP. What they are doing with others, that's their call only. That is bank

specific, bank has agreement with them. But for me, specified branches gold to be deposited with me in the evening, then only we'll reverse the money, simple. For me it is very simple.

Page 10of11Jai Mundhra: Right. And last question, sir. If you can provide what is the outstanding provisions that we have on the restructured loans, that will be helpful. I think the number we have given some INR15,000 crores, but what is the outstanding.

Shri S.L. Jain: 15% is INR2,225 crores. That is where 15% of INR15,000 crores plus we are aiming for other restructuring. Yes. Totally INR2582 crores including the other. INR2582 crores, around INR

2,600

crores of provision here.

Jai Mundhra: Okay. Yes. Thank you, sir. I'll come back. Thank you

Anand Dama: Yes. Thank you, Jai. We have next question from Mr. Ajmera. It's a follow-up question

Ashok Ajmera: Sir, yes, thanks for giving this opportunity again. Sir, I have got just a small one or two data point and some guidelines. We are, sir, on CASA front, we are around 40%, 40.4% or 39.5%, 40%, 40.4%, the Bank has any strategy to increase the CASA deposits and making some bigger targets and then preparing a roadmap for that, that we may go to 42.5% or 45% or is there any thought around that? The increasing the overall CASA of the Bank?

Shri S.L. Jain: Yes. That our CASA of 40.40% is in total book. Domestic side, we are having a CASA of 41.18%, right. Our endeavour is always to cross 42.5% immediately, but point is that what happens in the interest rate increases, people move the deposit from saving deposit to term deposit because the interest differential have increased, right. So, this is one challenge, but our endeavour will always be to get a quality saving bank account, now we are giving insurance also on our mobile. Shortly, we will be giving wealth management also in our mobile. We will be having more mobile banking registrations. So, we will try to engage people more on our apps, as a result, they will be having a more balances, right. But our endeavour will always be to improve from this level.

Ashok Ajmera: And my second question was connected with this only, that the income from third-party products and insurance business, mutual fund distribution business, do we have a separate vertical for that to monitor and to grow it with various other channels, which comes in a non-interest?

Shri S.L. Jain: We are having separate teams and separate tie-up, we are having insurance tie-up, number of mutual funds tie-up, insurance for life or non-life, all this tie-up, I mean there are time-to-time we are reviewing them also, we are calling them also. And our income on account of that is increasing. Ashwani, you can add.

Shri Ashwani Kumar: Yes. Ajmera ji, our income during the nine months period from the cross selling is around INR88 crore as against INR51 crore last year. So, we have a team here which are looking after this third-party products exclusively. And similarly at the field level, there also. So our mutual fund platform is available, all our customers on board through our mutual platform. And on that platform, all mutual funds are available. Broking account we are also offering to the customers, AIF we are also offering to the customers. So with all that booking, all insurance general insurance, life insurance, health insurance that have been made live on our app as well. So, mutual fund is available through our app, insurance products are available through app. And our other third-party product, everything is available through app. So, dedicated vertical here in the field, everything is helping us to increase our, so 86% Y-o-Y, 73% increase is there in this nine months period.

Shri S.L. Jain: But there are huge scope to do it. Though we have grown by 73%, where there huge scope and we are focusing on that and we want to have a digital journey to the customer, then customer will have a better experience.

Ashok Ajmera: No, sir. What was my point was -- yes, compliments for the such an increase, but the target-based processes yields better results. So because you are a big Bank now.

Shri S.L. Jain: No, no. We are given 100% target, Ajmera ji, your target is 100%, we could achieve 73%. Now, we want to increase this further.

Page 11of11Shri Ashwani Kumar: Scope is huge.

Shri S.L. Jain: Slowly, slowly we are building.

Shri Ashwani Kumar: Culture, we are bringing that culture here, right.

Ashok Ajmera: Yes

Anand Dama: Yes. Thank you. We'll take last question from Mahrukh.

Mahrukh Adajania: Yes, hi, sir. Sir, could you quantify the PLI provisions already made?

Shri S.L. Jain: INR105 crore, madam.

Mahrukh Adajania: INR10

5 crore. Okay. And it was made in this quarter only?

Shri S.L. Jain: Yes, yes, madam

Mahrukh Adajania: Okay, sir. Thank you.

Anand Dama: Sir, one question related to that, which has come in the chat box is that whether we will have to make a similar kind of provisions even in the fourth quarter if the performance remains strong or basically it comes with a lag.

Shri S.L. Jain: No, no. Point is that, we have made 75% of the provision. Now only 25% is to be made

Anand Dama: On PLI?

Shri S.L. Jain: Yes. Three quarter already we have made the provision, only 25% of that. We have made

on pro-rata basis.

Shri Ashwani Kumar: For three quarters we have made provision Anand, ji, for three quarters we have made provision in this quarter.

Shri S.L. Jain: Last to last, INR35 crore we are required to make.

Anand Dama: In the fourth quarter. Okay. Okay. Sure, sir. That's helpful. I think, sir, you had some time constraints, so we'll just take that as the last question. And if you have any concluding remarks to make?

Shri S.L. Jain: Thank you. Thank you very much all our analysts, investors for continuous support to the Bank and thank you for active interest in the Bank.

Anand Dama: Thank you very much. Thank you, sir.

Shri S.L. Jain: And kindly keep supporting us.

Anand Dama: Okay, that's it from me. Thanks a lot. Have a nice evening.

Shri S.L. Jain: Thank you, Anand. Thank you.

INVESTOR SERVICES CELL

Transcript

Management: Shri S . L. Jain
MD & CEO

Shri Imran Amin Siddiqui
Executive Director

Shri Ashwani Kumar
Executive Director

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Moderator : Shri Anand Dama
Analyst, Emkay Global Financial Services

1 Anand Dama (Host - Emkay Global): Welcome everyone to Indian Bank Fourth Quarter Results Con -Call. We have with us the Indian Bank top management, including Mr. S.L.Jain , who is the MD and CEO. We also have the Executive Directors including Mr. Imran Siddiqui; Mr. Ashwani Kumar; Mr. Mahesh Kumar Bajaj; and Mr. Ashutosh Choudhury. First, sir, I would request you to briefly touch upon the fourth quarter results, the outlook for FY24, particularly in terms of both margins, asset quality. Over to you, sir.

Shri S. L. Jain , Managing Director and Chief Executive Officer: Good evening, and welcome to the post -results conference call. So, as far as our business is concerned, it has grown by 8% in the FY23 and the deposit has grown by 5% and advances by 14%. On the deposit side, our saving deposit has grown by 7%. In the credit side, 14%. Again, RAM has grown by 12%. Corporate has grown by 12%. In the RAM sector, retail has grown by 13%, housing loan by 11%, auto loan by 28%, personal loan by 26%. So you must be seeing that continuously we are growing between 12% -15%. In the agri side we have grown by 16%. In the agri side, crop loan 13%, but 70% of the crop loan is the jewel loan, which is growing 22%. So virtually other than the jewel this loan is more or less same. Investment credit has grown by 30%, agri allied by 13%, and SHG is growing by 44%. So agri has grown by 16%. MSME has grown by 7%, but the MSME you see, ECLGS loan we have given around Rs. 11,800 Crore , so present outstanding is around Rs. 7,000 Crore. So Rs. 4,000 Crore has come. So if you factor in, here again we are growing around 11% or so. In standard corporates, of course, we are seeing 12%, but since we are writing it off also, the standard corporate is growing 17% and the mid -corporate is growing by 19%. So you see all components of our credits are growing. In the deposit side, we are growing by savings 7% and deposits by 5%. This is the business. Now the profitability side, so you see YoY basis and a QoQ as well. The operating profit has grown by 20% on a YoY basis and the net profit by 34% and in the quarter, operating profit and net profit both have grown by 47%.

So the growth of the operating profit is based on our NII growth, the 47% on a quarter -to-quarter. This 29% is NII growth, that is the main reason. Bad debt recovery is 37%. Fee income has grown by 12%. The fee and fee processing has grown by 20%, cross selling 41%. If you see the year -on-year again, so NII has grown by 21%, bad debt recovery by 35%, fee by 16% and our fee processing has grown by 21%. Again, cross selling 58%, Forex 46%. So you see in all segments of our NFLI income is growing or business is growing.

As far as our margins are concerned, the margin was 2.91% for the last financial year. In the current financial year, it is 3.41%. If quarter -on-quarter you see, it has come down from 3.74% to 3.59%. This is the NIM side. ROA for the year is at 0.77%, but you see for the quarter it is 0.82%. Likewise the ROE for the year is at 14.73%. But for in the quarter it is at 15.48%. Cost to Income Ratio which was 46% in the last year is 44% and the Cost of Deposit has increased from 3.97% of last year to 4.09%, but the yield on advances from 7.21% to 7.76%. So here you see that our yield on advance has grown higher than the cost of deposit, but in the last quarter, of course, the cost of deposit has grown slightly higher. And one reason is that the interest reversal is also one factor. The GNPA has come down from 6.53% of the last quarter to 5.95% and net NPA from 1% to 0.9% and the PCR at 93.59% to 93.82%. So Gross NPA has come down both YoY and as also sequentially net NPA has also come down. PCR also improved. So the capital adequacy ratio 16.49%, but you see the CET capital is increasing in spite of increase in credit by around Rs. 56,000 to Rs. 57,000 crores so which we are telling

that our generation

will be adequate to take care of our growth, which has been proved by these numbers

Now you are talking about the margins for the next financial year and the credit growth or the deposit growth. So credit growth, we are and of course, we have grown by 14%, we have 2 given a guidance of 12% plus, minus 2%, so as again at this, we have ended with a 14%. So we are always conservative in giving the guidance. So, here again, our credit growth is 10% to 12% for the next financial year, and the deposit is again 8% to 10%. So you see, the deposit is 5%, our savings 7%. So we have done number of changes in the deposit side. Not only we are onboarding the customer through tablet banking, organizational structure wise also we have made huge changes here in the Zonal office level, at FGM O level also because deposit is a challenge, but as far as over-liquidity is concerned, we are at a 158% LCR. We are having a Rs. 35,000, Rs. 36,000 excess SLR. So that liquidity-wise we are comfortable.

So I read you the business number, the net NPA number, of course going forward the net NPA and the gross NPA should also come down. And you see our ROE is already we are at 15.4%, so it should be better than -- we expect that '23 - '24 will be better than again this '22 - '23. So I along with all my four EDs are here. For two or three minutes I want to talk about the digital by my colleague Mr. Bajaj will tell you where we are in digital.

Shri Mahesh Kumar Bajaj, Executive Director: Thank you, sir. Can I show the PPT, sir?

Shri S.L.Jain : No, no, you speak.

Mahesh Kumar Bajaj, ED: Good evening, everyone. As far as the digital is concerned, during the last financial year, Bank has taken various initiatives on the existing core banking and new technologies, the existing platform announcement on the cyber security. Our UPI transaction now per day is 1.25 crore and mobile banking is 22 crore. Apart from that, the digital channels, our Q1 March '22 was 77%. Now the digital transaction 85% and branch transaction has gone down to 15%. Same way the mobile transaction also grown by 68% and the also UPI we have grown by more than 100%.

Last year, we on-boarded DLP, digital lending platform as well as the omnichannel. Recently we started certain journeys. On the RAM sector, we have completed close to 20 journeys end-to-end digital. And we garnered the canvas digital business close to Rs. 5,200 crore in retail and Rs. 300 crore in agri and MSME Rs. 60 crore. And we are planning to do another 15 to 20 journeys by July end. With that, we are hopeful of doing the business almost 7 to 8 times from the last year.

As far as the DLP as well as the omnichannel, we are coming up with a new app in the next the first half, where we have the device-agnostic omnichannel experience the customer will be having on the mobile, Internet banking KIOSK, or other channels of the same experience and same kind of facility. Apart from that, we have -- because our CBS is old age and lot of customization was done. We are coming -- we have already gone with middleware with the CBS APIs. We can now have the partnership with the other fintechs as well as the within the bank also we are on-boarding various vendors. The APIs are easy. And on the cloud technology also we are already on the public cloud in the smart office and the private cloud we are planning for the core banking in the next financial year.

On the information and cyber security also bank has taken a call to strengthen and last year also we spent good amount of money on this. And this year also we are planning to go for the advanced cyber software and new vendors. And bank has created an Analytics Center of Excellence for the new initiatives on the analytics side for the new journeys. Apart from that, the data warehouse, data gathering, data cleaning etc. is going on in this part.

On the Customer Relation Management, we are onboarding the

vendor for the CRM for the

Customer 360 marketing and operation side. And we have created one more vertical for the benefit of our corporate customers, the CMS. On the HR side, we have created 100 plus persons dedicated digital organizational setup and because various journeys and various new 3 initiatives have been taken. We have this 900 plus dedicated digital banking champions are on-boarded to drive the digital agendas in the team. And already I have told, more than 20 journeys completed, another 20 we'll be doing in the next half year. Thank you, sir.

Shri S.L.Jain : Now we are open for questions.

Anand Dama: Thank you, sir. Are we good to take Q&A?

Shri S.L.Jain : Yes

Anand Dama: Sure, sir. First question is from Mr. Ashok Ajmera. Please limit your questions to two maximum.

Ashok Ajmera: Good evening, sir. And, yes, compliments for yet another good set of numbers for the quarter and as well as the whole year and a very good progress, especially the credit growth is also, I mean, more than the guidance given. And what is heartening to note is that most about Rs. 10,000 crore growth in the corporate book only in just last quarter itself as against many of the other peer bank where the credit in the last quarter is a little bit muted.

So going forward, don't you think that your target of 10%, 12% is a little conservative on that the way our bank is growing? This is one thing where we would like to hear more about little optimistic numbers and sir, now with our CD ratio going 76.24%, of course, you have the extra SLR. So how do you plan to grow the book as well as you know, match the CD ratio also and up to what level you will be comfortable to go up to in the CD ratio. This is one on the credit and this. Sir, other things is on the recovery in NARCL side, our recovery cash recovery in this quarter is good. Even SMA2 is also under control. But now the major recoveries will come through the NARCL and the NCLT. So some little more information, you know, color on that, at what kind of recoveries we are -- I think we had 22 accounts in NARCL and then nine accounts already bids are received. So a little more detail on that if you can give. And sir, on the treasury side, now that the things are improving and the rates are softening up, of course, treasury performance I mean, we can call it as good, more than Rs. 1,100 crore of the income in this segment is in the treasury, but it is lower than the last quarter. And even the MTM or the loss on the sale valuation of the securities, I mean, the profit is also very meagre as compared to what it was in the last quarter. So some of these points are there sir. And one thing about the extra provision which we hold, because we have seen through notes, where Rs. 1,556 crore and Rs. 1,071 crore the provisions are there. So more than the IRAC like you have Rs. 520 crores more than the IRAC in note number 20 also. So if you can give the color, the buffer which we have of the provisioning, because you are a very prudent banker and astute banker, I would say, a chartered accountant and must be playing well with the numbers. So some of these are my questions and observation, sir, in this round.

Shri S.L.Jain : Thank you, Ajmera ji. So I'll give one -by-one answer of all your issues. So you know we are a little bit conservative in our guidance. So that is why 10% to 12% we have given you. Earlier also we have given you guidance 12%, we ended with 14%. So we will continue to have that kind of. But you see the growth virtually 17% we have grown in corporate and 19% mid -corporate. But we are focusing more on a mid -corporate. We have already opened around 25 branches for mid -corporate to take care of mid -corporate which is where the margins are there, right. And all our engines are growing. You see agri side, jewel loan is growing 20%. We are having Rs. 2,70,000 crore of a book which is growing. So in retail also 12%,

13% will continue to help that growth. So we are sure that we'll be able to achieve this 12% number.

Second point is, your treasury number, you have said the profit is little muted. So you see what we have done, we have done a lot of churning in the last quarter in treasury book and as a result, our AFS holding yield has improved to 7.15%. Current rate is around 7%. So due to the churning of this, there the profits are not appearing more in the P&L account, but the fact remains we will continue to have a good profit in the time to come. Likewise in our holding, the HTM book has also increased. So this is a conscious call to have a better yield on investments, so when the interest rate will increase even then we will continue to have a good interest income. That is the whole object of doing, so to protect our margins in all. This is a strategic call which we have taken.

Now the third point you talk about the NARCL and all. So around Rs. 6,200 crore of a book which has been identified by the NARCL. Half of the accounts we have already received the bid and around a quarter is under process. And quarter intentionally NARCL has kept on hold. So what we think that, these are all accounts 100% provided because our PCR is 94%, 95%. So when the bid is received, we are expecting money. In some accounts, even we are expecting the government guarantee. You know the SR needs to be government -- guaranteed by the government. So we are expecting guarantee, then some of the account will shift. So going forward we should have a better recovery in the recovery part.

Ashok Ajmera: Sorry to interrupt you, sir. On this SRs, when you receive or you have received government guaranteed, that also you are going to provide 100% or that you are going to take as a income or some hit in the investment book on that SRs?

Shri S.L.Jain : Point is that we are having 100% provision, we will continue to hold that.

Ashok Ajmera: Okay

Shri S.L.Jain : So whatever cash we received will be a income, otherwise, we will be keeping our balance sheet strengthened. This is all policy all along like this. Now the point you raised about the extra provisioning we made on Rs. 2,208 crores, so what is the weakness of the balance sheet? All others are good. Our net NPA is 0.9, so it is a restructured book basically, restructured book. And you see even ECL guidelines or draft ECL guidelines of the Reserve Bank of India. But this year the ECL -- this restructuring should be near to the NPA numbers and all. The provisioning may increase if the situation so arise. So what is happening in the restructuring book, of course our restructuring number is coming down, because when you received 20% or 30% more, it is out from the restructuring book. Even then we thought it that we should increase our provisioning in the restructured book, but we are having restructure -- Rs. 11,000 crore of a restructuring number we are having as far as COVID is concerned. In addition to that around a Rs. 3,000 or Rs. 4,000. Tranche 1, Tranche 2 and DCCO where the

two years has already been -- when you enhance the DCCO by two years as per RBI guideline, it has to be classified as a restructured asset. So around Rs. 15,000 crore. So we have made 20%, Rs. 3,000 crore. Now fact remain s, what is the risk we are having in the book, that is important. So in a DCCO against a Rs. 3,500 crore, Rs. 3,000 crore already COD is achieved. But as per the existing guideline, it will be out from the NPA after two years.

Ashok Ajmera: Okay

Shri S.L.Jain : So that is one part of it. The second part of this is that restructuring book, what we have done restructuring, Rs. 18,000 crore of a book we have originally done the restructuring. How much have been slipped, so around 92%, 93% of the restructuring we are getting money. So NPA is 7% or 8%. Even then to prepare ourselves, we have created additional buffers. And it is always

said that in a good times one should create buffers to take care of future. That is based on the prudence we have done this. This is the third point of yours, and the one risk is that in restructuring, if any account goes back, what happens, it goes from the retrospective effect, always. Of course, based on the -- our conduct of account, there is no issue, but we should have to have adequate provision or suppose the ECL guidelines come next year, this year, bank should be fully protected. That is our object and when you are passing through a good times. This is always based on product speed only. So what is this the third point of yours, right? But is any other points, sir, which I have missed?

Ashok Ajmera: No, sir, you have covered all the points. Just like I just wanted to understand that other than the IRAC norms and RBI requirement, what aggregate total buffer -- so around, I think -- am I right if I take it at around Rs. 3,000 crore, Rs. 3,500 crore of total...

Shri S.L.Jain : No, we are having a standard asset provision of Rs. 6,000 crores.

Ashok Ajmera: Rs. 6,000 crores.

Shri S.L.Jain : Rs. 6,000 crores. And we are having a net NPA of Rs. 4,000 crores.

Ashok Ajmera: Got it, sir. Yes, sir.

Shri S.L.Jain : Bank that way fully, fully protected, sir.

Ashok Ajmera: Okay. So anyway, sir, thank you very much, sir. And I'll come back again .

Shri S.L.Jain : Our point is the margin, margin point is a big component. Sorry, I could not complete in my earlier. 3.74% to 3.59%, and going forward everybody is seeing that, when the interest rate will increase, the cost of deposit will increase, how will you able to protect your margin, this is a big question. Even now I start with the initial point. So one aspect I've already clarified you in the investment what we are doing. Second point is that, we think that we are in the near to peak levels. So what we are shifting some of the repo link we are shifting to MCLR. So our MCLR number which was 56% in December, we have moved to 59% and repo which was 36, 34, because what happens if the repo will come down and of course that we may expect the last quarter and again depends on the inflation, and inflation depends on the monsoon and all, right, but we should be ready to that. In addition to that, we are also coming out with fixed loan products. So what will happen if the situation that interest rate will come or repo will come down, we should be able to protect our margins and all. The third point, how you can protect your margins. So you should take that deposit based on the need. So you see what happened, we have not taken the deposit in the last quarter, but at the time, the deposit rate is 7.8%. You see the CD rates of March and the CD rates are now, you will find that the interest rate is softening. So that is considered call we have taken. Of course the growth you are seeing, that growth is not happening, but it was a part of considered call when you are having a 158% of the LCR, when you have excess SLR, what you are going to do, not borrow at 6.5% as against 7%, 8%. And we have -- you see we have built the treasury also, at that time 7.4% was the rate. So this is a time for us to make money. So these are all part of your decision -making or how you run the organization.

Anand Dama: Thank you, Ajmera ji. We have next question from Sathyan. Sathyan, please go ahead.

Sathyan : Good evening, Mr. Jain. Great set of numbers My question is leading on from where we set out from NIM. So I guess NIM guidance you are saying is 3.7% to 3.9%, is that right?

Shri S.L.Jain : NIM guidance? NIM guidance, actually the NIM is 3.41 year as a whole, right?

Sathyan: Right.

Shri S.L.Jain : 3.59, I'm sitting, right. 3.59. So our endeavour is to protect this 3.41 number and all. We should be able to protect -- our entire endeavour will be on that. 10 bps here and there, 15 bps here and there, time will tell, sir, but our

endeavour will be that sir.

Sathyan: Okay, great. And next question again on provisioning, so you are still provisioning at a pretty high rate of 2.5% of these standard loans . Just wondering and now I guess the net NPAs are down to 0.9%, so what sort of provisioning are you going to do towards NPAs and what excess provisioning are you thinking of doing for FY24?

Shri S.L.Jain : No, so point is that

Sathyan: The question is that you know given that how aggressively you provisioned and

provisioning should come out materially

Shri S.L.Jain : No, so point is that our net NPA has come down . So going forward, our provisioning needs will be less as compared to the last year, because we started from 2.27%, now ended with a 0.9%. Naturally, the going forward provisioning needs will come down and we have created the buffers in the process also because the time was good. So going forward, our provisioning will come down substantially.

Sathyan: Sir, any guidance on how much excess buffer you still want to create for FY24 and what -- I mean, how much actual...

Shri S.L.Jain : The buffer has no limit, sir. Buffer has no limit, but since ideally since our net NPA has come down, so provisioning will be lesser.

Sathyan: Okay, substantially less.

Shri S.L.Jain : Substantially less.

Sathyan: Okay, great.

Shri S.L.Jain : Right sir. Substantially -- it should be, because Rs. 4,000 crores is the net NPA and SMA book you have seen and the restructuring book where 92%, 93% are going good.

So going forward also we are not seeing much challenge here.

Sathy an: So that Rs. 9,300 crore number should probably come down by 50% I would imagine going forward? I'm not trying...

Shri S.L.Jain : It is very difficult to say in terms of numbers, but it should be substantially down, sir.

Sathyan: Okay, great. Thank you.

Anand Dama: Thank you, Sathyan. Next question we have some Dixit. Dixit, please go head.

Dixit Doshi: Yeah, thanks for the opportunity. Couple of questions. First question was just related to what the previous participant has asked. So this quarter, the provisions of NPA was only Rs. 1,040 crores, but we did almost Rs. 1,450 crore. So this kind of run rate in standard advances will continue or even that will come down? Because as you rightly pointed out, the net NPA is now Rs. 4,000 crore only. So obviously this NPA provisions will come down, but we will see the overall provisions will also come down? And second question was, by when we have to dilute the government holding below 75%. So, any update on the QIP we might look to do?

Shri S.L.Jain : Okay. So point is that there is no such doubt, sir, my provisioning will come down. There's absolutely no doubt, because the net NPA has come down and buffers also we created, right. So going forward, it should come down. For second point is that, your capital raising and all, right, so what we have said that, our generation will take care of our growth. So if CET capital, at the beginning, when we started the year, it was 12.53, now it is 12.89. 36 bps higher. And we see the advances from Rs. 415,000 crore to Rs. 474,000 crore, so around 7 Rs. 58,000 crore, Rs. 59,000 crore of advances we have done. Even then our CET is higher than this and in spite of that, we have declared the dividend of 86%, right. So this is clearly showing that my generation will take care of my growth. Even then, we have taken a Board approval for raising both CET capital and Tier 1 and Tier 2 capital. These are the enabling provisions which we've taken last time also, sir.

Now fact remains, if the opportune times comes, we will take. Otherwise what happens, these are all -- suppose Tier 1 and Tier 2 bond one if we take, it has higher rate than the interest rate what we are getting. So in that situation, you will be losing whereas you are having a good capital adequacy. So based on the need and all, we will take a call during the financial year.

I

agree with you that our present government holding is higher than 75%. So these all provisions we will take care of in case we come out with a capital raising it will come down from 79.86% , which is presently around 80%. But everything will depend in the next financial year how profitabilities will come, but we will be having the enabling provision from Board as well as our shareholders.

Dixit Doshi: Okay. So just to confirm what you have said, so as you rightly said that since the net NPA is now only Rs. 4,000 crores, so NPA provision should come down and that's what we were expecting from last two quarters, but that was offset by the standard provisions on the standard advances we did. So now you are saying that overall provisions will also come down since we have created enough buffer as you said.

Shri S.L.Jain : Right, sir.

Dixit Doshi: Okay. Thank you, sir. That's it from my side.

Anand Dama: Thank you. Next question we have from Mahrukh. Mahrukh, please go ahead.

Mahrukh Adajania: Hello. Yeah, hi. So hello, sir, hi. Good evening. Sir, my first question is on current deposits, so what drove the slightly stronger growth in current deposits and then my other question really is on deposit cost. So just over the weekend and today, suddenly all -- a lot of banks are guiding that there has been so much of premature withdrawal of deposits, that there has been an early repricing of the outstanding of back deposit book and because 90% or 80% of whatever that figure is of outstanding of back book deposits have already repriced, now cost of deposits and funds can stay stable, which then kind of suggest that you

know margins can actually move up slightly in the first quarter. Do you subscribe to that view? I mean, you also guided to a full -year margin expansion from the 4Q levels, but just in terms of how it will play out in the first quarter and how much -- what percentage of your deposits are actually repriced and how much is pending?

Shri S.L.Jain : Margin expansion -- basically margin expansion is two factors. One is advance side, whether you will be able to pass on increase in repo and the second time the cost of deposit. These are two factors. In fact, in the credit side, if we see housing loan, 250 bps was the increase in the repo rate, but in housing loan we could be able to pass 170 bps or auto loan 180 bps, right, or a jewel loan around 190 bps or so. So we could not pass the entire 250 because of the market competition. If we increase 250, then we become less competitive in the market. So this is one part of this credit side.

On the deposit side again, it depends on the duration of your liabilities. So the point is that from May '22 onwards, this repo has increased, right, but it is over a period of seven or eight months. And generally, generally one and a half or two near our duration may be around one and a half -- what is the duration? One and a half or so. 1.6 is our duration of our liabilities, right. So some part of it will come for repricing. But you see, 59% of my book is MCLR. So this will take care.

8 Second point is that, you see, I have excess SLR and all, so what will happen, there is a sub-optimal use of money also some times. When we will convert this money into a credit, naturally the interest rate will be high.

The third point is what happens when the earlier time, when there was excess liquidity, so pricing power is virtually with the customer. Slowly, slowly we are getting the pricing power because of the increased interest rate. So we will be able to pass on at a higher price. So putting all these two things together, what I told you that we will be able to maintain our margin of 3.41 of the last financial year, because these are all based on liquidity. You can't -- earlier people used to take money at 6%, 6.5%. Now nobody is giving this money at 6.5%, but in case of my margin or yield or advance that amount

it was that and that come with lower rate of interest. So, first point, your increase in the credit growth. Second is your pricing power, right. Third is your MCLR increase. These are one side of the lever. Other side of the lever is your increase in cost of deposits. So we'll have to match this. This will be our endeavour.

Mahrukh Adajania: Got it. But your deposit maturity has not gone higher or there has not been any accelerated repricing of deposits. Is that -- would that be a correct statement?

Shri S.L.Jain : No madam. Point is that, accelerated cost means there are two parts of the deposit. One is a bulk part and one is a stable part, right. So in our bank, we have bulk deposit same number which was having in that '22 we are having more or less the same number in 2023 as well. 17%, 18% of that part, remaining is all our stable deposits. And you see in CASA side also we are 42%. So basically we are not on that. Here you are having a 30% bulk or 25% -- 35% bulk or a 25% bulk where the repricing may be the issue. For us, we are a stable bank and we are not growing 20% that you need money at this rate.

Mahrukh Adajania: No, sir, I was not talking about bulk versus retail, what I was saying is that a lot of banks are complaining that even within retail, there is a premature withdrawal of deposits for deposits that were...

Shri S.L.Jain : Yes madam, We are not having that kind of assets.

Mahrukh Adajania: Okay. Perfect, sir. Thank you.

Anand Dama: Thank you, Mahrukh. Next question we have from Mona Khetan.

Mona Khetan: Yeah. Hi, sir, good evening. Sir, firstly, we have seen higher MSME slippages this quarter. So just wanted to understand if this is primarily from the restructured book or is it from the normal standard book?

Shri S.L.Jain : So, out of Rs. 2,500 crore of a slippage, Rs. 1,300 crore is MSME. So around 50%. Out of Rs. 1,300 crores, Rs. 700 crore is from the restructuring book. So this -- because this has slipped from the restructuring book, it is impacting my NIM also slightly. And again, the Rs. 110 crore is from the ECLGS book, where of course we will get our money.

Mona Khetan: Okay. And so since you mentioned in restructured there is this retrospective effect on interest reversals, so what are the total interest reversal this quarter?

Shri S.L.Jain : Just a minute, I will tell you. Just a minute. My interest reversal for the current quarter, Rs. 236 crore, ma'am.

Mona Khetan: Okay

Shri S.L.Jain : As against the Rs. 139 crore of the last quarter, so Rs. 100 crore more virtually.

9 Mona Khetan: Got it. That's useful. Secondly, you mentioned MCLR book of 59%. So how much of this has already been repriced so far?

Shri S.L.Jain : No, this is an ongoing situation. My point is, one year -- out of this, again, 59% -- around 40% is a one -year MCLR, right. And around six month is a 14% -- 14% is on a six month MCLR. So this is an ongoing basis. What is the issue? Issue is that 7.30 was the original rate in May '22 and 8.55 today we are having, right. So that 125 bps. So those which have been priced 7.30 a year back will have a repricing of 8.55 in the first quarter, 125 bps. So this

will take care of our major part of increase in cost.

Mona Khetan: Right. And when you say 40%, this is 40% of advances, the one -year MCLR book?

Shri S.L.Jain : Right. 40% of the total book.

Mona Khetan: Okay. Which is the total advances of the bank. Okay, got it. And just finally, do you have any sense of the ECL provisioning requirement that we may come across over the next few years?

Shri S.L.Jain : Okay. ECL, madam we are making provisions right. ECL -- What is the ECL actually I am telling you ECL again, we have given Rs.11800 Cr of a ECL GS, entirely. So today's outstanding is Rs. 7200Cr. Is that ECL ? Okay . ECL final guidelines are yet to come, ma'am. But two things are sure. Two things are sure based on that. There will be higher provisioning requirement for restructuring book, right and the SMA . These are the two things basically. This is going to happen. So we and all banks are having higher provision in NPA, because we are at 94% PCR. So there we are having a surplus provision which we will -- can use partly for the restructuring book.

Mona Khetan: Got it. But no early calculations as to how much could be the overall requirement?

Shri S.L.Jain : Let the final guidelines come, madam. We have given our observations, they have come out with a draft guideline.

Mona Khetan: Got it. Thank you. That was useful.

Shri S.L.Jain : But we are preparing ourselves.

Mona Khetan: Sure. Thank you and all the best.

Shri S.L.Jain : Thank you.

Anand Dama: So, when you said that you are preparing yourself, does that mean that you have already started building additional provisions assuming that the norms will come...

Shri S.L.Jain : Yeah, that is -- the crux of the ECL is the expected loss. Expected is -- what is incurred you know, expected is out of, what -- expected is out of your restructured and out of your SMA. The difference between incurred and expected is only expected.

Anand Dama: So we basically -- I think the question which came from was Mona was also primarily because Canara bank earlier call said that the overall ECL incremental requirement for them is like 420 odd billion which is almost like 7% of their capital possibly could be wiped out in that.

Shri S.L.Jain : No, I don't know their requirement , but we are preparing ourselves. So our issue, which I came -- I understand that I need to build some provision for restructuring, which we have already built.

10 Anand Dama: Sure, sir. Next question, we have from Mr. Sushil Choksey. Please go ahead

Sushil Choksey : Congratulations on very good numbers to team Indian Bank. Sir, my single question, as you've answered most of my questions, your outlook on treasury you answered, but do you estimate huge profits in the current year? And second is, knowing your past track record with Bank of Baroda and Allahabad Bank, what is the roadmap for Indian Bank to be future ready? So you've rolled out many products, but what are the other enablers you will put along with these products that Indian Bank will take on the peer banks and the bigger banks also on various segments?

Shri S.L.Jain : Thank you, Choksey Ji. There are two issues basically. AFS book, so I told you that we -- our holding yield is 7.15 and the current is around 7%, so there is a gain there, right, this one point. So that we have to decide how much gain we will have, our interest we will have. That is the decision to be done by us based on our own decisions.

Second point is, how to make bank future ready, So you know that we have already -- the way the Bank of Baroda or the State Bank of India has got the permission to create a subsidiary for your operational needs, we also have got the permission. We are third bank , we got the permission from the Reserve Bank of India to create our own subsidiary. So we are in the process of creating more subsidiaries . What will happen in subsidiary , there we will also have some of the work we will outsource to them, even the marketing work, even our day -to-day back office work so that we will save my operational cost in the time to come. This is second thing which we are doing.

And the third thing is digital where we are doing a number of things. Bajaj ji has told. What we are doing a digital -- one in a core and other is a customer side. So the core side also we are doing number of things. Core side, we are -- it's the middleware, the omnichannel, right. The cyber operation center, so the number of things we are doing on the core side also as well as the customer side also to offer more and more products to our customers digitally and in the mobile banking. So what we have done again, first let us -- first we decided, let us do increase

ease

our mobile registration. So we have doubled, 58 become 115 and we again want to go double. We are working totally on that. So this is -- the market is available. If your mobile penetration

increases, your market you've created.

Now the second point is that to offer the product. So digital journeys we have started. And third, whom to give this digital journey. So Analytics Center of Excellence we have created. So this Analytics Center of Excellence based on the past trends, based on our rule engine, we will decide this particular customer we can offer this product, whether a pre-approved personal loan, pre-approved business loan, top up in housing, top up in auto, and what -- and others and based on the past history, or even the MSME based on the GST side -- based on that we have integration of the GST. This is the third thing we have done.

So the journeys we already launched. Now what we are doing, with change management office we have created along with the general manager. So we are giving training to our people to understand the digital. And again in digital, we have gone with three different ways. One is that we have gone with the mobile, we have got the Internet and third one is the assisted journey. So suppose my customer -- all of the customers are not so digital savvy, because we are having 10 crore customers. So assisted mode is also there. If the customer comes to the branch, you'd even -- you go digitally. So that way slowly, slowly we will be able to create digital asset.

Again two or three things will happen. My data quality become better and better and better. So I will use my Analytics Center of Excellence and offer the product. One thing we will going to do. Second my Op ex cost will come down. So all this way we are working. In addition to the 11 digital side, in entire -- last year we changed the performance management system of each and every employees -- each and every officer of the bank in the KRAs. And the KRAs we have given based on the work he is doing and we have capital lever. Suppose this time the deposit is a challenge so we are increasing the number for deposit. Earlier 12 marks, now will be having 20 marks. So everybody will work for deposit to get their better PMS score to get the promotions and everything. So this is also we are doing. So a number of ways we are working from the employee side, from the digital side, from the customer side, from the IT side, from the cyber side. We have recruited people from the market also in IT, in cash management and number of other fields.

Sushil Choksey: Sir, based on all the initiatives what you've taken, one is, what is our total spend you would like to achieve over a period of two, three years to make things ready? And second is, you know you are sitting in a hub, which is very knowledge-based states Southern India. Your competitors are big NBFCs like Sundaram Finance, Chola, Aptus many other, Manappuram. Are you seeing your initiatives giving you a higher market share compared to competition with your products being rolled out at your customer level?

Shri S.L.Jain: So let me tell you, my number itself is saying. The first year of amalgamation we were having a profit of Rs. 3,000 crore. Second year, we are having a profit of Rs. 4,000 crore. And third year we are having appropriate of Rs. 5,300 crore. So you see that our business is growing, our profitability is growing, our synergy is coming. Now Bajaj ji will tell about our expense, this technologic cost. We are incurring huge cost.

Mahesh Kumar Bajaj, ED: Sir, here on the IT investment, we have couple of the categorization where on the capacity build and IT infrastructure, then analytics then consultancy, then cyber security and new technology. So in last year almost we have spent Rs. 1,600 crore and the next year also is in the line of may be Rs. 500 crores to Rs. 600 crores spend will be there, sir.

Shri S.L.Jain

: So you see Rs. 1,600 crores, because you see every project takes time to give you results. Sir, we are making bank future ready for -- from the digital side as well.

Sushil Choksey: So how much of loan growth are you seeing in gold, auto and lap or...

Shri S.L.Jain: Sir, you see auto is 28% we are growing, we will continue to grow. Gold we are growing 20%, we will continue to grow.

Sushil Choksey: Can I take that as more or less a guidance over the current base?

Shri S.L.Jain: Yeah, this is our history says, sir. So we will continue to grow on that number.

Sushil Choksey: Thank you, sir, and all the best. Congratulations and best wishes for the years to come.

Shri S.L.Jain: Thank you, sir. Thank you.

Anand Dama: Thank you, Mr. Choksey. Next question we have from Rakesh Kumar. Rakesh, please go ahead.

Rakesh Kumar: Yeah. Hi. Yeah, thanks a lot, sir, for the opportunity. Very strong performance on the provisioning side and creating buffer for future, that is a great performance. But sir, on the balance sheet growth side, the growth basically on our deposit is quite low. So deposit growth has been quite low as compared to the system and we are still looking at around 3.4% margin and next year also we are projecting margin -- giving guidance of around the same level. So are we also going to use the lever of excess -- LCR that we have and the LDR which 12 is -- which we can further improve? So are we going to use these two levers to further enhance the margin? Is there a room? Is there any thought process on that front considering the...

Shri S.L.Jain: Yeah. We will be increasing our deposits and this excess part of the money

also we can use. The fact remains, last time we could have grown more, but we take the deposit based on the need in a wholesale market and all. But we would like to grow granular part of the deposit, salary accounts. So what we have done here again we have created a four or five GMs even for liability, which earlier used to be the one GM. We have created a government relationship sale at various locations either in Tamil Nadu, Chennai or Lucknow or Calcutta or Delhi or a number of places. So we are creating infrastructure, organizations, people to garner granular deposits. And we came out with various products as well, so that of the sale also we can -- suppose we are taking a salary account from any borrower, then we can offer them insurance and all. We have created a number of products, which we call as Sampooran Suraksha or Sampooran where we are giving insurance also free, right. We are giving other benefits as well. So these all products we are offering to our customers. We do understand that we need to grow more in the granular part of the deposit.

Rakesh Kumar: So this guidance of 3.41, a stable margin in the next year, is that considering utilization of excess liquidity and increase in the LDR or without using that?

Shri S.L.Jain: This is a combination of all these, sir. You can't say, but point fact remains what will be the increase in cost and what will be the revenue. So we have considered all calculation and come to that we should be able to protect, but of course everything 10, 15 bps here and there can always happen.

Rakesh Kumar: Thanks, sir. Thank s. Many thanks, sir. Thanks a lot and all the best to you, sir.

Anand Dama: Yeah, thank you, Rakesh. Next question we'll take from Mayank Gulgulia. Please go ahead.

Mayank Gulgulia: Yeah. Hi, sir. Thanks for taking my question. So we have term deposit of Rs. 6.2 lakh crore. What portion of the term deposit is likely to come for repricing in next 12 months?

Shri S.L.Jain: Just a minute. But you see 1.6 is our duration, right. So naturally 1.6 we may say divided by 4, say -- 15%, 16% per quarter.

Mayank Gulgulia: Okay. And what would be our outstanding cost of time deposits?

Shri S.L.Jain: Time deposit outstanding?

Mayank Gulgulia: Like term

deposit Rs. 6.2 lakh crore which we have, what would be cost of deposit of that amount?

Shri S.L.Jain: So we are having term deposit Rs. 3,60,000 crore, right, sir. And our cost of deposit is -- just a minute -- our cost of deposit is 4.33%, right. That includes the CASA part, right. So 40% you exclude -- so you do, sir, one math for me, right. So 4.33% is a core and 40% is at a 3%, remaining will be the cost of deposit for term deposit.

Mayank Gulgulia: Okay. Sure. And like this quarter we created Rs. 1,400 crores of provisioning. So how much of this is for restructured loan and how much is this for other standard assets?

Shri S.L.Jain: So what we have done, we have done a 20% provision for restructured book, which includes Rs. 15,000 crore and Rs. 11,000 crore COVID plus DCCO and all Tranche 1 and Tranche 2, all put together. So this additional provision we have created.

Mayank Gulgulia: And this -- where would be comfortable level of provisioning for restructured loan?

Shri S.L.Jain: No, the fact remains that we should need to build our provision, that was the object, right. And you see that 92% of the advances are, we are getting money. So to my mind, the issue is only the 7% or 8%. So 7% or 8% of Rs. 15,000 crore is Rs. 1,200 crore is already a cushion.

Mayank Gulgulia: So 20% is comfortable level for provisioning?

Shri S.L.Jain: Seems to be as on date. As on date seems to be at a comfortable level, as on date.

Mayank Gulgulia: Hello?

Shri S.L.Jain: Yes, sir.

Anand Dama: Mayank, are you done? So we'll take next question from Manoj Alimchandani.

Manoj Alimchandani: Yeah. Mr. Jain, thanks a lot for the opportunity.

Shri S.L.Jain: Thank you, sir.

Manoj Alimchandani: Couple of points. One is on the operating profit. We are seeing your numbers for '23 are very good. But Q4, there is a slowdown. There is effectively no incremental growth in operating profit. So can you elaborate and explain what is the issue and how much growth we can expect in FY24? Number two is on capital adequacy. And there were a few questions and issues on ECL. Now we have seen on the ECL side, RBI is having responses from many banks. The top private banks, top tiers, top tier PSU and also the second tier PSU. Now there is a talk of a hybrid system, one is ECL and also based on the circular on actual which has not been implemented anywhere in the world. But the current system of AQR and provisioning has resulted in healthy banks in the last few years. So -- and also another point coming on this is some of the banks have represented to RBI and the government the deferred

implementation of the ECL for next two years and also the spread instead of five years should become seven years. And the private banks are already doing models and sharing it with the RBI and they had done accelerated provisioning. Indian Bank is known for very high asset quality, particularly in the last three years and you are strengthening the asset quality every year by accelerated provisioning.

I would like to know your views, particularly on this ECL consultation paper which was issued, consultations going on the hybrid matter and what is your view? Are you ready? Because, along with SBI, you are known to be a very high quality bank in terms of asset quality and also among the lowest in cost of deposit. Another thing, last few days, in fact, for quite some time, the second year, the PSU bank like Bank of India, Canara Bank, Union Bank have started sharing their number. Bank of India mentioned about Rs. 25,000 crores based -- and Canara Bank talked about -- the Union Bank talks about Rs. 35,000 crore. Canara Bank number is much, much higher, mainly I think because of the Syndicate Bank merger, earlier absorption. So what is your view and what can we expect? And for these reasons, the RBI is encouraging banks to do fundraising and take the money when the market is good and today the valuations

are quite good and some other banks have started having the plan. So why not raise the funds 14 and buildup capital adequacy further? If you can address it then I can take it maybe one more point later.

Shri S.L.Jain : Okay. Thank you, sir.

Manoj Alimchandani: And you are a finance person, you are accountant, you know ECL and hybrid system very, very well among the very few MDs of PSU banks.

Shri S.L.Jain : So thank you, sir. The two points you raised, one is operating profit on a sequential basis, which was -- is it Rs. 4,016 crore as against Rs. 4,061 crore, the first question. So what we have done, sir, in the current quarter, we have made up salary provision of Rs. 177 crore as against Rs. 75 crore of last quarter, so Rs. 100 crore extra salary revision, because the salary was due from November, so earlier only a two months, now it is at three months. Second one is employee benefit which we have made a Rs. 700 crore provision, this is again Rs. 548 crore. And the third point is that in March quarter, there are 90 days as against in the December quarter 92 days. And we are earning interest on a daily basis. So naturally that also Rs. 100 crore to Rs. 150 crore of -- Rs. 5,000 crore of NII it will impact my NII. These are three major reasons. And fourth one is the interest reversal, because of this. And these are the four major reasons. Otherwise, you see the numbers are going good, sir.

Also, you asked about the ECL and all, of course this is not the forum to discuss this ECL provisioning and all -- just a minute. This is not the forum to discuss ECL and all, because unless the complete guidelines comes from the Reserve Bank of India, with the plain reading of the circular which comes to my mind, it's plain reading of that, there will be higher requirement for restructuring. And second with SMA where the 12 months PD will be calculated as and -- in a restructured lifetime PD. And the NPA also lifetime PD and fourth one is the undrawn part. These are the three or four major things which I observed from that. From my bank's perspective, what should be my call, so my goal is that I'm already having 95, so NPA is no issue. The second issue is the restructuring, let us take that into account. And I'm telling you, as per the guidelines also, the RBI has allowed five years time. In a number of circulars, RBI allows a five years' time. Even when the pension provisions came, even they allowed five years' time to amortize. In a fraud, they allow four quarters to amortize. This is the highest -- higher side they allowed so that -- so as to strengthening of the system. But the banks generally do earlier than this and those banks who are having strength in their balance sheet would like to do earlier than this and move forward. So the approach -- our approach will continue to be of that type of a bank.

Manoj Alimchandani: Thanks a lot. Just one question on this. Are you giving the calculation of ECL based on certain models to RBI on a regular basis or no?

Shri S.L.Jain : We are calculating, but things are not stabilized, sir. So different banks have different --- when the things are not clear, how will you compare each other?

Manoj Alimchandani: Right.

Shri S.L.Jain : So it is in an evolving stage actually. In reality, it is a evolving stage. And RBI -- that is why RBI itself has said that in the draft circular, if your existing provision is higher than your ECL provision, you keep that provision, the way they have done in the capital adequacy guideline when the Basel II and Basel III came.

Manoj Alimchandani: Right. Okay, thank you very much and wish you all the best.

Shri S.L.Jain : Thank you.

Anand Dama: Thank you. Next question we have from Chintan Shah. Please go ahead.

15 Chintan Shah : Yeah, thank you for the opportunity. Sir, I had two. First question on the ECLGS. So what would be your outstanding portfolio on the ECLGS and what is the NPA

from

that portfolio as of now? And sir, secondly is on guidance part. So any qualitative comments

on the guidance on asset quality, that is GNPA and NNPA slippages and recovery for FY24 will also be helpful. Yeah, thank you.

Shri S.L.Jain : GECL S, one by one I'll tell you. GECL S we have given Rs. 11,800 crore, right. Today outstanding is Rs. 7,200 crore, right. So it means Rs. 4,000 crore had come, so around 40% of the money has come. What is the NPA? NPA is Rs. 537 crore, out of the Rs. 12,000 crore. So around NPA is 4%. So it means 96% of ECLGS is behaving good. So Just a minute. Are you getting my voice? Just a minute. Hello. Hello. Are you getting my voice, sir?

Chintan Shah: Yes sir

Shri S.L.Jain : Okay. So this is GECL S. So as on date we are having a Rs. 7,200 crore and the NPA of this Rs. 537 crore. But what happens is Rs. 4,000 crore has come from the MSME book and as a result MSME growth is appearing at 7%.

Chintan Shah: Okay

Shri S.L.Jain : What is the second point? The second point is GNPA and NNPA, right? You see quarter-on-quarter basis, our GNPA is coming down, right. It is now at 5.95%. Our endeavour will be to bring below 5% as early as we can. And 0.91% is our number, maybe slight bit here and there. 5.95% is my current number in GNPA. Our endeavor will be to commit below 5%.

Chintan Shah: Okay. And, sir -- and any guidance on slippages, any thoughts on this?

Shri S.L.Jain : Okay. The recovery was -- last time the target was Rs. 8,000 crore, we have ended with Rs. 8,500 crores. So last time our recovery was better than our targets. The second point, if you go slippage versus recovery, Rs. 7,000 crore slippage and Rs. 8,500 crore recovery. You see last quarter even slippage recovery was more than the slippage. December quarter recovery was more than the slippage. September quarter recovery was more than the slippage. So our endeavor will continue to be having more recovery than the slippages, so in that way we will be able to control. In that way, we will be able to control our GNPA numbers and all.

Chintan Shah: Sure, sir. And this is quite helpful. Thank you.

Anand Dama: Yeah. Thank you, Chintan. Next question we'll take from Ja i. Jai, please unmute yourself.

Jai Mundhra : Yeah, hi, sir. First, sir, this year and this quarter, our tax rate has been very miniscule. For full year '23, this would be around 11%. So how should we -- I mean, earlier we had said that we now should be seeing normalized tax rate. So how should we look at the tax rate maybe for near-term or FY24?

Shri S.L.Jain : So what happens in this quarter we have created the standard asset provision and created DTA on that. And because of that the tax rate has come down. Now going forward we are at 25%. So in a PBT level, it will be 25% and of course in the operating level, it will be lesser than this.

Jai Mundhra: Okay. Secondly, sir, while we have said that so far there was the repo rate hike and MCLR hike was already there. Still the yields on loans have declined 2 basis point in this quarter, right. So how would you explain this? I mean, if repo rates were to peak -- assuming repo rates have already peaked, then cost of -- yield of -- yield on fund should anyway decline. I mean, what exactly happened in this quarter that yields declined now with at least 30% of the EBLR our book will not reprice? Then yields could have even more pressure going ahead?

Shri S.L.Jain : No, I told you know, because of interest reversals, Rs. 236 crore, right, it is Rs. 100 crore higher than the earlier one.

Jai Mundhra: Yeah, so that... Yeah.

Shri S.L.Jain : That is a 10 bps impact, sir. Otherwise, it would have been higher

Jai Mundhra: Yeah. So, sir, even if you just 10 basis point, that would mean that the yields have gone up by 8 basis points only.

Shri S.L.Jain : But you see that I told you know, we will not be able to pass on that entire increase in housing loan

and auto loan. We could pass on only 170 bps as against that 250 bps, because market is like this. Likewise in the auto loan also, competition is there. Gold loan also...

Jai Mundhra: Competition will stay only, right. So how will you...

Shri S.L.Jain : That is why it cannot be linear. It cannot be linear. Market forces decide.

Jai Mundhra: Correct. And so yields pressure may continue and cost of deposits should only rise, right, as earlier deposits will come for repricing as the term deposit maturity would be one, two years.

Shri S.L.Jain : So this question actually -- this question I have replied, how we will take this issue. I told you, one side is the investment side, second one is the MCLR side.

Jai Mundhra: I think, sir, there is some disturbance.

Shri S.L.Jain : We too know that the cost of deposit will increase, right. This is writing on the wall. Also deposit will increase and that deposit will come for repricing, it will be repriced. So how to take the situation. So one is, you have to tackle that from the income side, both side it is increasing. Income side -- from the way the income comes, income comes from the

investment, income comes from the credit book. So what -- the investment I have told you that we have increased our holding yield. On the same side on the credit book, credit book we had -- MCLR book is 59%. So, this will also come, 59% means 14%, sir. I'm just telling you. 59% means 15 % per quarter, I'm telling you in very simple language. 15% per quarter, on an average 1.6 duration of liabilities, so 16% will come for repricing. 16% will come for repricing liability side, 15% will come on asset side.

Jai Mundhra: So that should ideally set off?

Shri S.L.Jain : Not ideally set off. Again, because their price will hike -- here the price -- MCLR is not equivalent to your cost of deposit increase. So that is why we had taken the route of investment.

Jai Mundhra: Great. No, that is very clear, sir. Yeah, thank you and all the best

Shri S.L.Jain : Very clear?

Jai Mundhra: Yeah. Yes, sir. Thank you.

Anand Dama: Thank you. We will just take last question from Mr. Ajmera. Please limit your questions to one.

17 Ashok Ajmera: No, I was listening to Jain sir giving detailed explanation. Sir, just one or two small data point. And in between the voice was also broken somewhere. So I might have missed. So one was, sir, on this -- when you said that, in your cost, the employees cost, the provision of Rs. 100 crore additional, sir, that was for the wage revision, but what about the additional pension where every bank is providing a larger amount every quarter. So in your case it is not required or you've passed it onto the next quarter, sir? This is one.

Shri S.L.Jain : No, this is based on actuarial valuation, first point. Second point is it is calculated with respect to the yield, old investment, yield on our investment book. If there is a shortfall, we provide.

Ashok Ajmera: Okay. So it is fully -- whatever is required is provided?

Shri S.L.Jain : So, if year as a whole you see last year, we provided Rs. 1,800 Crore, this year we provided Rs. 2,100 Crore, but we are now mark to market. So that is the issue.

Ashok Ajmera: And sir secondly, sir, I think we in note number 17, we bought some agriculture loan in the loan of Rs. 1,322 crores, if I'm not wrong, note number 17.

Shri S.L.Jain : You tell us. No issue, you ask I will reply.

Ashok Ajmera: So Rs. 1,322 crore agriculture loan has been acquired with tangible security nil, so what are these loans? What kind of loan these are?

Shri S.L.Jain : Sir, what happens we do purchases of pool, then the JLGs loan, joint liability guarantee. So we -- this is a part of our business we are acquiring from these NBFCs some JLG loan based on the past track recorded.

Ashok Ajmera: So means there is no chance of any...

Shri S.L.Jain : No, sir, guarantee is there, because we know the behavior

of the account

earlier also we acquired.

Ashok Ajmera: All right, sir. And one was last on that NPA sold, one NPA where we got the provision reverse stock Rs. 395 crore, so that total provisional reversal for this quarter only of that particular Rs. 395 crore?

Shri S.L.Jain : This is the yearly numbers We have -- yearly disclosure we have given based on the ARCs sale

Ashok Ajmera: Okay, the amount realized is Rs. 439 crore on the NPA of Rs. 837 crore, so the provision reversal was Rs. 395 crore, it is for the...

Shri S.L.Jain : So point is that, sir, whenever we received full amount and we are having 100% provision, the provision needs to be...

Ashok Ajmera: Yeah. So it is for the whole year?

Shri S.L.Jain : Yeah

Ashok Ajmera: Okay, sir. Thank you and all the best, sir.

Shri S.L.Jain : Thank you

Anand Dama: Sir, one question which has come in the chat box is on your NIMs and secondly is on the -- if you can just help us with like you have exposure to SpiceJet, which has, I mean, one of the -- filed a case against the company.

Shri S.L.Jain : SpiceJet?

18 Anand Dama: Yeah

Shri S.L.Jain : But you are asking about SpiceJet ?

Anand Dama: Yeah, sir, SpiceJet.

Shri S.L.Jain : NIM I already clarified.

Anand Dama: Yeah NIM I think you have already clarified.

Shri S.L.Jain : And SpiceJet is a very, very minimum exposure. Very, very minimum. Even less than --, So we are having actually exposure under ECLGS, and existing exposure is even less than 20 cr.

Anand Dama: Sure, sir. That's very helpful. So with that, sir, we will close the call. Sir, you have any final comments from it before we end the call.

Shri S.L.Jain : Thank you. Thank you all the investors and analysts for your continuous support. And we hope that the next year will be better than this. Thank you.

Anand Dama: Thank you, sir.

Thank you everyone

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 Ittemmic ALLAHABAD

Corporate Office: 254 -260, Avvai Shanmugam Salai, Royapettah, Chennai – 600 014
 Phone: 044 -2813 4484/4698 , Email: ibinvestorrelations@indianbank.co.in
 Follow us on

NSE Symbol: INDIA NB The Vice President
BSE Ltd.
25, P. J. Towers
Dalal Street, Mumbai -400001

Dear Sir/ Madam,

Subject: Transcript of Post Earnings Concall / Meet

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015 and in continuation of our L etter No. ISC/131/2023 -24 dated 26.07 .2023 and L etter No. ISC/136/2023 -24 dated 27.07 .2023 regarding Analysts / Investors Concall / Meet, we are enclosing a copy of Transcript of said post Earnings Concall/ Meet held by the Bank on 27.07.2023 on the Financial Results of the Bank for the First Quarter of Financial Year 2023 -24 ended on June 30 , 2023.

The Concall Transcript is also uploaded on Bank's website and the same can be accessed through below link:

<https://indianbank.in/wp-content/uploads/2023/03/Q1-FY-24-Post-Result-Concall-Transcript-1.pdf>

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary
Encl : A/a

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Indian Bank Q 1 FY'24 Results
Post Earnings Conference Call / Meet
Held on 27.07.2023

Transcript

Management:

Shri S.L. Jain
MD & CEO

Shri Imran Amin Siddiqui
Executive Director

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Moderator:

Shri Anand Dama
Analyst, Emkay Global Financial Services

1

Anand Dama (Host - Emkay Global): Welcome everyone. We have with us today, Indian Bank Top Management to discuss the First Quarter FY24 Results Update. First, I would request you to brief us on the first quarter results and the outlook ahead on growth, margins and, asset quality. Shri S.L. Jain, MD & CEO: Yeah, good evening to all the analysts and investors in post results con call. So we have already uploaded the presentation for your reference. I will discuss slightly about that and then will open for question and answers. On digitization our colleague Bajaj Ji will brief.

As far as business is concerned, our business has crossed Rs. 11 lakh crore of which deposit is Rs. 6.21 lakh crore and around Rs. 4.08 lakh crore of advance. On advance, we are growing 13%. We are also growing RAM sector at 13%, and within the RAM, we are growing retail at 16%. In agriculture we are growing 16%, MSME at 7% and corporate at 12%, similar to last quarter. So our growth is 13% in advances. So, if you include the write-off, it is around a 15.5% or 16% of credit growth. In the retail growth 16% is backed by the housing loan growth of 14%, auto loan growth of 29% and personal loan growth of 52%. Likewise, the 16% agri growth is backed by the crop loan wherein 71% is Jewel loan where we are growing 20%. So crop loan growth is mainly the growth of a Jewel loan which is out of Rs. 80,000 crore around Rs. 57,000 crore which is growing 20% and continuously growing, investment credit has grown by 8%, agri allied by 16%, and one is the SHG where we are growing 44% and now we have moved SHG from Southern State to Bihar, Assam, Rajasthan, Orissa and all places. MSME we are growing 7% and corporate we are growing 12%. In the deposit side, we are growing 6%, last quarter also we have grown 6% but the retail deposit is growing 7% in the last quarter on quarter it is 2%. We have given guidance of 8% to 10% on deposit growth so we are catching that and in that credit side we have given a guidance of 10% to 12% we are at 13%.

Now coming to the asset quality, we have given a guidance at the beginning of the quarter that we will be below 5% GNPA ratio by the end of this financial year at the time our gross was 5.95%, today after this result is 5.47% so around 48 bps came down in one quarter. And the net NPA was 0.90%, we have said that all NPA should come down, so it is at 0.7% and PCR which was 93.8% is now 95% plus. Continued this quarter over the recovery is more than our slippage, last quarter last year also our recovery was more than slippage. We have given a guidance of Rs. 8,000 crore of recovery, so Rs. 2,000 crore of recovery in the quarter, we ended with Rs. 2,008 crore of recovery in the quarter. Of course, this time the recovery is more happened other than that TWO recovery of last quarter it was in TWO recovery, so that is some kind of plus, minus on that side.

As far as profitability is concerned, our NII has grown by 26%. We have improved our margin from 3.59% to 3.61%. Our operating profit has grown by 16%. Our profit before tax has grown by 78% and PAT has grown by 41%. As you all know that till last year we were getting a benefit of carry forward losses partially in the last financial year. This year it is not available and therefore the tax

we applied to 25% plus presumably 28% because some are allowed some are not allowed. So this is the tax rate for us, but our profitability is improving. As far as capital side is concerned, we are at 15.78%, slight reduction in the capital because of two, three reasons, one is the reason that operational risk has increased because you know as an operational risk you have to take a three years number so up to last '23 we were having a number of '20, '21 and '22 and '20 was last year because of amalgamation so that has been replaced by the profit of Rs .5,282 crore and the resulting increase

in the RWA for operational risk in a slight increase in the market risk because

2

we have built up the portfolio in AFS book and increase the durations as well and we have built the portfolio last quarter and we are actually building the portfolio resulting increase in market risk little bit and a slight bit increase in that credit risk because of credit growth.

But we are at 15.78 % if you add a profit of the current quarter it is again 16.38 % that way. That is what number. So this is and I told about 10% to 12% of credit growth we ended up 13% and you see from last quarter that our growth is in a very, very planned way. We have grown last year also 13% RAM, 12 % corporate, this time also the same number we are going. So and that model is actually giving us margin, increasing our customer base and that supports us for a further growth and we would like to continue with this model.

On the asset quality front, we had Rs.1,753 crore of slippages including one corporate a/c of Rs.190 crore which is basically dealing in computer and other accessories trading based in Mumbai . The recovery has started coming in this account . Other than the corporate slippages, 45% of the slippages are in MSME book and again the 40% is from the restructured book.

In addition to that , last year we were having a PSLC income of Rs .479 crore, but the distribution was Rs .298 crore in the first quarter and Rs .111 crore in the second quarter, and 37 and 41 in the third and fourth quarter. So it was a receipt basis, but we have done this on an accrual basis. So Rs.150 crore we have booked as income the quarter and Rs .450 crore will be booked in the next three quarters. So again Rs .479 crore where we will be having Rs 600 crore and during the year also we will have some PSLC income. In the provision side what we have done, we have increased a little bit of provision from 20% to 25% on our restructured book of around Rs.500 odd crore.

Now I will request our colleague Bajaj ji to give little brief about the digitization - because we are doing a number of things on digitization on our HR side as well so I'll request him to tell.

Shri Mahesh Kumar Bajaj, ED: Thank you, Sir. Good evening, everyone. As last time also we told we started our digital transformation journey in the month of April '22, so with the first journey as PAPL and now the financial year '23 we did 25 journeys, and during this quarter, we launched another 11 journeys so total 36 journey till 30th June and we are planning to launch another 13 journeys during the next quarter.

And if we talk on the digital business, last year entire year, we did a Rs .5,640 crore business and last year also were telling we'll be growing 7x to 8x. In the same line, we have done business of Rs.9,179 crore which is for the first quarter itself against Rs. 5,614 crore. Same way it has almost all journey so e-deposits we have grown by 60 %, loan against deposit 182%, Jewel, which we started in the last quarter, which was just Rs. 57 crore last year and this year first quarter itself is Rs.4,755 crore , then the MSME renewal, cases renewal all this journeys are doing well for us.

The last year quarter-on-quarter, first quarter we did Rs .147 crore digital business, second quarter we did across RAM and liability with its Rs .591 crore, third quarter we did Rs . 2,138 crore, and fourth quarter we did Rs. 2,765 crore and this year first quarter itself is Rs. 9,179 crore. So first quarter we launched six journey last year up to September and then October to December another 6 journeys, January to March 13 journeys, and this year in the first quarter I already told that 11 journeys. And our digital channel business is now across all digital channels, it has gone up by 7% it was 78% last year in June and this time it is 85%. Even on the liability side also we are acquiring customers on the digital mode through tab or end

-to-end digital branch journey which

in last year it was the financial year Q1 FY'23 3.52 lakhs and this year 5.5 lakh customers we

3

acquired through this mode which is almost 68% of total deposit customers acquired and which is 56% Y-o-Y growth. Same way the digital lending platform I already told, and omni channel, we are coming up with our new app which is the closed user group we are going to launch in couple of days and after rigorous and successful testing across the internal users and maybe a couple of other people then we'll be launching for the market. And we have other capabilities we have built up on the middleware CBS APIs, open APIs for the digital banking, CloudStack the technology. We are in the public cloud for our smart office, private cloud also we have now acquired inventories onboarded for these core banking as well as the requisite platform.

To take care of cyber security, we are coming up with various new initiatives. We have taken the advanced cyber SOC, advanced technology for customer data protection in line with the requirement and we have created Analytic Center of Excellence for the usage of data for the data

governance, the customer CRM model as well as the CMS, Cash Management Service. We are in the pipeline, for on boarding the customers already RFPs are floated just last minute of finalizing the vendors. Same way we created two generalized positions for the fintechs and government partnerships we have done couple of a partnership with some fintech as well as the governments. I think now.

Shri S.L.Jain , MD & CEO: We are open for question and answers.

Anand Dama (Host - Emkay Global): Yes, thanks. Thanks for the update. So first question that I had was, basically in your presentation, you have given a domestic NIM. Is it possible for you to give the overall global NIM?

Shri S.L.Jain , MD & CEO: Okay. That we'll provide. Meantime, you can ask the other questions. No problem.

Anand Dama (Host - Emkay Global): Sure. I think there are lot of questions which are lined up and Mr. Ajmera has raised hand from long time now. Yeah, Ajmera ji you can unmute yourself and ask your question.

Ashok Ajmera, Analyst: Yeah. Good evening, sir

Shri S.L.Jain , MD & CEO: Good evening.

Ashok Ajmera, Analyst: Am I audible?

Shri S.L.Jain , MD & CEO: Yes, sir.

Ashok Ajmera, Analyst: Sir, congratulations to you and the entire team for the yet another very good quarter, fantastic results on all the parameters, whether it is operating profit, net profit, asset quality, reduction in the gross NPA, net NPA, percentage wise also. But having said that, I've got just a couple of observations and some questions. One is to take it a big step with the digital topic only. What is our total digital spend budget for this FY'24, and out of which, how much are we going to have the CapEx and how much percentage wise is going to go through the P&L? This is my first question.

Shri Mahesh Kumar Bajaj , ED: Yes, Sir. Last three years , we have spent almost Rs.1,500 crore, yes, 50% in capital and 50% in revenue side. This year our target, our budget is Rs.570 crore , out of that capital is Rs .395 crore and the P&L side is Rs. 170 crore. And we have already done almost Rs .124 crore is already spent.

4

Ashok Ajmera, Analyst: Okay, Sir. Quite great, Sir. Sir, on the recovery front from the written - off account and over all recovery also, I think this quarter has been little muted. What is the overall recovery target are we going to meet that for FY'24?

Shri S.L.Jain, MD & CEO : Ajmera Ji our target at the beginning of the year we said that it will be Rs.8,000 crore, so Rs .2000 crore per quarter. We ended Rs.2008 crore. So we are achieving our target and going forward also we'll achieve our target. What happens this time is I guess I mean recovery which is coming in a normal accounts by way of upgradation by way of cash recovery even y

ou have seen, we have seen that even the restructured account we upgraded. So overall recoveries there for Rs. 2000 crore. Second point is that if the recovery you get a 100% but if we have a recovery over 95% because our PCR is 95%.

Ashok Ajmera, Analyst: Yes, sir. Our performance on the treasury front is also excellent in this quarter going forward. And you said that you have increased your AFS book modified duration also. So going forward, how do we see on the treasury front going forward considering the muted rate of rate hike or are we comfortable with this increased modified duration in AFS book?

Shri S.L.Jain , MD & CEO : Yeah, let me tell my philosophy and how we are working in treasury book right. So we are having one leg Rs. 91,000 crore of our treasury book. Of this around 26% is in AFS and 74% is in HTM, we have shipped around 2% as added in a AFS book, first point. Second point is that we are moving from the low interest rate to a high interest rates. So what we are doing, we are continuously churning our portfolio AFS book, HTM you have a limited scope. The interest holding yield of AFS plus 6% in June '22 last year which we moved to date to 7.27%. It means we have huge earnings some of the assets, which were carrying low rate we have shifted sold out and create here a new asset and as a result, what will happen going forward bank will continue to get a good NII is a one point. And second point is that what is thinking that when the interest rate will come below around between 7.0 to 7.5 we will start selling. We have built a portfolio between 7.15 and 7.20, 7.30, and the modified duration also. So this is the opportunity for us in the future to earn from that book. And that is our philosophy. As a result, a point of the modified duration, which was 1.98 in March has become 2.88. So, MD has also increased and as for the holding yield is also increased and so far the current rate is 7.08 so this is opportunity for us.

Ashok Ajmera, Analyst: It's a fantastic. You are Chartered Accountant and you have got a very good treasury team along with you to manage. So, we are impressed with that and it is showing good results also. On the credit side, credit growth also now again this quarter has been I think around 2% and against the overall guidance I think 13%, 14%. So going forward we will be able to meet the credit growth and from what I mean the composition of the RAM and corporate book will remain same?

Shri S.L.Jain , MD & CEO : So, you see that the two things, you see our composite part 61% in June also today also it is 61%, growth RAM 13% this quarter growth RAM 13% last. So we are totally growing in a planned way because we want to have our margins also. I told, continuously telling that we are very margin conscious bank right and it is reflecting in our NII income. So, in retail agriculture MSME is giving us a margin at the same time corporate huge opportunities are there. Now today you see the political stability, geopolitical relationship, all macros are in favor of country . So, a good time for financial institution or banks to grow and we too are growing. And that growth opportunities are coming from all sector, whether it's steel, or cement, or textile, city gauge or advanced metering, or NBFCs or even the road. So but we are selectively moving of

5

those and creating a good portfolio where there are not only margins but the risk is spread. You see even over there is one slide I've given slide number 11 where we talk about how we are moving in a corporate rate so that you see entire incremental growth is happening through that. AA and AAA, the growth is from that, so we are very selective on that way and growing and also getting margin.

Ashok Ajmera, Analyst: So my last question in this round is on ECL provision have we calculated like last time also we discussed? And how much buffer already have in our books, extra provision, incl

uding maybe COVID buffer also? So are we are fully equipped to take care of any challenges, any contingencies in future whenever it is finalized?

Shri S.L.Jain , MD & CEO : So in ECL basically to my mind of course the guidelines are yet to come from the Reserve Bank. Stage 3, Stage 2 and Stage 1, I said, right? So Stage 3 is NPA. Our provision is substantially higher than the required because 95% is there, even excluding TWO it is also 88%, 89% excluding TWO substantially higher. Stage 2 is restructured book. We have built a provision of 25%.

Ashok Ajmera, Analyst: Yeah.

Shri S.L.Jain, MD & CEO : Today in our book Net NPA is Rs. 3000 crore and standard asset provision is close to Rs. 7,000 crore.

Ashok Ajmera, Analyst: And on the SMA book?

Shri S.L.Jain , MD & CEO: SMA2 also we are having a provision. So we are having may be around Rs. 1,000 crore or Rs. 900 crore to Rs. 1000 crore over. So we are having up provision in all categories. So Bank is basically very sound as far as the balance sheet is concerned.

Ashok Ajmera, Analyst: All right, sir. Thank you, sir. I'll come back again sir.

Shri S.L.Jain , MD & CEO: So, yes, from ECL point also as and when the guidelines come, we will see otherwise till guidelines come I can't say today but we are having adequate buffers.

Ashok Ajmera, Analyst: Yeah, that's only we wanted to be assured . Thank you, Sir.

Anand Dama (Host - Emkay Global): Next question we'll have from Mona. Mona, please unmute yourself.

Mona Khetan , Analyst: Yeah. Hi, sir, good evening, and congrats on a good set of numbers. I just have two questions. So firstly, on the agri gold portfolio and overall gold book which has been growing pretty good in your case, if you could give some color in terms of what are the yields here, what are the LTVs and what's sort of your branch network of Rs. 58,000 or so is enabled for gold lending?

Shri S.L.Jain , MD & CEO: My total gold loan book is around Rs. 64,000 crore out of the Rs. 64,000 crore Rs. 57,000 crore is in agri, around Rs. 5,000 crore in the retail and around Rs. 1,500 crore is a MSME so put together is Rs. 64,000 odd crore. How we are doing this business, the point is one is that we are having a 650 gold shops where we have given manpower and then gold loan champions. We have given carat meters also to see that quality and now we have digitized the journeys as well. What happens in our people every day one branches giving 20 loans, 30 loans, huge loans they are giving. So to have a better turnaround time and also to

6

manage that risk we have started a digital journeys and every day this journey has picked up on Rs. 5,000 crore book we have created in the.

Shri Mahesh Kumar Bajaj, ED: Yes, per day Rs. 200 crore.

Shri S.L.Jain, MD & CEO: Yes, around Rs. 200, Rs. 300 crore, Rs. 200 crore of gold loan is happening and going forward it will happen entire gold loan slowly will become digitized. In addition to the other branches are also therefore doing gold loans, so maybe around 1800 to 2000 branches are doing the gold loan business 650s mainly in. So we have trained the manpower there and we keep on training those manpower and managing the asset. So that way we are managing our gold loan book.

Mona, Analyst: And what would be the yields and LTV for the gold book?

Shri S.L.Jain , MD & CEO: It's still around 8.6 to 8.75 that is a one -year MCLR generally so 8.6 and we are doing this business not from today from years together, decades together.

Mona, Analyst: Right. So you mentioned about 1800 to 2000 branches that enable for gold lending of which 650 are special ones or rather focused ones. So was this 1,800, 2,000 number, I mean, 2 to 3 years ago, the same network was enabled?

Shri S.L.Jain , MD & CEO: We are increasing. What happens we have become expertise in this kind of business and this kind of a business was mainly doing in the southern part of

the country.

What happens after amalgamation we have trained the people of other parts of the country as well. Suppose I'm telling Rajasthan, Udaipur is doing this business because the managers who come here, we trained them and they start doing business and slowly, the portfolio is growing there as well. So likewise this gold business we are also making people expertise in SHG lending, SHG is a big lending opportunity in the southern part. Now, we have moved SHG also in Orissa, even in Assam, even in Rajasthan, slightly in Bengal as well. So, these are business. And here in SHG we are having 50 SHG branches even for managing this kind of business. So, SHG we are having Rs. 14,000 crore of our portfolio which is growing at 40% plus. So these are business where we are actually training the people, monitoring their performance and managing the risk.

Mona, Analyst: Got it. So how many branches are enabled say 2 to 3 years back in your case for Indian Bank?

Shri S.L.Jain , MD & CEO: So, we keep on increasing, madam. Numbers exactly it is very difficult to give on a year-on-year how we are in, but what is supposed we have is we train 400 managers on this business. So what we do, we call up managers from the northern part or say opposite want to go Orissa we call them sent to that those branches there SHG businesses and then we will give them theoretical training and again practical training and then they will start doing business.

Mona, Analyst: Got it, Sir. Thank you. The other question was on you mentioned around SMA, against SMA 2 you have provided about Rs. 900 crore to Rs. 1000 crore provisions, so is it part of the and restructured provisions that you additionally made or it's outside of the PCR and restructured provisions?

Shri S.L.Jain , MD & CEO: This is outside.

Mona, Analyst: Okay, thank you. That was very useful.

7

Anand Dama (Host - Emkay Global): Thank you, Mona. Our next question we will take from Hardik. Hardik, please unmute yourself.

Hardik, Analyst: Yeah, a couple of questions. Firstly on this gold loan portfolio, so what kind of standardization process to just to make sure that any fraud or that thing doesn't happen at the branch level? And I think the second question regarding the business yield, so in gold loan predominantly it was market catered by either the unorganized players or the NBFCs and both of them had a yield of ranging from 15% to even 20% to 24%. We can slightly increase the yield on this portfolio with such kind of growth.

Shri Mahesh Kumar Bajaj, ED : Yeah, as far as you're talking about the standardized process, yes, because our MD sir was telling, we have decades together Indian Bank has got expertise in this agriculture loan business. So now after in this starting the digital journeys, so the process is totally digitized either it can be done through the mobile or through website or branches its a journey also even customer who doesn't use the digital channels, he can come to the branch and again the journey is total digital. Then we have the experts sitting over there in the branches who assess the gold purity and the cartometer also have been provided to 650 shops. So over a period of time we got the expertise. And the verification is also done when through over inspection center and even the person from other banks that goes and do the inspection so that verification checking and rechecking is done at a regular interval to ensure the quality of the gold.

Shri S.L.Jain, MD & CEO: So we have a process of checking, rechecking and again on a quarterly separate team rechecking.

Hardik, Analyst: Got it, And any thoughts on yield on this book?

Shri S.L.Jain , MD & CEO: No, the market is very competitive I'm telling and the quality of people which we take are different than the yield and they go in prior to the country we are doing in the place where we have branches and all, we have a strong room,

we have all controls.

Hardik, Analyst: Okay. Now my second question was regarding the provisions, so this quarter again we have done Rs. 828 crore provision for standard advances. And now over NPA provision is only Rs. 930 crore this quarter and already our net NPAs are hardly Rs. 3,200 crore. So do you foresee that over next few quarters also we were doing the provisions for standard advance or you pitch that we have created the enough buffer and therefore even that provisions can go down?

Shri S.L.Jain , MD & CEO: Now, my point is, of course you are very right that we are having an Rs. 3,200 crore of a net NPA. So the provisioning requirement will be substantially less going forward on this book. Right. There is no second opinion on that. So standard asset provisions. So we keep on reviewing portfolios on a quarterly basis, not only we, our risk management committee also review this portfolio and take a call on this, take a call on this whether to have or not.

Hardik, Analyst: Okay, thank you.

Anand Dama (Host - Emkay Global): Yeah. Thank you, Hardik. Our next question we'll take from Mahrukh. Mahrukh, please unmute yourself.

Mahrukh, Analyst: Yeah. Hello, sir. Good evening.

Shri S.L.Jain , MD & CEO: Good evening.

8

Mahrukh, Analyst: So my first question is that how much of deposit and MCLR repricing on loans is still pending?

Shri S.L.Jain , MD & CEO: No, madam, you see, I'm answering in a different way. You see the cost of deposits of the Bank which is 4.60% in June front. 3.85% was a cost in the June '22, 75 bps is the cost increase, one point. Second point, if you see the bank's balance sheet, general, not to mine, to any balance sheet, 40% is a CASA and 60% is term deposit. RBI has increased the interest rate to 250 bps. We have increased our deposit rates anything between 1.6% or 1.7% to 2.1%. On an average I'd say suppose take 2% on a 60% , 1.2% is a maximum at the peak . So 3.85% plus 1.2 % is a peak 5.05 % , that is a peak. But depends on your duration of your liabilities, that is a peak. But you see 75% is already there. So slowly, slowly what happens it will not be so high but quarter -on-quarter will be increased. So how to tackle this issue? How to tackle this issue is the one we have moved our advances from Repo to MCLR. Now presently, last time I told 59 or it has become 64, so what happens these assets are also will come for repricing and we'll give better return as compared to the last time. Second one I told that I've churned my investment portfolio and AFS yield from 6.02 or something 7.27 or 7. So that will give and third one is a growth in advances, these three will give additional NII. And here the major part is being taken care and you also know that deposit rates have become soft from March to today. So the hike will not be so much because for 4.33% to 4.6%, 27bps hike we have seen in the quarter, it will not be so steep going forward. So, considering this and the deposit repricing we are told that we'll be able to protect the margin and you see that in three, even up increase your margins have improved.

Mahrukh, Analyst: Got it. And, sir, I have two other questions. One is what is your total stock of standard provisions other than the RBI-mandated provisions? So whatever you have on restructured or SMA or any other standard category other than that 0.4% that RBI mandates?

Shri S.L.Jain , MD & CEO: Madam, we are having around close to Rs. 7,000 crore, Rs. 6,800 crore some odd crore of a standard asset provisions. So major part of this is a basically we have taken a higher provision as a buffers, majority of this. But fact remains you see on one side by gross NPA is Rs. 26,000 crore right and net NPA is Rs.3,000 crore , so 23,000 crore provision, 23,000 plus 7,000 , 30,000, 30 divided by 26, it is I think 120%.

Mahrukh, Analyst: Yes. Got it. Okay, sir. Got it. And, sir, yes, the last question is your view on

deposit competition, right, because in the first quarter while of course there could have been volatility in rates and then some easing. In the first quarter a lot of banks have not grown deposits and as the busy season picks up there will be a lot of deposit growth, HDFC Bank was also silent in the first quarter and begin to ramp up. So in this context how do you see deposit growth and incremental deposit rates panning out?

Shri S.L.Jain , MD & CEO: No, madam, let me tell you. What we have told in the beginning that we'll grow 8% to 10%. This we have to grow. There is no second opinion , right. Otherwise, we will not be able to fund our credit growth target, this we have to grow. Now at this point of time, my CD ratio is 77%, I'm still having Rs. 35,000 crore of a excess SLR, my LCR book is 131%. So I have liquidity. So going forward what we level as we'll create more assets naturally we need more asset . So at this time raising money at a higher rate doesn't make much sense to your margin, right. So we are maintaining 77%, 78% of a CD ratio but deposit side we are working very hard on the the retail deposit side. So retail deposit side we have opened 20 liability acquisition centers also, we have now started NRIs with this also. We have started cash management. All will give me deposit. We have come out with product insurance linked products, we are focusing on salary

9

account, we have been focusing on family accounts, the number of things we are doing, but the result will slowly slowly will come . But I can grow more also but you have to give 10, 20, 30 bps more. So as and when the opportunity comes , there is no point that deposit is not available . You give 10%, 20% you'll get more deposit. So all is a conscious call we are taking.

Mahrukh, Analyst: Got it, sir. Got it. Sir, these were my questions. Thank you so so much. All the best

Anand Dama (Host - Emkay Global): Yeah. Thank you, Mahrukh. Next question we'll take from Sushil Ji. Sushil, please unmute yourself.

Sushil, Analyst: Congratulations to Indian Bank management team and thank you for taking my question. Most of my questions have been answered. Sir, my last question to you or the first question. So you've spoken everything in a transformation happening in Indian Bank under the current management and your leadership. Can you elaborate more like last quarter how much have you achieved in transformation, how would you like to see over a period of next one year and where Indian Bank would look in the transformation journey for years to come?

Shri S.L.Jain , MD & CEO: So first digitization , our colleague, Bajaj already told. So we have launched the journey. What happens slowly slowly the business will pick up and we are doing lot of things in core side, we are doing on the customer side and middleware, omni channel or CRM.

The number of things we are doing so that naturally it takes time, Sir, but it will happen, one side. Second side is that your revenue side, so we are starting this cash management already, we have floated RFP and now the cash management business will start. Likewise, we have recruited people for the remittance business, what happens majority of the remittance are taking place in the southern part of the country, and through NRI also the number of deposit firms you get a housing loan and all proposals. So we have started this remittance business, NRI business and totally we have recruited people from the market as well, the second part of that. Third part is that the subsidiary license which we have got. Already yesterday we have finalized our consultant everything because you know 2 or 3 month takes in public sector we have to float RFP, recruit people, onboard the consultants. So everything we have completed. And now in the next 3 to 4 months I think subsidiary should take place. We will start recruiting the people and all. So these things we have started and a nu

mber of places we have technology tie-up, alliances with various government departments as well for there, funding distributions because government too spending the money for a number of LPs schemes. So we have done this. In various state headquarters, we also opened our government relationships.

So number of things we have done, slowly the benefit will start accruing. In the meantime, our core business is growing, this is how we are making ourselves ready for the future. So, going forward, you will see that our digital business will increase, already we are at Rs. 9,000 crore or Rs. 10,000 crore, we started, slowly in the next quarter it will further improve. Starting will take time, sir. And here, we came in retail side, agri side, in MSME side, even in the liability side all side journeys we are coming. So benefit will accrue, subsidiary will come, cash management will start, the remittance will start going forward. I am saying that everything should contribute to our bottom line as well as bank will become more digital friendly.

Sushil, Analyst: So your geography, which is more of Southern India pre-merger and post-merger also you have a higher dominance. So get to tailend to market your products whether you are marketing one product, two products or you will target three products, how will your

10 productivity in terms of empowerment of human talent which you would you like to hire and cross-sell? Are you on the journey of achieving in next 12 months or it will take a longer time?

Shri S.L.Jain, MD & CEO: No, the benefits should start accruing within 12 months and it will be scale up in time to come, but the benefits will start accruing. If happens first time, first year it is less, second year it multiply, actually it multiplies.

Sushil, Analyst: So the fruits will be visible over a period a number of years and it not necessarily in the next 12 months, that's what your answer?

Shri S.L.Jain, MD & CEO: No, no, fruits will start. You will see the fruits.

Shri Mahesh Kumar Bajaj, ED: You will see them. We already started seeing the fruit. Yeah. We already started seeing the fruit.

Sushil, Analyst: Sir, the second thing is the government business potential because you're Tamil Nadu centric bank you have good presence in entire eastern coast and southern states and the kind of activity which is happening on manufacturing in your state and the geographies where you are present, are you seeing more kind of corporate demand or MSME demand in term loans working capital?

Shri S.L.Jain, MD & CEO: Yeah. You rightly said, sir. That is why Mid corporate growth is around 18%, 19% because we are growing on more mid corporate also that this is giving a better margin.

Shri Imran Amin Siddiqui, ED: And one more correction, we are now not Tamil Nadu-focused bank, we are now having presence in Northern part quite good presence. And east, also we are having good presence. Post merger we are having good business.

Sushil, Analyst: Thank you, sir, and all the best, and thank you for taking my questions.

Shri S.L.Jain, MD & CEO: Thank you. Thank you so much

Anand Dama (Host - Emkay Global): Yeah. Thank you, Sushil. The next question we'll have from Mr. Narendra. Please unmute yourself

Narendra, Analyst: Thank you for the opportunity and congratulations on a good set of numbers. So you said that you are expanding, so is there any guidance value we'd like to do on the cost-to-income side?

Shri S.L.Jain, MD & CEO: So cost to income was 44.20% last year and cost to income in the current quarter is also 44.22%. At the beginning of the year we said that we'd like to maintain cost income ratio at that level. So we'll able to maintain this quarter at 44.22%. So, going forward, our endeavor will be to maintain that kind of cost ratio.

Narendra, Analyst: And the same as the case with the mean than the credit cost too, sir?

Shri S.L.Jain, MD

& CEO: Which one?

Narendra, Analyst: Main than the credit cost?

Shri S.L.Jain, MD & CEO: Credit cost will come down. Credit cost it was June 2022 2.02%. Then 0.98 in March, then 0.82 in June and net NPA is 0.7 actually credit cost will come down.

Narendra, Analyst: So any kind of number we would like to know?

11

Shri S.L.Jain , MD & CEO: Should be less.

Anand Dama (Host - Emkay Global): Thank you. So we'll have last question from Mr. Ajmera.

Ashok Ajmera, Analyst: Thank you very much for giving me the opportunity again. Sir, just a couple of questions in this round. One is that are we seeing any impact on this recent floods happening, whether any immediate impact because it is devastating many of the states and many of the cities. So are we seeing any impact of that?

Shri Mahesh Kumar Bajaj, ED: So flood is happening in Gujarat or Himachal, right, Western

Shri S.L.Jain , MD & CEO: Even some part. But you see the immediate impact will come on the agriculture side on that side, so we are basically having a good collateral, good securities and so not much impact I'm seeing sir considering all presence and all. Exact data of course will come and then we'll be able to analyze.

Ashok Ajmera, Analyst: My second question, sir, is on our recovery scheme in that are we aggressively on the OTS.

Shri S.L.Jain , MD & CEO: Yes, sir.

Ashok Ajmera, Analyst: Then going to NCLT and other

Shri S.L.Jain , MD & CEO: No, always recoveries is more in OTS than NCLT. So we are and you see our numbers, OTS numbers are also inclusive.

Ashok Ajmera, Analyst: So what is that composition of recovery through OTS?

Shri S.L.Jain , MD & CEO: So OTS is around, what happens if you do, big OTS big number will come, it was possible around at Rs. 236 crore, Rs. 240 crore of a number we have to see, but we are having already OTS approved around Rs. 700 odd crore in hand.

Ashok Ajmera, Analyst: Any Policy on non-discretionary OTS?

Shri S.L.Jain , MD & CEO: Yes, we are having a non-discretionary, non-discriminatory OTS for MSME, for Education loan we are having sir.

Ashok Ajmera, Analyst: And the last throw some color on overall HR initiatives and HR developments and that going forward, how do we plan to manage our costing by hiring new people for various digital banking and various other initiatives which we are taking, so can you give the color on the overall HR policy?

Shri S.L.Jain , MD & CEO: So, I'm telling you sir, in HR basically what happening we are having 40,000 plus employees and average age is 38 years and we are having good employees, we are continuously giving them promotions as well. Now going forward what happens for the new business you need to have a good manpower. So we have a board-approved policy there and we can hire the people from the market as well. So if you see my total salary expenditures and all for the bank as a whole we are having around Rs. 7,500 crore of expenditure last year. If this 1% of this expenditure, which is Rs. 75 crore, if I can recruit 20, 25 people, 30 people, even then we can do good business because new people will come, new business opportunities will come. So and what will happen when you have people who understand the business then 99% people will follow and the grooming will happen in the bank. So going this philosophy we have recruited people for that IT, we have recruited people in the cyber, we have recruited people in cash management,

12

remittances. We are doing that. The one part, we are doing. Second part is that even in the various cadres, scale three, scale four we are recruiting people laterally also because we are taking Chartered Accountants, MBAs, experience people, Risk Management people so that also we are taking lateral recruitment we are doing, we are taking officers at different levels. We are taking people at clerical cadre, right. So all because we need expertise

in all field because it gives

opportunities in the trade finance, imports, exports, credits away countries opening naturally they will reduce requirement of that trend manpower, this second.

Third one is, we are also giving training to the people not only in our policy, we are sending our people to various other colleges also for their continuous learning. So around 750 people this year we are training more on the credit side and all, this is one. The fourth one is that we have done, we have changed the entire system, last year we came out with the performance management system, wherein we have given the target for each and every officers, earlier the targets was only for branch now each and every officer has target and they can see their target on their mobile even in the laptop and improve their performance and this yearly APAR score is based on the target they achieved.

So in performance management system also by giving targets we have seen that the productivity of the people are increasing, because when you monitor each and every people and they also understand that by doing this their scores are better naturally the productivity increases. So from this angle, then training angle. So from various angle we are making our people ready for business because to my mind for a banking you need a technology, you need a talent and the grooming of the people. So we are working on that and from last one and half years BCG consultant for management system we are working continuously with them as well.

Ashok Ajmera, Analyst: And the foresight also?

Shri S.L.Jain , MD & CEO: Yeah.

Ashok Ajmera, Analyst: You are working very well doing on all the fronts and that is reflected in our stock prices also recently and I think it's still it is underprice according to me. So we will see again in the next quarter. Thank you.

Shri S.L.Jain , MD & CEO: Thank you. Thank you, Ajmera ji.

Anand Dama (Host - Emkay Global): So with your permission, we can take one more question from Mr. Rakesh?

Shri S.L.Jain , MD & CEO: Yeah, please

Anand Dama (Host - Emkay Global): Yeah, Rakesh please unmute yourself. Rakesh, please ask your question. Rakesh, we're not able to hear you. Sir, meanwhile, if you can just provide the global NIM number that I basically asked for

Shri S.L.Jain , MD & CEO: 3.56%.

Anand Dama (Host - Emkay Global): 3.56%, and si r, if you can put that into the presentation also next time that will be great.

Shri S.L.Jain , MD & CEO: Next time we will put, Next time we will present.

Anand Dama (Host - Emkay Global): Sure. And so, Rakesh, are you able to see?

13

Rakesh, Analyst: Yeah. T hanks. Thanks. Thanks, sir. Very excellent set of numbers on multiple front, asset quality, margin and very balanced and prudent growth that we are doing. So one of the best results even the all banks in this quarter. Sir, just one question, is there any c hange in the PSLC income recognition with reference to the notes of accounts number three?

Shri S.L.Jain , MD & CEO: Yeah, I clarified at the beginning what happens earlier we used to book the income based on the realization basis. So you see last year my first quarter income was Rs. 298 crore, second quarter was Rs. 111 crore, third quarter Rs. 37 crore, and Rs. 41 crore fourth quarter so this is a uneven growth. But in fact we sell the PSLC for a year. So what we thought, it is not better that we book based on the realization second we believe in a consistent performance, sir, consistently we should perform.

So as last year income was Rs. 479 crore of course in the first quarter was only a Rs. 298 crore. In the first quarter this time we have done a good job and we have Rs. 600 odd crore of income. So we thought and just better that we should book based on accrual basis of accounting and therefore Rs. 152 crore of income we have shown first quarter and naturall y next three quarter will be Rs. 150 cror e ea

ch plus the income we generate in the remaining nine months and that will be amortized over the remaining period.

Rakesh, Analyst: Got it, sir. Thanks, many thanks. Thanks. All the best for the future performance.

Shri S.L.Jain , MD & CEO: Thank you.

Anand Dama (Host - Emkay Global): Yes, thank you, Rakesh. So that will be all, we don't have any further questions if you have any closing remarks to make.

Shri S.L.Jain , MD & CEO: Thank you. Thank you, all the investors and analysts for your continuous supp ort and guidance to us and investing time on us and we will be trying our level best to do better in the time to come. Thank you.

Shri Mahesh Kumar Bajaj, ED: Thank you, everyone.

Anand Dama (Host - Emkay Global): Thank you and best wishes to you sir, have a nice evening.

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For Indian Bank

Indian Bank Q 2 FY'24 Results
Post Earnings Conference Call / Meet
Held o n 26.10.2023

Management:

Shri S.L. Jain
MD & CEO

Shri Imran Amin Siddiqui
Executive Director

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Moderator:
Shri Anand Dama
Analyst, Emkay Global Financial Services

1

Anand Dama (Host - Emkay Global): Thank you sir for providing us with the opportunity to host this call. Good Evening everyone, today we have the entire management team of Indian Bank where we will discuss the Q2 results call, as well as the outlook on the growth, margins and asset quality going forward.

We first welcome Shri Shanti Lal Jain, MD & CEO, Shri Imran Siddiqui, Executive Director, Shri Mahesh Kumar Bajaj, Executive Director, Shri Ashutosh Choudhury, Executive Director and Shri Shiv Bajrang Singh, Executive Director from Indian Bank. I request Sir to first briefly give us the highlights of the Q2 results and thereafter we can take some time basically for the outlook on the growth, margins and asset quality going forward.

Shri S.L. Jain, MD & CEO: Thank you. Good evening all analysts and investors for joining post results Con Call for Q2 FY 2024. Our business has grown by 10% and reached to RS. 11.33 Lakh crore in September 23. Our deposit has grown by 9% and reached to RS. 6.41 Lakh crore and credit has grown by 12%. Under deposits, the saving deposit has grown by 8% and the term deposit has grown by 10% and we could maintain the domestic CASA more than 41% in the current quarter. In credit side overall RAM component has grown by 12%, while corporate has grown by 12%.

Under RAM, Retail has grown by 14% and under Retail, Housing Loan has grown by 13%, Auto Loan has grown by 36% and Personal Loan by 49%. Likewise, in the Agri side, we have grown by 16% and Crop Loan has grown by 17% and 75% of the Crop Loan is a Gold Loan which is growing by 28%. The SHG has grown by 41%, Agri Allied by 46% and Investment Credit by 11%. MSME has grown by 5% and Corporate has grown by 11%.

But in case of Standard Corporate, our growth was around 14%. Likewise, the Mid Corporate has also grown by 11%. So, this is on the business side. As far as our profitability is concerned, our Operating Profit has grown by 19% on YoY basis and sequential by 4%. Our Net Profit has grown by 62% and sequentially 16%. The Operating and Net Profit has grown on the strength of NII, which has grown by 23% and the Non-Interest Income has also grown by 9% and under the Non-Interest Income, our fee-based income has grown by 11%. Processing under fee-based processing has grown by 17%. PSLC income has grown by 52% and Rs. 336 crore is unamortized which we will consider in the remaining Q3 and Q4 and bad debt recovery has grown by 6%. As far as our asset quality is concerned, the Gross NPA has come down from 5.47% to 4.97% 50 bps reduction and the Net NPA has come down from 0.7% to 0.6% while PCR improved from 95.10% to 95.64%. We maintained the trend of recovery more than the slippages. In the current quarter, the slippage was around Rs. 1,976 crore and the recovery was Rs. 2,265 crore. So last year also our slippage was Rs. 6,642 crore and the recovery was Rs. 8,504 crore. In the last half year, total slippage was Rs. 3,730 and the recovery is Rs. 4,272 crore as a result of which our GNPA/NNPA has come down. As far as our SMA 1 and 2, it has come down slightly

more than Rs. 5 crore and we are maintaining the collection efficiency of 95%. As far as restructured book is concerned, it has come down to Rs. 9,980 crore COVID restructuring and we are having around 27% provision there against.

2 So asset quality, whether SMA 1 and 2, NPAs and Restructure book, all are coming down. As far as capital is concerned, we are at 15.53%. We have not added the six months profit. If we add the six months profit, it will improve by around 1%. So 16.53%. We started from 16.49% in March and up with Profit 16.53%, which shows that our generations

are adequate to take care of our growth because in spite of around RS. 12,000 crore or 13,000 crore growth, our Capital Adequacy is intact.

As far as our treasury is concerned, we have added around Rs. 13,000 crore in treasury in the last quarter and as a result, our holding on yield which is on AFS Book is around 7.30% and virtually we are protected up to 7.27% and here around a Modified Duration of AFS and HFT is 2.84% and out of around Rs. 2 lakh crore of treasury book, Rs. 1.47 lakh crore is HTM and Rs. 0.56 lakh crore is AFS. As far as digitization is concerned, I now request my colleague Mr. Bajaj to talk about digitization. What we are doing but besides that, we have opened around 38 branches in the first half. Over all, RRBs are doing exceedingly well. Their business has grown by 21%. Their Operating Profit is 16% and the Net Profit is 36% in half year and all 3 are having Net NPA 0 and our joint venture Sampo so far is also having a profit of Rs.123 crore in the first half as against Rs. 85 in the last year. Likewise our subsidiary Ind Bank -Merchant Bank is having a profit of Rs. 3.87 crore as against Rs. 1.16 crore. So all our Joint Ventures, Subsidiaries and RRBs are doing well. Now I request Mr. Bajaj to discuss about the digitization where we are in our digitization business and where we are focusing.

Shri Mahesh Kumar Bajaj, Executive Director: Thank you Sir. Good evening everyone. As far as the digital transformation initiatives are concerned, we started almost 18 months back. So till 30th September, we have done almost 63 journeys. Out of that more than 45 journeys are pertaining to the digital lending platform, and it has started yielding result also last half year we did close to Rs. 376 crore of business and this half year we have close Rs.29,000 crore business.

Where as in the Retail side, we have done close to Rs.2,500 crore, agriculture Rs.18,700 crore, MSME Rs.3,000 crore and liability business Rs.5,000 crore. So put together even the last year, entire last year it was Rs.5,600 crore and this year first half itself is close to Rs.30,000 crore. We have already done more than 45 journeys and this quarter we are planning to launch another 12 journeys pertaining to the digital lending platform. As we have already told, the business in this quarter, itself done Rs. 30,000 crore, whereas the last quarter we did Rs. 9,000 crore business.

On the DLP and Omnichannel front, the Omnichannel last quarter also we were saying that we are going to launch, and on 15th August we have launched the omnichannel for the closed user group and so we are testing the ground before going to the public. So next three to four months, we'll be doing rigorous testing and then we'll go to the field.

On the digital channel business, the YoY growth on mobile banking is close to 47%. Transactions on the mobile banking have grown up by 17%, UPI users have grown 34% YoY, UPI transactions have gone up by 65%. Net Banking User YoY growth is 37%. Debit Card users grown 16%, Credit Card user grown 10% and as far as the UPI QR code, it has gone up from 4 lakh to 39 lakh and the UPI QR code transactions we have gone up since last half year which was Rs. 108 lakh, and this year we are at

3 Rs. 998 lakh, i.e close to ten crore. With that we are now open to questions.

Shri S.L. Jain, MD & CEO: I will add two three points basically which is very important. So the domestic margin is 3.52% as against 3.61% of the last quarter. There is a reduction of margin of 9 bps. This is because of increase in the cost of deposit first point and second is that there is an interest reversal of some KCC account around Rs. 261 crore impacting

margins by 12 bps. At the beginning of the year we said that we will be able to protect our margin of 3.41% which was similar to the FY23 margins.

We are presently at 3.57% - we told 3.41% add or less 10 to 15 bps and we are near to that. On the deposit front, we told at the beginning that we will grow in the range of 8% to 10% and so we are at 9%. All our guidance, advances by 10 -12% we are currently at 12%, GNPA below 5% we are at 4.97%. We guided that NNPA will be lower than 0.9 % and we are at 0.6%. RoA we said will be around 1% and now we are at 1.01% and Cost to Income Ratio, we said it will be around 44% and we are at 44.29% and Credit Costs, of course we said 1.25% we are at 0.81%. The Slippage Ratio we told about 1.5%, while we are at 1.67%. So we have delivered in -line or better than our guidance. Now, we are open for questions from the audience.

Anand Dama (Host - Emkay Global): Thank you for the elaborate guidance sir. So, before we start with the call just wanted to understand your thoughts particularly on the credit growth and deposit growth front. So our deposit growth seems to be on the lower side. Our CASA also has come off a bit during the current quarter. Any strategy that you have to accelerate deposit growth and protect your CASA going forward.

Shri S.L. Jain, MD & CEO: Yeah, we have taken a number of steps in this regard. What happens is, that the deposits comes from salaried customers, existing customers, FI's customers, NRI customers, Institutions, Government B usinesses right. So what we have done from last about one and half year, we have created R & GR Cell which we call a liability vertical with government resources with six or seven centre which is at Lucknow, at Chandigarh, Calcutta, Chennai and various other centres. So we are getting a good business, government business and government deposits.

FI is one channel which is also giving us more than 20% growth even in the CASA. We have started our remittance business and NRI business. We have recruited the people and the results will start coming thereon. Fourth one is, what happens is we analyze 200 centers where our deposit growth is substantial in the system. We have already opened around 51 Retail Acquisition Centres and deployed manpower.

We have also come out with the various schemes like insurance free or some charges reduction on deposit anybody will give from the institutions or from the organizations we have developed various product for religious institutions, co- operative societies, and a number of sectors.

So we are working on a various sectors and that is why we will be able to maintain in this increasing interest scenario domestic CASA more than 41% and we will continue to work on that because going forward also we need to maintain that regime.

Anand Dama (Host - Emkay Global): What are your broader guidance on credit and

4 deposit growth for FY 2024 ?

Shri S.L. Jain, MD & CEO: So I will stick to that 8% to 10% deposit growth guidance which I had given in the beginning. So we are at 9% number and even the advances also 10% to 12% guidance - we are now at 12%. Generally, we are conservative in giving guidance.

Anand Dama (Host - Emkay Global): Sure Sir, we can start with the Q&A now. First question we have from Mr. Ashok Ajmera. Mr. Ajmera, please unmute yourself and go ahead.

Ashok Ajmera, Analyst: Thanks, Anand for giving me this opportunity. Good evening Mr. Jain and all the top management of the Bank sitting there. Sir as usual, rich compliments to you for the fantastic results on almost every parameter and achieving almost every target given. Having said that, I have got just a couple of questions and some observations.

One is Sir

, on the treasury operations our AFS book is increasing and has gone up to originally from Rs. 44,000 crore - Rs. 45,000 crore to Rs. 49,000 crore in last quarter to now Rs. 57,000 crore and modified duration also which used to be generally 1.8 to 2.25 has gone to 2.84 may be last quarter also it was 2.88. So can you give some

color on our overall treasury? What is the thought process behind it and how much are we making the money and whether it is a good idea to give a conservative statement for the credit growth of just 10% to 12% and putting more thrust on deploying money in the treasury.

Shri S.L. Jain, MD & CEO: So thank you Mr. Ajmera, you rightly observed that our AFS book has increased. We have intentionally increased our investment book because it is time to increase your Durations. Because, we know that going forward, the interest rate will come down and this is the right time you can invest at 7.30% to 7.40% between this rate we have invested this money and as a result our holding on yield has improved. So what happens is, this investment will continue to give us good return. We are adequately liquid. We are liquid even our LCR is 131%. So, we are liquid for the credit growth as well. But I am very margin conscious wherever we are getting good proposal and at good margins, we are moving ahead with this. So wherever the Asset Quality and Margins, both combination will happen we are with you have rightly said 2.88%. It has become 2.84%. So we have built up.

Ashok Ajmera, Analyst: The other question was coupled with that only Sir. On the credit growth side, our bank has got such an efficient management led by you and the very good underwriting standards, very good credit bottom to top line. But if you look at the growth on the domestic book it is only Rs. 8000 Crore on a book of Rs. 4,58,000 crore whereas the overseas book has gone up by almost about 16% - 17% to Rs. 4,837 crore, which gives a very small yield comparatively. So, some of the other banks of course one small one or two banks are giving even 20%, 22%, 24%. I will not say that. But can we not go for at least 14% to 15%, 14% to 16% and make some good money on that? Because I understand your AA, AAA rating is percentage wise has gone down because there you don't get the proper NIM or yield, whereas even there are scope for even A and some of the good BBB plus accounts also with a good underwriting standard, which you have, I think something on that

5 can be thought and this conservatism should be reduced and we should come to some realistic level of the credit growth.

Shri S.L. Jain, MD & CEO: No Sir, we are open actually. That is why I am telling you 14% to 15% in corporate. Virtually what happens is our NPA has come down substantially in the corporate book as well and Mid Corporate too is growing around 10% to 11% and we are open for all even BBB, A, AA, AAA all these accounts provided we get a good margin. You can see our NII growth is 20%.

Ashok Ajmera, Analyst: Looking at that only I am saying that if the book further expands.

Shri S.L. Jain, MD & CEO: We are open for expansion Sir. We are actually growing in a planned way. So our risk is spread, our return, Continuously, Bank can give continuously good result on a sustainable basis.

Ashok Ajmera, Analyst: Coming on that only in the unrated other than government unrated, it is almost about Rs. 10000 crore, Rs. 9962 crore. So those unrated other than the State Government and the Central Government accounts, which are those unrated accounts and whether agree, I mean, what is the composition of that?

Shri S.L. Jain, MD & CEO: I am telling you, what happens over 74% is BBB plus above right,

15% -16% is PSU total comes to 90% while the remaining 10% is basically the HLM's project where after completion you get a rating, or an Educational Institution, or Hospitals, or Contractors or LRD exposures and all, where you will not get a rating. Majority of these are Cash flow based lending.

Ashok Ajmera, Analyst: Just a small amount. But a question on this PM Svanidhi, it is a new product which is being of course aggressively marketed by all the banks. Almost about four and a half lakh accounts with outstanding of Rs. 586 crore. What is your experience even for us to know that on Svanidhi, how are we going and what is our experience on this account?

Shri S.L. Jain, MD & CEO: From the banking perspective, I am telling you, this is a committed disbursement, not outstanding. So disbursement is much, much lower

because there are three variants of PM Svanidhi . First is a 10,000, then 20,000 and then 50,000. First suppose you pay 10,000, then you are eligible for 20,000. If you pay 20,000, you are eligible for 50,000.

So there are three things here. First is an interest rate. You are getting good returns, 13% or so. Government of India is giving 5% or 6% subvention . Government of India is guaranting you. So from the bank's perspective, your asset quality is guaranteed, your return is guaranteed. You will increase your customer base.

So from the banking perspective, they have protected us from all angles.

Ashok Ajmera, Analyst: Okay, so on that, my last question in this round, Sir, is on our overall recovery prospects. If you combine with NARCL, some of the disposals coming forward NCLT and to the other ARCs, some plans for selling some assets or some accounts. Can you give some color on that? How do we look the next one or two

6 quarters remaining in this year?

Shri S.L. Jain, MD & CEO: Two, three things, we are continuously giving the improvement in the recovery. We decided that our recovery should be Rs.8,000 crore. So in the six month we are at a Rs.4,300 crore.

Second point is that this recovery NARCL, but what happened in NARCL is that around 41 account of Rs.8,900 crore has been identified.

We shifted around three accounts to NARCL and book balance of Rs.1,959 crores and some of the money we received, some of the NCD, OCDs we will receive and remaining eight accounts there we have received a bid.

So what happens when you receive a Bid, it goes to the Swiss Challenge, anybody can offer a higher rate than whosoever gives a better rate we will give to them .

So this eight, first we take from them and go for Swiss Challenge. Third is where we think that we can recover more. So this keep on hold. Some transactions we are keeping hold s o we are working on that but I am telling you we will have a recovery more than what we planned in the current financial year.

Ashok Ajmera, Analyst: Okay Sir, thank you very much and all the very best. If time permits I will come again with some data points.

Shri S.L. Jain, MD & CEO: Thank you. No issues, thank you

Anand Dama (Host - Emkay Global): Thank you, we will take next question from Minish Jathani .

Minish Jathani (Analyst): Hi Sir, Good evening and thanks for the opportunity. First of all, congratulations on the great set of numbers.

So my first question is on the asset repricing considering majority of our book which is MCLR linked. Just wanted to understand what percentage of overall advances is currently reflecting the existing MCLR rate and the balance when can we expect the repricing to happen?

Shri S.L. Jain, MD & CEO : As on date our 64% book is on MCLR. Last quarter also it was 64% which we are maintaining and around

31%- 32% is on Repo.

This book keeps on coming for repricing. May be around a Rs.40,000 odd crore will come in the current quarter for repricing. What happens today, my one year MCLR is 8.70% and prior to that it was less than 8%.

So this will come for repricing. In the mean time, some deposit will also come for repricing. So it keeps on happening but our endeavor is that we should be able to protect our Net Interest Income and the Margin.

7 Minish Jathani (Analyst): You said 40,000 Crore will come for repricing in third quarter and what could be expected in fourth quarter?

Shri S.L. Jain, MD & CEO : Then you see 64% of the book is that so Rs.5,64,000 crore right. Yes. 46,500 crore currently is coming. So virtually what happens Fourth quarter is Rs.46,500 crore .

Minish Jathani (Analyst): Got it. Got it, So second question is since large part of our book is MCLR linked and with interest rates now largely being stable so wanted to understand deposits will continue to reprice at their own pace. So what gives us confidence in maintaining the NIMs going forward?

Shri S.L. Jain, MD & CEO : So you see, RBI has increased the Repo Rate right. From May last year we too have started increasing our deposit rates, right? So what happens, majority of the deposits are in the bracket of one year to one and a half years. Majority of the or in fact our duration of our liabilities is 1.62.

So majority of the book has already been repriced ■rst or entire, your CD book, your wholesale book, your less than one year book, even the one year book has been repriced , small portion is again two year, three year, ■ve year it will come for repricing at a very small percentage.

So when your majority of book has already come for repricing, some may also come , but this MCLR will take care of all these issues. Second ly you see our treasury yield is also increasing. So all this give us a confidence that we should be able to protect our margin and the way we are doing Sir, our NII is growing.

Minish Jathani (Analyst): Got it, Sir. That was helpful. And my last question from my side wanted to understand the recovery number target expected for FY' 24. And also wanted to understand since the PCR is in a much higher range today, so that contribution to other income will continue at the same pace or we can expect some decline on that side?

Shri S.L. Jain, MD & CEO : So your point is that recovery at the beginning of the year we said Rs.8,000 crore is our recovery target, right? So today we are at Rs.4,272 crore in six months. So we are confident that we're able to achieve this Rs.8,000 crore number. And majority of this recovery will naturally will come from NCLT , SARFAESI, OTS, ARC compromises this all will happen at this because we are having close to Rs.40,000 crore of a PWO book and around Rs.25,000 crore of gross NPA. So huge number we are having I am sure that going forward this number will continue to appear.

Minish Jathani (Analyst): And on a broader basis this 1% ROA on a sustainable basis if one has to take out the recovery number, will we be able to still sustain 1% ROA say from FY' 25 and beyond perspective since decent portion on the ROA is contributed by the recoveries also. So I wanted to understand sustainability of the same .

Shri S.L. Jain, MD & CEO: Sustainability you can see we had 1.06% ROA for the last quarter and an average of 1.01%. So when the NII is growing and then your net NPA has come down to 0.60%. So where is the baggage you are having? We are having a

8 Standard Asset provisions and all this so we are optimistic that we should be able to maintain this ROA more than 1%.

Minish Jathani (Analyst): Got it Sir. So Thank you so much for replying to all the questions.

Anand Dama (Host - Emkay Global): Thank you Minish. Next question we have from Dixit Doshi . Yeah can you hear me Dixit? Go ahead

Dixit Doshi (Analyst): Yeah thanks for the opportunity and congrats a good set of numbers. A couple of questions. Firstly, if I see from last almost three four quarters in the provisions we are doing provisions for the Standard Asset as well just to make

the book much more stronger. And now our PCR is also reached 95% plus and our net NPA is hardly 0.6 and also we are holding a lot of provisions for Standard Asset and excess provision. So can we assume that the provisions for Standard Asset and as well as NPA will continuously coming down over the coming quarters?

Shri S.L. Jain, MD & CEO: It should come down Sir. My point is that 0.6% is a net NPA i.e Rs.2,800 crore, so naturally we are not carrying any baggage and this is Standard Advances. Also we are making provisions based on our own assessment portfolio based and asset specific based, right? So should take care of any kind of eventuality. So Bank is virtually fully protected to my mind from that asset point of view at this point of time, if nothing substantially goes wrong that is a different issue, but otherwise we are sure of our asset quality and provisioning parts.

Dixit Doshi (Analyst): Yeah so this provision for Standard Asset we are doing it from many quarters and we are holding a lot of excess provision. Is it fair to assume that that provision will not increase substantially? If you may continue doing the standard asset provisions, but it will not be significantly increased?

Shri S.L. Jain, MD & CEO: Because as a bank we should always be making buffers, but not substantial. Because based on what is happening in the economy and various parameters are there based on that, every quarter our RMC decides what kind of risk we are seeing in future and all which sector, which industries, which business. But all this keeping in view, I think that there should not be any substantial increase.

Dixit Doshi (Analyst): Okay and my second question was regarding the QIP, so if you can mention that till what period we have the permission from SEBI to bring down the government holding and are you planning the QIP anytime soon or we may wait for that time, till SEBI have given the extension ?

Shri S.L. Jain, MD & CEO : So our shareholders and our Board has given approval to come out with a QIP up to Rs.4,000 crore anytime during the current Financial Year 23- 24 and we are accordingly working with that and so our endeavor is to approach to the market at appropriate time.

Dixit Doshi (Analyst): Till what period we have an extension from SEBI ?

Shri S.L. Jain, MD & CEO: That extension is with us. So I think that extension is August '24 that is extended by one more year.

9 Dixit Doshi (Analyst): Okay, fine. Thank you. That's it from my side.

Anand Dama (Host - Emkay Global): Next question we have from Mona. Mona, please go ahead.

Mona (Analyst): Yeah. Hi, Sir. Good evening. My first question I just missed your guidance on margin. So where does it stand the margin outlook.

Shri S.L. Jain, MD & CEO: Yeah, at the beginning of the year we said that 3.41% was the margin. Our endeavor is to protect that margin with a ten plus minus 10 -15 bps. Today it's against 3.41% we are at 3.57% right. 3.52 of the last quarter because of that interest reversal and all happened KCC loan and all. So whatever based on the MCLR Credit, that repricing measure, repricing already happened. We are hopeful that we will be able to maintain our guidance which we have given at the beginning.

Mona (Analyst): Sure. And how much was the impact of interest reversal on the margin this quarter.

Shri S.L. Jain, MD & CEO: Around twelve bps.

Mona (Analyst): Okay, got it. Secondly, if I look at the breakup of provisions you have made some Rs.574 crore towards Standard Assets. What exactly is that?

Shri S.L. Jain, MD & CEO: This is basically provision we made on a portfolio basis and even in some accounts on account specific basis. So on a portfolio basis, based on the certain parameters we are making provisions.

Mona (Analyst): Okay, so if I have to understand standard asset NPA provisions, how much do you hold on the balance sheet. What would that number be?

Shri S.L. Jain, MD & CEO: CFO , What is the Standard Asset provision we are having ?

Shri Sunil Jain, GM - CFO: For this Quarter, Sir..

Shri S.L. Jain, MD & CEO: What is the as on date Standard P rovision ?

Shri Sunil Jain, GM - CFO: Yes Sir. As on date we are having total Standard Asset provision of Rs. 7405 Crore .

Shri S.L. Jain, MD & CEO: That you have to exclude this 7th June provision because some of this may be the NPA, Standard Asset provision, how much we are having. So calculate and tell. Yeah, we'll let you know ma'am.

Mona (Analyst): Yeah, Sure. Sure. Just, and just finally on the restructured book, if you could share the outstanding including the MSME book and how much slippages we have had so far?

Shri S.L. Jain, MD & CEO: So, in a restructured book, basically we are having Rs.9,980 crore? We are having 27% of provision. Now, I am telling you, the entire restructured book. What, happens we have done a total COVID restructuring close to Rs.18,400

10 crore Right? And today balance is Rs.9,900 crore . So close to Rs.10,000 crore . So reduction of Rs.8,000 crore out of Rs.8,000 crore , Rs.2,500 crore is gone to NPA and remaining we have recovered. So Rs.5,500 crore we have recovered. So today virtually 54% is outstanding remaining restructured book, you understood what I said.

Mona (Analyst): Yeah, got it sir. And just if you could share the standard asset provisions on the balance sheet? Yeah, I am done. Thank you.

Anand Dama (Host - Emkay Global): Next question we will take from Darshin, please unmute yourself and ask your questions.

Darshin (Analyst): Yeah . Sorry Sir, there was some connection issue. Good evening Sir and thank you so much for taping a question. Congratulations Sir on a great set of results. I think most of my questions have been answered Sir, but just want to know if any guidance we could give on FY'25, you know maybe can we have a higher growth? Because I think we are being a bit conservative in terms of our growth. So any color on FY'25?

Shri S.L. Jain, MD & CEO: FY'25, We will give the guidance FY' 25, when we complete FY'24, Sir. Because, visibility of having one and a half year from now is weak.

Darshin (Analyst): Yeah, okay, okay, no worries. No, but...

Shri S.L. Jain, MD & CEO : We will continue to grow, absolutely. Because you see, this is a Bank, which is growing more in R etail than the Corporate. It is very easy to have a good growth when you do a Corporate Lending. But here the Retail growth is more than the Corporate growth. This is a big content and this shows that our branches are able to create asset and when all branches are able to create asset your customer base increases. So in the future also you can grow. So bank will continue to grow. The business model is like this, Sir.

Darshin (Analyst): Okay. And Sir, just like if, it would be right to state that we are being a bit conservative in terms of a guidance and we can may be over deliver under promise. Would that be fair?

Shri S.L. Jain, MD & CEO: It is always

better to give guidance and cross that guidance rather than giving a higher guidance.

Darshin (Analyst): Then no worries. Thank you so much. So congratulations once again. All the best for the future.

Anand Dama (Host - Emkay Global): Thank you. So we have one question from the chat box from MB. Mahesh. Mahesh I mean you would want to ask yourself, yeah, we could just see him, but I think again he is not there. So basically, sir, the question was that there is a corporate slippage of about Rs.570 odd crores during the current quarter. Any comment that you basically can give on that corporate account?

11 Shri S.L. Jain, MD & CEO: Yes, there are basically three accounts, right? One account of around Rs.372 crore which are Odisha-based group, right. We are a member. One account is an EPC Contractor, and one small account is a textile. So all put together is Rs. 500 crore.

Anand Dama (Host - Emkay Global): Basically. Is it a trend that you want to see going forward as well, or it's like one of the stresses that you have seen during the second quarter?

Shri S.L. Jain, MD & CEO : This is an account actually, what happens in this account, they are supplying power cables to the discoms, though there is a cash flow mismatch as a result. What happens is that the LC gets revolved. So already we signed ICA with them, and we are working on the resolution plan. In the meantime, we are having around 60% provision there against.

Anand Dama (Host - Emkay Global): Okay. So during the current quarter, also we have made some additional provision on those accounts.

Shri S.L. Jain, MD & CEO: We are having more than provision, but we will take a call when the quarter is end. Otherwise, presently we are having 60% provision.

Anand Dama (Host - Emkay Global): One more question is that there has been RBI nudge which the market has been talking about to increase the SA rate. What's your view on that?

Shri S.L. Jain, MD & CEO: Which one? Please come again.

Anand Dama (Host - Emkay Global): RBI nudge on increasing the Savings Rate?

Shri S.L. Jain, MD & CEO: No, no. Interest rates are deregulated right?

Anand Dama (Host - Emkay Global): I mean because there was a market chatter that RBI is actually nudging the banks to increase the Savings Rate.

Shri S.L. Jain, MD & CEO : RBI on records have deregulated Sir, Deregulated the interest rate on deposit advances way back.

Anand Dama (Host - Emkay Global): So you don't think so that's going to happen.

Shri S.L. Jain, MD & CEO: The point is only the monetary transmission should be perfect. Right? So monetary transmission, of course, we too have increased the deposit. What happens? The deposit we used to take 5% in the COVID time, now we are taking it 7% plus. So in the deposit side, it is gone. And what happens is the credit side also 40% CASA and 60% is converted into MCLR. So MCLR, which used to be 7.30, is today 8.70, 150 bps. So 250 60%, 150 bps more or less.

Anand Dama (Host - Emkay Global): That's very helpful. Next question will take from Mr. Sushil, please unmute yourself.

12 Sushil (Analyst): Congratulations Team Indian Bank for excellent performance. My majority questions are answered. My basic question is Sir, you are making your bank future digitally and otherwise also enabled on various parameters and you are known in the marketplace for a TAT on large tickets. Can you throw a color on how well you

will do on Retail on a similar count and how soon you would be ready for all the digital initiatives and initiatives you have taken to bring down your cost of income on a drastic basis ?

Shri S.L. Jain, MD & CEO : Yeah. So

two three points. One is basically digital journeys.

So digital we are working on a number of things from the core side as well as from the journey side and also from the CISO and also from the operations point of view. I'm telling you ■rst journey Mr. Bajaj has told that we have come out with the journey with the Retail, Agri, MSME in operations even in third party products like Retail Housing Loan, Auto Loan, Personal Loan, PAPL, Gold Loans. likewise, now we are coming out with the agriculture, gold loan, SHG loan and again MSME. Small loan, GST based loan, cash ■ow based in a third party even the renewal of insurance, Loan against insurance, loan against insurance policies. So number of things we came out on that side even I am telling you from the cost point of view also we came out of the server centralization. When I came, we discussed and then we just rolled out around a few months back, around 3500 branches.

Today it is 5000 branches rolled out in a server centralization. But what is server centralization? I am telling you where earlier we used to have a server at all branches. Now all is centralized at our data center. So earlier what happens? You need to have ACs for the servers 24x7 for 5000 branches, 10,000 ACs and the 25% of the space is being occupied servers. We have shifted all this. At the same time we are also working on DMS (Document Management System). So wherever we are taking scanning the copies of document whatever is available and shifting to the godowns. So as a result what happens? 50% of the space of the branches is being vacated. So that we are renegotiating. We are going for other nearby branches t o save cost. One point in the IT side we have come on middleware. So now we are using even middleware for our other income. Because you say suppose you do with Google pay that they are not bank transactions are being routed through the bank. So we can use our middleware. So we have started using for various Customers for our middleware in likewise these journeys even forex also we have changed number of things in our subsidiary also. Already we have ■nalized today their Memorandum , Articles, Initial Subscription everything we are going approach to the RBI to allow us. So there are a number of things going on in HR side also we have done number of things entire performance management system has come. We have given training for forex. We have recruited people from the market lateral recruitment at all levels even up to the GM level. So we have done number of things to improve the operational e■iciencies to bring the new blood, to bring the new experience in the bank for a future CMS also we started now already ■nalized that vendor has put software is in place.

So number of things we do so results has started coming Sir, you see Mr. Bajaj has told that in a short span 30,000 crore , so without any 30,000 crore your Opex has come down. You see the 28% growth in a gold loan happened only because of the digitization, otherwise it would not have been possible So that the e■iciencies will come through digitization in a time to come as well. I think I replied your question or anything more you want ?

13

Sushil (Analyst): Sir, you replied. Only thing is this is going to have a big impact on income of the bank and margins and pro■itability. So are you being conservative where cost to income is concerned, and do you see a far greater improvement by the quarter when you end the year or you see it next year?

Shri S.L. Jain, MD & CEO : You see our pro■itability the Net Pro■it has grown earlier where we were getting Tax bene■it even after paying 28% we are growing at 60%-70%. So these are all results that have started coming Sir?

Sushil

(Analyst): Okay Sir, second thing outlook on treasury is indicating that you are seeing treasury purchase to give you a bene■it may be in the last quarter or next year. So the interest rate cycle may peak out by December or March. I am not predicting but you are taking a view that for your next year you will have a risk reward in Treasury.

Shri S.L. Jain, MD & CEO : You see Sir, we keep on churning our portfolios. Actually

when the interest rate started increasing , we churned our portfolio and you see the interest holding yield of the portfolio has increased. So we keep on doing our churning our portfolio to get, better and better. Low yielding even we sold even prior to this US bank failure and all.

Sushil (Analyst): Do you expect profitability in treasury in Q3 and Q4?

Shri S.L. Jain, MD & CEO : There should be some profit. But you see treasuries volatility of the market is also one factor now I take it on board. But our endeavor is always to answer treasury and wherever the good opportunities come, we take.

Sushil (Analyst): Thank you for answering all my questions. All the best to Indian Bank team for future.

Shri S.L. Jain, MD & CEO : Thank you, Sushil ji.

Anand Dama (Host - Emkay Global): Next question will take from Mayank. Mayank, please go ahead.

Mayank (Analyst): Yeah, Hi Sir. Thanks for taking my question. My question is again on provisioning line. So Rs.574 crore, we provided on this quarter against Standard Assets. So do we see stress in that portfolio or we have created this provision or this provision is created with the purpose of ECL?

Shri S.L. Jain, MD & CEO : No, buffers are always created in good times. So we are passing through a good time, we have created buffers but, these are based on the portfolio, based on our own studies and all.

Mayank (Analyst): So it is not based on any incremental steps? It is a more prudence...

Shri S.L. Jain, MD & CEO : And, prudence is also there.

Mayank (Analyst): Got it. And what would be total outstanding excess provision like, 14 which we created like this quarter plus provision, which we are holding on restructured portfolio?

Shri S.L. Jain, MD & CEO : We are having around a Rs.5000 crore of provisions, total standard asset.

Mayank (Analyst): This is excluding regulatory general provisions?

Shri S.L. Jain, MD & CEO : That includes regulatory as well.

Mayank (Analyst): Excluding that, what would be the amount?

Shri S.L. Jain, MD & CEO : May be 80%, 75%, 80% we can have. Like said, we have to work out.

Mayank (Analyst): Okay , Thanks a lot.

Anand Dama (Host - Emkay Global) : Thank you. Next question we will take from Jay. Jay, please unmute yourself.

Jay (Analyst): Yeah. Hi, Good Evening Sir and Thanks for the opportunity, and congratulations on good quarter. Sir, I wanted to check on your cost of deposit. Right? So if I see your card rates they are very competitive, and you have a decent scope on loan-to-deposit ratio also. But the cost of deposit has gone up significantly in this quarter. So, how, I mean. What is the key reason for, you know, such a sharp rise in the cost of deposit?

Shri S.L. Jain, MD & CEO : But you see the cost of deposit has increased because of the known reason. Known reason is deposit cost increase with the lag. Right? But I am telling you 200, 210, 220 bps increase in the deposit, which we used to take 510, now

we are taking 720 and 220 bps, 60% is your term deposit, naturally 120 bps will increase. Right?

But some of the three -year, ■ve, four-year so are 120. 120 means your cost will increase. This is natural. So with the repricing, this deposit cost has increased. But our endeavor is to maintain that. So our

MCLR has increased, our yield on investment has increased. Because you can't say that deposit cost will increase. To remain competitive in the market, you should give a competitive rate. But my object is to earn also.

Jay (Analyst): Right? Okay, Sir. If you were to see that you know the repricing cycle. I mean where do you think....

Shri S.L. Jain, MD & CEO : You compare September 22 or 23, 87 bps, right? So 87 bps means 150 bps. 60% of 150 bps.

Jay (Analyst): Right. So Sir, where do you think considering RBI does not do anything further, let's say RBI is status quo for the next 18 months. Where do you think your cost of deposit should be settling? I mean, do you think this like 250 basis point at least will pass on in entirety?

15 Shri S.L. Jain, MD & CEO : No, point is that. majority of the deposit has already been repriced. You see, when they started, they started May. Around at 35 plus 20, 60, around 190 bps they have increased till September.

Jay (Analyst): Right.

Shri S.L. Jain, MD & CEO: So we do have increased our pricing from the September onwards. Right? So we are in the month of October now.

Jay (Analyst): Right.

Shri S.L. Jain, MD & CEO: And our duration of the liabilities is this 1.6. And you see 15% bulk and CD and all because they are always up to one year. So they have already been repriced and majority of them are short term.

Jay (Analyst): Right.

Shri S.L. Jain, MD & CEO : So may be 10, 15 bps here and there, by the end of the March, this entire repricing should happen. But we are having MCLR book which is coming for repricing.

Jay (Analyst): Right.

Shri S.L. Jain, MD & CEO : We are ready, Sir.

Jay (Analyst): Right.

Shri S.L. Jain, MD & CEO : Actually, we thought planned six months or one year back to move to the MCLR because that repo is now virtually stabilized. Whatever increases are happening it is in MCLR.

Jay (Analyst): Correct, correct.

Shri S.L. Jain, MD & CEO : 1.5% we have already passed on in deposit also. At 7.3% has become 8.7% one year MCLR.

Jay (Analyst): Yes.

Shri S.L. Jain, MD & CEO : Almost stabilized and you see, all banks are taking this deposit for one year, 400 days, 450 days.

Jay (Analyst): Right.

Shri S.L. Jain, MD & CEO : So major increase is happening in this.

Jay (Analyst): Right. Okay. Okay. And so Sir, I mean You said that even the yield on advances they are rising and this is purely mostly on MCLR repricing right?

Shri S.L. Jain, MD & CEO : Right.

16 Jay (Analyst): And are you seeing any incremental resistance when you were to pass on the MCLR? Because some of the banks are commenting that corporates any way wants very ■ner prices and they are letting go of such disbursements which are at ■ner rates. What has been your experience?

Shri S.L. Jain, MD & CEO : The experience is that they are selling right things Sir, that is why you see Corporate Growth is less. Yes. So Corporate is asking at a very ■ne rate and then you cannot make margin there. And suppose you take money at a 7.5, 7.7% and put your DICC cost or this CRR cost and it is not viable sometimes. So major increase is happening in this.

Jay (Analyst): Right. Okay. Okay. And so Sir, I mean You said that even the yield on advances they are rising and this is purely mostly on MCLR repricing right?

Shri S.L. Jain, MD & CEO: Right.

Jay (Analyst): Understood and lastly sir, lastly there was we had around Rs.3,500 crores of MSME restructuring which is outside of this COVID

Shri S.L. Jain, MD & CEO : No, that is all put together. That is Rs.3,000 Crore that is subsumed in the COVID.

Jay (Analyst): Okay so that has been consumed.

Shri S.L. Jain, MD & CEO : May be around 200 odd crore which is outside this nothing more than this. You are talking about the north zone accounts because it is giving based on that particular circular of the Reserve Bank, right? That 200 odd crore nothing more than this, beside this.

Jay (Analyst): Sorry, this is not MSME but this is pertaining to CDR and all those other cases. I think that was the residual ...

Shri S.L. Jain, MD & CEO : No, no, whatever you have done restructuring some of become NPA even then you have to go as per your RBI circular and all so but fact remains under those tranche one and tranche two amount is Rs. 221 crore as of date.

Jay (Analyst): But is there any other CDR or any other 5/25 which is outside of --

Shri S.L. Jain, MD & CEO: No, no, nothing. Total structured book is Rs. 9,000 crore everything . Today only two type of one is COVID second, you have increased your DCCO beyond a particular time.

Jay (Analyst): Right, understood. Okay. Yeah, that is itself, very helpful, Sir. Thank you.

Anand Dama (Host - Emkay Global) : Thank you Jay. So we'll take last question from Mr. Ajmera .

17 Ashok Ajmera (Analyst): I thought I'll not get the chance only. So anyway Sir, one is that in your I think in the last quarter or so you had said that for the CASA and Retail deposit you are working and giving main focus to institutional accounts, educational institutes, temples and also the relationship in the Lucknow, Chandigarh etc. So Sir any development? Has it given any fruits?

Shri S.L. Jain, MD & CEO : You see last quarter deposit was 6%. It is 9%- 10%. We are

continuing and this is reflecting in our numbers.

Ashok Ajmera (Analyst): And Sir some color on the gold loan book. The gold loan and the yield on that. And what is the breakup of the actual gold I mean direct gold loan and the agriculture gold loan

Shri S.L. Jain, MD & CEO : Gold loan, we are having close to Rs.70,000 crore of book. 63000 to 64000 crore is in Agriculture part right. And what we have done how we are managing this business we are around having 650 gold shoppe. There, we are not only given gold champions even assessor, even caratometers securities, safeties, then inspections, controls, insurance everything is in digital also because everything should. So this is how we are doing this. But now what happens in your reality? I am telling you the people are taking gold and even not taking gold back from us. So whenever they need they come and take loan even so this is like a loan against FDR also for us. Because we are doing this business from decades. So this is a good business giving good returns to us. Not only we are getting one year MCLR plus in this portfolio and the portfolio is good and fully secured and all that good and growing and same customer base is also improving. So that customer gives us CASA and all.

Ashok Ajmera (Analyst): Sir on this provisioning in the giving answer of my colleague earlier you are saying that it is prudent to be providing in the good time. But in some of the earlier quarters you said that now our provisioning requirement is reducing. So of course prudence is required and the cushion has to be built in. But at the same time on a current basis the analysts or the investing community always looks for the enhancement or increment in the profit. The bottom line substantially. So now going forward again like this time the provision was. I mean of course total provision was 1550 crore but out of that against NPA it was 917 crore as against 929 crore in the last quarter so just a small ten crore less than the last quarter. So going forward do we take it that since the provision requirement is coming

down

and we are very comfortable now on the net NPA, I think which is now 0.7%, that the real profit will actually come in the books shown in the books as a net profit without compromising.

Shri S.L. Jain, MD & CEO : Definitely the profit will come in book only, Sir. Credit Cost, which was 0.79% our net NPA itself is 0.6%, so credit cost will further come down. When your net NPA is 0.6%, naturally your credit cost will come down cannot be more than this, right? And when your recovery is more than your slippage. Given the situation when you are recovery so naturally these all numbers will flow in the balance sheet.

Ashok Ajmera (Analyst): The last year sir, this fall in the forex income, is it fluctuating thing ?

18

Shri S.L. Jain, MD & CEO: Earlier, actually you see the difference between the Indian G-Sec and the US G-Sec they are at 5. We are at 2.35. At the same S WAP ratio, the SWAP premium, which was 90 days premium used to be 3.32 to today's 1.32. So margins have come down there, impacting the forex income. But we have such other avenues for our other income growth. So you see that PSLC income was Rs. 479 crore. We have 321 - 336 crore . We have shifted 600 and 300 crore we have earned there.

Ashok Ajmera (Analyst): You had explained me once in detail, in fact, your GM treasury also, at that time when the forex income was coming very good. I mean, the difference was quite attractive.

Shri S.L. Jain, MD & CEO : So forex income has come down drastically. That's why earlier we used to have roughly Rs.38,000 crore interbank placement. Now that has come down substantially. So based on the market, our incomes but we are having various revenue streams that we keep on working to have growth in our other income.

Ashok Ajmera (Analyst): I am sure you would sir. Thank you very much Sir, for giving this opportunity second time and answering almost every question by the analysts. We are more clear about this bank. We wish you all the very best. We still feel that the bank is still undervalued to the market and you should get the right price.

Shri S.L. Jain, MD & CEO : We are open for all questions all time.

Anand Dama (Host - Emkay Global) : So then basically, with your permission can we take two more questions?

Shri S.L. Jain, MD & CEO : Why not? Please.

Anand Dama (Host - Emkay Global) : So Mr. Puneet Dagha would want to ask a question. Puneet , please unmute yourself. Can't hear anything from Puneet. So we'll take a question from Mona Khetan. Mona, please go ahead.

Mona Khetan (Analyst): Yeah. Hi, Sir. Just a small clarification. So you mentioned some time back that standard asset provisions stand at about Rs.5000 crore in your case, right? Including general restructured and other provisions. Hello.

Shri S.L. Jain, MD & CEO: Yeah, please.

Mona Khetan (Analyst): So, if I remember it correctly, this number was about Rs. 6800 crore last quarter.

Shri S.L. Jain, MD & CEO : Some of the provision we have excluded now because here we are talking about the standard asset provision.

Mona Khetan (Analyst): Okay.

Shri S.L. Jain, MD & CEO : Other provisions are 7th June provisions or sorry this is other than that. Madam, otherwise you send us a query, we'll reply you, right? So you will understand better.

19

Mona Khetan (Analyst): Sure, Sir.

Anand Dama (Host - Emkay Global) : Yeah. Thank you. Next question will take from Jay. Jay, please unmute yourself.

Jay (Analyst): No, my question has been answered. Thank you.

Anand Dama (Host - Emkay Global) : Sure. Sir, basically, I think the question has come from Puneet. He wants to get the guidance on Opex, number one. And second question

is when can we expect the QIP to get completed?

Shri S.L. Jain, MD & CEO : Opex has basically two components. One is a salary and other is other operating expenses. Right? And salary itself has a three component. One is a salary, one is a wage revision, third one is PLI. So you know that PLI is payable when your operating profit is more than 15%. 15 days. So we started it. Earlier, we used to do these provisions in December or March quarter.

We started from the first quarter onwards based on our numbers and all. So this is a PLI part. Second part is wage revision has become due. So this year, this quarter, we have had around Rs.271 crore of a wage revision provisions. And presently we are having around close to Rs.689 crore of wage revision Provision .

The other overheads are basically slightly increased because of some ATM related expenditure. Because when your digital transaction will increase naturally, your operating expenses increase. When your digitization is happening in such a large scale so AMC charges, right, and even the card issuance charges, even the UPI charges, these are all payable. So this is all normal business operation. If your top line grows naturally, some expenditure part will also grow. So if you exclude this PLI and wage area on like to like basis on a salary only grown by 5%.

Anand Dama (Host - Emkay Global) : So basically, for the wage revision we are providing at 12%, or we have started providing at 15%.

Shri S.L. Jain, MD & CEO : We will not be able to tell you, but we are adequately

provided.

Anand Dama (Host - Emkay Global): I think that's it from, the audience. So we can wind up the call. If you have any closing remarks to make, sir.

Shri S.L. Jain, MD & CEO : Yeah, so, Thank you, all analysts and investors in continuing interest in the bank. So we will again can meet next time with the better performance. Thank you once again.

Anand Dama (Host - Emkay Global) : Thanks a lot, management, and thanks a lot, all the participants. With this we will end the call. Thank you. Thank you.

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Corporate Office: 254-260, Avvai Shanmugam Salai, Royapettah, Chennai – 600 014
 Phone: 044-2813 4484/4698, Email: ibinvestorrelations@indianbank.co.in
 Follow us on

The Vice President
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra - Kurla Complex
Bandra East, Mumbai -400 051

BSE Ltd.
25, P. J. Towers
Dalal Street, Mumbai -400001

Dear Sir/ Madam,

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of our Letter No. ISC/408/2023 -24 dated 19.01 .2024 and Letter No. ISC/ 430/2023 -24 dated 24.01 .2024 regarding Analysts / Investors Concall / Meet, we are enclosing a copy of Transcript of said post Earnings Concall/ Meet held by the Bank on 24.01.2024 on the Financial Results of the Bank for the Third Quarter and Nine Months period of Financial Year 2023 -24 ended on December 31 , 2023.

<https://indianbank.in/wp-content/uploads/2023/03/Q3-FY24-Post-Result-Concall-Transcript.pdf>

Yours faithfully,

AGM & Company Secretary
Encl : A/a

Post Earnings Conference Call / Meet

Held on 24.01.2024

Transcript

Management:

Shri S. L. Jain
MD & CEO

Shri Imran Amin Siddiqui
Executive Director

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Moderator:

Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd

1

Anand Dama (Host - Emkay Global): Good evening, everyone. On behalf of Emkay, we welcome all the participants to the Indian Bank, Third Quarter FY24 Post-Results Conference Call. From the Bank, we have entire top management of Indian Bank Shri Shanti Lal Jain, MD & CEO, Shri Imran Siddiqui, Executive Director, Shri Mahesh Kumar Bajaj, Executive Director, Shri Ashutosh Choudhury, Executive Director, Shri Shiv Bajrang Singh, Executive Director and Shri Sunil Jain, Chief Financial Officer and the other top management.

I request MD & CEO Sir to start with his opening remarks where we would request him to share the key highlights from the third quarter results, along with share the outlook on growth, margins, and asset quality going forward.

Shri S.L. Jain, MD & CEO: Thank you, Anand. Good evening all analysts and investors in the post-result conference call. for Q3 FY 2024. So, as far as the business of the bank is concerned, we have grown by 11% and reached to Rs.11.64 lakh crore, the deposit has grown by 10% and advances have grown by 13%. In the Deposit of 10% growth in total deposits, our savings deposit has grown by 7%, current by 12%, as a result, CASA has grown by 8%, and the term deposit has grown by 11%.

Advances have grown by 13%, out of which RAM (Retail, Agri & MSME) has grown by 13%. Under the RAM, Retail has grown by 14%, of which housing loan has grown by 12%, auto loan has grown by 46%, and personal loan grown by 30%. Agri has grown by 16% of which gold loan has grown by 28%, investment credit has grown by 7%, agri-allied has grown by 58%, and SHG by 40%. MSME has grown by 7.5% of which Micro is 18% and Small is 2% and Corporate Credit has grown by 10%.

As far as our profitability is concerned, the operating profit of the Bank has grown 1% on a Y-o-Y basis, and the net profit has grown 52% on a Y-o-Y basis. The operating profit growth is backed by the NII growth which has grown by 6%, and the non-interest income has grown by 21% (fee-based income). Under the fee-based income, processing fees have grown by 9%, cross-sell by 33%, PSLC by 318% and PFMS by 45%.

As far as nine months are concerned, the operating profit has grown by 11%, and the net profit has grown by 52%. So, this current quarter the operating profit has grown only by 1% because of one major reason, the wage revision provision was made. As you all know, the IBA has agreed for 17% wage settlement. So, we have made a 17% wage provision. In addition to that, we have also made provisions for retirement benefits like leave

encashment, gratuity, pension, etc. So, in all actually the current quarter, we made a provision of Rs.562 crores on account of wage revision.

So currently, we are holding a total provision of Rs.251 crores as against Rs.689 crore of last quarter. Out of Rs.562 crore provision, the normal amount that we are expecting per quarter will be between Rs.200 crores to Rs.225 crores. So, Rs.562 crore minus Rs.225 crore, i.e. Rs.340 crore is the additional cost incurred in this quarter.

2

When you come to the margin, it has come down to 3.49% from 3.52% and there is a 3 bps reduction. Of course, our yield on advances has grown by 3 bps from 8.75% to 8.78%. Likewise, our yield on investment too has grown by 6.77% to 6.80%. Whereas the cost of deposit has grown by 4.89% to 4.99% and as a result, there is a reduction in the NIM by 3 bps.

At the beginning of the year, we said that we would have a margin of 3.41% (+/- 10/15 bps). So as against 3.41%, we are at 3.54% now. So virtually on a positive side, we are 13 bps higher than what we have guided earlier. The current quarter is a comedown, but we were also able to maintain our domestic CASA above 41% on a sequential basis. So, our endeavor is always to contain our cost of deposits which is possible only through CASA.

So far, we are successful, of course, in an increasing interest scenari

o the asset gets

repriced earlier and the liabilities follows. So that is the liabilities repricing. And because of this wage revision provision, the cost-income ratio is also has grown from 44% to 47%.

We are maintaining collection efficiencies at 95%. Our recovery was around Rs.2,500 crores, and the slippages were Rs.1,600 crores. So, we have maintained our recovery more than the slippage. In nine months also our recovery was close to Rs.6,800 crores as against the Rs.5,500 crores of slippage. And we said that we will be having Rs.8,000 crore of total recovery for the year, Rs.2,000 per quarter. So, this quarter too we are expecting Rs.2,000 crore recovery. However, this trend of recovery more than slippage will come down gradually.

And as a result, our gross NPA, net NPA, and PCR have improved. So gross NPA has come down from 4.9% to 4.47%. Likewise, the net NPA has come down from 0.60% to 0.53%. The slippage ratio has come down to 1.28%. And the credit cost has also come down from 0.79% to 0.76%. We expect this trend to continue.

Now, next is the capital adequacy ratio, we are at 15.58% as against 15.53%. We have raised Rs.4,000 crore of QIP which is close to 1%. Because of RBI guidelines of an increase in risk weight on NBFCs and consumer loans, we had an impact of 57 bps, besides this the credit growth, these are the two factors as a result that our capital adequacy is 15.58%. But if you add the nine months profit it will become 17.11%. So, 153 bps is the impact of nine months profit. Similarly, for CET 1, if we add 12.36% plus, in the view of the Bank, we have 17% capital adequacy and 14% CET, so that way Bank is adequately capitalized.

Now, I request my colleague, Shri Mahesh Kumar Bajaj, Executive Director to give an overview of some of the digital initiatives we have taken and then we will open the floor for the question and answers session.

Shri Mahesh Kumar Bajaj, Executive Director: Thank you Sir. Good afternoon everyone. As we continue with our digital transformation journey, this quarter we launched

3

15 journeys, against the 12 journeys launched during Q2. So, put together all products, processes, and portals we have now close to 78 journeys. As per the bank strategy we are creating all digital channels plus onboarding the customer on digital channels, and then making them to use these channels. So, with that, we have all facilities in digital channels including net banking, debit card, and mobile banking. The number of users and transactions are increasing. Coming to mobile banking, the users have gone up by 47% from Rs.1.08 crore to Rs.1.59 crore and transactions also have gone up by 26% Y-o-Y from Rs.1.38 crore in Dec-22 to Rs.1.74 crore in Dec-23. Similarly, UPI users have increased by 38% Y-o-Y from Rs.1.19 crore in Dec-22 to Rs.1.64 crore in Dec-23 and transactions increasing by 72% Y-o-Y from Rs.54 crore in Dec-22 to Rs.93 crore in Dec-

23.

Same way the net banking users have gone up by 38% from Rs.74 lakh to Rs.1.03 crore, debit card users grew by 10% from Rs.2.93 crore to Rs.3.22 crore and credit card users have gone by 19% from Rs.1.56 lakhs to Rs.1.86 lakhs. We are very much focused on UPI QR code for CASA purposes, and it has gone up by 311% Y-o-Y from Rs.8.78 lakhs during Dec-22 to Rs.36.07 lakhs during Dec-23.

Same way the PoS have also gone up by 47% Y-o-Y from 14,772 to 21,725. Our digital migration, the digital transactions during last year Dec-22 it was 83%, which has gone up to 87% during the period ended Dec-23. Even on a QoQ basis, it has increased 1% from 86% to 87% and 4% on YoY basis. Digital business has gone up to Rs.52,884 crore in Dec-23 from Rs.4,875 in Dec-22, while we are targeting to take it up to Rs.70,000 crore. This growth is not only on the deposits side but also on RAM sector and we are also planning for launch of another 8-10 digital journeys in coming Q4 quarter. The bank has taken various digital in

itiatives like the digital lending platform (DLP), tab banking, omnichannel, analytics center of excellence, branch center of servitization, middleware, exim bills new modules. To add to this quarter, we have added e-OTS up to Rs.10 lakh which is non-discriminatory and non-discretionary for the ease of customers doing the e-OTS which can be done sitting at home. Apart from that, we have also launched the death claim settlement portal.

With that, we open the floor for Q & A.

Anand Dama (Host - Emkay Global): Thank you Sir. Now we will open up the floor for questions from participants. We have our first question coming from Mr. Ashok Ajmera. Please unmute yourself and ask your question.

Ashok Ajmera, Analyst: Good evening, Sir. Jain Sir and all Executive Directors and GM present there, Compliments to you, Sir, for another quarter with a very good set of results and overall performance. The credit growth is also in line with the guidance or might even exceed the guidance, if we consider this current quarter also which will be ending in March, I'm sure.

Having said that, you had mentioned that, if not for the increased provision of 17% due to 4

wage revision, the operating profit would have been much higher than last quarter. But if I see the employees cost, the increase is only Rs.160 crore in this quarter vis-a-vis the last quarter, from Rs. 2,176 crore to Rs.2,335 crores. So, where the burden of this additional cost has gone in the P&L?

Shri S.L. Jain, MD & CEO: Thank you, Ajmera ji. There are two places, one is the salary and the employee cost. So, our normal expenditure is around Rs.1,345 crore. Last quarter also we made an additional provision of Rs.271 crore during last quarter also, to catch up the provision of 15% earlier. That is why on a sequential basis it is not appearing, but our expenditure is Rs.345 crores, we have made a provision for Rs.310 crore to catch up the 17%, and a further provision of Rs.253 crore for retirement liabilities.

Ashok Ajmera, Analyst: From the next QTR Employees cost which is Rs.2335 crore, where it will come down, whether it will be 1700 crore or 1800 crore .

Shri S.L. Jain, MD & CEO: So, my point is that Rs.562 crores minus Rs.225 crores, i.e. Rs.337 crores is the normalized cost.

Ashok Ajmera, Analyst: Sir, you have also made an additional provision of Rs.399.72 crores, as per note number 19, which is over and above the IRAC requirement. So, what was the need? Are you anticipating some account to slip or are you trying to take care of the next quarter? Are you sensing something for the next quarter for which this additional provision is made? Otherwise, this could have been saved and the operating profit would have been more by Rs.400 crore.

Shri S.L. Jain, MD & CEO: No, this provisioning is below the operating profit, provisioning we are making based on our portfolio and so it will not affect the operating profit.

Shri Mahesh Kumar Bajaj: Executive Director: Operating Profit is only wage arrears are

above the lines.

Ashok Ajmera, Analyst: Sir, on the the increase in RWA, what is the effect on our capital adequacy as well as the cost because of the CRR and other conditions? And how much impact is passed on to the customers like NBFCs and what is our net impact?

Shri S.L. Jain, MD & CEO: Ajmera ji the RBI has increased the risk weight by 25% on the existing assets. So, as a result there is a 25% increase in the RW of NBFC other than housing and also 25% increase in RWA on the unsecured consumer loan. So as a result, our RWA has increased by 57 bps.

Now the second question of yours is whether we can pass on the increased cost because of this. As we have AAA, AA, and A in NBFC, it cannot be passed on uniformly to all. Since we are living in a competitive era, we are trying to do repricing on the new proposals, wherever possible.

5

Ashok Ajmera, Analyst: Sir, my last question is

on the treasury operations. Where the segment wise if you see there is a little reduction in the treasury profit compared to the last and Considering whatever is happening, RBI says that there is no scope for further reduction in interest rates for the time being, looking at the high inflation and other economic factors. So, what do you anticipate in the March quarter? Do you expect any kind of mark-to-market gains/losses or how has our portfolio been built to face this?

Shri S.L. Jain, MD & CEO: The RBI said that its first motto is to contain the inflation. So, inflation is 5.69% at present, and the RBI expects average inflation will be 5.4% for the year. Further, the RBI said that they will reduce the rate when on a durable basis the inflation will come down. When we see overseas, the rates in the US and China have also started softening.

We also know that from the first quarter, Indian bonds will be part of the indices and all, so there will be further softening. So, we are increasing our duration or increasing our AFS book. Our AFS book has increased by 13% on a YoY basis from 6.84 to 7.33. We are trying to build a good quality asset so that the bank will get a good return from that continuously.

We also expect that the 10-Year G-Sec which is around 7.20 will remain within the 7.10 to 7.25 range. We expect it to soften in the first quarter because part of indices and that is the opportunity for us to make money and we are building our portfolio towards it. The one thing that has also happened is that the new RBI guideline regarding investment will come into force from April.

Ashok Ajmera, Analyst: But this time being the interim budget, the clarity may not be there in April, and full clarity may not be there about the government.

Shri S.L. Jain, MD & CEO: No, but the RBI has already issued a circular and it is effective from 1st April.

Ashok Ajmera, Analyst: Okay. Thank you very much, sir.

Shri S.L. Jain, MD & CEO: As of today, I have a good holding yield on the AFS book of 7.33, which is more than the current rate of 7.20, so there is no question of mark to market.

Ashok Ajmera, Analyst: Thank you Sir and all the best. If time permits, I'll come back again. Thank you.

Shri S.L. Jain, MD & CEO: Thank you Sir.

Anand Dama (Host - Emkay Global): Yeah, thank you Mr. Ajmera. We'll take the next question from Mr. Gaurav representing Nine One Capital. Mr. Gaurav, please unmute yourself.

6

Gaurav Agrawal, Analyst: Hi Sir. Thank you for the opportunity and again congratulations on a good set of numbers. Sir, I joined the call a bit late. So, if you talked

about your advances growth guidance for this year and next year, can you please reiterate it?

Shri S.L. Jain, MD & CEO: Okay. At the beginning of the year, we said that our credit would grow by 10-12%. We have grown 13% and our growth is broad-based. Now the RBI said that the GDP growth of the current financial year will be 7% and even for the next financial year So we are expecting the same kind of opportunities next year as well. And the way the income level of the citizens are increasing, there will be an opportunity for consumption loans, housing loans, and auto loans. So, we would want to grow at the same pace while maintaining our RAM at around 63%. We expect to have a broad-based growth so that our risk will be mitigated, our margins will be better, our customer base will be increasing and all our branches will be able to acquire more and more customers.

Gaurav Agrawal, Analyst: Understood Sir. Sir, on the provisioning side, if there are no negative surprises, we will probably end the year with Rs.6,000 crore. Do you see a similar kind of number for FY25 or a slightly higher number?

Shri S.L. Jain, MD & CEO: We expect the provisions to come down next year because the net NPA are coming down. Slippages are coming down, our SMA numbers are coming down, so overall

provision is also expected to come down next year.

Gaurav Agrawal, Analyst: Okay. And Sir, lastly, if you can explain about your employee cost. You mentioned that you have over-provided Rs. 500 crores. I couldn't understand much what you were trying to say. If you can just explain again, and what kind of benefit you expect to get in the next quarter? Thank you.

Shri S.L. Jain, MD & CEO: I told that we had made a full provision of 17%. Besides 17% we have made provision on an estimated basis for pension, gratuities, and other retirement benefits. So put together I can say we have made a provision of around 21% as against the 17%. If your salary increases, naturally your retirement benefit will also increase. So, based on our estimates we have made a provision and it was not over provided.

Gaurav Agrawal, Analyst: Okay. So next quarter you will see Rs.300 crore lower number which Mr. Ajmera was kind of pointing out?

Shri S.L. Jain, MD & CEO: Only one eventuality can come in the next quarter, and that is the provision on pensions. So, actually that number has not come out. If we add that, the cost might be higher, otherwise our normal provisioning will be Rs.200 crore to Rs.225 crore per quarter.

Gaurav Agrawal, Analyst: Okay, Sir. Thank you.

7

Anand Dama (Host - Emkay Global): Thank you. Next question is from Mr. Rakesh Kumar. Mr. Rakesh, please unmute yourself.

Rakesh Kumar, Analyst: Hi Sir. Thank you. Sir, a couple of questions. So firstly, starting with the recovery number for this quarter, we see that in slide number 29, there is a drop in the gross NPA in MSME and corporate NPA numbers. So, are these very old gross NPA numbers because the recovery number is also looking quite good. So, if you can help us understand this drop in the NPA, especially in MSME and corporate.

Shri S.L. Jain, MD & CEO: So, for corporate or MSME, we get recovery from the NCLT, SARFAESI, OTS, and from sale to ARC. So, these are the ways through which we generally do recovery. We have done more than 50,000 OTS in the last quarter. Due to higher recovery and write-off of some accounts, the NPA numbers have gone down.

Rakesh Kumar, Analyst: Okay, got it Sir. So, what is the prospect on this going forward sir, if you can elaborate?

Shri S.L. Jain, MD & CEO: So, our net NPA is only Rs.2,500 crore. Gross NPA is continuously coming down and it is 4.97%. The same was 11.2% during amalgamation, and this is now declining consistently on a Q o Q basis. We are aggressive in OTS, even we started online OTS when we are having 95 to 96% provisions we can recover our

Money.

Rakesh Kumar, Analyst: So, if I adjust the recovery of Rs.1,150 crores that is given on slide number 28 and if I also adjust the interest income, there's quite close to around 50 bps drop in the credit yield on a sequential basis. So, two things. How is the credit yield looking going ahead from here excluding the recovery number and margins? And can you please give some guidance on these two numbers on a normalized basis?

Shri S.L. Jain, MD & CEO: The point is you have to consider the MOI recovery of Rs.215 crores mentioned in slide number 28, and not the Rs.1,100 crores. Similarly, the MOI recovery was Rs.256 crores for the September quarter. Because this MOI recovery is included in interest income, and at the same time around Rs.200 crore of interest reversal takes place in case of slippage. So, virtually it is nullified both ways.

Rakesh Kumar, Analyst: Sir, basically where is Rs.1,151 crore minus Rs.418 crore which is AUC recovery where that number is sitting in the P&L?

Shri S.L. Jain, MD & CEO: Yeah. That number is Rs.700 crore which we have not booked as an income because we may receive the money at a later date. Actually in NCD it might take five-eight years to get the money. So, we'll book it as income as and when we receive the money.

Rakesh Kumar, Ana

lyst: Okay. So, you have booked only Rs.215 crore this quarter?

8

Shri S.L. Jain, MD & CEO: We have booked interest of Rs.215 crore, and Rs.418 crore we have received as income.

Rakesh Kumar, Analyst: Where the remaining amount of Rs.700 Crore is lying right now?

Shri S.L. Jain, MD & CEO: As per our accounting policy and standard, unless we receive Rs.700 Crore as our income.

Rakesh Kumar, Analyst: Suppose we receive the balance of Rs.700 crore in the next quarter, so where will you account it in the P&L?

Shri S.L. Jain, MD & CEO: That income will go as recovery next time.

Rakesh Kumar, Analyst: Okay. So, what is the margin guidance that we are looking at Sir in the next quarter or so?

Shri S.L. Jain, MD & CEO: We had guided for a NIMs of 3.41% (+/- 10/15bps) at the beginning of the year. We are at 3.54% right now. And naturally, in an increasing interest rate scenario, the cost of deposit will have some impact. But our endeavor will always be to protect that. And for that, as mentioned earlier, 61% of our book is MCLR book. So, the asset will also come for repricing and the liability will also come for repricing. Further, on the treasury side, our AFS holding is 7.33 as against 6.84 of the last year.

So, we are building assets where we are getting more MCLR repricing benefits so that we can match the increased cost. And so far we have been successful. 2-3 bps variance can always happen.

Rakesh Kumar, Analyst: Understood Sir. Great, Sir. Thank you. Thank you so much, Sir.

Anand Dama (Host - Emkay Global): Thank you, Mr. Rakesh. Next question is from Mr. Ashwini. Mr. Ashwini, please unmute yourself.

Ashwini, Analyst: Good evening, Sir. The current margins are at a decade-high of 3.5%. So, do you think that this can be sustained over a period of time? Because even in the earlier times we used to make roughly 3% margins on a normalized basis. And whatever margins which we are making are because our deposit repricing is slower than the loans. Do you see any pressure from RBI to increase the deposit rates as the cost or the increase in repo rates have been somewhat passed on the yield side but not on the cost side?

Shri S.L. Jain, MD & CEO: My point is that RBI never says, you increase the deposit rate or whatever it is. It is the bank's management that decides the interest rates on deposits or advances based on their ALM books. As an organization we should focus on our CASA. So far, we are successful in maintaining 41% plus domestic CASA. If you are able to maintain that CASA, your cost will not increase, to fund with the

9

term deposit where the rate of interest is high. We have taken various initiatives to increase our CASA. We are doing number of things to increase CASA. We have 13 - 14 state Government Office where we have started our office in R & GR. Even 51 cities where Money is there we have started our Resources acquisition center.

But considering that the market is very challenging if we fail to raise CASA deposits, our credit growth will suffer. However, as on date we are at 78% CD ratio, and we have an LCR of 140% and we are having an excess SLR of 43%, and we have also built the treasury book.

So as on date, we are comfortable. But going forward, slowly some money will gradually move from the treasury book to the credit book. So, we can go to 2% or 3% higher. At the same time, we will work to increase deposits. In the last nine months, we opened around 45 lakhs new savings bank accounts, and we are entirely working on the CASA part. So, of course, deposit is a challenge, but we are working on it.

Ashwini, Analyst: So, you said your CD ratio is 78%.

Shri S.L. Jain, MD & CEO: CD ratio is only LDR, loan and deposit. Other sources are also there. For example, if I raise Rs. 4,000 crore of capital. This money will go to the advances. So even then my CD ratio is higher. So, I have taken some refinan

ce, even the

LDR is showing an increasing trend. The point is, that this LDR is not whole in totality. LDR is relevant, but other avenues are also there. Where we are having liquidity We're still having liquidity of Rs. 40,000 crore plus. Return on advances is obviously more than your investment return. So, we'll take some money from that also, and we will raise some money from the deposit also. This is the job of an ALM of a bank.

Ashwini, Analyst: And Sir, the last question from my side. What is the comfortable LD ratio for the bank? The maximum loan-to-deposit ratio?

Shri S.L. Jain, MD & CEO: We are currently sitting on an LCR of 142% as against 130% of the last quarter. We have excess SLR and deposits also. So, if we expect the deposits of Rs. 6,50,000 crore to grow at 10%, which will result in additional deposits of Rs. 65,000 crore, and if we assume our advances of Rs.5 lakh crore to grow at 13%, which will lead to an additional credit of Rs.65,000 crore, both are still matching. So far, we have been able to match both these things. So, if we continue to grow the way we are growing, we will not have much impact on our LDR.

Ashwini, Analyst: Okay, Sir, I'll come back in the queue.

Anand Dama (Host - Emkay Global): Thank you, Mr. Ashwini. We'll take the next question from Mr. Dixit. Mr. Dixit, please unmute yourself.

Dixit, Analyst: Yeah. Thanks for the opportunity and congratulations for a good performance consistently. I have three questions. Firstly, so ever since our net NPA has

10

gone below 1%, we started making provisions on standard assets from last three, four quarters, and gradually every quarter that provision is also coming down. So, this quarter it was only Rs.400 crores. So, do you feel that this trend will continue, and that provision on standard assets will also come down? And how much excess provisions we have created over the last few years?

Shri S.L. Jain, MD & CEO: So, two things. It's always said that we should create buffers in good times. Also, when you grow at 10%/12%/13% during good times, you are virtually seeding the seeds for risk. Considering this, we are creating a buffer based on our own assessment. So slowly the buffer will also be completed as and when our net NPA will come down. So, the bank is getting strengthened in this process. But going forward it will not happen like this.

Dixit, Analyst: How much provision we would be holding, other than the NPA provisions?

Shri S.L. Jain, MD & CEO: We have close to Rs.7,500 crore of a standard asset provision, which includes all provisions put together. Which include all provisions whether Standard Asset provision, 7th June provision or other provisions,

Dixit, Analyst: Okay. Now my second question is, this quarter if we see our slippages, it was only Rs. 133 crore on the corporate side. But we have read in the paper that, BGR system, where we had exposure of more than Rs.300 crore, had defaulted. So, has it not been counted as an NPA or it was already counted as an NPA earlier?

Shri S.L. Jain, MD & CEO: We have counted it as NPA last quarter itself.

Dixit, Analyst: Okay. And one last question from my side. So, our net NPA is below 1%, and recently there was an article in the newspaper that RBI is proposing that companies with 1% to 2% net NPA can pay up to 35% dividend or below 1% can pay up to 40%. I know most of the PSU banks are paying 20% dividend payout. Do you feel that it can go up?

Shri S.L. Jain, MD & CEO: You see last year we paid a dividend of 86%, right? So, when we are earning, naturally we have to share the earnings with our investors as well. So as far as the metrics are concerned, we comply with all the metrics - our net NPA is less, and our CRAR is also comfortable.

Dixit, Analyst: Okay. Thank you.

Shri S.L. Jain, MD & CEO: No RBI observations and all. Nothing is there.

Dixit, Analyst: Okay.

Anand Dama (Host - Emkay Global

): Yeah. So, before we take the next question from the participant, there was this question in the chat box that there was this news flow 11

around some mis-selling of mutual fund insurance products and where after SBI bank, or Bank of Baroda, even Indian bank had suspended this business from the zones. Any comments over there? Number one.

The second question is that any impact from the recent Tamil Nadu floods during the current quarter in terms of NPAs or any SMA pool buildup that has happened. Over to you Sir.

Shri S.L. Jain, MD & CEO: Firstly, mis-selling complaints on account of mutual funds is not related to us. The second point is that the impact of the Tamil Nadu flood and cyclone, right? So, there were floods in six districts, and cyclone in four districts. So, ten districts basically. The Tamil Nadu government too had declared it as a natural calamity. And we are working on that. So, we started restructuring some accounts but we do not have much exposure for crop loans in Tamil Nadu. Second is basically the retail or the MSME. So far, no big proposal has come to us. Some amount of restructuring is done in Manipur.

Anand Dama (Host - Emkay Global): Is it possible to quantify the restructuring, and additional restructuring that we have done during the quarter?

Shri S.L. Jain, MD & CEO: May be around Rs.50 crore, Rs.60 crore not beyond that.

Anand Dama (Host - Emkay Global): Okay. We'll take the next question from Ms. Mona Khetan. Ms. Mona, please unmute yourself.

Mona Khetan, Analyst: Hi Sir. Good evening. Just one clarification on the wage hike provisions. So, how much were we providing per month till last quarter, and how much is it now?

Shri S.L. Jain, MD & CEO: 17% provisions for 14 months amounting to Rs.998 crore. So Rs.70 crore on an average per month. So, we say Rs.200 crore to Rs.225 crore is a normal amount of wage hike expenditure. Further, based on our estimates, we have also

provided around Rs.253 crore against retirement benefits, because when somebody is retiring you have to pay him a leave encashment at a higher rate or a gratuity at a higher rate or a pension at a higher rate. That also based on estimates we have provided.

Mona Khetan, Analyst: Got it. So essentially Rs.75 crore per month or so that you will be incrementally providing, based on a 17% hike.

Shri S.L. Jain, MD & CEO: Right.

Mona Khetan, Analyst: But wasn't this higher earlier? Because I recollect an amount of about Rs. 270 crore that you mentioned earlier that you were making.

Shri S.L. Jain, MD & CEO: When you start a discussion with the union association, you don't know whether it will end at 15%, 13%, or 17%, right? So, suppose the IBA has 12

offered 13%, we have made a provision up to 13%. Then IBA in the next meeting or two meetings later offered 15%, whatever the RBI offered, we made a provision at 15%. Finally, they settled at 17%, and we made provisions at 17%. This is how it happens because you do not know how much it will go.

Mona Khetan, Analyst: Got it. And within your loan mix can you just share what's the MCLR and repo component?

Shri S.L. Jain, MD & CEO: So, 61% is our MCLR, 34% is our repo, remaining 4% or 5% is fixed rate loan.

Mona Khetan, Analyst: Got that. And just one final clarification as well. So, you mentioned Rs.7,500 crore of standard asset provisions. So, this will include your portfolio, and account-specific provisions, as well as, those for restructured and general provisions?

Shri S.L. Jain, MD & CEO: Yes, yes. All put together.

Mona Khetan, Analyst: Got it, Sir. Thank you so much. That's useful.

Anand Dama (Host - Emkay Global): Thank you, Ms. Mona. We have one last question coming from Mr. Sushil. Mr. Sushil, please unmute yourself and ask your question.

Sushil Choksey, Analyst: Congratulations to the Indian Bank team for the excellent performance and a great QIP. Sir, you've taken so m

any initiatives within the bank where technology and product integration are concerned, shared service which you have highlighted and you've started cash management as well. Can you throw some light on the total digital spend? Have you reached a journey or it's a continuous process? It's always a continuous process, but in the first initiative where have we reached, and when will we see additional benefits from all the rollouts that you have done?

Shri S.L. Jain, MD & CEO: Choksey Sir, we said that we would be having Rs.70,000 crore of digital business in the first year, this is what we targeted. Today we have crossed Rs.52,000 crores, and last quarter it was around Rs.23-24,000 crores. The way we are growing I'm sure that we'll be able to cross Rs.70,000 crore which we decided. So, this is a tangible benefit we are getting from digitization.

And our colleague Shri Mahesh Kumar Bajaj, Executive Director has said that we have already started 78 journeys. You will get a few benefits when you do this kind of journey. First, the entire due diligence will be taken care of by the system. So, the NPA level or delinquency level on such type of loans is generally lower than the loan done manually. Secondly, your TAT will increase. The third one is that all your digital numbers or information is available in your system. So, you can do cross-selling in the future as well. We are also learning every day digitally, our team will also learn every day, and our field is also learning every day. So naturally our growth will happen. So, we have started getting benefits from whatever investment we have made till now.

13

Now, every quarter we are rolling out nine or ten journeys, and we'll continue to do it. In addition to that, we also got final approval from the Reserve Bank of India around 3-4 days back for starting our subsidiary. We have started recruiting people. So very soon this subsidiary will also be in the working position. We can carry out sale of assets, or

recovery of NPAs or several other activities through that subsidiary. This will improve customer experience, our acquisition cost, and it will bring several other benefits to us. Whatever expenditure we incurred we would like to get Benefit from it.

The third one is in digitization, we have done a few things on the cyber side as well which has helped in cost cutting, such as document management systems and server centralization. Not only are we incurring, but we have started getting benefits from that. As far as Total Expenditure is concerned Mr. Mahesh Kumar Bajaj will tell us.

Shri Mahesh Kumar Bajaj, Executive Director: Yeah. In the last three years, we have done close to Rs.1,500 crore, and in another 2-3 years we are again committed to almost the same kind of every year close to Rs.500 crore which is almost Rs.300 crore in the capital side and almost the same amount in the revenue side. The estimated cost for this financial year is Rs.564 crore, of which revenue side is Rs.242 crore and capital side is Rs.322 crore.

Sushil Choksey, Analyst: Sir, you've done brilliantly on CASA. Do you estimate that the cost of deposit would peak by mid-June or September in the current year?

Shri S.L. Jain, MD & CEO: Repricing has been done from May 22 onwards. So, I think by June, most of the things should have been completed.

Sushil Choksey, Analyst: Thank you, Sir and congratulations, and best wishes for 2024.

Shri S.L. Jain, MD & CEO: Thank you, Sir.

Anand Dama (Host - Emkay Global): Thank you Mr. Sushil. With that, we would want to end the call. But before that would request if MD Sir has any closing remarks to make.

Shri S.L. Jain, MD & CEO: So, thank you all the analysts and investors for your continuous support. The insight which you are giving is helpful for us in deciding our policy and coming out with a better result. Thank you once again and please keep supporting us.

Shri Mahesh Kumar Ba

jaj, Executive Director: Thank you, everyone.

Anand Dama (Host - Emkay Global): Thank you, Indian Bank management for providing us the opportunity to host the call, and thanks to all participants. We wish you a very happy evening.

INVESTOR SERVICES CELL

Ref. No.: ISC/ 56/2024 -25 Date: 13.05.2024

NSE Symbol: INDIANB The Vice President
BSE Ltd.
25, P. J. Towers
Dalal Street, Mumbai -400001

BSE Scrip Code - 532814

Dear Sir/ Madam,

Subject: Transcript of Post Earnings Concall / Meet

The Concall Transcript is also uploaded on Bank's website and the same can be accessed through below link:

<https://www.indianbank.in/wp-content/uploads/2023/03/Q4-FY-2024-Post-Result-Concall-Transcript.pdf>

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary

Encl : A/a

Indian Bank Q 4 FY'24 Results
Post Earnings Conference Call / Meet
Held o n 06.05.2024

Transcript

Management:

Shri S L Jain
MD & CEO

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Shri Brajesh Kumar Singh
Executive Director

Moderator:
Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd.

Page 1 of 19

Anand Dama (Host – Emkay Global) : Welcome everyone to Indian Bank Results Con Call for Fourth Quarter 2024, hosted by Emkay Global. From Indian Bank management, we have MD & CEO, Shri S. L. Jain, and Executive Directors, Shri Mahesh Kumar Bajaj, Shri Ashutosh Choudhary, Shri Shiv Bajrang Singh and Shri Brajesh Kumar Singh.

We would request the MD Sir to brief us with the key highlights of the results and strategic direction, particularly in terms of growth, margins and asset quality. Post that, we will take up the Q&A from the participants.

Over to you, Sir.

Shri S. L. Jain, MD & CEO : So good evening. Warm welcome to all the analysts and investors in the post Result Conference Call of Indian Bank. Today, we declared our Q4 and FY '24 Results. So, I will just touch about the brief on the financial performance. Our business has grown by 12% and Deposits have grown by 11% and credit has grown by 13%. In the deposit, CA has grown by 8%, the saving deposit has grown by 7% and Bank could maintain the domestic CASA Ratio above 42%.

As far as credit is concerned, we have grown by 13%. Under the credit, the RAM credit has grown by 14% and as a result, our RAM advance to total advance have improved from 61% to 62%. Under the RAM, the Retail Credit has grown by 15% and under the retail, housing loan growth is 11% and our auto loan growth is around 49%. Personal loan growth is at 10%.

In Agriculture, we have grown by 19% and this 19% growth is basically crop loan growth. In the crop loan, we are having around 78% of the crop loan as a gold loan, which is growing around 27%. So other than the gold loan, balances are coming down.

Investment credit has grown by 10%. Agri Allied by 62%. Here, major is SHG, which is growing around 37%. MSME has grown by 6%. But you see the standard MSME, it has grown by around 10%. Corporate Credit has grown by 10%. So you see, quarter on quarter basis, we are growing in equal proportions in all sectors, whether Retail, Agri, MSME, and maintaining our RAM to total credit around 61% to 62%. This is the business side.

As far as our profitability side is concerned, you see our financial year '24 Results as well as the quarter. So our Net Profit for FY '24 has grown by 53% and you see, PBT, Profit Before Tax, has grown by 85% and this growth is basically growth in NII, which has grown by 15% and non-interest income, too, has grown by 10%.

Under the non interest income, basically, Trading Profit has grown by 127%, Fee based income has grown by 11%, PSLC commission has grown by 37%, and miscellaneous income has grown by 27%. So NII growth and non interest growth is the main reason for our growth.

In the expenditure side, what we have done, there is an increase in expenditure, mainly under the head salary, which has increased by 23%. What we have done here, because of the wage revision provision, there is an incremental provision on retirement benefits, we have provided for ex-gratia of pensioner for entire four or five years in the current quarters, and therefore, there is a slightly increase.

Slight increase in overhead is because of our expenditure on digitization. So, this year, as a whole, Net Profit has grown by 53%. If you see quarter on quarter also, our Net Profit has grown by 55%. You see quarter on quarter, up to December also, we have grown by 52% -53%. Growth is happening in quarter on quarter basis in the Bank.

Page 2 of 19

So NII in the quarter has grown by again 9% and non interest income has grown by 13%. Here also, the non interest income growth is basically Trading Profit, Fee Income, For ex Income and PSLC commission. So, you see all our income streams are giving us a good profitability.

And you see that here, PBT has grown by 111%. You see last year, we were carrying forward the losses of erstwhile Allahabad Bank. Now in this current year, entire

amount is taxable, so

the tax rate is coming around 26% or so, on a quarter on quarter basis, on a year on year basis.

So, this is about our profitability.

You see our Gross and Net NPA has come down. You see, we started our journey on amalgamation from 1st April 20, when the Gross NPA was 11.39%, First Year 9.85%, Second year 8.47%, third year 5.95%, and Fourth year, we are at 3.95%. So in the whole year, our Gross NPA has come down by 2%.

Likewise, you see on a quarter on quarter basis, our Gross NPAs are coming around 50 bps, plus/minus, so as a result, in the whole year, it is around 2%. Likewise, our Net NPA is also coming down, we started our journey from 4.19%.

Today, we are at 0.43%, our provision coverage ratio has improved to 95% to 96%.

That is about our asset quality and one more thing is that you see our SMA number, SMA number has come down significantly, it is now around 0.48% and the slippage is Rs.1,200 crore. There was no slippage in the corporate book. Rather, we have recovered in the corporate, and the slippage of Rs.1,200 crore is coming mainly from the MSME, Rs.600 crore, of around Rs.140 odd crores is from the restructuring, and around Rs.500 crore is from the Agri, that includes KCC and the other Agri and SHG and around Rs.100 crore is in Retail, mainly because of Housing and Education. So, Asset quality is under control.

Now coming to the capital side, our Capital Adequacy is 16.44%. You see, from year on year, it was 16.49% to 16.44%. Around a 60 bps reduction is in Tier 2 because we have paid the subordinated bond because we are having good Capital Adequacy Ratio. If you see our Tier 1 and CET, there is a growth. Of course, we have raised the capital by Rs.4,000 crore, having impact of 100 bps, but there is an impact of 57 bps because of the RBI guidelines.

So, considering this, our increase in capital adequacy is more than this over 31st March, '23, and this shows that our generations are adequate to take care of our 12% or 13% credit growth, where we can protect our capital adequacy and grow and because of the QIP, our shareholding has come down from 79% to close to 74%.

So that recovery, we told that we will be having a recovery of Rs.8,000 crore in the whole year, against Rs.8,000 crore, we have recovered Rs.8,800 crore, so Rs.800 crore more and our story of recovery more than the slippage is continuing. This year also, slippage of Rs.6,700 crore, recovery was Rs.8,800 crore. Last year also, the recovery was Rs.8,500 crore and slippage was around Rs.7,000 crore. So, you also see on a quarter on quarter basis, our recovery is more than our slippage.

We have recovered around Rs.2,858 crore from the AUC book. What happens, whereas in the P&L, it is coming less amount than this amount because what happens when you sell to NARCL or other, you get a 15% cash and 85% in the shape of SR and all. So as per the guidelines, this provision which we are having on SR we are not reversing and as and when the money is collected for SR, we will credit in the P&L account, so this will be a profit for our future.

Page 3 of 19

Now, slightly, what provision we have made for standard asset because on the basis on the

portfolios. As far as NARCL is concerned, so we have transferred around six account having book balance of Rs.3,000 crore. 4 bids are under process, and on the four accounts we have received the bid, and in the five account, it is under process.

The COVID, as far as COVID restructuring is concerned, it is now outstanding, which we started from Rs.18,000 crore today, Rs.8,000 crore, which is 1.68% of the book, which was around a 4.5% book and we are having around 27% provision there against.

In FI side also, our market share is increasing both in PMJDY, JJBY, SBY, APY, and all and we are doing number of things under digitization. So I request my colleague, Mr. Bajaj, to briefly discuss about the digital journey and then we will open for Q&A.

Shri Mahesh Kumar Bajaj, Executive Director : Thank you, Sir. Good Evening, dear analysts and investors. As far as Indian Bank is concerned, digital transformation journey continues. Our transaction on the digital channels, now 89% as on Q4 for financial year '24, as against 85% in the corresponding quarter, financial year '23, 4% improvement and we have totally launched 78 digital journeys out of which, 34 digital lending journeys and 19 other digital process portals were launched during the financial year 2024.

Our total digital business increased more than 14x from Rs.5,640 crore to Rs.81,250 crore during the financial year '24 and we are planning during this financial year, 27 digital journeys, out of that, 10 digital journeys, we are planning in the Q1 of 2024-25. Bank has been coming out with various digital initiatives and enablers like e-OTS, digital lending platform, tab banking, EBG, e-locker, middleware, APIs, branch server centralization, debt claim portals, settlement portal, document and record management system.

Apart from that, we have created fintech partnership -- government and fintech partnership for the purpose of the CASA. We are providing various solutions to our government departments as well as the institution like SNS solution, API banking, and mobile app for apartments and societies, DBT platform, solution to Municipal Corporation, solution for religious institution, cess collection portal, e-governance solution, dynamic UPI QR code, web-based GPF solution.

Apart from that, bank is having various key projects which are under implementation like Omni channel app which are going to come shortly on the retail as well as MSE and corporate bank, the customers on the internet banking as well as mobile banking, CMS and cloud migration on the private cloud as well as hybrid, data analytic models, CRM solution, CBDC we have already started.

The GenAI, some of the use cases we have already started after tie up with RBI as well as our own team. Next-gen call center and four-way data center also banking starting because we'll have a DC, near DC, DR, near DR for zero loss data. Bank is committed in adding various digital journeys, products and processes and portal for ease of doing business and better customer experience.

Thank you very much.

Shri S. L. Jain, MD & CEO : And one point I forgot to tell you about the margin, we saw the margin but so at the beginning of the year, we said that our margin will be 3.41%, plus/minus 10 bps to 15 bps. As against 3.41% domestic margin is 3.54% in the year as a whole and you see in the last quarter, it was 3.52% improved from 3.49%. So this is because of two or three reasons, there is an increase in the yield on advances as well as yield on investment.

Page 4 of 19

Now, we are open for questions.

Anand Dama, Analyst : Thank you. Thank you for the highlights. So before we open up the floor for Q&A, I have one question which is like pertaining to the recent RBI guidelines, particularly where basically RBI has said that banks need to provide 5% as a standard asset provision on the project finance exposures. So first, like how much is our project finance exposure and what is your view on these guidelines?

Shri S. L. Jain, MD & CEO : Well, these are basically the draft guideline, first point and the draft guideline, they are asking comments, and we will also be sending our comments and in the guideline, what they have done is one is a construction phase and operations phase.

In the construction phase, the provisioning requirement is high and when the DCCO is achieved,

it will come down, and when the 20% payment will come, it will come down further. This is the crux of the guideline and when the DCCO has increased, and if there is a default, then 7th Jun

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circular will be applicable. This is the crux of the guideline. The point is that impact on Indian Bank. First, I would like to tell you that over 60% to 63% is our RA M. We are not a corporate bank. Remaining 37% is our corporate book, right? And even you see if you grow 10%, 11%, so over Rs.18,000 crores, Rs.20,000 crores of a corporate book. So, all are not in projects.

So very small amount will be on, from our perspective, will be under the project, under construction, very small amount. And the completion and 20%, of course, will be up 1% at the end of the day, as against 0.4% of the existing guideline. So of course, this, we will further examine here also, and even we will discuss in the IBA as well, what is the impact on that. So it is too early to say about the impact and everything. But not a big impact, because we are not a corporate bank.

Anand Dama , Analyst : Sir, but I mean, can you just repeat, basically, what is the overall project finance exposure that we have on the book?

Shri S. L. Jain , MD & CEO : That, I'll tell you, right ?

Anand Dama , Analyst : Sure. And Sir, do you believe that this 5% standard asset provisioning is too high a provision to ask for, just based on the construction phase, this could actually derail the entire project financing cycle and the Capex funding cycle that we are all talking about?

Shri S. L. Jain , MD & CEO : So this is a draft guidelines, We will submit our comments. We will submit our comments, right? And you see, for a construction project, you also give this loan over a period of two or three years. Suppose it is a road project, it takes two or three years. So slightly, slightly, you disburse. You don't disburse an entire amount on first day. So we will discuss, Sir.

Anand Dama , Analyst : Sure Sir, we will discuss. Now, we will open up the floor for Q&A. Any participant, if you have a question, you can use the raise hand option and ask a question. First question, we have from Mr.Ashok Ajmera. Mr.Ajmera, please unmute yourself.

Ashok Ajmera , Analyst : Thank you for giving me the opportunity first. Good evening, Sir, Jain Sir, and the entire team. And congratulations for another good quarter and a year of the fantastic results by Indian Bank, where on all the parameters, the Bank has improved its performance. Having said that, Sir, I will take this point from Anand's point only, a little bit to have a little more clarity on this RBI circular, that your exposure to ports and road is Rs.8,696 crore, other infra is Page 5 of 19

Rs.30,552 crores, and CRE is Rs.17,989 crores . So altogether, it is around, I think, Rs.60,000 crore, Rs.65,000 crore of total exposure on this. So roughly, how much is basically under implementation, which will come under the higher provision as per this circular, because this will be on existing as well as on incremental.

Shri S. L. Jain , MD & CEO : Entire exposure is not on project under implementation, right? We are having exposure in the shape of working capital also. We are, on an ongoing basis also, we are giving loans to them, right? So entire is not a project under implementation. This circular is basically project under implementation, right? So basically, even in the road projects also, we are in the business from so many years. So 20% money has already come. Then where is the question of this additional provisioning?

So in case of a new project, which we might have given in last two or three years, that will have a major impact. Otherwise, the projects are already completed. And you see, projects are already completed and there is hardly any SMA . So projects are running that way good.

Ashok Ajmera , Analyst : Okay, Sir. I mean, as the time passes

Shri S. L. Jain , MD & CEO : We will examine in detail

Ashok Ajmera , Analyst : Yes.

Shri S. L. Jain , MD & CEO : We will examine in detail, and then we will come out with the numbers .

Ashok Ajmera , Analyst : Yes, Sir. Point well taken.

Shri S. L. Jain , MD & CEO : Because each and every project has to be assessed .

Ashok Ajmera , Analyst : Yes, Sir. Sir, I have just a point of information. In note number 10, it says that you have formed a new subsidiary Indbank Global Support Services, which is on 9th of February, 2024. So, Sir, what is the idea behind forming this subsidiary ? How much capital the Bank has invested? And what benefit the bank is expecting to draw from this subsidiary?

Shri S. L. Jain , MD & CEO : So, we have started this operational subsidiary with a capital of Rs.10 crore. What this subsidiary will do, they will back office operations for us. You see the way the SBI has formed, the way the Bank of Baroda has, the BGSS. This company also will be doing a number of activities for us, for suppose a collection support, then the operations part, even check issuance, or even you can say, not as a checker, they will do a number of activities where we will save a huge cost and increase our TAT. So this company has started even the working from 1st of March. So first , we have put them on a collection, and also for giving us a lead for saving and current account opening and all.

Ashok Ajmera , Analyst : The existing staff only has gone to the subsidiary of the bank , or it has hired fresh people?

Shri S. L. Jain , MD & CEO : No. We have recruited the people from the market and the subsidiary is recruiting the people from the market, not from our bank.

Ashok Ajmera , Analyst : I think that must be the main idea to recruit the talent from outside and get the work done.

Page 6 of 19

Shri S. L. Jain , MD & CEO : Right.

Ashok Ajmera , Analyst : Sir, my second point is, Sir, on the advances credit growth. Now, okay, we have been going in 12%, 13% range. But at this level now, when so much things are happening in the country, and even some of the bigger banks are also coming in the range of 14%, 15%, 16%. Some smaller banks are still at 18%, 20%. Number one is that, why can't we -- I mean, can we not think of revising this target for the future at least to 14%, 15%, the way the things are happening?

And secondly, on SME front, we are on record as 6% only growth. You are saying that if you take it on standard asset, then it is 10%. But still, are we not comfortable with the way the SME's workings are there or the credits going to the SMEs? That we cannot think of increasing our loan book to the SMEs, Sir?

Shri S. L. Jain , MD & CEO : Okay, Sir. You see our credit growth is 13%. You see our gross NPA has come down from 5.95% to 3.95%. So if our standard growth is 15%, which is nearly in line with the industry, 15%, 16% or so. The same story in -- but we are very cautious in MSME because you see our more NPAs are in MSME. Corporate, hardly there is any NPA with us.

So slowly, slowly, we are growing. But we are growing digitally also because we have started two, three things. Based on the cash flow, we have started giving loan. The pre -approved business loan, we started. Based on the GST return, we started. Based on the cluster -based financing, we started. So security based lending, we have started. So, we are going in a very secure way there. Otherwise, our credit growth is 13% to 15%, Sir.

Ashok Ajmera , Analyst : All right, Sir. Sir, if you look at the external rating Slide 11 of 48, BB and below, in the corporate book, there is more than Rs.100 crore corporate book. There is an outstanding of Rs.11,275 crore. These are rated BB or below. And at the same time, a slight increase is also there from Rs.9,008 crore to Rs.11,275 crore at the end of '24 as compared to '23.

So what kind of these corporates which are rated below BB and not the government or state government and still more than Rs

.100 crore? How many such corporates are there? And what is the asset quality of these corporates against this credit, Sir?

Shri S. L. Jain , MD & CEO : Basically, what happens under this bracket, basically, three, four

type of exposures are there. One is basically LRD exposures, where we are not getting rating, but the cash flow is being protected, first point. So because you see our LRD exposure has increased, you see, just prior to that, Rs.13,000 crore becomes Rs.17,000 crore, right? So Rs.4,000 crore, just you see slide number 10, and then you compare with slide number 11. So the one is an LRD exposure.

Second kind of exposure here is basically here in the hospital or educational institutions and all, where we are having the cash flow. So these are two or three major areas where we are increasing our exposure where the cash flow is protected, Sir.

Ashok Ajmera, Analyst: Good, Sir. My last, last question, Sir, on the investment in this round of discussion is on the investment book. Our AFS book, we were told, we had increased the duration, modified duration from 1.98 to 2.75 and we were of the view that -- I mean, the bank was of the view that with the interest rates a little bit softening up, we will make a little more profit on AFS and still the modified duration is 2.72 of the AFS book. So what are the views of our treasury going forward on -- what do you see like in the coming quarters? How much -- how do we make the profit from this book, Sir?

Page 7 of 19

Shri S. L. Jain, MD & CEO: Okay. So I am telling you, we have done a number of things in that, in the treasury side, Sir. First is our investment has grown by 14%. So Rs.1,88,000 crore to Rs.2,14,000 crore or Rs.26,000 crore of growth, right? This is the first point. So because we were knowing that the interest rate will come down, so we have made a huge investment at a good rate, even much higher than the current rate.

And you see holding yield, you see our investment yield has increased. In fact, today, my holding yield for AFS book is 7.28% and the HTM book is 7.06%. Virtually, my yield on total investment portfolio is 7.17%. You see, my last year, my yield on investment was 6.80%, and today, it is 7.17%. So you see 37 bps higher on a Rs.2 lakh crore book, what kind of interest, more interest we will have in the next few years to come. And we have increased our duration. So first is that it will give us a better interest income in the time to come. And we also know that the interest rate will come down --

Ashok Ajmera, Analyst: Sorry to interrupt you, Sir, but this yield on investment in one of the slide, I think, if quarter on quarter is 6.88% and here 6.80%.

Shri S. L. Jain, MD & CEO: So 6.88% is a quarter number, Sir. 6.88% is a quarter number. We have done a churning in the last quarter as well and as a result, what happens is new guideline -- we move to the new guidelines, right? So the new guidelines are different than the earlier guidelines because now you cannot have a yearly churning, which we used to do in the old guidelines, right?

So what we have done, the 6.80%, in fact, holding yield is 7.17%, Sir. So this is because of churning and this will give a better interest income to us in the time to come. Besides this, if the market is favorable, which we think that after third quarter -- after second quarter, third and fourth quarter we will have good opportunities. So this will give us an income as well residual profit on the interest income. So that way we have built this book, Sir.

Ashok Ajmera, Analyst: Okay, Sir. Thank you very much, Sir and all the very best. And I will come back again if time permits, Sir. Thank you.

Shri S. L. Jain, MD & CEO: Thank you. Thank you, Sir. But you are clear, Sir, what is our thinking in that.

Anand Dama, Analyst: Next question, we will move

on to Mona. Mona, please unmute yourself.

Khetan, Analyst: Yes, Hi, Good evening, Sir. My first question is on the recovery from written-off book. So this year, if I look at the full year, you recovered about Rs.1,900 crore. If I have to understand the mix of various recovery channels, OTS and CLT, et cetera, could you give some sense?

Shri S. L. Jain, MD & CEO: Okay, just I want to tell you two, three things in recovery basically. So one is a slide number 16, right that talks about the P&L.

Mona Khetan, Analyst : Right.

Shri S. L. Jain , MD & CEO : And slide number 29, which talks about the movement of NPA, right?

Page 8 of 19

Mona Khetan, Analyst : Right.

Shri S. L. Jain , MD & CEO : So in slide number 29, you see the AUC recovery is Rs.2,858 crore. So, around Rs.2,858 crore. I have booked up Rs.1,800 crore in P&L. So close to Rs.1,000 crore is an amount, which is a SR or OCD, we will book an income as and when it will come. So this is an income for the next few years .

Now, second point is the recovery. From where we are having recovery? So recovery, basically, we are having recovery from NCLT. You see the NCLT recovery in '23 -'24 is Rs.1,817 crore, as against the last year recovery of Rs.1,029 crore. So the Rs.800 crore more recovery from the NCLT in '23 -'24 as against '22 -'23.

The compromise recovery is Rs.1,505 crores. The sale to ARC is Rs.464 crore. Sale through SARFAESI is Rs.861 crore. And other case recovery is Rs.3,072 crore and upgradation is Rs.1,078 crore. All put together is Rs.8,798 crore.

Mona Khetan, Analyst : Got it.

Shri S. L. Jain , MD & CEO : Here, you see, every quarter, we are recovering more than Rs.2,000 crore.

Mona Khetan, Analyst : Okay, got it. Secondly, if I have to look at the employee expense, so does this also include the impact of pension provisions this quarter and how much would that be?

Shri S. L. Jain , MD & CEO : No, what happens this quarter, our total staff expense is Rs.2,633 crore, right?

Mona Khetan, Analyst : Right .

Shri S. L. Jain , MD & CEO : Of this Rs.1,015 crore is the employee benefits. Out of this Rs.1,015 crore, Rs.388 crore, this is one item, which is basically a provision we have made for ex-gratia payments to be made to the pensioner for next four or five years.

Mona Khetan, Analyst : Okay. So -- got it. So if I have to understand the employee expense run rate going forward, what would that be next year from a quarterly perspective?

Shri S. L. Jain , MD & CEO : What we think that, you see, the expenditures, salary is Rs.6,400 crores, and employee benefit is Rs.2,800 crores. So put together, it's Rs.9,200 crores is our expenditure for the year '23 -'24, right? Considering the current salary bill and the AS -15, this amount can be close to Rs.9,000 crores.

Mona Khetan, Analyst : Okay, from a full year perspective.

Shri S. L. Jain , MD & CEO : Full year perspective.

Mona Khetan, Analyst : Okay. And also, finally, on the outstanding standard provisions, how much would that be for us?

Shri S. L. Jain , MD & CEO : Outstanding standard asset provision, we are having close to Rs.7,900 some odd crore.

Page 9 of 19

Mona Khetan, Analyst : Okay, and this includes restructured provisions as well?

Shri S. L. Jain , MD & CEO : This includes all provisions .

Mona Khetan, Analyst : Okay, okay. And just finally, what would be the guidance on margins?

Shri S. L. Jain , MD & CEO : So you see, what we have told you that 3.41% will be the margin,

we have ended with a 3.54%. Now we are seeing that we are in a very tight liquidity market, right? In a tight liquidity market, naturally, the interest rates are slightly higher. And even the CASA growth in line with the total deposit growth may not be there, though our endeavor will be to maintain our CASA more than 40%. S

o -- and some lag effect of the deposit will also be there going forward. In the current situation, as against 3.54%, our margin can be in the range of 3.4% to 3.5% with, of course, a 10 bps to 15 bps here and there.

Mona Khetan, Analyst : Okay. So it may come down by 5 to 10 bps, let's say .

Shri S. L. Jain , MD & CEO : But you see, last time also, we had given a guidance of 3.41%, and we ended with 3.54%.

Mona Khetan, Analyst : Correct. Got it. Got it, Sir. Thank you so much. I will come back in the queue.

Anand Dama , Analyst : Yes, thank you, Mona. Next question we will take from Nishant Shah. Nishant, please unmute yourself.

Nishant Shah , Analyst : Hello. Hi, Sir. Congratulations on the good results. It's really remarkable. Sir, just coming back to this RBI project implement, like, project circular. So you mentioned in your opening remarks that it's probably a little too early for you to kind of give any comments. But just even if you can qualitatively answer, like thought process -wise, like the spread on some of these project loans will be 2%, 3%. So mathematically, how does it work out if you have to kind of provide 5% upfront in year one, two, three?

It's like you almost operate at a negative ROA for like first two, three years. So is the current kind of format of this circular probably going to see light of day, or if you can just kind of give your thoughts around like how this changes, if at all it changes?

Shri S. L. Jain , MD & CEO : First, we have to further examine this circular. But the plain reading, the 5% margin, we are not having. This is correct because no bank is having a margin of 5%. But what the circular says that you have to build in 2% and then 3.5% and then the 5%. And by the time what will happen, some of the projects under construction will -- this year, will achieve and will convert into operational and the requirement of them will come.

So, this is an ongoing process and after that some 20% will come, some provision will release, some provision will come. This is a cycle it will happen. So slowly, slowly, may be after and therefore, they have given a time also up to '27 to build up these provisions.

But if you read straight 5%, it appears to be high side, but they have given a timeline. And then this is only a draft that we will submit our views also.

Nishant Shah , Analyst : Correct, Sir. Sir, I understand about the back book, you will get time to kind of like build up provisions of the existing loans. But like, on a go -forward basis, incrementally, say, tomorrow, some large corporate comes to you for like setting up a port

Page 10 of 19

project or whatever else. Like, how do you, is there enough pricing power to go and tell an NTPC or an Adani or someone like that to say, hey, like, I'm going to charge you 5% more because I have to provide 5% more upfront.

Like, because incrementally, you don't get that leeway, right, of spreading that provision over three years.

Shri S. L. Jain , MD & CEO : It's very difficult to get 5% in the competitive environment. It is very difficult to get 5%. But some margin we can always load. The way you see, the way the RBI circular came for NBFCs and all. So some increase we have made in our NBFC pricing. And this will be a new normal.

Nishant Shah , Analyst : Correct, Sir. Okay, fair enough. And even if you have a ballpark number, sometime during the call, if you can share about, like, what would be roughly the projects which are currently under implementation. That would be really helpful, Sir.

Shri S. L. Jain , MD & CEO : Okay.

Nishant Shah , Analyst : Yes, thank you. That's it for me. Thank you so much, Sir.

Anand Dama , Analyst : Yes. Thank you, Nishant. Next question, we will take from next question we will take from Mr. Ketan Athavale. Ketan, please unmute yourself.

Ketan Athavale , Analyst : Hell

o, Sir. Thank you for the opportunity. I just wanted to know your credit cost outlook for FY '25 and FY '26.

Shri S. L. Jain , MD & CEO : So the credit cost, you see, has come down substantially. Our credit cost is basically 0.7% or so, right? Now the net NPA itself has come down to 0.43%, so it will come down further, Sir. You see, credit costs are continuously coming down. And we are hardly any SMA 1 and 2 .

Anand Dama , Analyst : Ketan, are you done?

Shri S. L. Jain , MD & CEO : Am I clear, Sir?

Ketan Athavale : Yes. Can you just provide some guidance? That would be very helpful .

Shri S. L. Jain , MD & CEO : In terms of exact number?

Ketan Athavale : Yeah, or a ballpark range will also do.

Shri S. L. Jain , MD & CEO : No, you see, the 0.77% is a credit cost for the year, when my beginning net NPA was 0.9%. Now, my beginning net NPA is 0.43%. So naturally, it will come down.

Ketan Athavale , Analyst : Okay. Thank you. That's it from me.

Anand Dama , Analyst : Yeah. Thank you, Ketan. Next question, we'll take from Rakesh Kumar. Rakesh, please unmute yourself.

Rakesh Kumar, Analyst : Hi. Thanks, Sir. So just firstly, Sir, on the liquidity front, what we're holding in the book. So we are continuously having investment deposit ratio on the NDTL close Page 11 of 19 to around 29.5%, 30% kind of a number. So what is our thought process on that? Like, would we be able to use some of the liquidity in the next financial year?

Shri S. L. Jain , MD & CEO : Well, right, you see, the last year, you see, in absolute terms also, you see our deposit has grown by, say, Rs.67,000 crore. And our credit has grown by Rs.60,000 crore. So around an incremental CD ratio of 90% in '23 -'24. We are sitting at a CD ratio of 77%, 78%, right?

Going forward, we would like to plan in a similar way. As far as liquidity is concerned, we are having around Rs.44,000 crore of excess. SLR as on date also. So what happens, some of the money we will utilize for credit, since we will be getting more return under the credit?

And one more point is that liquidity is available. Issue is that at what price you are taking. So, we don't want to be outlier in the price and take money, and then it will impact our NII and all. So, you see, we will be able to maintain our margins, NII growth, and everything.

So, we will be growing in a much planned way. But like to maintain our CASA 40% -plus. So, our average deposit cost will come down. And at the same time, on the credit side also, we want to grow retail, agri, MSME, corporate, equal proportions or so. So better yield and better margin.

Rakesh Kumar, Analyst : The HTM book that we have, would that all in the money? There would be some loss in the HTM book at the current yield?

Shri S. L. Jain , MD & CEO : No, you see that I told you that my HTM yield is 7.06%. HTM is not required to make provisions and all. 7.06% we are having.

Rakesh Kumar, Analyst : No, I'm just thinking from the point of view that to what extent we can liquidate that SLR and use that into the CDR. So, from that perspective, I was trying to understand that what the position on the HTM book is . So, are we in the money or out of the money in the HTM book?

Shri S. L. Jain , MD & CEO : No, no, no. HTM, we are having good AFS book as well. In the new guideline also, we created good AFS book and HFT book. Even in the HFT or FVTPL, our holding yield put together is basically 8.61%. So that good book, HFT and AFS, the opportunities are there. And if the need arises, we'll always square it up and use it for credit.

Rakesh Kumar, Analyst : And Sir LCR, currently, the LCR would be March end, Sir, LCR?

Shri S. L. Jain , MD & CEO: LCR is around 130% to 133%.

Rakesh Kumar, Analyst : Okay. And Sir, this quarter, we have a lower credit yield on a calculated basis on our quarterly average

balances. So, any specific reason for that lower credit yield this quarter?

Shri S. L. Jain , MD & CEO : No, but you see, our yield on advances have improved by 3 bps over the December quarter.

Rakesh Kumar, Analyst : Okay.

Shri S. L. Jain , MD & CEO : What happens, Sir, there are two play here. We are having 60% MCLR book and 30% -34% is the repo. The repo, there is no change. Of course, we have increased our MCLR. And as a result, our yield has improved slightly . And that MCLR also, one -
Page 12 of 19
year MCLR will come for repricing after one year also.

Rakesh Kumar, Analyst : And Sir, have we reversed any excess provision on the loan sold to ARC close to around Rs.80 crore, Rs.85 crore this quarter?

Shri S. L. Jain , MD & CEO : No, because whatever money we have received cash, we have reversed up to that amount only. But the money which we received in the shape of SR or as OCD over NCD, as and when the money will come, we'll reverse.

Rakesh Kumar, Analyst : Actually, Sir, like, I was going through the -- this thing, your notes to accounts. So here, we have given in 18 that there is a total reversal of Rs.232 crore and Rs.149 crore was the reversal as on December end. So the residual amount we would we would have received or reversed this quarter?

Shri S. L. Jain , MD & CEO : No, this reversal is up to the extent of cash received.

Rakesh Kumar, Analyst : Correct. Okay. So we have not credited the P&L this quarter to that extent?

Shri S. L. Jain , MD & CEO : No, no, whatever money SR, SR as OCD and NCD we have received, it is basically as and when we will receive money. You see, this SR is guaranteed by the government, even in five years' period also. By the time NARC will sell the asset and will give money. So this money will come every year to us, rather every quarter to us, some money will come. And then we keep on reversing that part.

Anand Dama : Thank you, Rakesh. We will have to move on. Next question, we'll take from Dixit Doshi, please unmute yourself.

Dixit Doshi , Analyst : Yeah, can you hear me? Hello?

Shri S. L. Jain , MD & CEO : Yes, Sir, please.

Anand Dama , Analyst : Yeah, Dixit, we can hear you.

Dixit Doshi , Analyst : Yeah. Thanks for the opportunity. So couple -- one question and one clarification. So firstly, what kind of recovery target we have for next year? And how much is our return of pool as of today?

Shri S. L. Jain , MD & CEO : Two things, Sir. Written Off pool is around Rs.39,000 crore. So Rs.39,000 crore plus Rs.21,000 crore -Rs.22,000 crore , Rs.60,000 crore of NPA we are having virtually. Last time, we said that Rs.8,000 crore recovery and we end up with the Rs.8,800 crore. This time also we are planning between Rs.7,000 crore to Rs.8,000 crore of recovery.

Dixit Doshi , Analyst : Okay. And so one question regarding the RBI guidelines on the project finance. So there was some section of the investors -- there were some confusion that whether this 5% provision is from the day one or if the DCCO extension will be availed, then only the 5% provision.

Shri S. L. Jain , MD & CEO : No, no, 5% provision is till the DCCO is achieved, right, construction phase. And I'm telling you, suppose we have given a loan, say sanction of loan of Rs.100, first year we can disburse Rs.20, next year Rs.30, Rs.40, then next year remaining. So the provision will attract only on Rs.20, not on Rs.100. On the third year, it will, of course, attract the provision of Rs.100, and the fourth year, it will come back.

Page 13 of 19

Dixit Doshi , Analyst : Okay. Okay. That's it from my side. Thank you .

Anand Dama , Analyst : Yes. Thank you, Dixit. Next question, we'll take from Jai Mudra. Jai, please unmute yourself.

Jai Mundra, Analyst : Yes. Hi, sir. Good evening. I have a couple of questions.

Shri S. L. Jain , MD & CEO :

Yes, good evening.

Jai Mundra, Analyst : Sir, first is the corporate slippages are negative this quarter, right? So, is it fair to understand that there would be some slippages, but then you would have recovered slippages from the previous quarter, and hence, this quarter slippages are negative? I mean, why the fresh slippages are negative number?

Shri S. L. Jain , MD & CEO : First time you are saying negative number, no? This is the recovery, Sir, because you are on one side only.

Jai Mundra, Analyst : No, so I wanted to check, Sir. So let's say there was some slippages, but you recovered during the same quarter.

Shri S. L. Jain , MD & CEO : Yes, yes. Because we are doing on quarter -on-quarter basis.

Jai Mundra, Analyst : Okay . So this is -- the slippages number that we show is after inter - quarter recovery, right?

Shri S. L. Jain , MD & CEO : Here as a whole, naturally, your slippage will be less.

Jai Mundra , Analyst : Okay, understood. So that is one. And second, Sir, if I see our recovery number, total cash recovery number, which is Rs.2,017 crores this quarter and Rs.2,509 crores previous quarter, that number has changed, Sir. I mean, from previous, I think it was some lower number. It has been revised upward, the third quarter number. Any specific reason or how does this work, sir, because the previous number have also revised upwards. The third quarter, cash recovery.

Shri S. L. Jain , MD & CEO : I will come back. I'll come back to you. Same number, I think we have not changed. Why should we change? You see last presentation .

Jai Mundra, Analyst : Yes, in the last presentation, this number is lower, the total cash recovery.

Shri S. L. Jain , MD & CEO: You are talking about the December '23 quarter?

Jai Mundra, Analyst : Yes, Sir.

Shri S. L. Jain , MD & CEO : Okay, let me see the presentation of December '23. No, it is Rs.2,509 crores only, Sir.

Jai Mundra, Analyst : Okay. So, what I read is Rs.2,340 crores, but anyway, so that is

Shri S. L. Jain , MD & CEO : No. Your own calculation, you might have done it Rs.2,340 crores is just above.

Page 14 of 19

Jai Mundra, Analyst : Okay.

Shri S. L. Jain , MD & CEO : Just below that Rs.2,509 crores, same number .

Jai Mundra, Analyst : Right, right. Okay. Understood. Understood. And Sir, this quarter, could you give us.

Shri S. L. Jain , MD & CEO : Yeah, yeah, yeah. Correction. Correction. Just a minute. It was Rs.2,340 crores, second is Rs.2,509 crores. Okay. Understood. But number is Rs.2,509 crores is final.

Jai Mundra, Analyst : Right. Okay. Okay. Understood. As in this quarter, out of Rs.898 crores of cash recovery and upgrade, if you can bifurcate what is the cash recovery and what is the upgrade.

Shri S. L. Jain , MD & CEO : So major part is basically what happens by the time you reach to the fourth quarter now, so your -- virtually your cash recovery is more.

Jai Mundra, Analyst : Right.

Shri S. L. Jain , MD & CEO : So major part is basically cash.

Jai Mundra, Analyst : Sir, a small question on personal loan, right? So, we had started this business and the portfolio is very small. Still the quarter -on-quarter number has declined, the outstanding number has declined. So anything to read into, are you seeing any adverts or is there a change in the strategy in the personal loan business? Because from Rs.8,600 crores, it has now fallen to Rs.8,500 crores on a Q -o-Q basis. It was growing at a rapid pace .

Shri S. L. Jain , MD & CEO : What happens in personal loan, you get recovery also very fast because the quality of customer which we are lending, basically, those are existing customers, salaried customer, CIBIL score more than 730 or 750, majority are more than even 750 CIBIL score. So you get recovery also very fast. And period of loan is also very small .

Jai Mundra, A

Analyst : Okay. And lastly, Sir, this pension that you said Rs.388 crores that we have provided on ex -gratia. This is the same thing, right, that we had provided last quarter some 300 crores on the pension?

Shri S. L. Jain , MD & CEO : No. This is the first time we provided because a settlement was signed only in the last quarter. Not in December quarter.

Jai Mundra, Analyst : Okay. So this is a new, new clause in the settlement. Is that new?

Shri S. L. Jain , MD & CEO : Yeah. New clause that also we have fully provided.

Jai Mundra, Analyst : Right. All right, Sir. All right, Sir. And if you have the loan mix by benchmark, Sir, EBLR, MCLR, etc.

Shri S. L. Jain , MD & CEO : No, I'm telling you 60%, close to 60% is basically MCLR. And around 34% is basically repo. Rest is fixed or external benchmark, very small or base rate earlier on.

Page 15 of 19

Jai Mundra, Analyst : And Sir, if you had highlighted this thing that out of this new investment norms we have, we are in the money in the sense that there is some accretion to the reserves, CFS reserves and general reserve. If you can quantify, Sir, how much is the addition to CET 1 or Tier 1 basis the new investment norm as of April 1st?

Shri S. L. Jain , MD & CEO : No, that is basically what happens, you see the interest rate 10 years G-sec on 1st April was I think 7.06% or so, today it is around 7.16% or 7.17%, so based on the movement of G -sec prices, this reserve also plus and minus will happen, and it will directly happen in the reserve side.

Jai Mundra, Analyst : Okay. Yes Sir, thank you Sir.

Anand Dama , Analyst : Thank you Jai. Next question, we will take from Suraj Das, Suraj, please unmute yourself.

Suraj Das, Analyst : Hi Sir, thanks for the opportunity and congratulations on a good set of numbers, a couple of questions.

So, you have done really well on the corporate book this quarter in terms of growth. And if I see within that, probably the segments which have done well is the other infra, construction and commercial real estate, where more or less on a sequential basis, the growth has been something like 5% to 6%. So, just wanted to check, Sir, in terms of the other infra, what are the segments where probably this growth has come from, is it solar or is it anything other? And what is the general yield that you are charging here?

Shri S. L. Jain , MD & CEO : Other infra basically three, four major sector. The city gas, city gas is a new area where the construction is going on, the pipelines and all. Smart metering is another area where the new developments are taking. Data center is a new area where the developments are. Solar panel manufacturing and all. These are new areas, new and upcoming areas where we are giving loan and the margins here are slightly better.

Suraj Das, Analyst : So, in terms of blended interest rate here, it would be 11%, 12% or higher?

Shri S. L. Jain , MD & CEO : No, no, no, Sir 11%, 12 % , you will not get a good quality .

Suraj Das, Analyst : Okay.

Shri S. L. Jain , MD & CEO : You will not get a good quality customer.

Suraj Das , Analyst : Okay. So it'll be very low.

Shri S. L. Jain , MD & CEO : Competition intensity is very much

Suraj Das, Analyst : Okay and in terms of the construction and commercial real estate, I mean here if you can also highlight your strategy and probably what is the blended interest rate here?

Shri S. L. Jain , MD & CEO : So, what happens in commercial real estate also, there are huge opportunities? I am telling you that the way the E-commerce is happening in the country, there are the data repository requirements, and all have increased, everyday new data is created. So data center is a huge business opportunity for entrepreneur and for us to give LRD loan and all, right?

Page 16 of 19

In office space also we are

giving, even malls and all. Now, again, full. So there are opportunities there also. And in each city, the warehouse is in all -- huge opportunity, because now all these e-commerce companies are delivering goods in one day, even in six hours, 10 hours. So in each city, there are warehouses. So huge opportunity is there in the LRDs.

And the interest rate we are getting, because the cash flow is there. Cash flow is there, and the promoters are solid. So slightly better interest rate than the one -year MCLR or near to one -year MCLR.

Suraj Das, Analyst : Right. Understood, Sir. And Sir, I mean, barring LRD, what would be the general moratorium period during the construction for all these project loans?

Shri S. L. Jain , MD & CEO : No, no, what we are not giving. We are not in the business of giving construction and then LRD. We are giving when the tenant is in place, money is coming. So you are assured that your cash flow is there. Then we are entering.

Suraj Das, Analyst : Okay. But for the other infra segment, I mean, generally there would be some construction phase, right, for this solar or data center?

Shri S. L. Jain , MD & CEO : No, other infrastructure, all are very, very good companies. All are AA, AAA rated companies. And they have taken various districts in India, right? Various districts, so they are performing companies, good debt equity. So there we are giving. Quality of credit is that way better. And rating is also better, even AA, or near that.

Suraj Das, Analyst : Sure, Sir. Okay, understood. And Sir, one last question in terms of Slide 29, more technical question in nature. If you can clear the difference between AUC recovery and the MOI recovery, I mean, what is the meaning of these two.

Shri S. L. Jain , MD & CEO : Yeah. What happens, MOI is an interest recovery, right? So interest recovery will go straight away to interest income. And other than MOI, it will go to a reduction in outstanding . Or if it is a return of account, it will go straight to income account.

Suraj Das, Analyst : Okay, so this Rs.184 crore also goes to the interest income line item .

Shri S. L. Jain , MD & CEO : Rs.184 crore has gone to the interest.

Suraj Das, Analyst : Okay. Understood, Sir. Thanks. Thanks so much, Sir.

Anand Dama , Analyst : Yeah, thank you, Suraj. We will take next question from Sushil .
Mr Sushil Choksey, please unmute yourself.

Sushil Choksey , Analyst : Congratulations, Mr Jain, and management team of Indian Bank for excellent performance. Sir, in your tenure, if many more transformation have to happen or the transformation journey which you have started since you've joined, what are the things which you would like to see that has rolled out? And where you see a maximum benefit for Indian Bank's future .

Shri S. L. Jain , MD & CEO : So, thank you, Mr Choksey , first your compliments. And I request Mr Bajaj to give that. I'll give you what is the impact on the bank .

Page 17 of 19

Shri Mahesh Kumar Bajaj, Executive Director : So, in fact, when we go with these digital journeys, one side, we are improving our asset quality. Other side, the PAT is improved. So, during the last financial year, we did almost Rs.81,000 crore of business through this digital journey. And this year, we are again planning to cross more than Rs.1 lakh crore, which is monthly more than Rs.10,000 crore now run rate is there at present.

So apart from that, one more major project which we have taken out, that is on the new mobile app, that is Omni channel , which we are going to start very shortly. It will be, again, a super - app kind of thing, which is a similar experience on all channels of access, maybe a mobile app or internet banking. When a journey is started on one channel, it can be completed on another channel. So this will help us in reducing our operatin

g costs and improving our asset quality.

So, these are the one or two journeys with the projects which we have taken almost on the completion stage.

Apart from that, various other on the infrastructure, we have done the, now I was telling in my presentation, we are coming up with the near -dear site also. And on the infrast ructure also, most of the fixed assets on that, maybe a laptop, desktop, the ATM, all those things we have changed during the last financial year, last two years. And a lot of changes have been brought in on the infrastructure in the cyber -SOC also, on the security front also. Almost Rs.300 crores spend is there on the cyber -SOC. And almost on the transmission itself, we are spending every year Rs.500 crore to Rs.600 crore. And going forward, it's going to be, we have committed more than Rs.700 crores to Rs.800 crores for the next three or four years , Sir.

Shri S. L. Jain , MD & CEO : So, Mr Choksey , I'll tell you that basically, what is bank? Bank is basically a talent, technology and a customer. On the talent side, how we are doing our business? First of all, the business itself, our large corporate branches takes care of about 76% of large corporate branch business. We are having 27 MCBs, which we have added. And five or seven more we are adding. So, this MCB is a business, Rs.25 crore to Rs.150 crore, where we are getting good margins. And the growth here is around 23%. But the LCB and MCB, you need good people who understand the credit, who can deliver.

So, what we have done, we have given the training in -house and outside to our people. First, we have recruited people in recruited people in all categories, whether it is a scale 1, 2, 3, 4, because not only our people, outside people also. We have recruited people from the market also to manage over this LCB and MCB business.

Now, third point is that other businesses, MSME business or retail business, there also, the knowledge, soft skills are required. So what we have done, we have given around 30,000 people training in the last year, 30,000 people. And we are giving training all our branch head, all our MAPC head, all our RAPC head. And time to time, we are having their meetings also, so they have positivity, they have energy, they have understanding of the business.

So that way, all these good engines are working. Likewise, even I'm telling you SHG is a good business for us. Even our MS, SHG, people are giving training to the other branch managers to have a SHG business in other part of the country, where the government is supporting even recovery of that. Our gold loan branches are giving training to the other branch managers to have a gold loan business, because this business we are doing from number of decades.

So for all kind of training, support, soft skill, leadership development, all kind of training we are giving, all kind of recruitment we are doing, even at the top level, we are recruiting from the market. This is talent side, but then everybody is being trained based on their area of interest
Page 18 of 19

right? And on that area of interest, they are giving posting also based on their area of interest. Likewise, in technology also, we are doing a number of things. In a core side also, we have done. Even today, our core, the capacity utilization is close to 60%. And we have a feature where we can increase any time. Only you have to servers are all in place, and we have to give pay license fees, and then we increase this number.

We have Middleware, we have started digital. The Omni-channel, we started. Digital lending, we started. CISO, we started. In the network side also, we have a number of things. All our branches are having 5 kbps through SD-WAN. Server centralization, we have done. DMS, we have done. Huge things we have done, and all is contributing to the growth of the bank, and it will continue to grow. And that'

s 78 journeys which we have done. I'm telling you, we are having Rs.80,000 crore of our business.

Sushil Choksey, Analyst : And Sir, paucity of time, I'll ask you a question added to this. Led by your transformation journey of digital banking and Indian Bank shared service, where do you see your cost to income and number of products which you will be able to sell to your customers over a period of the next one or two years?

Shri S. L. Jain , MD & CEO : So you see, our cost to income ratio was 45%. It was 44% last year. And in the current year, it is around 45%, because of the huge employee cost this time we have put on account of this. So, we would like to bring back this cost income ratio below 44% in the time to come. And that can happen only with your previous income and your better margins. So we are working on that. And you see, we are able to maintain 42% CASA. And what happened, even the liability side, also we have done segmentation. We have R&GR sale at various state capitals will open. Even resource acquisition center, we are planning to open around. So far, already opened around 75 centers. We want to slowly, slowly move to a 200 center where the money is. So, wherever money is there, we are there.

Sushil Choksey, Analyst : So, are you sensing large manufacturing business in Tamil Nadu and adjoining areas where Indian Bank has a large presence ?

Shri S. L. Jain , MD & CEO : Yes. Indian Bank, we are having around 25% of balance sheet from Tamil Nadu now.

Sushil Choksey, Analyst : No, no, are you sensing large manufacturing opportunities?

Shri S. L. Jain , MD & CEO : Yes, opportunities are there. Large is also there. Mid is also there .

Sushil Choksey, Analyst : Okay.

Shri S. L. Jain , MD & CEO : That is why my mid corporate business has grown 23%.

Sushil Choksey, Analyst : Sir, I'll take further

Shri S. L. Jain , MD & CEO : Come again, please.

Sushil Choksey, Analyst : Sir, I said because of paucity of time, I'll take further questions offline with you.

Shri S. L. Jain , MD & CEO : Okay, no problem, Sir. No problem at all.

Anand Dama , Analyst : Thank you.

Page 19 of 19

Shri S. L. Jain , MD & CEO : You know we started over our subsidiary as well, right ?

Anand Dama , Analyst : Yes, thank you, Sushil . Yes, thank you, all the participants. Thank you, MD sir, for allowing us to host this call.

Sir, do you have any closing remarks to make? And in case, basically, you have any data on the project financing stuff, which one of the participants asked, you can share the same.

Shri S. L. Jain , MD & CEO : The project financing data, we have to see, actually. This is account by account, we have to see. So, it will take time, and then we're offline, I will tell you. But at the same time, we are

Ashok Ajmera , Analyst : Anand, can I Sir, can I come in just for

Shri S. L. Jain , MD & CEO : Yes, Mr Ajmera , no problem.

Anand Dama , Analyst : Sorry, Mr Ajmera, we have to close the call. Sorry for that.

Shri S. L. Jain , MD & CEO : Yes, Mr Ajmera, I can discuss with you, no problem, sir.

Ashok Ajmera , Analyst : Okay. All right, Sir.

Shri S. L. Jain , MD & CEO : Thank you, thank you, all analysts and investors for continuous interest in the bank and also guiding us. This all will go a long way for improvement in our business. Thank you.

Anand Dama , Analyst : Thank you, Sir. Thank you, all participants. With that, we will end the call. Thank you, guys. Have a great evening .

INVESTOR SERVICES CELL

Ref. No.: ISC /153/2024 -25 Date: 05.08.2024

NSE Symbol: INDIANB The Vice President
BSE Ltd.
25, P. J. Towers
Dalal Street, Mumbai -400001

BSE Scrip Code - 532814

Dear Sir/ Madam,

Subject: Transcript of Post Earnings Concall / Meet

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of our Letter No. ISC/141/2024-25 dated 24.07.2024 and Letter No. ISC/ 145/2024-25 dated 29.07.2024 regarding Analysts / Investors Concall / Meet, we are enclosing a copy of Transcript of said post Earnings Concall/ Meet held by the Bank on 29.07.2024 on the Financial Results of the Bank for the First Quarter of FY 2024 -25 ended on 30th June 2024.

The Concall Transcript is also uploaded on Bank's website and the same can be accessed through below link:

<https://www.indianbank.in/departments/concall-transcripts/>

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary

Encl : A/a

Indian Bank Q 1 FY'25 Results
Post Earnings Conference Call / Meet
Held on 29.07.2024

Transcript

Management:

Shri S L Jain
MD & CEO

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Shri Brajesh Kumar Singh
Executive Director

Moderator:
Shri Kunaal N
Analyst, Emkay Global Financial Services Ltd.

Page 1 of 13
Kunaal N (Host – Emkay Global)

Good evening, ladies and gentlemen. I welcome you all to Indian Bank's Post Results Conference Call for the First Quarter of Financial Year 2025, hosted by Emkay Global Financial Services Limited. From the top management, we have with us, Shri Shanti Lal Jain, MD & CEO, Shri Mahesh Kumar Bajaj, Executive Director, Shri Ashutosh Choudhary, Executive Director, Shri Shiv Bajrang Singh, Executive Director and Shri Brajesh Kumar Singh, Executive Director.

Please note that this call is for analysts and investors. So, if you do not fall under these two categories, we'd request you to kindly exit the call. I now request MD Sir to briefly summarize the key highlights from Q1 FY25 results followed by strategic direction, particularly in terms of growth, margins and asset quality, post which we will have the Q&A session.

Over to you, Sir.

Shri S. L. Jain, MD & CEO

Thank you, Kunaal. Good evening. A warm welcome to all the participants. Today, we declared our first quarter results. Our main highlights are the business of the Bank has grown by 11%, of which deposit has grown by 10% and advances have grown by 12%.

In deposit, the CASA has grown by 6% and we could maintain our CASA ratio at ~41%. The term deposit has grown by 12%. In Credit growth of 12%, RAM credit (Retail, Agri and MSME) has grown by 13% and under RAM, retail has grown by 14%. Under Retail, housing loan has grown by 13%, jewel loan grown by 10%, auto loan by 55%. So put together, there's a 14% YoY.

Agri has grown by 18% and the crop loan or farm credit has grown by 17% and 78% are basically gold loan, which has grown by 25%. Investment credit has grown by 11%, Allied Agri has grown by 58%, Infra grew by 18% and SHG by 14%.

The third one is MSME, which has grown by 6% YoY, but the Standard MSME has grown by 11% of which micro has grown by 14%. The corporate loan has grown by 9% YoY and the standard corporate loan has grown by 10%. So, you see in all the segments, our credits are growing. Our CASA, we are able to maintain at 41%.

Now coming to the profitability, the net profit of the Bank has grown by 41%, and we reached to Rs.2,403 crore. The operating profit has grown by 9% YoY. The growth of operating profit is basically the growth in NII, which has grown by 8%.

Non-interest income, too, has grown by 11%. Under non-interest income, bad debt recovery, we've done around Rs.504 crore and is 180%. The fee income has grown by 17%. And you see the PSLC from last year, we started amortizing over a period of four quarters. So, we had earned a profit of

Rs.627 crore , Rs.157 crore we booked as income for the current quarter.

So, this was the main reason of our profitability. And now coming to the margins, NIM has improved from 3.52% to 3.53%, the return on asset improved from 1.15% of March quarter to 1.20%, the likewise ROE improved from 19.06% to 19.76%, the cost to income has improved from 47.99% to 44%.

If you go deeper into the Margin part, so cost of deposit has increased from 5.01% to 5.05% and the yield on advance has come down from 8.81% to 8.69% and there are three, four reasons for that. One of the reason is the penal charges we have booked as other income , second is the interest reversal part and third one is less MOI recovery. These are the three factors. And as a result, the

Page 2 of 13

yield on advance has come down. But you see our yield on investment has increased from 6.88% to 7.15% because from last one year, we are working on investment and you see the investment yield is 7.15%. Here, the HTM holding yield is 7.08% and AFS is 7.17% and FVTPL is 7.79%.

Now coming to the asset quality, we are maintaining collection efficiency of 95%. The GNPA which was 3.95% in March quarter improved to 3.77% and the net NPA which

was 0.43% has improved to

0.39%. The PCR which was 96.34% as of Mar'24 improved to 96.66% as of Jun'24. The slippage was Rs.1,928 crore which was 1.5% as against 1.57% of the last year. Slippages of Rs.900 crore came from the MSME book, close to Rs.600 crore came from the Agri book and the balance Rs.400 crore came from the Retail book. Out of these slippages of Rs.1,900 crore, Bank has recovered around Rs.312 crore post June.

This time again, the recoveries is more than the slippages. The recoveries is Rs.1,937 crore as against the slippage of Rs.1,928 crore . As far as Capital adequacy is concerned, we are better from the last quarter 16.44% in Mar'24 to 16.47% in Jun 24 and if you add the Q1FY25 profits it is 17% plus. So, this is all about our gross NPA, net NPA, our businesses, profitability and margins.

Now, I request my colleague Bajaj ji to discuss about the digitization initiative and then we will be open for the Q&A session.

Shri Mahesh Kumar Bajaj, Executive Director

Thank you, Sir. Good evening, friends, investors and analysts. Our story on digital initiatives continues. As far as the transaction at branch and digital transactions, it has gone up from 85% in Jun 23 to 90% in Jun 24. So now, digital transactions at the Bank is 90% and 10% at branch level.

As far as the mobile Banking users are concerned, it has gone up from 131 lakhs in Jun 23 to 175 lakhs in Jun 24, which is YoY 33% up and the transactions have gone up from 138 lakhs to 169 lakhs, which is 22% YoY up. UPI users have gone up from 142 lakhs to 185 lakhs, which is 30% YoY growth , and the transactions from 7,574 lakhs to 11,829 lakhs, which is 56% YoY growth.

Internet Banking users have gone up from 87 lakhs to 109 lakhs, which is 26% YoY growth. Debit card users have gone up from 323 lakhs to 324 lakhs and credit card users have gone up from 1.70 lakhs to 2.38 lakhs, which is YoY 40% growth. Number of POS too increased from 13,000 to 21,658, which is YoY 66%. As far as the digital journeys and digital initiatives are concerned, last year we completed 78 journeys, which gave us digital business of Rs.81,250 crore. This year we have added another six journeys in the last quarter and planning to add another 15 journeys in Q2 and the year as a whole, we are planning for 44 journeys.

As far as the digital business is concerned, for this quarter, it has gone up from Rs.9,000 crore to Rs.36,678 crore , which is close to 4x and e -RAM, which was Rs.6,700 crore , has gone up to Rs.29,987 crore . On the liability side, e-deposits, which was Rs.2,414 crore in Q1FY24, went up by 176% YoY to Rs.6,670 crore in Q1FY25.

We started with our new omni -channel app last year, which we launched for the customers also, with app store rating for the same is 4.4 and we have launched in June 2024 for the public and now we have onboarded 13.71 lakh customers. And it has various added features with better UI/UX and the marketplace. Whatever the other apps are providing so this new app is giving all those functionalities.

Thank you very much.

Page 3 of 13

Shri S. L. Jain, MD & CEO

We had also guided that the deposits will be growing between 8 -10% and we have grown by 10% in Q1. In advances, we said that we'll grow between 11 - 13%. And we grew our book by 12%. Further , we also said that we'll maintain our CD close to 80% and we are at 79% right now. Out of the full year guided recovery estimate of Rs.7,000 crore , we have recovered Rs.1,937 crore in Q1. Our margins was at 3.53% which is again within our guidance range of 3.4%, plus/minus 10 bps, 15 bps.

Yes, Sir, now we are open for question -and-answer.

Questions and Answers

Kunaal N (Host – Emkay Global)

We will now open the floor for Q&A session. (Operator Instructions). Let us wait a moment fo

r the

queue to assemble. We have our first question from the line of Darshan Deora. Darshan, please unmute yourself and ask your question.

Darshan Deora, Analyst

Thank you for providing me the opportunity for asking this question . Just one question. In terms of CD ratio, what would be is 80% the upper limit or can we exceed 80% in the event that deposits are still hard to come by?

Shri S. L. Jain, MD & CEO

So, there is no prescription from the Reserve Bank of India for LDR but for our interest we should have LDR within the manageable limits. If you see on a year -on-year basis in FY24, we have grown deposits also by Rs.60,000 crore and advance also by Rs.60,000 crore . If you even look at the domestic business, both deposits and advances increased by Rs.54,000 crore each.

So, in the deposit also we are growing in a very calibrated way. So, we are not having any excess liquidity which we can deploy at a lower rate. So, we are growing at the same speed. The issue is basically in raising of CASA deposits. We have taken a few measures for the same. And as a result, we are growing at 6-7% in the CASA side. So, we will endeavor to maintain our CD ratio, LDR close to 80% or so. And we are having excess SLR of close to Rs.44,000 crore and we are having LCR of around 120%.

Darshan Deora, Analyst

Got it. But if it exceeds 80% also, that's not a problem essentially. There is no prescribed limit, per se.

Shri S. L. Jain, MD & CEO

But it is in our own interest to have this LDR within the manageable limits.

Darshan Deora, Analyst

Got it. Got it. Thank you. That's all from my side.

Kunaal N (Host - Emkay Global)

Thank you. Anybody who wishes to ask a question can raise their hand. In the meantime, we have some questions in the chat box. I'll read them out for you.

Page 4 of 13

So, people are asking what will be the impact of the new draft LCR norms which has come up. Most Banks, large Banks have talked about impacts to the tune of 10% to 14%. So, what do you think will be the impact for Indian Bank?

Shri S. L. Jain, MD & CEO

So, the new guidelines have come around two days back. Basically, two things have happened. They have increased the run -off factor for retail deposits by 5% and other than the retail also by 5%. So, we think the impact for us will be close to 4 -5% on LCR.

And the second one, what they have done in HQLA also, they have talked about whether the discounting factor will be applicable. As on date, even our HQLA assets, basically, excess SLR's market value is more than the book value, virtually. Because you see the market value of 10-year G-sec is 6.96-6.97% and our holding is at 7.15%.

So, the overall impact will be around 4 -5% on LCR and our LCR shall accordingly come down from 120% to 115% or so.

Kunaal N (Host - Emkay Global)

Okay. Thank you. The next question is, one of your peer PSU Bank actually reported two large accounts in SMA bucket. So, do you also see some stress in the corporate book and how much is our SMA 0, 1 and 2 book?

Shri S. L. Jain, MD & CEO

We have disclosed our SMA number. I think our SMA declined from 0.48% in Mar 24 to 0.47% in Jun 24. So, in our SMA book we have 2 corporate SMA accounts – Rs.263 crore and Rs.102 crore – summing up to Rs.365 crore, which is not a higher amount considering our size.

Kunaal N (Host - Emkay Global)

Thank you. The next question is from the line of Darshan. Darshan, please unmute yourself and ask your question.

Darshan, Analyst

Good evening, Sir. Thank you so much for taking my question. I just wanted to ask, what would be your guidance for ROA and credit cost.

Shri S. L. Jain, MD & CEO

So, credit cost, which was around 0.73% last quarter has come down to 0.71% or so. So, our credit cost will be lower

than 0.71% and we are continuously declining. As far as ROA is concerned, it is in an increasing bias – it was 1.15% last quarter and now it is 1.20%. So, our endeavor is to do better.

Darshan, Analyst

Okay. Fair enough, Sir. And just wanted to understand the market dynamics. Like, with deposits, may be a bit harder to get, will there be an impact on NIM may be coming in H2 or something? Because I just wanted to understand the landscape.

Shri S. L. Jain, MD & CEO

So, you want to know the deposit cost or the deposit amount?

Page 5 of 13

Darshan, Analyst

No, no, like how is the deposit market, are we facing competition?

Shri S. L. Jain, MD & CEO

Okay. So, point is the market is tight, you know. And the credit growth is happening. So, we are seeing that the credit growth will be more than the deposit growth. Even the FSR of the Reserve Bank of India also said that the cycle of high credit growth and the low deposit growth will continue even for one year or so.

So, we think that going forward also, the deposit will continue to be a challenge. But what we are doing for that is that we are managing our portfolio both side, liability side and asset side. You know on the asset side, 61% of our book is in MCLR. So, what happens with the increase in cost, we are also increasing our MCLR? So, increase in MCLR will take care of increase in our cost. And at the same time, the investment book is also giving us a good return. So, that interest rate may slightly increase because of the tight liquidity condition and because of the need, because the credit growth

is happening.

Darshan, Analyst

Okay. Fair enough, Sir. And just wanted to know in case RBI cuts rate this financial year, what kind of impact would that be for us? Will that be positive for our NIM? Because our deposits are secured and so what would happen in case if there is a cut?

Shri S. L. Jain, MD & CEO

If you see the CPI inflation is still at 4.8% which is above the RBI comfort level of 4%. Of course, globally the interest rate can come down. But domestically, I am seeing that the interest rate will take time to come down. Even if hypothetically, it happens whatever our advance is based on the repo will slightly come down. But at the same time, the deposit cost will also come down if the situation so remains.

But we are adequately covered by way of MCLR, by way of investment. So, yield side, we are fully protected. On the cost side also, our endeavor is to maintain our cost. So, you see even in this increasing interest scenario and all, we could maintain our cost of deposit growth by which had increased by only 3-4bps.

Darshan, Analyst

Okay. Fair enough. Thank you so much for answering all my questions. That's it from my side. Thank you, Sir.

Kunaal N (Host - Emkay Global)

Thank you. The next question is from the line of Sushil Choksey. Sushil, please unmute yourself and ask your question. Sushil, kindly unmute yourself and ask your question.

Sushil Choksey, Analyst

Congratulations to management and team of Indian Bank for excellent performance. Sir, my first question is on cost to income. Can we see 40% within a year's time?

Page 6 of 13

Shri S. L. Jain, MD & CEO

Thank you, Sushil ji. You see our cost to income ratio has come down from 47% to 44% in the current quarter. But our endeavor is to come down, but below 40% is, it may take time, Sir. So, may be 1 or 2 basis points here and there.

Sushil Choksey, Analyst

Sir, with the digital initiatives and the capabilities which you have created within the Bank, it can enhance lot of capabilities within your Bank in terms of cross-sell, business relationship, tapping multiple channels which cost might not be high, rather, the profitability will grow. So, will it not impact the balance sheet or you feel that expenditure will e

xceed revenue side for right now?

Shri S. L. Jain, MD & CEO

No, I agree with you. So, but it will not change dramatically. We'll get some benefit slowly in the time to come. But immediately, it will not change dramatically. We are working on digitization and on cost reductions as well. And at the same time, you see CASA is a challenge. So, if you grow further, naturally, major part of your funding will be through the term deposits.

Sushil Choksey, Analyst

Sir, today our G-sec stands at 6.92% at close. A likely scenario based on LCR and global market, if we head to 6.8%, how would you rebalance between treasury and credit? Because I think there would be substantial profit which may arise to the Bank. At the same time, credit demand at your end is very high. So, win-win situation for Indian Bank to capitalize on it because you, being among the one of the most efficient Banks compared to peers, how do you see the profitability stack up?

Shri S. L. Jain, MD & CEO

You see, today, I'm sitting in a holding yield of 7.15%. Or even the FVTPL or HFT, the holding is 7.79% and AFS is 7.17%. So of course, as against the 6.92%, we are at a better position. And we are having the excess SLR of Rs.44,000 crore. So, there is a good amount of cushion is available. So, if the opportunities will come, naturally, we will encash that opportunity and grow.

Sushil Choksey, Analyst

Sir, I would like to get some views on your retail and international book.

Shri S. L. Jain, MD & CEO

If you see our Retail book basically 70% of retail is a housing loan, which is growing at 13%. And from the CIBIL point of view or from the bureau score point of view, around 85%, 90% is even beyond 750 or so. So, we are underwriting a better quality customer.

And second one is the auto loan, we are growing at 50%. We have had a number of DSAs even for the auto loan. We are growing in the jewel loan also at 10%. So, this entire retail piece is growing 13-14%. Virtually, we have sanctioned 22 -23%. But you see in retail, what happens, the repayment too comes. So as compared to last year, our growth is 22% in sanctions. And we are continuously doing sanctions to maintain this growth of 13 -14%.

And for that part, we have also opened seven RAPCs more. So, that our sanctions will grow and retail will continue to grow. In the agri side also, 78% is a gold loan, which is growing at 25%. So
Page 7 of 13
majority is in the gold. Or even the SHG also, we are growing good. And we are doing this business for 16 -17 years now, where the delinquency level is low.

So, we are concentrating where we are having better margin and better asset quality. Of -late even in MSME, our onboarding is more of a low-risk assets. So that way, quality -wise, we are better. And we will continue to grow in that way.

Sushil Choksey, Analyst

And Sir, your outlook on gold loan and international book?

Shri S. L. Jain, MD & CEO

We are growing good on our International book too. Basically, in overseas, advances have grown by 27%. So, we'll continue to focus on a syndication loan because the margins are better - ECB as against the buyer's credit or trade finance.

Even last week I was in Sri Lanka because we are having 2 branches there also, we are shifting our business from the buyer's credit / trade finance, to the syndication, or even the customers who are having import and exports from the Sri Lanka. So, opportunities are there along with good margins and we are growing there also.

Sushil Choksey, Analyst

So, the manufacturing sector is growing well from states where Indian Bank has a rich presence and so was your earlier avatar of Allahabad Bank. So how are we capitalizing and what kind of unavailed or sanctioned credit is visible over a period of next one year?

Shri S. L. Jain, MD & C

EO

As you rightly said, we have better industrial and manufacturing facilities in Tamil Nadu and so good opportunities here. So, what we are doing, we have started our mid -corporate branches/ centres which is headed by a GM. We are having a good growth of 25 -30% in these centres and the margins are also good. The customer base is also increasing. And today, we are having close to 27 mid - corporate branches and we are adding two more in Erode and Namakkal, which is in Tamil Nadu. Huge opportunities are there. So, we are focusing on that and growing our business. And that is why our NII is growing and margins are better.

Sushil Choksey, Analyst

So, any color on the gold loan book? On the expansion side? I know you are doing very well.

Shri S. L. Jain, MD & CEO

We are having, virtually, close to Rs.81,000 crore of a gold loan book. And obviously, Rs.73,000 - 74,000 crore, is in Agri, which is growing at 23%. And we are now having 650 gold loan branches, which is basically doing gold loan and these branches are equipped with karat meters to check the quality of the golds. So, there are good opportunities here and margins are better and growth opportunities are there. So, we'll continue to focus on that.

Sushil Choksey, Analyst

So, can you surprise on the margins on the positive side ahead of your guidance in the year? I know you won't answer, but still my job is to ask.

Page 8 of 13

Shri S. L. Jain, MD & CEO

Sir, we should always be conservative in giving guidance and performing better than what we say.

Sushil Choksey, Analyst

Thank you, Sir. Thank you for answering all my questions and best wishes to the management team for the year to come.

Shri S. L. Jain, MD & CEO

Thank you, Sir. Thank you.

Kunaal N (Host - Emkay Global)

Thank you. The next question is from the line of Vibha Batra. Vibha, kindly unmute yourself and ask your question.

Vibha Batra, Analyst

My question is actually on fresh slippages. If we see fresh slippages at Rs.1,928 crore for the quarter, they have gone up significantly vis-a-vis previous quarter and also previous year. And you've given the breakup here. So MSME seems to be worsening the most. And I think retail, may be quarter four of last year was an aberration at Rs.126 crore. That has gone back to its normal levels. So, on asset quality, I have two questions. One is that what is the outlook on slippages? Is this the new norm? And second is, there seems to be some AUC recovery. Is that abnormally high, or do you think that will be the trend for rest of the year, too?

Shri S. L. Jain, MD & CEO

We are definitely not happy with slippages of Rs.1,900 crore. There are two, three reasons for this. One is, of course, the seasonality is involved. Second one is, in the first quarter, because of election, and heat waves, there is a problem in getting money. But what happened, out of Rs.1,928 crore, so far, we could recover Rs.312 crore. So that impact will come in the next quarter.

And what happens, here in the agriculture, majority of this is basically a farm credit. So, we are working on that. And we will continue to show our recovery more than the slippage. And this is, of course, not a new normal.

Vibha Batra, Analyst

It is not a new normal, you say. Okay. We hope for the best. And the AUC recovery, is there some chunky accounts here?

Shri S. L. Jain, MD & CEO

We said that we will have close to Rs.2,000 crore of AUC recovery. So out of that, we have recovered Rs.500 crore. Fact remains that today, we are having a gross NPA of Rs.20,000 crore and an Rs.40,000 crore of TWO book. So major recovery, naturally, will come from the TWO book.

Vibha Batra, Analyst

Okay. But it wasn't the same last quarter.

Page 9 of 13

Shri S. L. Jain, MD & CEO

Last quarter was

also more. But in the corresponding period, it was Rs.178 crore . As against this, it is Rs.500 crore .

Vibha Batra, Analyst

Okay. So, do you think you can maintain, say, Rs.1,500 crore for rest of the year on AUC recovery?

Shri S. L. Jain, MD & CEO

Yes. We have targeted ourselves a total recovery of Rs.7,000 crore , Rs.7,000 crore plus. So of course, the major part of this can come in the AUC.

Vibha Batra, Analyst

Okay. And my other question is, if I look at your Tier 1 and compare it to your net worth, there is a difference of Rs.7,749 crore . Your net worth, as per the details that you've given, is Rs.60,803 crore . And your Tier 1 equity is Rs.53,054 crore . So net worth is higher as compared to Rs.7,749 crore . This haircut is on account of intangibles such as properties or is there is something else?

Shri S. L. Jain, MD & CEO

As per the RBI guideline, you can't consider full amount of revaluation reserve for CET 1. You have to take only 45%. So that is one factor. Second factor is that you can consider your DTA only up to the 10% of your CET 1 capital as per the Basel law. So always there will be a difference, madam.

Vibha Batra, Analyst

Okay. So technically, then when you're giving your book value, you should possibly give as per the net Tier 1 that you're showing and also as per net worth. Because there is a huge difference, 14%, 15% difference, broadly speaking. And RBI may not allow it to be included as Tier 1 capital because it's not really available for risk absorption. That's all from my side. Thank you and all the best.

Kunaal N (Host - Emkay Global)

Thank you. The next question is from the line of Jai Mundhra. Jai, please unmute yourself and ask your question.

Jai Mundra, Analyst

Yes. Hi, Sir. Good evening and thanks for the opportunity. And congratulations on your term extension, Sir. Sir, a few questions. First on this new guidelines on investment revaluation, there is a rise in the yield on investment, right, which is a sizable rise on a QoQ basis. Now, considering part of that is because of the now amortization being allowed in AFS, should we think that this yield on investment should remain here, I mean, broadly? Or is it one -time exercise that helped increase the yield on investment?

Shri S. L. Jain, MD & CEO

No, Sir. It will remain, Sir. It will remain as per the new guidelines.

Jai Mundra, Analyst

Right. Okay. And secondly, Sir, I see in the notes to account that there is a credit in the AFS reserve, but there is a debit in the general reserve. If you could explain, Sir, what explains this, the negative?

Page 10 of 13

Shri S. L. Jain, MD & CEO

When you move to the new regime, naturally, there is a difference in the book value and the fair value of FVTPL. So, the difference has been debited to the general reserve. But in an AFS book where you have an MTM gain, which earlier used to flow through P&L account is now going to a reserve account - AFS reserve account.

We have gone with a different strategy. We have done our reclassification by keeping 2 -3 objectives in our mind . One objective is to have a better HTM yield so that Bank will consistently give a better result. So as a result, our HTM yield is 7.08%. You will find a difference when you compare with other Banks.

Second point is that we are having an AFS book of close to Rs.65,000 crore and our excess SLR is Rs.44,000 crore . So, this Rs.44,000 crore , we have kept in a AFS. In case of need, we can always have.

Third point is that FVTPL, our yield is a 7.79% where we can always make money. So, we have gone with the different, different objectives.

Jai Mundra, Analyst

Okay. All right, Sir. Thanks. And secondly, Sir if you can bifurcate your loan mix by benchmarks, like repo and MCLR. And do you have any co

orporate loans linked with T -bills or the entire external benchmark is repo only?

Shri S. L. Jain, MD & CEO

61% book of our book is linked to MCLR and the external T -bill may be Rs.1,000 crore but not much. Basically, we are a margin conscious Bank. So, we grow only in profitable way. Within the MCLR also, around 80% is on a one-year MCLR. So that way, that will always give us a support.

Jai Mundra, Analyst

Right. Sir, is it right to say that your MCLR proportion has increased? Because I remember it was slightly at the mid -fifties level. Has that increased?

Shri S. L. Jain, MD & CEO

No, since last three, four quarter, it is 61%. Prior to that, it was slightly less, 59%. Continuously, we are maintaining that.

Jai Mundra, Analyst

Okay. Okay. And Sir, why not do T-bills? Because it looks like that T-bills will capture more concurrent, let us say, change in the interest rate, right? Or that is not a right understanding.

Shri S. L. Jain, MD & CEO

But point is our deposit are not on T -bill.

Jai Mundra, Analyst

But they're not on repo also, right?

Page 11 of 13

Shri S. L. Jain, MD & CEO

But so, that is a regulatory requirement. Rest is based on whatever increase in cost, I should be able to pass on.

Jai Mundra, Analyst

Okay. Okay. Sure. And Sir, lastly, on LDR, right? So, we are 79-80% LDR. Is that the optimum LDR? Or you think you still have few basis point more scope to improve?

Shri S. L. Jain, MD & CEO

LDR we are at 79%, 1 or 2% here and there we can go and basically what we do is we raise resources based on the need also. So, we basically match everything. You see on a QoQ basis how our deposit and credit growth is happening. Even on a full year basis, last year deposit growth was Rs.67,000 crore and credit growth was also Rs.60,000 crore. Likewise, whole year you see from Jun 23 to Jun 24, it is matching. So, we are matching in this concept and we can raise the resources. Point is that you have to pay slightly higher.

Jai Mundra, Analyst

Right. So, cost of deposit has inched up only by 2-3 basis points. How do you look at cost of deposits, Sir? Because your capital is healthy and you're doing a calibrated 11-12% kind of a growth. In that context, how should one look at the cost of deposit? Would it keep rising up or it has plateaued or how do you look at it?

Shri S. L. Jain, MD & CEO

Cost of Deposit is slightly higher because the Banks are taking money at a special term deposit rate. So, cost of deposit may further inch up by 3 bps-5bps. But we have increased the interest rates in MCLR book too during June and July by 5 bps each. So, this, coupled with the healthy investment income will also support in maintaining our margins. So, that Income will come again in the P&L, slightly Cost and Income will increase and of course the Investment will also support us. So, that way we are trying to maintain our margins.

Jai Mundra, Analyst

Understood, Sir. That is very, very helpful, Sir. Thank you and all the very best.

Kunaal N (Host - Emkay Global)

Thank you. Anybody who wishes to ask a question can raise their hands. In the meanwhile, there was one question in the chat box from Mayank Gulgulia from SBI Life. He was asking, what was the reason for increase in the slippages in the MSME segment and what is the outlook going forward?

Shri S. L. Jain, MD & CEO

So, I told you that because of the three, four reasons. It was because of seasonality, heatwaves and election related effects. There are a number of factors. And we have recovered part of the money also. And our recovery was higher than the slippage.

Page 12 of 13

Kunaal N (Host - Emkay Global)

Right. The next question is from the line of Manish. Manish, please unmute yourself and ask your question.

Manish, Analyst

Yes. Thanks

for the opportunity. So, my question is regarding one of the budget proposal, wherein PSU Banks have been asked to develop independent assessment model to lend to MSME based on digital footprint. Since we are one of the prominent Bank in MSME space, do we have any model right now? Had we back -tested those model? How do you see this proposal by the government to the PSUs?

Shri S. L. Jain, MD & CEO

Well, this is a good move from the government. At present also, based on the GST return, CMR scores and balance sheet, we are having our own model based on which we are giving credit to the customer. And you see, I'm telling you the delinquency level on those kind of digital lending is lower than the others. So, we are having our own system, which is based on the GST - means your turnover, your purchase, your sales, financial statement - and also based on the CMR ranking, CMR tax care of your credit or your conduct of account. After considering all these factors together, we

are giving the facilities and further we'll develop based on the needs. So , we are having, Sir and we are open for other s, because it will be developed by IB and all. So, we'll give our comments there also.

Manish, Analyst

But Sir, are you confident of managing the credit quality in this space, if you start lending without any proper records or account statement?

Shri S. L. Jain, MD & CEO

So, when we give credit based on ITR and in ITR 2,3 and 4, it provides us with the entire balance sheet and we have a CMR which takes care of your conduct. And the GST which takes care of your purchases, says whether the same purchases, says whether the buyer or seller is submitting the return. So, we can do Sir.

Manish, Analyst

Okay. Just one follow -up on this. Does it open new lending avenues for us in MSME space?

Shri S. L. Jain, MD & CEO

Definitely, Sir, because what happens, there are two issues in MSME with access to credit. So, if you offer a product digitally, naturally the access to credit will increase.

Further now, the new schemes have also come that, in a Mudra, Tarun, wherever the money has been paid, you can give more, from Rs.10 lakh to Rs.20 lakh. So, there is a good opportunity to lend those borrowers who have repaid. My customer who have already repaid, will come back to me and I will give more loan. So, opportunities will be there, Sir.

Manish, Analyst

Got it, Sir. Thanks for answering.

Page 13 of 13

Kunaal N (Host - Emkay Global)

Thank you. Anybody who wishes to ask a question can raise their hands. Sir, there's one question in the chat. What will be the impact of the draft project financing and the ECL norms? And do you plan to raise capital to fend off the impact of the same?

Shri S. L. Jain, MD & CEO

So, first point is that guidelines are draft. Second point is that the draft guidelines tells you to make 2% provision by FY25, 3.5% provision by FY26 and then 5% by FY27. And that 2% also you can amortize over a period of four quarters.

So virtually it comes to 0.5% per quarter, which is not a material amount as compared to my total book. Of course, there will be an impact on my P&L because of the charging, but we will also charge the customer. So, this is an opportunity also to make some money to us. And that will not be a major impact considering the present projects in hand.

Kunaal N (Host - Emkay Global)

Okay. How much of PSLC fees have you booked in Q1 and what is the outlook for the same?

Shri S. L. Jain, MD & CEO

So that's Rs.627 crore of PSLC commission we booked. And as per our policy, we amortize over four quarters and thus Rs.157 crore is booked in the current quarter. And remaining we have carried forward to be booked in the remaining three quarters.

Kunaal N (Host - Emkay Global)

Got it. And was th

ere any reversal of penal interest from interest income in the current quarter?

Shri S. L. Jain, MD & CEO

Yes, around Rs.42 crore has been booked, has shifted from the interest income to the other income.

Kunaal N (Host - Emkay Global)

Got it. So, we will take that as the last question. With this, we come to the end of the Indian Bank's post-results conference call of Q1FY25.

I now request the management to give their closing remarks.

Shri S. L. Jain, MD & CEO

Thank you all the participants for having active interest in the Bank and please keep supporting us and your support will give us more motivation to do better. Thank you.

Kunaal N (Host - Emkay Global)

Thank you. On behalf of the management, I thank all the participants for joining. Happy evening and have a good day.

INVESTOR SERVICES CELL

Ref. No.: ISC/ 271/2024 -25 Date: 04.11.2024

NSE Symbol: INDIANB The Vice President
BSE Ltd.
25, P. J. Towers
Dalal Street, Mumbai -400001

BSE Scrip Code - 532814

Dear Sir/ Madam,

Subject: Transcript of Post Earnings Concall / Meet

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of our L etter No. ISC/245/2024-25 dated 23.10.2024 and Letter No. ISC/ 255/ 2024-25 dated 28.10.2024 regarding Analysts / Investors Concall / Meet, we are enclosing a copy of Transcript of said post Earnings Concall/ M eet held by the Bank on 28.10.2024 on the Financial Results of the Bank for the Second Quarter and Half Year of FY 2024 -25 ended on 30th September 2024.

The Concall Transcript has also been uploaded on Bank's website and the same can be accessed through below link:

<https://www.indianbank.in/departments/concall-transcripts/>

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Comp any Secretary

Encl : A/a

Indian Bank Q 2 FY'25 Results
Post Earnings Conference Call / Meet
Held on 28.10.2024

Transcript

Management:

Shri S L Jain
MD & CEO

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Shri Brajesh Kumar Singh
Executive Director

Moderator:
Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd.

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Page 1 of 14 Anand Dama (Host – Emkay Global)

Good evening everyone. We welcome you all to Indian Bank's post -results Conference Call for the Second Quarter of FY25 hosted by Emkay Global. From the top management, we have with us today Shri Shanti Lal Jain, MD & CEO Shri Mahesh Kumar Bajaj, Executive Director , Shri Ashutosh Choudhury, Executive Director , Shri Shiv Bajrang Singh, Executive Director and Sri Brajesh Kumar Singh, Executive Director. I request the MD Sir to first briefly summarize the key highlights from the second quarter results and also provide future direction on growth, margins, and asset quality. Post which we will have the Q&A session over to you MD Sir.

Shri S. L. Jain, MD & CEO

Yeah Good evening. Welcome to all analysts and investors in the post Result Con Call. We have declared our result today and you might be having the investor presentations . For immediate understanding , I will talk few highlights. Our business has grown by 10% and deposit has grown by 8% and the credit has grown by 12%. Under the credit , the retail credit has grown by 15%, agriculture by 16% , MSME by 8% but the standard MSME has grown by 12% and the corporate 9% and the standard corporate 10%. So all are basically double digit.

All are in double digit and we could maintain our CASA more than 40%. So we are at 40.47% is again 40.56 of the last . In the beginning we said given that our deposit will grow between 8% to 10%, we have grown by around 8% and we raised Infra Bond of Rs.10,000 crore which works out to 1.5%. So , 8% and 1.5% , we are at 9.5% totally. In the credit side we said 11% to 13% and we have grown by 12%. This is the business side and the profitability of course operating profit has grown by 10%. The net profit has grown by 36%.

The profitability has grown on the back of NII growth of 8% , bad debt recovery of 44%, fee -based income of 11% and the cross sale income 5% and the PSLC income more than 8%. So , as far as your question on the margin side also, our margin was 3.39% global and 3.49% domestic as against 3.44% of the last quarter. So , reduction of a 5 basis points if you adjust the penal charges the impact is 6 basis points earlier it was 2 basis points, now it is 8 basis points. So incremental is 6 basis points. If you add 6 basis points of 3.39% it is 3.45 % which is more than the last quarter margin.

Now come to the domestic , same stories of domestic side. Now our ROA has improved from 1.06% to 1.33% or 1.20 % of the last quarter. ROE also is 21% . Cost-income ratio 44% - 45%. We

had made a additional provision close to Rs.150 crore because of the FIMMDA rate has come down to 6.94% and we decided that let us make higher provisions and act based on the actual as well yield on that in the quarter the cost of deposit has grown by 8 bps. Yield on advance is also grown by the 8 bps both side 8 bps and you know in the investment side, because the investment yield itself is coming down so whatever incremental investment you make it cannot be 7.15% and the rate itself is a 6.86% and so there will be an impact of that also the as far as asset quality is concerned it has come down from 3.77% to 3.48%. The net NPA has come down 0.39% to 0.27 % and the provision coverage ratio increased from 96.6% to 97.7%. Our story for recovery more than slippages is continuing. Last time Rs.2000 odd crore we have recovered and the slippage was Rs.1357 crore and you see last quarter also last year also prior to that also our recovery was more than our slippage. As a result of our gross and net NPA is coming down and our collection efficiency is 95%.

Page 2 of 14 We are maintaining that collection efficiency. So point is that whatever is due some overdue is there. We are recovering that overdue also and maintaining this capital adequacy ratio is 16.55% and if we add up half yearly profit of Rs.5110 crore it is 17.84%. 17.84

% is against 16.55% virtually

as against 11.50% of regulatory, right, now this SMA book has slightly increased from by Rs.2300 crore and which is because of the one account of Rs.2200 crore which was appearing in SMA 2 as on 30th September has now come down to SMA 1. But part of the irregularity has been paid by the customer. It is a government guaranteed account. As far as digitization is concerned our today 91%-92% of the transactions are happening on a digital basis. So regarding all or other we have given guidance of recovery of Rs.7000 crore. We are Rs.3958 crores.

We have set the AUC recovery to Rs.2000 crore for a full year. We are at Rs.1200 crore NIM we are given 3.40% we are at 3.39% domestic rather 3.40 % we are at 3.49% ROA we said that around 1.20 %. Now we are at 1.33% ROE we said 19-20% we are at 21%. So credit cost has also come down at 0.65%, slippage ratio also has come down to 1.06%. Lot of things we are doing for digitization. Lot of things we are doing for HR side.

So I request my colleague Bajaj ji to tell about the digitization what we are doing and then we are open to question and you raise about 2,3 point. Let me reply this also. Growth we will continue to have our same the guidance which we have given margin side also our endeavor to stick to our guidance and rather give better than the guidance of 3.40% which we said will continue that also and asset quality of course the Collection efficiency is 95% and the SMA 2 number barring this one account is same and so, Rs.1020 crore here and there not much. So asset quality also will be going probably better. Now Bajaj ji, please.

Shri Mahesh Kumar Bajaj, Executive Director

Thank you Sir. Good evening friends from the analysts and the investors. We already placed this presentation on digital transformation Digital migration. I'll just touch couple of points then we'll take questions. Our the migration from branch channel to digital channel have gone up from 89% to 92% Y-o-Y. Apart from that we have come up with the new Omnichannel app. Here the mobile banking users have gone up by 20% which is Rs.1.51 crore to Rs.1.81 crore. Same way transactions also gone up by 10%. UPI users have gone up from Rs.1.5 crore to Rs.1.95 crore which is Y-O-Y 27% plus and remitted transaction also 62% Y-o-Y even if we talk about the daily UPI transaction now the daily UPI transactions are Rs.2.28 crore which is remitter Rs.1.5 crore and beneficiary Rs.0.73 crore.

Apart from that the net banking user also have gone up from Rs.98 lakh to Rs.1.11 crore and the credit card user also gone up by 50% from Rs.1.77 lakh to Rs.2.65 lakhs. Same way. The FASTag user also have gone up by 37% and POS also have gone up by 56%. We are continuing our digital initiatives. The journeys which we started in the June 22 this half year we have completed 24 journeys and we are prioritized 56 journeys Q1 6, Q2 18, Q3 13 and Q4 19 journeys we have planned.

Last year we did digital business Rs.81250 crore and last half year it was Rs.29,116 crore. This half year it is Rs.79,059 which is 172% Y-o-Y plus. Same way in RAM Rs.24,000 to Rs.63,000 which is 162% growth and e-deposit on the liability side Also it was Rs.4,911 crore. Now it is Rs.15,000 crore which is 206%. Apart from this assets and liability we have taken certain other initiatives which is like e-BG, e-OTS, death claim. So there also there is an improvement from Rs.0.32 crore to Rs.537 crore and even adoption also has gone up MSME to 77% retail 73 % and Page 3 of 14 agree 91% and the even the last time also the question was asked how much we are spending on the IT. So, it remains almost same the of the OPEX it is 10% and NIS if you say it is 27%. Apart from this we have the already on the capital expenditure Rs.135 crore. For this half year we have

done and we are committed to almost Rs.400 crore to Rs.450 crore Rs.500 crore rupees of capital expenditure

e. Apart from this revenue, these revenue expenses. So we'll take question at the end during the call. So these were the few initiatives we have taken by us.

Shri S. L. Jain, MD & CEO

Now we are open for question answer.

Questions and Answers

Anand Dama (Host – Emkay Global)

Yeah. Thank you Sir. We will now open up the floor for Q&A session. Anybody wishes to ask a question please raise your hand. The first question will take up from Ashok Ajmera. Please unmute yourself.

Ashok Ajmera, Analyst

Hello. Good evening Sir.

Shri S. L. Jain, MD & CEO

Good evening.

Ashok Ajmera, Analyst

Before my time gets over, Sir, let me first of all wish you a very very happy Diwali to everyone. To you and all the people there. The analyst fraternity as well as the people in the Indian Bank and Sir, compliments to you Sir for good set of numbers. Especially on the profitability front. A good profitability and all the most of the parameters of the profit, the expenses, the asset quality. The gross NPA has also come down substantially.

The net NPA is now 0.27%. But having said that Sir, I just. If I look at the business growth, both the deposit and the credit. Sir though the on an annualized basis if the tracking 4 quarter if you are taking then it's okay 10% 12% 11%. But if you look at the current FY25 is half year our business growth is hardly 1.79%, our deposit growth is only 0.75%, and our credit growth is only 3.16%. So having said that, if we look at the entire FY25, even based on your Target also Sir, you need to raise the deposit of almost about Rs.70,000 crore. In the remaining 5 -6 months. You need to disperse the credit of almost Rs.52,000 crore. So for that Sir, what is the road map ahead? I mean what are the plans? What are the sanctioned pipeline and the proposal which are already in a sanctioning stage or disbursement stage and how do we basically plan to meet this kind of targets for the whole of FY25? This is my first question.

Shri S. L. Jain, MD & CEO

Ajmera Ji, we told that we will grow in credit 11% to 13%. We are growing 12%. It means we are as per the trend. You rightly said that the growth in the first half, Vis-a-Vis, the gap which we have to fill in the next half is a issue which you are raising. But you see the last year number. Last year number is the same. When you are growing as per trend, what will happen? Last year also we Page 4 of 14 grown Rs.40000 crore in the second half. This year also the gap is Rs.40000 crore in the second half the same number we are continuing. This is how the business is happening in the country.

So, we are actually exactly on the track. Now your question was how much was the sanctions? How much was in the pipeline? I'm telling you we this year we have sanctioned 20% more than the last year. Last year in the first half we sanctioned Rs.27000 crore. This time we have Rs.32000 crore. So it means we have more pipeline. Right? So this the pipeline. I'm telling you that the 3, 4 part of this pipeline undisbursed term loan is around close to Rs.7,000 crore sanctions which we already this sanctions Rs.7,200 crore and Rs.7,000 crore where the partial disbursement has happened and partial disbursement based on the growth or based on the completion of the project will give around Rs.16,000 - Rs.17,000 crore of proposal in pipeline undisbursed working capital limits are close to Rs.28,000 crores. So considering this repayment and all the sanctions which we are having, we are confident of achieving this. Of course, the number slightly came down because two reasons. One is whatever the in a corporate lending if the margins are not there then we allowed let it go. Rather you know we continuously, we are on the profitable growth path.

We are on a growth path because you see our margins and everything. So we are confident that the way we are doing every time this time also because when

your Bank is 11% to 13%, you are growing 12% you are on the track. You are on the track as per the last. Likewise, in the deposit also, we said 8% to 10%. We are at a 8%. So my point is that the growth in credit and the growth of Deposit you see both we match. Even if you say September 2023 to September 2024. Growth in deposit and growth in credit. You see the gap of around Rs.6,000 crore or Rs.7,000 crore. We have raised the infra bond of Rs.10,000 crore. We rather we have a profitability more than Rs.5,000 crore this and last time Rs.4,000 crore Rs.9,000 crore. So the liquidity point of view also we are comfortable. From the growth point of also we are comfortable.

All other engines for the Retail, Agri and MSME we are growing 14% which is more than the guidance we have given.

Ashok Ajmera , Analyst

Thanks for this reassurance Sir. Because like some of the Banks they were done recently. I just concluded one of the other big Banks analysts meet and there in the first half it self they grew about 6%/6.5% / 7%. So that is why the question came to my mind that. But anyway if you are. As long as you are meeting the targets of the whole of the FY25 I mean there is no issue and that reassurance is goes very well. Having said that Sir, you had covered this SMA 2. I couldn't hear it properly that time.

So, you said that one one account out of this Rs.3,301 crore you know which has come in SMA 2 above Rs.5 crore is around Rs.2000 crore something and it is a government account. So can you just repeat it Sir or explain it little more clearly Sir?

Shri S. L. Jain, MD & CEO

Okay, so actually what we said that the SMA 2 number. Right. So just SMA 2 number was SMA 1 plus 2 , just a minute.

Ashok Ajmera , Analyst

No 2 was Rs.3301 crore as compared to Rs.1075 crore in the last quarter.
Page 5 of 14 Shri S. L. Jain, MD & CEO

Yeah okay. I'm just telling you just a minute. SMA 1 and 2 was Rs.2450 crore in June which has increased to Rs.4762 crore. Slide number 32. So incremental is Rs.2300 crore.

Ashok Ajmera , Analyst

Yes Sir.

Shri S. L. Jain, MD & CEO

Out of Rs.2300 crore. Rs.2200 crore is one account. First point. First point is one account in the corporate and that is why you are seeing corporate it was Rs.365 crore become Rs.2500 crore. So Rs.2200 crore and this is a government account guaranteed by a government and they have paid this irregularity which was SMA 2 in September has now become SMA 1. So the part of the irregularity they have cleared.

Ashok Ajmera , Analyst

Yes Sir. Yes Sir. Yes this is. Yes because the figure just shot up this thing and Sir, this our on the recovery Front again you are within the target. I mean there's a good recovery. So can you give some color on the present recoveries? and going forward with the NARCL and NCLT are the things are speeding up. Are we going to have a better recovery than even our targeted one? Because we have also got good pool of even return of accounts also and a lot of cases are at a positive stage?

Shri S. L. Jain, MD & CEO

Yeah. So last time we have recovered Rs.8,600 crore, right?. At this time we say we'll be having a less recovery because Rs.7,000 to Rs.8,000 crore more or less. So virtually internally we decided close to Rs.2000 crore of a recovery we'll do. In the last two quarter we recovered close to Rs.4000 crore. This is one point. Now the going forward the recovery. This is the second question.

So, two things is there , that we are having Rs.41,000 crore of a PWO book and Rs.19,000 crore of a so around close to Rs.60,000 crore of a book. Right?

We are having close to Rs.22,000 crore of a NCLT book. Now this going forward the recovery which we are expecting from the NCLT , SARFAESI , OTS and ARC because we have a NCLT and I told you we have a huge pool, SARFAESI also last time, we recovered around Rs.860 crore. In the last half we recovered Rs.4

00 crore. So same same number we are trying to achieve in the this year also half year. Rs.400 crore next up here Rs.400 crore like likewise in an in the OTS last time we recovered Rs.1500 crore.

This half year we recovered Rs.755 crore. So we are going totally on those lines ARC of course last time we have recovered Rs.465 crore. In this year we have recovered Rs.97 crore. So but you see one presentation NARCL where 7 account of Rs.700 crore where bids have been received. So we'll go for the Swiss challenge and this amount when we'll transfer to N ARCL naturally this ARC recovery will happen. So , we are on the track that Rs.2000 crore around Rs.2000 crore of a quarterly recovery.

Of course, our guidance will continue to be around the Rs.7,000 crore to Rs.7,500 crore recovery. So we are moving on that direction.

Page 6 of 14 Ashok Ajmera , Analyst

Sir point well taken. Last question in this round on Treasury. Sir, our performance of treasury is reasonable in this quarter also. I mean we have made some good decent profit also trading profit also as well as the also the valuation profit and gains also. So going forward Sir what is your take on when we. I think we expect some rate cut also in December we'll be having the better profitability on the overall treasury operations, including the equity debt trading also, as well as on the because of the rate cut on the valuation front also. So overall in the next six months , will be better than the current six months on the treasury?

Shri S. L. Jain, MD & CEO

Okay. Two things. Two, three things. I'll complete the entire investment book. First of all we have added the investment by Rs.5,000 crore in June to September. Right? . Because we are having a liquidity and first point and we have Rs.3,000 we have added in SLR and Rs.2,000 non SLR. Right. Now second point is that the yield on investment which is very, very important.

Our yield on investment in June was 7.15. In September it is 7.17. So our yield on investment is 7.17 and the 10 year G -sec is 6.86 -6.87. So we are much above the 10 year G -sec second point. Now as per the guidelines the unrealized profit on AFS will go to the reserve. AFS reserve and FVTPL comes in the P&L account. 700 odd crores which is unrealized profit because of this is moved to the AFS reserve. We could have even Rs.700 crore more. We could have done but we thought that let us have a good margin continue. We have a good margin and continuously profitability. So this is. This is our treasury. Otherwise the profit would have been 200 plus 700.

Ashok Ajmera , Analyst

Yes, yes .

Shri S. L. Jain, MD & CEO

It would have come down in the. In the time to come. Right. This is the second point. So third point is that what we are doing is Treasury. We know that interest rate had come down. That is why we have built the book at 7.17. Today also when the yield is between around 6.9 we are buying. If it is going below 6.8 , we are selling this how we are moving. So we think that it should be around 6.75 to 6.85 or this should be the trend. But we are sitting in a very comfortable position.

Ashok Ajmera , Analyst

Thank you, Sir.

Anand Dama (Host – Emkay Global)

Thank you. The next question from Mona. Mona, please unmute yourself.

Mona , Analyst

Yeah. Hi, Sir. Good evening. Congratulations on a good set of numbers. Just two questions. Yeah. So firstly, in your notes to accounts you've mentioned that about 300 crores of provisions were made outside of the minimum regulatory requirements. So this is part of PCR itself. Right? Or it's outside of PCR.

Page 7 of 14 Shri S. L. Jain, MD & CEO

No. Whatever provision we make, if it is a standard asset provision it cannot be a part of the PCR. Because NPA provision only comes in.

Mona , Analyst

Okay. So this is standard provision.

Shri S. L. Jain, MD & CEO

This is standard.

Mon

a , Analyst

Okay. Got it and secondly, so if I have to look at the balance sheet level what sort of outstanding standard provisions we have on the books.

Shri S. L. Jain, MD & CEO

In entire book we are having standard asset provision close to Rs.8,500 crore.

Mona , Analyst

And how much of this is towards restructured book?

Shri S. L. Jain, MD & CEO

Generally we are having restructured book close to around 28% is against the regulatory requirement of 10%. We are having 28%.

Mona , Analyst

Got it. That's all from my side. Thank you.

Anand Dama (Host – Emkay Global)

Yeah, thank you Mona. Next question will take from Dixit. Dixit Please unmute yourself.

Dixit , Analyst

Yeah, one question. Firstly one clarification. You mentioned that this one corporate government corporate account which is in SMA 2. So we have received some amount after the September you are saying and therefore it has moved to SMA 1 , now?

Shri S. L. Jain, MD & CEO

Part of the irregularity. Suppose the irregular amount say Rs.100 crore and we recovered Rs.50 crore So the irregularity which was 60 days has become less than 60 days , 30 days.

Dixit , Analyst

Okay and are we holding any provision against this account?

Shri S. L. Jain, MD & CEO

We are having provision based on the portfolios and also.

Okay and my last question is in the non interest income under the miscellaneous income has gone up to Rs.228 crore from Rs.99 crore here on year or Rs.135 crore QoQ . So was there anyone of in this Rs.228 crore. Any significant one?

Shri S. L. Jain, MD & CEO

Basically this is the penal interest Major part of it is penal charges.

Dixit , Analyst

Okay. Therefore It has gone up substantially Y-o-Y.

Shri S. L. Jain, MD & CEO

That is why the NII growth is looking less.

Dixit , Analyst

Okay. Okay, understood. Thank you. That's it from my side. Thanks.

Anand Dama (Host – Emkay Global)

Yeah, thank you Dixit. So before that there is one, this one other question which is there in the chat box. What is the LCR for the second quarter and any impact that you saw primarily because of the RBI supervision which asks you of the Banks basically to rework their LCR.

Shri S. L. Jain, MD & CEO

What is the question? .

Anand Dama (Host – Emkay Global)

What is the LCR for second quarter?

Shri S. L. Jain, MD & CEO

LCR is close to around 120% plus. We have last quarter we were having LCR of 114%. June , now around 120% plus. 120%/ 121%/ 122%. This is the range we are in.

Anand Dama (Host – Emkay Global)

There were these Banks basically who had said that there was this RBI supervision and because of there was some impact on the LCR. So how come basically our LCR has actually gone up? Is it that we have raised some funds recently?

Shri S. L. Jain, MD & CEO

No. What happens , the RBI is based on the guidelines. We also fine tune our guidelines. So after considering everything it is 122%.

Anand Dama (Host – Emkay Global)

Okay. Sure Sir. Sir and secondly was this. There was this Telangana farm loan waiver. Any impact of that basically has reflected into our numbers. Similarly if you look at a lot of Banks have reported Page 9 of 14 higher NPS in the retail segment. Obviously, we do not have as much of exposure to unsecured loans?

Shri S. L. Jain, MD & CEO

Now we are having even the less than Rs.200 crore. We are not having much exposure in Telangana and they are paying us money. So we are having close to Rs.206 crore.

Anand Dama (Host – Emkay Global)

In the retail book. Are you seeing some stress?

Shri S. L. Jain, MD & CEO

No. You see the retail book SMA and all this Slippage is Rs.120 crore and the collection efficiency is 95% - 96%. So there is no issue Sir and Rs.1,10,000 crore book and small amount.

Anand

Dama (Host – Emkay Global)

Sure Sir. So any other participant if you have a question please use the raise an option to ask a question. Suraj , please unmute yourself and ask your question.

Suraj , Analyst

Yeah. Hi Sir. Thanks for the opportunity. Sir, one question on your housing finance book. If I see the slide 12 the housing finance rating mix has changed drastically. Because I think some account from the AAA has been either repaid or something like that and corresponding the housing finance book has also come down to Rs.13,000 crore to Rs.8,000 crores. So if you can give some color here?

Shri S. L. Jain, MD & CEO

Yeah. Yeah. One of the big account which because of the rate in all issues that repaid back.

Suraj , Analyst

Okay. Okay. Sure. Is it? Sir, ICICI Home finance ?

Shri S. L. Jain, MD & CEO

Account specific will not work.

Suraj , Analyst

Sure Sir. Okay. Thank you.

Anand Dama (Host – Emkay Global)

Thank you. Sur aj Next question we take from Jai Mundhra Please unmute yourself.

Jai Mundhra , Analyst

Yeah. Hi Sir. Good evening. A couple of question s. First there on we have this I nd Bank housing, right? Which is 51%. Where we own 51%. If you look at the draft RBI circular on the investments etc. How do you see the fate of that entity with . Would you be okay to merge with the Bank or how should one look at it?

Page 10 of 14 Shri S. L. Jain, MD & CEO

No, this Indbank housing we are closing.

Jai Mundhra , Analyst

Okay so this anyway was going to get down irrespective of RBI circular.

Shri S. L. Jain, MD & CEO

No, we are closing it because this there is no activity in the company except they are having some assets. They are having some assets. So we are in the process of selling those assets.

Jai Mundhra , Analyst

Okay. So. Okay, okay understood. But we only have 51% stake. Right.

Shri S. L. Jain, MD & CEO

We are having 51% and then the HUDCO is there with us and 25% HUDCO and rest is public. But last so many days, last so many years there is no activity except the asset which.

Jai Mundhra , Analyst

Yeah. Yes. So that is a defunct kind of an entity. I was just thinking .

Shri S. L. Jain, MD & CEO

We are in the process of selling the Asset, which they are having.

Jai Mundhra , Analyst

Okay and Sir, secondly if you can share your loan book mix by benchmark how much is EBLR, MCLR, fixed rate book and foreign currency etc.

Shri S. L. Jain, MD & CEO

Yeah. So my as on the 30th of September MCLR book is 58% and the REPO link is 36 % and fixed is 5% and others is 1%.

Jai Mundhra , Analyst

Okay, sure.

Shri S. L. Jain, MD & CEO

In MCLR also one year MCLR is 80%.

Jai Mundhra , Analyst

Oh okay sure and Sir, repo will anyway be within immediate or maybe one one week repricing kind of a thing. Right.

Shri S. L. Jain, MD & CEO

Repo will be the next day.

Page 11 of 14 Jai Mundhra , Analyst

Right. Okay and Sir, this on PSL. Right. So I think the other income spike you have already answered on the PSL gains that we have seen. I believe we have a policy of amortizing PSL gains throughout the year so that the amount is more or less consistent. But what I wanted to check was if. I mean where is the commission that we get? If I look at annual report we tend to sell most of the category in SMF at small and marginal farmer. The small sale is there in the PSLC Agr i. But if you can highlight what kind of the yields that you get or that you have got in the Q1 and Q2?

Shri S. L. Jain, MD & CEO

Two, three things basically in PSLC side our income which used to be Rs.400 odd crore in '22, Rs.657 crore in '24 now Rs.700 odd crores and around Rs.300 crore and Rs.182 crore last year . Rs.182 crore into 2 times i.e. Rs.364 crore. We are carrying it forward which will be the income for the Q3 and Q4. So this

earlier we used to have in one quarter. But from last year we changed this policy. So this is going on and we are selling the PSLC in small and marginal farmer in other categories as well. But better return is in this category. 95% of our origin is small and margin farmer.

Jai Mundhra , Analyst

Right? And what kind of the yield could be there Sir, for this first half or maybe last quarter?

Shri S. L. Jain, MD & CEO

Around 2% somewhere 2.1%, 2.15%. This is on the market. It is a market basically around 2%, you can say.

Jai Mundhra , Analyst

Okay, so the market rate for PSL has been holding up, right? I mean earlier it has gone down to as low as maybe 0.5% also. But as of now it is .

Shri S. L. Jain, MD & CEO

What happened with the paces of time that it will come down. So we sold out in the first quarter itself, right?

Jai Mundhra , Analyst

Okay, understood. Sure and Sir, lastly on credit cost, right? So while the math is okay that you have reduced your net NPA by 12 basis point and we have reported a credit cost of 65 basis point annualized, right? So far the maths is good. But right now you have a net NPA which is very very low, right? So going ahead the credit cost could be like 20 - 30 basis point. Also. What is your assessment? Sir, assuming you have said that there is no asset quality stress is any part of the portfolio and the SMA 2 number that we saw is also government entity.

So the incremental credit cost assuming you make your net NPA stable could be as low as 20 - 30, 35 basis point. Would that be a fair assessment?

Page 12 of 14 Shri S. L. Jain, MD & CEO

The credit cost is coming down because of the net NPA itself is coming down, right? So naturally the credit cost will further come down. How much it will come down will depends on the further slippage in a small account even can in ag ri or other account. But definitely the credit cost will come down considerably.

Jai Mundhra , Analyst

Right? And last question Sir, if you have the number for SMA 1 plus 2 at the Bank level, right. Because even in this quarter a lot of slippages would have come from below Rs.5 crores account. So if you have that number it will be very, very helpful, Sir?

Shri S. L. Jain, MD & CEO

Okay. Then we will provide you.

Jai Mundhra , Analyst

Thank you Sir. All the very best.

Shri S. L. Jain, MD & CEO

Thank you Sir. Thank you.

Anand Dama (Host – Emkay Global)

Thank you. J ai. Next question will take from Mona. Mona, p lease unmute yourself.

Mona , Analyst

Yeah. Hi Sir, just a follow -up question. So if I look at, the liability accretion in H1 between deposits and borrowing you've relied or the Bank has relied a lot more on borrowings versus deposits. So if you could just highlight what is going on here. Is it a challenge in deposits or is it because you're getting borrowings at a much, you know, competitive rate? If you could just throw some light here. Thank you.

Shri S. L. Jain, MD & CEO

You see what is my 400 days deposit rate is 7.30 % today . If you see the bulk deposit interest rate is anywhere between 7.7 % to 7.9%. These are the two rates. You know what is what rate? We

raise the infra bond at a average price of 7.18 % plus there is no CRR , SLR obligation, no DICG C obligation.

So if you reduce the cost of around 40bps because of negative carryover it comes to around a 6.8%. So which is, which makes a huge sense to us and therefore we are going for Infra Bond because ultimately the margins are important and we have a huge infra book of close to Rs.55,000 crore. Even so there's opportunity for us. So we are going for that.

Mona , Analyst

Got it Sir. Thank you. Thank you, that's helpful.

Page 13 of 14 Anand Dama (Host – Emkay Global)

Thank you Mona. Next question we'll take from Rakesh. Rakesh, please unmute yourself.

Rakesh , Analyst

T

hanks for the opportunity and quite a stable performance especially of the asset quality side. Quite good performance this quarter again. So just one question with respect to the loan write off. So are we looking at close to another Rs.3,000 crore of loan write off in the second half considering the run rate and plus what we had in the loss asset as on March '24.

Shri S. L. Jain, MD & CEO

You see your loan write off rate itself is coming down. So going forward lesser write off is against the current write off because some of the outstanding which we are getting, we are getting a tax benefits as well. So considering all aspect in view we go for write off, technical write off. But some write off will always happen because of the compromise and because of our balance sheet management.

Rakesh , Analyst

PCR , we are expecting to like maintain at this level or just considering that the accumulated provision number is also coming down. So just from that perspective I am asking the PCR number we would maintain it around this level only . Correct Sir?

Shri S. L. Jain, MD & CEO

PCR we at 97.6% so close to 98% of the PCR.

Rakesh , Analyst

Sure, sure, sure, sure. Thank you so much, Sir. Thank you Sir. All the best, Sir.

Anand Dama (Host – Emkay Global)

Sir, one question which has come in the chat box is that another Public Sector Bank had a higher AS15 provision during the current quarter. Is there a possibility that we might also do something similar maybe in next second half?

Shri S. L. Jain, MD & CEO

Now we have already increased our AS -15 provision from Rs.547 crore of the September '23 to Rs.812 crore. We already increased AS -15 provision and the reason for increase in AS -15 provision that we brought the discount rate to 6.94% as against 7.16% of the June and all. So we are exactly what the current market is.

Anand Dama (Host – Emkay Global)

Yeah. Sir, I think we do not have any further questions. Maybe we can close the path. Sir, if you have any closing comments.

Page 14 of 14 Shri S. L. Jain, MD & CEO

Thank you very much for all analysts and investors for sparing your valuable time and giving us an insight and giving us a motivation to do better. So kindly keep supporting us. Thank you very much and happy Diwali to you all.

Anand Dama (Host – Emkay Global)

Yeah. Thank you all participants and happy Diwali from Emkay .

INVESTOR SERVICES CELL

Ref. No.: ISC/ 404/2024 -25 Date: 04.02.2025

NSE Symbol: INDIANB The Vice President
BSE Ltd.
25, P. J. Towers
Dalal Street, Mumbai -400001

BSE Scrip Code - 532814

Dear Sir/ Madam,

Subject: Transcript of Post Earnings Concall / Meet

The Concall Transcript has also been uploaded on Bank's website and the same can be accessed through below link:

<https://www.indianbank.in/departments/audio-video-recording-concall-transcripts/>

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary

Encl : A/a

Indian Bank Q 3 FY'25 Results
Post Earnings Conference Call / Meet

Held on 29.01.2025

Transcript

Management:

Shri Binod Kumar
MD & CEO

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Shri Brajesh Kumar Singh
Executive Director

Moderator:

Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd.

Disclaimer :

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Page 1 of 20

Anand Dama (Host – Emkay Global)

Good evening, everyone. We welcome you all to Indian Bank's Post Results conference call for the third quarter of Financial Year 2025 hosted by Emkay Global.

From the top management we have with us Shri Binod Kumar, MD & CEO, Shri Mahesh Kumar Bajaj , Executive Director , Shri Ashutosh Choudhury, Executive Director, Shri Shiv Bajrang Singh , Executive Director, Shri Brajesh Kumar Singh, Executive Director and the other top management from the Bank.

First, I would request the MD Sir to briefly summarize the key highlights of the third quarter results and also provide us the strategic direction on growth, margins and asset quality. Post which we will open up the floor for Q&A session. Over to you MD Sir.

Shri Binod Kumar, MD & CEO

Thank you, Anand and good evening to all who are participating in the con call . Friends, Indian Bank has published its quarterly results today and key highlights are Total business has grown from Rs.12.44 trillion to Rs.12.61 trillion with a YoY growth of 8.33%. Deposit has grown from Rs.6.93 trillion to Rs.7.02 trillion with a YoY growth of 7.34%. CASA , we have been able to maintain at 40% CASA share and CASA has grown by 3.70%. One good thing retail term deposit, which we have been able to grow at decent 9% . Advances we have grown from Rs.5.51 trillion to Rs.5.59 trillion at 9.61% YoY and 1.60% QoQ. RAM , we have grown from Rs.3.25 trillion to Rs.3.35 trillion with a growth of 12.79% and QoQ growth of 3.08%. Particularly in retail we have grown at 15.80%. Agriculture we have grown at 13.50%, MSME at 8.20%. The share of RAM has grown from 63.32% on September'24 to 64.35% on December'24. If I talk of the net profit, net profit has grown from Rs.2,119 crore a year ago to Rs.2,852 crore with YoY growth of 34.57% and QoQ growth of 5.36%. Operating profit has also increased from Rs.4,097 crore to Rs.4,749 crore at 15.91% YoY and 0.44% QoQ. NII has increased from 5,815 crore to 6,415 crore with a YoY growth of 10.32% and QoQ growth of 3.57%.

NIM, we have been able to increase overall Global NIM from 3.41% to 3.45% on YoY basis that

means there is 4 basis point increase and from 3.39% to 3.45% on QoQ basis 6 basis point improvement is there. ROA, we have been able to increase from 1.33 % to 1.39% and on YoY basis there is increase of 28 basis point from 1.11 % to 1.39 %. Return on Equity again we have been able to maintain at 21% with a YoY growth of 108 basis point. Cost to Income ratio again we have been able to reduce it from 45.12 % to 44.56%. PCR we have been able to maintain at 98.09% up 219 basis point as compared to the December 23. Credit cost sequentially also and YoY basis also it has come down to 0.47% from 0.65% a quarter ago. Earning per share also has seen an increase of 26% YoY basis from Rs.67.12 to Rs.84.70 and 5.39% on QoQ basis from 80.37 to 84.70. Book value has also increased from Rs.347.73 to Rs.412.42 on YoY basis and sequentially from Rs.394 to Rs.412.42. Cost of Deposit, there is increase of around 5 basis point on QoQ and yield on advances has increased 15 basis points sequentially. Gross NPA, we have been able to bring it down to 3.26% i.e. 22 basis point sequentially and 121 basis point on YoY basis. NNPA also we have been able to reduce it to 0.21% from 0.27 % a quarter ago and 0.53% a year ago.

Slippage ratio consistently it is coming down from last three quarter in June it was 1.5% and September 1.06 % now it is 0.78% consistently. If you see our recovery is more than slippage this time also against slippage of Rs.1,016 crore, the recovery is Rs.1,911 crore. SMA book, many analysts may have question, SMA has increased a little bit because of three big accounts has come to SMA, out of that now all these three has come out of SMA 2 and one is in SMA 0 and presently our exposure

to SMA 2 is less than Rs.3,000 crore.

Page 2 of 20

The Bank has taken various initiative during the last two to three years on the account of digital initiative and HR transformation also. In the last two, three years we have opened more than or launched more than 117 journeys or product and processes. Similarly account opening has also been revamped and the account opening if I compare it was 56 lakh during the last financial year, which is 42 lakh in the nine months. Similarly, in current account, we have opened 1.80 lakh account in the last financial year. So far, we have been able to open 1.15 lakh. Whatever guidance we have given for the financial year we stick to the guidance. We have given deposit guidance of 8% to 10%. We will continue to do that. We will achieve the advances guidance of 11% to 13%.

CASA, we have given guidance of around 40%. We have been able to maintain that and our endeavour will be to maintain CASA at 40%. Although that may be a little challenging. Credit to deposit ratio or LDR, we have given approximately 80%. We are at 79.63%. So, we have been able to maintain that. Net NPA, we have given guidance of less than 0.23 %. We are at 0.21%. Recovery, we have given guidance of Rs.7,000 crore, so far we have been able to recover Rs.5,800 crore. So, we are on track. We will be able to achieve that. AUC recovery, we have given guidance of Rs.2,000 crore. We have already recovered Rs.2,100 crore. NIM, we have given guidance of 3.40 % to 3.50 %. So, we are on that target.

ROA, we have given guidance of approximately 1.20 %. We have beaten that. We are towards 1.39%. ROE, we have given guidance of 19 % to 20% and we are at 21%. Cost to income ratio, we have given guidance of approximately 44% and we are at 44.56%. Credit cost, we have given guidance of 0.77 %, but we are at 0.47 %. So, these are the numbers and I will request my colleague Mr. Mahesh Bajaj to explain about the digital initiative. Thereafter we can take calls.

Shri Mahesh Kumar Bajaj, Executive Director

Thank you, Sir. Good evening, friends from the Analysts and the Investors. As far as our digital journey, the success story continues. Our digital migration has gone up from 87% to 92% i.e. 5% YoY up. So, branch level transactions have come down to 8% and the mobile banking and all the channels there's a growth of 18%. Same way the transaction growth is also 12% and again MD Sir was talking about the digital journey. So, this financial year, we have launched 39 journeys and this quarter 15 journeys. So put together 117. And our business on the digital channel have gone up by 125%. It was Rs.52,884 crore during the last financial year December '23. And this time it is Rs.1,18,981 crore. So, it is 9 months growth is 125%. Same way in RAM it has gone up by 113 basis points. In e-deposits (digital deposits) also it has gone up by 186% from 7,500 crore to 21,000 crore. Same way the digital adoption also has gone up in RAM with MSME 80%, Retail 77% and Agri 88%. We have crossed the digital business since inception, which we started our journeys more than Rs.2,05,870 crore and almost all journeys if you see even the journey wise also the growth is there. We have opened Rs.89 lakh account through digital platform which is YoY 160% growth.

Same way on the liability side it is 186% growth which is Rs.14,000 crore. On the digital home loan also 3.2 times growth is there which is Rs.4,259 crore. Even digital vehicle loan also 4.7 times growth is there. We have in the Jewel loan in the retail side also, we have now made journey on the digital channels which is again a 12 time growth, which is Rs.7,715 crore. Digital MSME growth is also

close to 79%, which is close to Rs.4,718 crore and same way on the digital Agri 98% it is almost doubled, where the growth itself is Rs.33,467 crore. Even on the Self He

lp Group also we have

started our journeys and our IndSMART app already it is launched on June '24 for the retail customer and it has more than 275 functionalities. It is available on both Google Play and Apple App store. We are now very shortly going to start our mobile banking for the corporate customer also, it is under CUG and on the retail more than 60 lakh customers have already onboarded. The digital business and fintech partnership, we have onboarded close to 138 Fintechs, and the Bank provide all type of fintech solution to the government, to the institutions like Municipal Corporation, SaaS collection,

Page 3 of 20

religious institution, FAST ag, and all kind of solutions, Bank is providing through their fintech partnership, and bank is having various other ongoing key projects, which we have provided in the presentation. With that I'll conclude my presentation. Thank you.

Questions and Answers

Anand Dama (Host – Emkay Global)

Yeah, thank you Sir. So, before we open up the floor for Q&A, I had two questions. One was, you said that the credit growth will be about 10% to 11% which means that the fourth quarter will have to do a heavy lifting in terms of about 5% to 6% quarter-on-quarter growth. Now that you are focusing a lot on margins front, whether obviously the targets were actually given by the earlier management, would you want to stand to it or like you basically would want to revise it downwards?

Shri Binod Kumar, MD & CEO

No, no, we won't go for any downward revision, credit we are saying we will be growing in the range of 11% to 13% and margin also we will be maintaining that between 3.40 % to 3.50 %.

Anand Dama (Host – Emkay Global)

Yeah, but then that would call for a pretty heavy growth in the fourth quarter given the run rate.

Shri Binod Kumar, MD & CEO

But you see, credit we have grown at almost 10% already. So, maybe you see in fourth quarter demand is also higher. So, that is achievable and we will achieve that.

Anand Dama (Host – Emkay Global)

My second question was to Mr. Bajaj that I mean, we have given a good slide on digital lending front. So is it all organic digital lending that we're doing or basically there are a lot of partners through, which basically we are doing this thing.

Shri Mahesh Kumar Bajaj, Executive Director

Basically, our journeys we have already taken a vendor. So, with their help we are doing all these journeys. As far as the other solutions which we are providing where we did not go for our own solutions there, we have onboarded 138 Fintech partners. Like some government department is asking for a platform solution. So, for that only we have onboarded these Fintechs, other than that Bank has its own journeys, we are only doing and through our own permanent partners only. Vendors, we have already onboarded for mobile banking as well as the DLP digital lending platform.

Anand Dama (Host – Emkay Global)

Then you call we had a, you know Rupee k as one of the partners which was there particularly on the golden front. So, is it still working? That partnership is still working or like we have basically closed down that partnership.

Shri Mahesh Kumar Bajaj, Executive Director

No, that was basically for doing business on the gold loan. But Bank on its own is having good amount of business. So, with Rupee k we have stopped doing I think a few lakh or crore must be pending. No outstanding as on date and we are not taking it forward. Co-lending the Bank has stopped.

Page 4 of 20

Anand Dama (Host – Emkay Global)

Now we'll open up the floor for Q&A. We have Mr. Ashok Ajmera in the queue so please unmute yourself and ask the question.

Ashok Ajmera, Analyst

Yes Sir. Good evening, Binod Kumar ji, and welcome to you to Indian Bank as the Managing Director & CEO. Nice to see you there.

Shr

i Binod Kumar, MD & CEO

Thank you. Yeah, thank you. Good evening.

Ashok Ajmera, Analyst

Sir. Yes, good evening. My first question is I will extend Anand's concerns, because my major concerns is basically on the growth now a days in most of the Banks are facing. But it seems that our growth in last nine months. Of course you have joined, I mean the Bank recently. But of course, I'm talking about the whole Bank as such has been very mute. So, if you maintain the same targets of 11% to 13% say even 12% of the credit growth. You need to disburse in this quarter almost about Rs.38,500 crore as against Rs.8,500 crore in the last quarter and Rs.25,000 crore in whole of nine months. So how, we believe that Rs.38,500 crore can be disbursed by Indian Bank only from January to March 2025. Throw some colour on your sanction pipeline and your disbursements you know under pipeline. Because even if some fresh sanctions take place now, I think the loan book will not increase. The disbursement will not take place before 31st March.

Shri Binod Kumar, MD & CEO

So, Ajmera ji, I appreciate your concern because in last quarter we have grown by Rs.8,500 crore and say that we will grow by Rs.38,000 crore. So, I appreciate your concern but if you see in last quarter the growth has been good in the RAM sector. RAM we have grown at 13%, so, that means there is no challenge on the RAM. So, then question comes on the corporate. Corporate we have a good pipeline of around Rs.40,000 crore in various stages. Some are in the disbursement stage somewhere in principle has been given some proposal has come to head office and after my joining we have also conducted one MC. So, as you were saying, after taking charge, I have already taken a stock of the situation. So, you are saying Rs.38,000 crore, rather I am targeting Rs.40,000 crore and we will be able to achieve between 11% to 13%.

Ashok Ajmera, Analyst

Yeah, I said I took the average of 12%. That is why Rs.38,000 crore but Rs.40,000 crore is better. And we will be very happy Sir, if you achieve this target because on the deposit fronts also, we are lagging behind.

Shri Binod Kumar, MD & CEO

Yeah, deposit also let me tell you the good thing. Good thing is if you see that data may not be there our deposit growth we could have grown. There is no issue in that. But total wholesale deposit we have degrown from 1.08% to 1.01%. So, there is no point in taking deposit at higher cost and

Page 5 of 20

deploying somewhere at not very profitable opportunities. Similarly, if I talk of the retail deposit, we have good growth of around 8% to 9%. CASA, we have been able to maintain 40%. So, if we want to grow it's our choice. If you would have wanted to grow at let's, say 9% or 10% in CASA if that make business sense we could have grown because you could have taken some bulk deposit because CASA, and retail term deposit is supporting us.

Ashok Ajmera, Analyst

No Sir, it's very good to be optimistic and then to achieve also the same optimism targets. Sir, my second little bit observation is you said that the SMA 2 numbers had increased to Rs.4,982 crore. You said that three accounts have already been recovered the amount they are regular from SMA 2 to SMA 0 may be or SMA 1 and now the balance out string is only Rs.3,000 crore in SMA 2 as on today. So, these two or three accounts are a habitual of one month lag. I mean coming in

SMA 2 and again going in SMA 1 or it was a onetime problem for them.

Shri Binod Kumar, MD & CEO

See these accounts are coming in SMA for some time like say 3 to 4 months. But out of these three two has come become regular completely not even in SMA 0. Only one account is in SMA 0, which we expect that will also become completely regular and going forward it is our expectation that they should not further slip to SMA.

Ashok Ajmera, Analyst

Okay Sir, that's a very good point. There is one note that Rs.155 crore excess provision has come to the profit and loss account because of the sale of the stressed loan book. So going forward in this quarter also we expect this kind of additional recoveries like or the reduction in the provision because of those recoveries. Sale of stress loans.

Shri Binod Kumar, MD & CEO

Sale of stress loan. So, I will reply it like this Ajmera ji. So, recovery is adding to our bottom line and operating profit also that amount is around Rs.548 crore. Last quarter, it was somewhere Rs.782 crore. So, we expect that this Rs.540 crore to around Rs.500 crore, we will be able to achieve that because we have given guidance of recovery around 2,000 in AUC and we have already achieved 2,100 and whereas it was last year Rs.3,000 crore. So, we expect that this momentum will continue because, we have good TWO book of around Rs.40,000 crore.

Ashok Ajmera, Analyst

Good Sir. My last question in this round Sir is on investment book or rather nowadays, we'll call it as a trading profit or opportunities either I don't know on the arbitrage or something. So how do we, can the treasury looking, I mean income from treasury in this coming quarter. Profit from the investment, sale of investment or the treasury profit, some indication in this coming quarter. I mean January to March quarter.

Shri Binod Kumar, MD & CEO

Treasury profit. Yes, we are expecting in this quarter treasury profit was Rs.78 crore. So, trading profit was Rs.283 crore, but there was MTM charge of Rs.24 crore. So may be in next quarter we will have some trading profit again, should be in the same range and MTM may not be there. Because we expect that there should be some moderation in the interest rate, so may not be there. This is my expectation. But don't know market how it will behave.

Ashok Ajmera, Analyst

No. Anyway Sir good. Once again congratulations and all the best to you. You are maintaining a very good ROA of 1.39%. Your net NPA is also almost now no more scope is there for any further provision 0.21. Of course, in gross NPA might still there is scope for reduction. So, anyway all the best to you Sir. And if time permits, I'll come back again Sir for some minor data points.

Shri Binod Kumar, MD & CEO

Thank you. Thank you. Ajmera ji.

Anand Dama (Host – Emkay Global)

Next question will take from Piran from CLSA.

Piran, Analyst

Yeah, thank you and congratulations, Binod ji, for this new role as MD & CEO. So firstly, I just wanted to ask what our LCR is right now. Liquidity coverage ratio.

Shri Binod Kumar, MD & CEO

Thank you Piran. My LCR as on 31st December was 116%. And presently it is 125%.

Piran , Analyst

Okay. And what are our plans. You know after the LCR norms come? Is 116 the comfortable level for us or do we plan to shore it up?

Shri Binod Kumar, MD & CEO

But on an average our LCR remains in the range of in excess of 120 %. Approximately 125% and impact of new norms are around 8 to 10 basis point. So, on particular day I cannot say. But we with 125%, even if there is a hit of 10 basis point then 115%, we will be able to maintain. I think that is comfortable.

Piran , Analyst

Okay. Okay Sir. And secondly, just going back on our SMA book, can you give us some colour ? These three accounts, which sector were they from? Are they PSUs or privates? And what gives you confidence that the SMA 0 account will be recovered soon? Just some colour would be useful Sir.

Shri Binod Kumar, MD & CEO

See if you see the track record of all these accounts. These accounts recovery has been very good and it's not new account, it's old. All these are old account s. So, all of a sudden, some problem crept in. si

nce last, I will say around six months there has been some issue. But now some understanding has been reached and w e expect that these accounts should not slip into SMA , further. Two has already come out of SMA and one which is in SMA 0 is expected to come out shortly.

Page 7 of 20

Piran , Analyst

Okay Sir. And Sir, just lastly in Agri for other Banks we see in the third quarter slippages are usually higher. You know like ICICI Bank, Axis Bank. They say slippages pick up in third quarter but for us it has actually gone down. Is it a different profile we do, because we don't do much , Kisan credit cards. What would be the reason really?

Shri Binod Kumar, MD & CEO

Yeah yeah. Actually, we are focusing on investment credit. So that is the differential.

Piran , Analyst

And KCC is not much for us.

Shri Binod Kumar, MD & CEO

KCC we are doing but selectively.

Piran , Analyst

Okay. Okay. So, this answers my question. Thank you and wish you all the best in your new role.

Shri Binod Kumar, MD & CEO

Thank you. Thank you Piran .

Anand Dama (Host – Emkay Global)

Next q uestion will take from Rakesh.

Rakesh , Analyst

Hi Sir. Thanks. Thanks for the opportunity and quite good set of numbers. So , just had few queries Sir. So firstly, coming to this standard asset provision we are continuously making this provision and if I am not mistaken that number like you know , we have done it like kind of , around Rs.550 crore we have done for the nine months. We already had close to around Rs.8,000 odd crore in the March '24. So, what is the provision that we have for the restructured book and for the SMA? So, if you can

just tell us what is the provision cover we have on that now.

Shri Binod Kumar, MD & CEO

On SMA 2 book , we make provision of 10% flat.

Rakesh , Analyst

Okay.

Shri Binod Kumar, MD & CEO

And on restructured book we have a provision of 25%.

Page 8 of 20

Rakesh , Analyst

Okay. So does this mean that, the additional provision that we have, so if I consider that you know for the standard loans, which are not stressed, you know we would have approximately 55bps of provision. 50 to 55 bps of provision. And then we have as you said 20% provision for restructured and 10% for SMA. So, the residual standard said provision is it that we are building it for ECL only?

Shri Binod Kumar, MD & CEO

I will not say that it's building for ECL because we don't know when ECL will come. We are adopting prudent measure , I will say . Wherever we feel that there is some stress or account may slip or there may be some a sector where we can see some stress then we are conservatively and prudently making provision for that.

Rakesh , Analyst

Okay so just second question on the borrowing part. Sir, we have raised infrastructure bond of Rs.5,000 crore at 7.12%. Borrowing cost seems to have gone up. So, I know this is very small amount as compared to the borrowings total outstanding. But if you can let us know why the borrowing cost has gone up this quarter.

Shri Binod Kumar, MD & CEO

Rakesh, not Rs.5,000 crore . We have raised infrastructure bond of Rs.10,000 crore and whatever amount you see it is because of that only.

Rakesh , Analyst

No Rs.5,000 crore. I think you raised in the October '24, as you are mentioning in the PPT.

Shri Binod Kumar, MD & CEO

Previous quarter Rs.5,000 crore and this quarter Rs.5,000 crore . So, it is impact of that only because of that and I have analyzed that. See Rakesh, what happened is... We have raised money in Q2 but impact of that has come in this quarter.

Rakesh , Analyst

Got it, okay. Sure Sir, that answers my question. Thanks a lot Sir. And all the best.

Anand Dama (Host – Emkay Global)

Yeah. Mahrukh, please ask your questions.

Mahrukh , Analyst

Hello Sir, congratulations.

Shri Binod Kumar, MD & CEO

Thank you, Mahrukh . Thank you.

Page 9 of 20

Mahrukh , Analyst

Congratulations on your new role Sir.

Shri Binod Kumar, MD & CEO

Thank you.

Mahrukh , Analyst

Sir. I had a couple of questions. Firstly, that deposit taking was tough for all Banks in the third quarter. Has it changed on the margin in the fourth quarter, or do you see change in the fourth quarter and do you see any deposit rate cuts even if the repo rate is not cut in the near future? That's my first question.

And my second question again is on loan growth that see Bank of India also said they are going to grow 14% to 15%. Then Union Bank also gave a loan growth guidance. They have basically retained their guidance. So, for all PSU, I mean for at least these three PSU Banks the implied growth for the fourth quarter is 5% to 6%. So , it's not only for your Bank, it's for everyone. So, is there enough demand or enough corporate demand for everyone to grow 5% to 6%? Is there some CapEx lined up or is this busy season. So, I just trying to find out whether there's indeed some demand improvement from the corporate side.

Shri Binod Kumar, MD & CEO

Thank you Maru kh. See deposit rate cut. I don't think there will be rate cut on the deposit front because if you see the bulk rate it is already very high. And I think it will continue to unless there is some rate cut is there. And on the credit growth as I earlier told Maru kh. RAM sector we are already growing at 13%. So, at 64% of our book are RAM. If you are able to do some good corporate credit, we will be able to grow at 11% to 13%, which guidance we have given. And for that we have pipeline of around Rs.40,000 crore in the corporate book itself. Overall pipeline of around Rs.60,000 crore. We are quite hopeful that we will be able to add around 38,000 to 40,000 during the Q4. If you see historically also credit growth in Q4 is higher as compared to other quarters .

Mahrukh , Analyst

Got it Sir. Sir with higher corporate growth would that put pressure on margins or not really.

Shri Binod Kumar, MD & CEO

No, no. Margin will be very cautious. As a philosophy we are dissuading giving loan on the repo rate loan or external benchmark linked loan, corporate book particularly , we will be cautious of the margin also. But if there is some rate cut or I mean deposit cost, cost really goes up then there can be some moderation. But we will see. We are at 3.45% NIM and we have given guidance between 3.40% to 3.50%. So, we will be able to maintain that margin.

Mahrukh , Analyst

Got it Sir. So, and my final question is on LCR. So, no final guidelines have come. Would that mean that it's. I mean we can forget about it now or how does it work?

Page 10 of 20

Shri Binod Kumar, MD & CEO

No, no. We cannot forget about it. It's already there. And we are having calculation on regular basis of that.

Mahrukh , Analyst

Okay. Okay.

Shri Binod Kumar, MD & CEO

And we expect that it's at some point of time. It will come , timing we cannot say.

Mahrukh , Analyst

Got it Sir. Okay Sir. Thank you so much. Thanks a lot. All the best.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Next question will take from Kunal Sukani.

Kunal Sukani , Analyst

Hi Sir. Just a basic book keeping question. Just wanted to know how do we calculate this book value ? which is at Rs.412 and if we calculate it based on the balance sheet cap equity which comes at Rs.495. So, what exactly is adjustment we do in the book value per share?

Shri Binod Kumar, MD & CEO

CFO to reply.

Shri Sunil Jain , Chief Financial Officer

That is our Net worth divided by the number of shares Sir.

Kunal Sukani , Analyst

Sure. Thanks.

Anand Dama (Host – Emkay Global)

Jai, you can go -ahead w

ith your questions

Jai, Analyst

Hello Sir. Good evening.

Shri Binod Kumar, MD & CEO

Good evening.

Page 11 of 20

Jai, Analyst

Congratulations Sir on your new responsibilities. I have few questions Sir, first, on your MCLR rates right? So, if you look there have been inching up to cost of deposits in the last 6 to 9 months but the one year MCLR rates have not increased commensurately right? It's only 5 basis point increase. How does this work? I understand other Banks have also not raised too much MCLR rates but what is your sense as to why MCLR rate increase is much lower than the rise in the cost of deposits?

Shri Binod Kumar, MD & CEO

Thank you , Jai for good wishes. MCLR is marginal cost , so marginal cost is a defined formula from RBI, so we are calculating according to that because , we have to take cost of fund then operating cost very much defined formula . So, I don't think there should be and if you see particularly cost of fund of the Banks has gone up definitely , if I talk of my Bank cost of deposit, that is QoQ basis , it has gone up by 5 basis point and if you see my MCLR has also gone up by 5 basis point in the last

month . So, may be not we commensurate because whatever reply to that also it 40% is CASA so entire cost is not being built up while calculating MCLR.

Jai, Analyst

Right? Okay, sure Sir. And secondly Sir if and if you can bifurcate the loan book into MCLR and EBLR and T-bills and may be fixed rate book if you have that breakup any?

Shri Binod Kumar, MD & CEO

MCLR linked it is 56.68%, EBLR it is 36.97% , and fixed it is 4.74%.

Jai, Analyst

Okay sure. And Sir where do you put the gold loan, which we have? I think a decent amount gold loan. Is that also a part of out of this or this is included in floating or how does it work?

Shri Binod Kumar, MD & CEO

It is mixed , part of that in Agri MCLR and part of that in EBLR.

Jai, Analyst

Okay sure. Yes Sir. Sir on this gold loan if you can also quantify how much is the total gold loan at the Bank level ? how much is Agri gold and how much is retail gold?

Shri Binod Kumar, MD & CEO

Total gold we have Rs.90,000 crore out of which Agri is Rs.78,000 crore .

Jai, Analyst

Right , and Sir, any changes because of this RBI new final circular on gold loan? do you have to make changes to any of the gold loan product on Agri and non Agri side?

Page 12 of 20

Shri Binod Kumar, MD & CEO

So, yes, because of that there has been some declassification from agriculture to non agriculture and that impact has already been taken.

Jai, Analyst

Okay sure. Sir, I also wanted to check on standard assets provisioning. So, you mentioned that the Bank provides 10% straight away to SMA 2. Are there any other broad guidelines? So, we have Rs.500 crores of standard assets provisioning this quarter. If I just look at SMA 1 and SMA 2, I don't think at the, I mean one may be that explains the SMA 2. But is there any other formula or broad framework to provide for the standard assets provisioning?

Shri Binod Kumar, MD & CEO

So, Jai, I told wherever we see a stress somewhere building up we make provision in that segment, sector or account. So, some additional provision has been made in some of the sectors and some of the accounts.

Jai, Analyst

Right. And Sir if you have the number as to what is the outstanding non NPA provisions at the Bank level that may include you know restructuring provisions you have already given is there in the presentation. But what is the total stock of all. General and non NPA provisions. If you have that number.

Shri Binod Kumar, MD & CEO

So basically, you want to have ECL numbers. Presently, I don't have that number. We will share with you separately.

Jai, Analyst

Sure Sir. And lastly Sir, I think you mentioned,

or you hinted that you know you are doing very well in RAM, right? So, no doubt about that. 13% to 14% is a very decent growth. But corporate growth has been coming down only, right? I mean it has now come down to 4 % to 5% YoY. What is going to change in this quarter? I mean see we were growing at 10 % to 11%. Then we came down to 8 % to 9% and now last quarter corporate growth is around 5% only. What could change for you to just to grow this book without impacting margins too much? I was just thinking on those lines.

Shri Binod Kumar, MD & CEO

Corporate also. Otherwise, we are also growing at 8 % to 9%. So, you can take last quarter as an average.

Jai, Analyst

Okay? Okay. Sure. Thank you so much Sir. And all the very best.

Shri Binod Kumar, MD & CEO

Thank you.

Page 13 of 20

Anand Dama (Host – Emkay Global)

So, next question will take from Ashlesh.

Ashlesh , Analyst

Hi Sir. Good evening and congratulations on the new role.

Shri Binod Kumar, MD & CEO

Thank you, Ashlesh .

Ashlesh , Analyst

First set of questions is on the deposits front. If I heard you correctly, your guidance is 8% to 10% growth in FY25 on deposits. If I look at your YTD growth in the first nine months that is at about 1% . So, how do you plan to achieve that 8% to 10% guidance in the next quarter? Because that would imply a fairly sharp jump in your deposit acquisition.

Shri Binod Kumar, MD & CEO

Yeah, but if you see our YoY growth in deposit was 7.34% and as I told you, our growth in retail, retail term deposit is also at around 8% to 9%. So, we are quite hopeful and accretion in the last year also it would have been good accretion in the Q4 . Because if you are growing at 7.3% in the YoY basis, that means whatever accretion we have been able to make last year, we will also be able to make accretion in this quarter.

Ashlesh , Analyst

Got it. So, you do not include that.

Shri Binod Kumar, MD & CEO

10%.

Ashlesh , Analyst

Sorry.

Shri Binod Kumar, MD & CEO

Yeah, please. Go ahead.

Ashlesh , Analyst

So, you said more than 10% you will achieve.

Shri Binod Kumar, MD & CEO

Deposit ? No, 8% to 10%.

Ashlesh , Analyst

Okay. Sir . You don't include the infrastructure bonds in that guidance, right?

Page 14 of 20

Shri Binod Kumar, MD & CEO

No, no. Infrastructure Bonds are separate.

Ashlesh , Analyst

So, secondly, you indicated that you have shed some of your bulk deposits. If I heard the numbers right, you said it's gone down from some Rs.1.08 trillion to Rs.1.01 trillion in this quarter. Any specific reason why this shedding has been undertaken in this particular quarter itself? Why not earlier?

Shri Binod Kumar, MD & CEO

Not any specific reason. Because may be not getting at our desired rate. Whatever we are looking for. Not any specific reason otherwise or not opportunity to invest it at desired rate. And for the management of the fund, we have been able to raise Rs.10,000 crore of infrastructure bond. So that is also a money fund for me. Since we have raised also Rs.10,000 crores. So, because of that also we went a little slow on the bulk side.

Ashlesh , Analyst

Got it Sir. And just lastly on the AUC recovery that momentum has been extremely strong for us in this nine months. Any sense you have for the recovery outlook for the next year whether this can be along similar lines or down let's say 20% or down 40% from FY25.

Shri Binod Kumar, MD & CEO

AUC recovery , since last year it was Rs.3,000 crore . This year we have given guidance of Rs.2,000 crore. Let final number come in the march then we will give guidance for the next year.

Ashlesh , Analyst

Okay Sir. Perfect. Thanks a lot for your responses.

Shri Binod Kumar, MD & CEO

Thank you, Ashlesh .

Anand Dama (Host – Emkay Global)

Than

k y ou. Next question we take from Sushil .

Sushil , Analyst

Binod ji, Congratulation on your new role

Shri Binod Kumar, MD & CEO

Thank you.

Sushil , Analyst

And congratulations to team Indian Bank for a great set of result. Sir, everybody is asking a question on growth path. I have a little different question. Textile industry in southern India post Bangladesh is witnessing some positivity and you've been headquartered in Tamil Nadu in Chennai. The cluster

Page 15 of 20

of textiles is large , auto ancillary is very large performing sector for India, and they again based in South. Are we seeing accelerated traction specifically in these two sectors from our RAM or large corporate . In the credit, which we are sanctioning or likely to sanction.

Shri Binod Kumar, MD & CEO

I mean , we have not seen as you are saying, any good demand improvement. But we expect that going forward there should be some demand from the textile sector. Because if you see the textile sector is struggling since last two years and gradually things are improving. So, textile sector may see some good demand in coming quarter or going ahead.

Sushil , Analyst

So, unavailed credit is mean the credit pipeline, which is already sanctioned, the availment is not fully utilized. You mean in these two segments of the Bank, or you would say they are quite utilized well?

Shri Binod Kumar, MD & CEO

No, unutilized portion are there.

Sushil , Analyst

So, what would be unutilized credit in the Bank today? If I ask from a credit growth perspective.

Shri Binod Kumar, MD & CEO

Unutilized limits. We have sanction limit of unutilized limit of Rs.17,928 crore unavailed portion.

Sushil , Analyst

Sir, any visibility on infrastructure which Apple cluster, large data centers, many other warehousing, and multiple large projects whether led by PE or large conglomerates are coming in Tamil Nadu, Karnataka, and southern belt in similar proportion to western zone. And the visibility is very high on those projects. Is any credible visibility at your end these companies are talking to you likely to emerge in this quarter or the next quarter?

Shri Binod Kumar, MD & CEO

So not any specific sector wise I cannot give you. But we have a good pipeline wherein we have given say sanction of in partially disbursed book is Rs.10,851 crores , where we see there will be disbursement then we have sanction of Rs.8,000 crore. Where we have sanctions, but disbursement is yet to start. There are some cases where still some negotiations are going on that is around Rs.5,000 crore w e have given sanction but some amendment in terms and conditions may be required. So, these are the thing.

Sushil , Analyst

Sir, Management team had taken lot of initiative where digital spend is concerned. State government businesses are concerned not only within state of Chennai but in various geographies like boards, municipalities, collection which would attract CASA and many other things a nd lot of digital spend was initiated in last two years. Any further improvement outlook coming from these businesses, or the digital spend, which Mr. Bajaj may answer if possible.

Page 16 of 20

Shri Mahesh Kumar Bajaj, Executive Director

Yeah. See , again our last few quarters of our digital spend on the if we talk about the NINS it is close to 25% and OpEx it is 9 % to 10% and in even the further committed figures are also close to 9 % to

10% of our OpEx it will remain and same way on the capital expenditure also on the IT will remain the next two to three years. Already we have committed for so many projects. And on the Government fintech partnership already we have done good amount of the tie ups or close to 100 projects completed and 65 to 70 projects are already in pipeline. So those for those also we have already the line of fintech pa

rtnerships and those projects also will keep doing.

Sushil , Analyst

So, this Fintech partnership can contribute how much to our growth in terms of retail or MSME loans.

Shri Mahesh Kumar Bajaj, Executive Director

No, it is not basically this fintech partnership. Basically, it is for government department. Basically, it gives us the collection. So , this government and Fintech department when we started almost three years back, we have got close to Rs.15,000 crore to Rs.20,000 crore of the present balance in those accounts.

Shri Binod Kumar, MD & CEO

Thank you, Sir.

Anand Dama (Host – Emkay Global)

Next question we'll take from Aslesh.

Ashlesh , Analyst

Sorry I'm done. No more questions from my side, thanks.

Anand Dama (Host – Emkay Global)

Next question we take from Rakesh.

Rakesh , Analyst

Yeah. Hi Sir. Thanks for the opportunity. Again, just one small question Sir. So, we have a total PSL you know approximately 1.9 trillion . So, what is the re -financeable, borrowing that we can get against that because that would greatly save on the borrowing cost as well as it will help on the LDR front also. So, if you can help us understand that.

Shri Binod Kumar, MD & CEO

So re -financeable PSL you are talking of.

Rakesh , Analyst

Yes Sir. Out of 1.9 trillion number, which is the completely in house generated book of PSL.

Page 17 of 20

Shri Binod Kumar, MD & CEO

So, refinance out of that. See it's , I will reply it like this 1.9 trillion is the book. So, part of that will be refinanced, part of that will be repaid but our growth will continue. So , PSLCs whatever e arning we are having through PSL. We will continue to have that income through the PSL in the coming quarter also.

Rakesh , Analyst

No Sir, sorry, I was referring to something else. So PSL income is coming and that is doing quite good to our fee income.

Shri Binod Kumar, MD & CEO

Yeah, yeah.

Rakesh , Analyst

But what I was referring is that in the borrowing number Sir. So, for the refinance borrowing, you know how much more that we can get and what would be the upper limit of that refinance we can avail against?

Shri Binod Kumar, MD & CEO

Refinance borrowing okay. We will give you Rakesh separately.

Rakesh , Analyst

Sure Sir. Thank you, Sir. Thank you so much Sir.

Anand Dama (Host – Emkay Global)

Next question we take from Dixit.

Dixit , Analyst

Yeah, one is just one clarification , you mentioned that SMA number has come down to below Rs.3,000 crore so you are talking about SMA 2 only, right?

Shri Binod Kumar, MD & CEO

So, all SMA. I was talking.

Dixit , Analyst

Okay. So, this Rs.7,700 crore has come down below Rs.3,000 crore.

Shri Brajesh Kumar Singh , Executive Director

It has come down to Rs.2,543 crore only which was Rs.7,677 crore all together RAM and plus corporate.

Page 18 of 20

Dixit , Analyst

Okay. And my second question was any particular reason for not continuing the co -lending business?

Shri Binod Kumar, MD & CEO

Co-lending , see, we are waiting for. We are in the process of having some complete end-to-end co -lending solution . Till that time , because subsequently there are many issues crop up regarding towards reconciliation. So, because of that we are waiting till we have a complete end to end solution for the co -lending only then we will go for co -lending.

Dixit , Analyst

Okay . how much would be our MFI book?

Shri Binod Kumar, MD & CEO

MFI Rs.1,244 crore only.

Dixit, Analyst

And how it is SMA ?

Shri Binod Kumar, MD & CEO

There is no SMA . NIL SMA in that.

Dixit , Analyst

Okay. Okay. That's it from my side.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thanks Dixit. Sushil ji, you can ask your question.

Sushil , Analyst

Sir. Your outlook on your international book and treasury. Seeing the yields which are there. Are we being conservative in our guidance or?

Shri Binod Kumar, MD & CEO

See, our overseas book is growing at a decent 7 % to 10% we will continue that growth rate Y oY and QoQ also . On treasury book , yes, we will see some moderation in the yield. So basically, some income should come from there. Guidance exact number may not be , I mean , I may not be in a position to give you the exact number, but we expect some good income from the treasury in Q4.

Page 19 of 20
Sushil , Analyst

Sir, previously Mr. Bajaj, did answer my digital taps and expenditure question but do we have some kind of a budget, which we have planned over a period of two years after you have joined the Bank that we would like to spend on digitization, and digital expenditure of the Bank, which is like a CapEx.

Shri Binod Kumar, MD & CEO

Presently , you know Bank is spending around Rs.1,200 crore annually on the digital front and we will continue. One thing I can assure you exact amount that will depend on the requirement also what strategy we adopt going -forward. But this type of spending will keep on happening for say another two, three years at least because there are many projects in the pipeline. Many initiatives have already been taken. So, we will mature that.

Sushil , Analyst

Sir, we had created a subsidiary for a lot of backend work to be done and I think RBI had granted approval and many Banks like SBI Bank, Bank of Baroda have been effective in doing lot of kisan related products or cross selling or back -end processing , where retail was concerned. Where do we stand today and how is the shape taking up place where Indian Bank is concerned on that.

Shri Binod Kumar, MD & CEO

So IGSSL has been only recently established, and in this quarter, we have been able to garner business of Rs.1,765 crore in this year itself and we have a good plan for that because see we want that to be our marketing arm so , we will focus on retail product also. We will focus on housing loan we will focus on vehicle loan, and collection also. We will use them for collection also. So going forward we have lot of expectation from and lot of plans for our subsidiary.

Anand Dama (Host – Emkay Global)

In the interest of time, we will take that as a last question. Sir if you have any closing remarks to make before we end the call.

Shri Binod Kumar, MD & CEO

Bank is doing good . Numbers you have already seen , we will maintain the same philosophy of steady growth and good asset quality and efficiency parameters like return on asset or provision coverage ratio. So, these things will continue and we will focus on MSME also and if you see the last two years, as Mr. Bajaj told you, we have made lot of investment on digital front but the benefit of that is yet to come. So digital adoption in RAM sector it is good. But on liability product also digital adoption we will like to increase. We are also coming out with the next gen call centre . We will be going for CRM solution. We are also in the process of procuring employee assist wherein if employee have some query, he can simply put his query and he can get the reply. So, that will help bridge the knowledge gap of the employee . So, these are the few initiatives we will be taking and MSME will also be our focus area.

Anand Dama (Host – Emkay Global)

And with that we will end the call. Have a good day.

Page 20 of 20

Shri Binod Kumar, MD & CEO

Thank you everyone.

Shri Mahesh Kumar Bajaj, Executive Director

Thank you.

Anand Dama (Host – Emkay Global)

Thank you.

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The Vice President
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra - Kurla Complex
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Dear Sir / Madam,

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of our L etter No. ISC/25/2025-26 dated 29.04.2025 and Letter No. ISC/ 38/2025-26 dated 03.05.2025 regarding Analysts / Investors Concall / Meet, we are enclosing a copy of Transcript of said post Earnings Concall / Meet held by the Bank on 03.05.2025 on the Financial Results of the Bank for the Fourth Quarter and Financial Year ended on 31st March 2025.

<https://www.indianbank.in/departments/audio-video-recording-concall-transcripts/>

Yours faithfully,

For Indian Bank

Chief Manager - ISC

Encl : A/a

Transcript

Management:

Shri Binod Kumar
MD & CEO

Shri Mahesh Kumar Bajaj
Executive Director

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Shri Brajesh Kumar Singh
Executive Director

Moderator:

Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd.

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Page 1 of 15 Anand Dama (Host – Emkay Global)

Hello, everyone. I welcome you all to Indian Bank's post results conference call for fourth quarter of Financial Year 2025, hosted by Emkay Global Financial Services.

From the top management, we have with us Shri Binod Kumar, MD & CEO, Shri Mahesh Kumar Bajaj, Executive Director, Shri Ashutosh Choudhury, Executive Director, Shri Shiv Bajrang Singh, Executive Director and Shri Brajesh Kumar Singh, Executive Director

I request the MD Sir, first to briefly summarize the key highlights from fourth quarter FY'25 results, and also provide us some strategic direction on growth, margins and asset quality, post which we will have the Q&A session. Over to you, MD Sir.

Shri Binod Kumar, MD & CEO

Thank you, Anand. And good evening to all friends from investors community, my colleagues on the Board and all the Executive Directors.

First of all, I will say the results have been good, for Q4 FY'25 and full year FY '25. We have crossed figure of Rs.13 lakh crore for the first time. We have also crossed Rs.10,000 crores annual PAT for the first time - to be precise it is Rs.10,918 crores. Our SMA book including (SMA 0 + SMA 1 + SMA 2) , which was 15.59% at the end of the Mar'24, has come down to 8.06% as of Mar '25. Having said that, total business reached Rs.13.25 trillion, QoQ growth has been good. Annually we have added around Rs.1.3 to Rs.1.4 trillion, out of that Q4 of FY'25 was approximately around Rs.60,000 crore. Overall deposit reached Rs.7.37 trillion, with a QoQ growth of 4.97% and YoY growth of 7.14%. Current account balances reached Rs.40,000 crore, with QoQ growth at 11.33% and YoY growth was subdued and almost flat at 1.63%. Similarly in savings account , we reached Rs.2.43 trillion with QoQ growth of 4.15% and YoY growth it is flat at 0.84%. We have been able to maintain CASA ratio (domestic) at 40.17% and one good thing in retail TD (less than Rs.3 crore), we have been able to reach Rs.2.79 trillion with a YoY growth of 10%.

Similarly in advances, we have achieved Rs.5.88 trillion with QoQ growth of 5.18% and YoY growth of 10.19%. RAM sector, we reached Rs.3.51 trillion with QoQ growth of 4.82% and YoY growth of 13.22%. Retail, we reached Rs.1.19 trillion with QoQ growth of 3.60% and YoY growth of 13.71%. Agri, we reached Rs.1.38 trillion with QoQ growth of 6% and YoY growth of 13.68%.

MSME book growth , used to be in the range of 5% to 6%. This year, we have been able to achieve growth of approximately 12% in the MSME. RAM share is flat around at 64.23%. Net profit for the quarter is Rs.2,956 crore, and for whole financial year, it is Rs.10,918 crore with YoY growth of 35.41%.

Operating profit for the quarter is at Rs.5,019 crore with QoQ growth of 5.67% and annual operating profit is Rs.18,998 crore with YoY growth of 12.82%. NII for QoQ has come down marginally because of the impact of two repo cuts. However, NII for YoY has grown by

8.17%. Similarly, we have seen good growth in other income, with QoQ growth of 27.46% and YoY growth of 17.25% .

Return on assets slightly came down from 1.39% to 1.37%. However, on YoY basis it has grown by 25 basis points from 1.07% to 1.32%. Return on equity for Q4 is almost flat at 21.01% sequentially and for full year, it is 20.76%. Cost -to-income ratio is flat at around 45%, Dec'24 (Q3) it was 44.56% and for the for full year FY'25 it is 44.77% , which is also Page 2 of 15 almost flat. Provision coverage ratio improved by 1 basis point sequentially , from 98.09% it now stands at 98.10%. Credit cost for QoQ basis has gone up from 0.47% to 0.81% and on YoY basis it has come down from 0.77% to 0.66%.

Credit cost has gone up because we had some MOC and slippages also, but the major impact is because of the one account in NFB. We made a provision in NFB, to be on a conservative side. Gross NPA has sequentially come

down from 3.26% to 3.09% and net

NPA also has come down from 0.21% to 0.19%. Slippage ratio was increased for QoQ basis from 0.78% to 1.09%, as I told you on account of some MOC, but on YoY basis it has come down from 1.49% to 1.11%.

Absolute slippage for Q4 FY'25 was Rs.1,393 crore and it was Rs.1,004 crores in Q3 FY'25 . This slight increase is because of some MOC , where branches were under audit. SMA book has come down significantly from Rs.79,931 crore as on Mar'24 to Rs.45,923 crore as on Mar'25 . And SMA 2 book (more than Rs.5 crore) is only Rs.659 crore and there is only one account of Rs.160 crore in SMA 2 book (more than Rs.25 crore), and we have made 100% provision there . We have been able to open around 55 lakh savings fund account and around 1.58 lakh current account during the financial year. I am happy to share that our average balance in new account, which was Rs.21,000 in Q4 FY'24 has gone up to Rs.30,000 in this Q4 FY'25 .

If I talk of the guidance for the FY 2025 -26, we are giving guidance for deposit of 8-10% and advances of 10-12%. We are giving guidance to maintain CASA around 40%. We would like to maintain LDR around 80% range . Gross NPA , we are giving guidance to maintain less than 3% and we'll maintain the current levels of net NPA, because we have already reached 0.19% . Further, we are giving recovery guidance of Rs.5,500 crores to Rs.6,500 crores. We will have some moderation on yield on advances and NIMs because of rate cuts . Since inflation is within comfortable range, we see there may be some more rate cuts, so we are giving a revised NIM guidance in the range of 3.15% to 3.30%. Although we have achieved RoA of 1.32% , but because of the increased asset or some moderation in the profitability , we are giving RoA guidance in the range of 1.20%.

We will be able to maintain cost-to-income ratio around 45%. Credit cost, I am giving guidance of less than 1%, slippage also we are giving guidance of less than 1%. One good thing I would like to share that recovery is continuously more than the slippage since FY22 -23, this year also recovery was Rs.7,651 crores and slippage was Rs.5,683 crores. And I am happy to share that we have been able to achieve this amount of recovery despite very subdued recovery contribution of NCLT and NARCL. If I give you further bifurcation, out of this Rs.7,651 crore, recovery in less than Rs.1 crore is Rs.6,730 crore *, so basically contributed by smaller accounts.

*In line with errata filed with Stock Exchanges on 03.05.2025 the figure of total recovery less than 1 crore may be read as Rs.3,396 crore instead of Rs.6,730 crore.

If I talk of the capital, we are well capitalized at 17.94%, out of which CET-1 is 15.36%. My colleague shri Bajaj ji will explain about digital business, but before that I would like to add a few things. Digital adoption is our focus area, we have made so many investments during the last two to three years, benefit of that is yet to come, so our focus will be on digital adoption using customer base of the mobile banking and internet banking. Regarding HRM related, Bank has already initiated capacity building for leadership development programs like Rising Star and this is for top management group, like AGM and above.

Page 3 of 15 We are also making efforts to provide capacity building for the middle management in a specific area like credit and forex. We are planning to provide an intensive training for six months, 17 weeks. We have already started a program in credit and similar program will be also initiated for the forex . Customer service will be the focus area. In order to increase business sourcing, we may increase the number of resource acquisition center (RAC) from 100 to 121.

Further we will also increase the resource and government relationship (R&GR) centers from 18 currently to 21. We also use our subsidiary IG

SS for garnering business in all segments, like current account, MSME, retail.

Now, I request my colleague Mr. Mahesh Bajaj to explain about the initiative taken in the digital side during the year.

Shri Mahesh Kumar Bajaj, Executive Director

Thank you, Sir. Good evening, everyone. The digital migration continues this financial year, if we take the entire year FY'25, the digital transaction has gone up from 87% to 92%. If we take only this quarter, it has gone up from 89% to 93%. So presently, March '25 quarter, the digital transactions are 93%. Even on the UPI side, which used to be 1.56 crore per day transaction in March '24, now it is 2.67 crore per day.

In mobile banking, 55 lakh transaction per month has gone up and our customer base has gone up by 16%, from 1.67 crore to 1.94 crore. Same way, transactions also have gone up by 3%. On UPI, our customer base has gone up from 1.75 crore to 2.18 crore, which is growth of 25%. Same way, the transactions also, remittance plus beneficiary has gone up by 51%. It used to be 570 crore per year, and now it is 862 crore.

Internet banking also, our customer base has gone up from 1.06 crore to 1.15 crore, which is 8% plus. Same way, on the credit card user also, from 2 lakh to 2.78 lakhs. Same way, the PoS transaction also, from 1.14 crore to 1.28 crore, which is a growth of 13%. We have added another 43 digital journeys, so the total is now 121 journeys. We did business of Rs.1,67,390 crore, and last year it was Rs.81,000 crore, which is a YoY growth of 106%. As far as the adoption is concerned, the MSME business is 83%, retail 85%, agriculture 95%. And even the liability side, the deposit, which used to be Rs.10,759 crore last year, it has gone up by 174% this year, which is close to Rs.29,439 crore.

Total overall business, through digital, it is Rs.2,54,000 crore. When we started our digital journey in Apr -22, with the first launch of PAPL, we did business of Rs.5,640 crore, and then March '24, it was Rs.81,250 crore, and March '25, it is Rs.1,67,000 crore. We are projecting Rs.2,25,000 crore for the financial year 2026. As far as the digital migration is concerned, the number of accounts has gone up by 133%, where 1.2 crore accounts were opened under a digital platform.

The digital liability business has grown by 3x YoY. Similarly, digital home loans have grown by 3x YoY. Digital vehicle loans have grown by 4x YoY, while digital Agri loans have grown by 2x, which is Rs.42,064 crore. In the digital MSME segment, adoption has increased significantly, with 2x growth, which is Rs.7,355 crore. We've also intensified our focus on digital retail jewel loans, where the growth was 6x, and the same was digital SHG loans, where the growth was 5x, with disbursement of 2,244 digital SHG loans.

Last year, we launched 43 digital journeys, and this year, we are proposing to launch another 37 journeys. With that, probably we'll be covering each and every product of the liability as well as asset side.

Page 4 of 15 Our app, IndSMART, which was launched in Jun -24, an omnichannel app, has 280 functionalities, and another 30-plus feature will be added during the current financial year.

Apart from that, we already have 77 lakh customers onboarded on this new app. We launched the Corporate Mobile banking on the omnichannel platform recently in Mar -25 and 2,200 customers have been onboarded already.

As far as the Fintech partnership is concerned, we used to have more than 130 partners last year, and now we have 167 Fintech partners. We provide all the Fintech solution to the institution and the government department, maybe the SNA or the CESS collection or the municipal corporation taxes, FASTag, e-Rupi, CBDC, hospital solution, coaching, college fee collection, and mobile app for the apartment society, for the business on the CASA side. I'd like to inform the analysts that we're set to launch a new gen call center soon.

Bank's

IndSMART business app specifically is designed for our MSME customers. Cash Management Services (CMS) is again our ongoing project. The RBI's innovation Hub, the Unified Lending Interface (ULI), now integrates multiple APIs —through which we've facilitated business of nearly Rs.5,000 crore, by using the API by RBIH. For our relationship managers and the Resource Acquisition Centers mentioned by our MD Sir, we've already provided them with the In dConnect app to enhance their effectiveness. On the capacity-building front, as highlighted by our MD Sir, we're addressing the knowledge gaps by incorporating generative AI. We've already launched an internal app for employees within a CUG (Closed User Group), and we plan to roll it out more broadly this June '25.

We have already onboarded a new vendor to implement a next-generation CRM solution. On the data analytics front, we've developed new models hosted on a SaaS platform. Our cloud migration is largely complete, and for all new applications, we're deploying them on a private cloud infrastructure. We're also transitioning from a monolithic platform to a microservices-based approach. Additionally, we're exploring several use cases leveraging generative AI. Notably, we are collaborating with the RBI Innovation Hub on an automated grievance redressal system. We're also deploying chatbot solutions to enhance various service touchpoints.

We are planning to launch our own UPI app, in addition to our existing mobile banking app. On the data front, we've initiated the process for a new data lake, where the RFP was already floated. While the journey in corporate credit digitization has been challenging, we're now

nearing completion on several digital models in that space. Further, we are actively exploring use cases leveraging Agentic AI . We expect to have some of these use cases ready by the end of this year.

Thank you so much.

Questions And Answers

Anand Dama (Host – Emkay Global)

Thank you, Sir. We will now open up the floor for Q&A session. Anybody who wishes to ask a question can please use the raise hand option . I request the participants to limit their questions to two per participant, and for further questions, you can fall back into the queue.

Before we assemble the question queue, Sir, my first question is that there is an account where the Supreme Court judgment has come, which is very adverse judgment. Number one, what is the exposure that the Bank has to that account? And whether the Bank would have to refund back that money to the bidder. Whether there is that kind of a covenant in the Page 5 of 15 agreement? And secondly, what could be the impact of this kind of judgment on the other resolutions which are there in the pipeline?

Shri Binod Kumar, MD & CEO

We have received a copy of the judgment very recently. And of course, it is a landmark judgment and how it will impact, only time will tell. But one thing I can tell you, if at all, we have to reverse, I think it will be good for the Bank, because if you see, we have got our resolution at 40%, that means 60% haircut was there. Now that the asset is up and running , the enterprise value must have gone up. So, if at all, it happens , of course there will be some legal battle, but my personal view is that it should be positive net-to-net. But let us see, how it goes, they may also go for appeal, etc. and so let us wait and watch.

Anand Dama (Host – Emkay Global)

Got it. And any impact that you see on the other resolutions also. Any other resolutions where this kind of judgment actually could come through? Do you expect that?

Shri Binod Kumar, MD & CEO

I think psychologically there may be some impact for resolution applicants, because it has come after substantial gap of three to four years . So, psychologically , yes, th

ere may be

some impact. But at the same time, if you see, the asset they are getting at the haircut , so that factor is also there.

Anand Dama (Host – Emkay Global)

Certainly, Sir. And Sir, is it possible for you to share what kind of consideration that we had received at that point of time?

Shri Binod Kumar, MD & CEO

40%. Our outstanding was Rs.2,600 crores and we got around Rs.1,200 -1,250 crores .

Anand Dama (Host – Emkay Global)

Okay. So that is amount which we need to reverse earlier first and then basically after that as and when the new bids com es, we can again book higher gain.

Shri Binod Kumar, MD & CEO

Yes, provided they don't prefer appeal. If they go for appeal, then I mean immediate reversal may not be required.

Anand Dama (Host – Emkay Global)

Okay. Got it, Sir. So, any participant if you have a question, you can please use the raise hand option and ask your question. Sameer , you can unmute yourself and ask your question.

Sameer Bhise, Analyst

Hi. Thank you for the opportunity. Sir, my question is more on growth. We have seen systemic growth coming down, how does one look at growth for next year for the Bank? And secondly, if you could comment on the slippages as well as credit cost outlook. I'm not sure if you had already guided, I missed earlier part of your commentary. Thank you.

Page 6 of 15 Shri Binod Kumar, MD & CEO

So, we have given very conservative deposit growth guidance of 8% to 10%, advance 10% to 12%, and we believe we will achieve this, because if you see our last quarter (Q3 FY'25) growth it has been good in almost all the parameters. Total business grew by 5%, deposit also grew by almost 5%, advance also grew by 5% in Q4 FY'25 . That's why we are giving guidance in the range of 8% to 10% and 10% to 12%.

We could have achieved this deposit growth even in this year, but we have taken a conscious call because we raised some fund from other sources at competitive rate, like infrastructure bond and other refinancing options . So, credit demand was met by these sources, that's why we did not go for the deposit growth, because wholesale deposit, we ended at flat Rs.1.04 lakh crore to Rs.1.06 lakh crore, so almost flat. We didn't go for the wholesale deposit.

Similarly, advance s, we said it's somewhere around Rs.10,000 to Rs.12,000 crores of the low-yielding advances, so because of that we just missed that, and we will be able to achieve that.

Credit cost, I'm giving guidance of less than 1%. It was 0.66% for the full year FY'25, but we are giving guidance of less than 1% for FY '26, and I'm confident that we will achieve this. For FY'25 the slippage ratio was 1.11% and for Q4 FY'25 it was 1.09%, and I'm giving guidance of less than 1% slippages, and I'm pretty confident we will achieve this.

Sameer Bhise, Analyst

Okay, Sir. Thank you. Just finally on recoveries, any meaningful accounts which are still pending or some chunky recoveries that you look at for FY '26?

Shri Binod Kumar, MD & CEO

See, if you see the recovery even for this year, recovery through NCLT was only Rs.486 crore, and through NARCL it was Rs.621 crore against Rs.1,400 crore for FY '24. So even without the support of these channels, we have been able to achieve the guidance of Rs.7,651 crore. And as I told you, recovery in the lower segment (less than Rs.1 crore) was high - Rs.6,730 crore *. So, our reliance on the smaller accounts is more for the recovery.

*In line with errata filed with Stock Exchanges on 03.05.2025 the figure of total recovery less than 1 crore may be read as Rs.3,396 crore instead of Rs.6,730 crore.

Sameer Bhise, Analyst

Sorry to interrupt, but the question is more pertaining to the fact that over last couple of years, recovery has also been led by the strong economic environment that we've had. Given the

moderation that we are seeing over the last 12 months and probably likely to persist in FY '26 also, what will drive recovery? That is where I was coming from.

Shri Binod Kumar, MD & CEO

We don't have much reliance on big accounts for recoveries. Most of our focus is on smaller accounts, using various channels such as OTAs, OTS, SARFAESI, and Lok Adalat. In the case of auctions under SARFAESI, without taking physical possession of the property, the chances of successful resolution are quite low.

So, we are making a conscious effort to obtain physical possession, and we are monitoring the CMM application account-wise to ensure that it has been lodged or not and what is the Page 7 of 15 status of the physical possession. Because if we have physical possession, our recovery number will go up, we will be able to sell the property also. So, through these modes I am confident that of achieving the guidance of Rs.5,500 crores to Rs.6,500 crores we have given.

Sameer Bhise, Analyst

Okay, Sir. Thank you so much and all the best.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thank you, Sameer. Next, we will have a question from Mohit Jain. Mohit, please unmute yourself.

Mohit Jain, Analyst

Hi. Good evening, Sir. Sir, my question is on the SMA. Last time when we had the investor call, after the results, you said our SMA exposure has come down to Rs.3,000 crores from Rs.7,500 crores that we reported in Q3. From that context, if I am seeing right now, it is back to Rs.5,000 crores. Any comments you want to make on this, Sir?

Shri Binod Kumar, MD & CEO

Two big accounts are there. They have come in SMA 1.

Shri Brajesh Kumar Singh, Executive Director

Government guaranteed accounts.

Shri Binod Kumar, MD & CEO

Because of that only.

Mohit Jain, Analyst

Yes. And Sir, what is the status as on date? Is it still in SMA 1 or has it moved to SMA 2, how do we look at that?

Shri Binod Kumar, MD & CEO

No, no. It is in SMA 1. But we don't expect that amount will slip to NPA.

Mohit Jain, Analyst

Okay. And Sir, one follow-up on the loan guidance. This year you are guiding for 10% to 12%. Last year, the guidance was 11% to 13%. And in Q3 call, I think we specifically discussed, whether we can achieve the guidance. You were positive, but we somehow ended missing on this guidance. So, what did we understand is that obviously, we did some shedding of the low-yielding advances. Apart from that Sir, what was the possible reason due to which we missed the guidance and how optimistic and strong you are about achieving the guidance for the current year of 10% to 12% that you are giving, Sir?

Page 8 of 15 Shri Binod Kumar, MD & CEO

Mohit, if you look at our performance last quarter, we recorded approximately 5% growth. We made efforts to recover the earlier shortfall but narrowly missed our target. We ended the year with around 10% growth versus the guidance of 11% —a shortfall of just Rs.5,000 crore. I did have opportunities worth Rs.5,000 -6,000 crore, but due to intense pricing competition, we chose not to pursue them. That was the key reason for the slight miss. However, I'm confident that we will achieve the 10% to 12% growth guidance this time.

Mohit Jain, Analyst

Sir, if you can also guide us, what kind of a growth you are expecting in the corporate segment, because I think that is a place where, generally we are seeing across the Banks, the growth is pretty low. So, in the 10% to 12%, if you can just provide some sort of a color, as to how much growth are we expecting in the corporate sector, Sir?

Shri Binod Kumar, MD & CEO

Corporate, we have kept a target of around 9% growth.

Mohit Jain, Analyst

Okay, Sir. Thank you, Sir.

Anand Dama (Host – Emkay Global)

Thank you, Mohit. Next question we

'll take from Sushil ji. Sushil, please unmute yourself.

Sushil Choksey, Analyst

Congratulations to Indian Bank team for doing an excellent job and for a stable result. Sir, my first question is, what is your outlook on treasury with falling interest rate scenario and low inflation and the interest outlook on your global international division too? And if treasury gains are high, how are you going to reposition in the market where treasury operations are concerned?

Shri Binod Kumar, MD & CEO

Thank you, Sushil ji. So already we have seen two rate cuts and inflation number is within the comfortable range of RBI, that is less than 4%. So, I expect, and hopefully this trend of inflation will continue. So, we are expecting further rate cuts going forward, maybe two to three.

Coming to the treasury gain, we will book profit as per requirement only. Interest rate also so far has started coming down. So, there will be some impact on overseas book on the NIM side. That's why, if you see, I have revised my NIM guidance in the range of 3.15% to 3.30%.

Sushil Choksey, Analyst

Sir, keeping in mind that CASA can be a big challenge for many Banks, but for a Bank which has all products available, raising your CASA number by 10% from current levels should not be difficult because of digitization, maybe cross -sell and various other initiatives. Is it possible that we improve our CASA number to improve our margin?

Page 9 of 15 Shri Binod Kumar, MD & CEO

Raising the CASA ratio from the current 40% level will be quite challenging. The only realistic possibility I foresee is towards the end of the year, and even that would depend on multiple substantial rate cuts —perhaps two or three —which would narrow the gap between savings/current account rates and term deposit rates. And there are not many alternate opportunities in the market, otherwise increasing CASA share will be very challenging, that's why I'm giving CASA guidance of around 40%. Government is also very conscious of their cost, so they are coming out to release the funds at the time of need only following just-in-time (JIT) approach.

Sushil Choksey, Analyst

So, what is your expected budget for digital footprint and digitization, new initiatives?

Shri Binod Kumar, MD & CEO

We have digital business of around Rs.2.67 lakh crore s. We are expecting to increase it up to Rs.4 lakh crore during the year.

Sushil Choksey, Analyst

Sir, my question was, we've been spending annually Rs.1,000 crores to Rs.1,500 crores, and if I recollect two years back, we had a Rs.4,000 crore budget on digital roadmap for the entire Bank. What is the current year budget on digital spend, in new products, initiative, digitization and various other things?

Shri Binod Kumar, MD & CEO

Our annual expenditure on digital and IT is in the range of Rs.1,200 crore to Rs.1,300 crore. So, we are maintaining, similar budget of Rs.1,300 crores to Rs.1,400 crores per year going forward.

Sushil Choksey, Analyst

Sir, any idea, how are we expanding our cross -sell business?

Shri Binod Kumar, MD & CEO

We have Resource Acquisition Centers (RAC), while R&GR is dedicated exclusively for government business. The RACs are responsible for cross -selling, and we are expanding our cross -sell footprint through our subsidiary, IGSS

Sushil Choksey, Analyst

Thank you for answering all my questions, and best wishes for the year to come.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thank you, Sushil ji. Next question we'll take from Dixit Doshi, Dixit, please unmute yourself.

Page 10 of 15 Dixit Doshi, Analyst

Thanks for the opportunity. Firstly, you have guided for 1.2% kind of ROA, so don't you think that the impact on the NIM will be offset by the treasury gain next year to some extent?

So,

what was the thought process behind reducing the ROA target from the current level?

Shri Binod Kumar, MD & CEO

No, see, absolute profit will not come down, that I can assure you. But since assets will grow, so there will be impact on the ROA. Coming to the treasury gain, some of the treasury gain will be offset by the requirement under AS15 also. If interest rate goes down, our requirement under AS15 will go up, so part of that will be compensated there also. And as I had mentioned earlier about treasury gain, we will book as per our requirement only, we are not going for selling all, because see, this is not the only year when rate cut will be there. There will be other opportunities, so we will be very mindful of booking profit.

Dixit Doshi, Analyst

Okay. And second question is, so our CAR is very healthy, above 17% and with 10% to 12% kind of growth we are targeting. Is it fair to assume that this Rs.5,000 crore of fundraising is just an enabling resolution?

Shri Binod Kumar, MD & CEO

You can say so, because last year also this approval was there, but we didn't require. And this year also, if you see, it is very healthy at 17.94% and CET at 15.36%. So, may not be required, but we have kept enabling clause because there is call option of around Rs.4,000 crore of the bond. If you look at it, there's potential to reduce costs or raise equity —provided we get a good return at a competitive rate. That's why we've kept it as an enabling provision, so that we can capitalize on any such opportunity if it arises.

Dixit Doshi, Analyst

Okay. That's it from my side. Thank you.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thank you . We will take next question from Ashok Ajmera ji. Ashok ji, please unmute yourself.

Ashok Ajmera, Analyst

Good evening. Thanks for giving this opportunity. And sorry for having joined little late. So, Sir compliments to you Sir for good set of numbers.

Shri Binod Kumar, MD & CEO

Thank you Ajmera ji.

Page 11 of 15 Ashok Ajmera, Analyst

Sir, I have missed some of the questions and your answers also. So, maybe sometime at the cost of repetition , if you may permit me. I would like to know little on the recovery side that what are the prospects in FY'26 for the recovery, recovery from the written -off accounts and the overall recovery?

Secondly, with the RBI now permitting valuation of SRs issued by NARCL —unlike earlier when they were either assigned a nominal value of Rs.1 or fully provided for —what was the impact on the books as of March 2025, and what are the prospects for FY '26 going forward?

Shri Binod Kumar, MD & CEO

Thank you, Ajmera ji. We have been able to achieve a recovery of Rs.7,651 crore in FY'25 . Out of this, recovery from smaller account (less than Rs.1 crore) is Rs.6,730 crore *. We are giving guidance of recovery in the range of Rs.5,500 crore to Rs.6,500 crore for the next financial year. And we are maintaining the guidance of Rs.2,000 crore for AUC . Last year also we have given guidance of Rs.2,000 crore, but we could achieve Rs.3,290 crore. But we are giving

guidance of Rs.2,000 crore in the AUC book.

*In line with errata filed with Stock Exchanges on 03.05.2025 the figure of total recovery less than 1 crore may be read as Rs.3,396 crore instead of Rs.6,730 crore.

Coming to the SR. We went with the conservative approach and we have not gone for the restoration or release of the provision in this financial year. Going forward, we will see, if the need arises, we will do it, otherwise we may not opt for that. We will continue with the same approach.

Ashok Ajmera, Analyst

Okay, Sir. Taking it little forward, what is our total write-off book, and when you say Rs.2,000 crore, what percentage of it comes, Rs.2

,500 crore or Rs.3,000 crore, whatever, which you expect.

Shri Binod Kumar, MD & CEO

Okay. Yes. See, my written-off book is around Rs.41,000 crore. So approximately 5% of that.

Ashok Ajmera, Analyst

I think it's a very conservative estimate.

Shri Binod Kumar, MD & CEO

Last year also we have given guidance of Rs.2,000, but we could have overachieved that, let us see.

Ashok Ajmera, Analyst

Yes. And Sir, what about the loan book composition? Retail is going to remain same or you would start looking for some opportunity? And what about corporate sector?

Shri Binod Kumar, MD & CEO

See, endeavor will be to maintain the same, around 65:35, but we are already looking for the opportunity and wherever we are getting good opportunity, we are according sanctions also.

Page 12 of 15 And recently, in Q4, we have been able to accord sanction of around Rs.38,000 crores. So, we are already looking for, but endeavor will be to maintain this ratio, 65 :35.

Ashok Ajmera, Analyst

So, Sir, my next question was on the treasury front only, that now going forward with all these changes taking place and even the valuation norms have been changed by RBI for the AFS book profit and we have a very healthy investment book. So, going forward, I think I have heard part of the answer to your last question that you are not very optimistic to take the entire profit in the one year only because there will be opportunity in the coming years too. But having said that, what will be the expectation of both the trading profit as well as the books from where we can realize the profit to the P&L, credit to the P&L account, Sir, in the treasury front?

Shri Binod Kumar, MD & CEO

On the treasury front, as mentioned earlier, we will book profits selectively based on market conditions and won't pursue an overly aggressive strategy. We believe we are entering a lower interest rate environment, which supports this approach. While I can't provide an exact number at this point—we'll share that separately—we do expect treasury profits to increase, along with trading and other income. Additionally, with ongoing volatility in the forex market, we anticipate healthy trading gains on that front as well. In fact, if you look at our Q4 numbers, we recorded strong gains from forex trading.

Ashok Ajmera, Analyst

Okay. Sir, what is the approach going to be for this Bhushan Steel and Power with that judgment of the court? You have any exposure towards it?

Shri Binod Kumar, MD & CEO

Yes, we had exposure on Bhushan. So let us see how ultimately it pans out. Judgment has come, whether the affected party go for the appeal or not. If they go for the appeal, we don't have to reverse the transaction. But one thing I will like to share with you. See, when this resolution happened, we got a haircut of 60%, only 40% was the recovery rate. Now that asset is up and running and in a good shape and last two, three years the steel sector is also doing good and a lot of capacity creation has happened recently. Government has also taken action on the dumping side. So hopefully, net-to-net, I think it will be good for the Banks.

Ashok Ajmera, Analyst

So, it's a blessing in disguise.

Shri Binod Kumar, MD & CEO

I mean Yes.

Ashok Ajmera, Analyst

Sir, one final question in this round—on the NBFC and co-lending front. With the RBI recently easing norms to allow lending to NBFCs even for their onward lending to non-priority sectors, and with its continued encouragement of co-lending arrangements, what is our Bank's approach in this space? Do we currently have a co-lending book, and how do you see our lending to the NBFC sector evolving going forward?

Further lending to NBFCs will continue, but we are adopting a cautious approach. We will

engage only with well-rated NBFCs that have a strong track record. As for our co-lending exposure, it currently stands at less than Rs.500 crore, which is relatively modest. The limited uptake in co-lending isn't solely due to the primary versus participative model —reconciliation challenges have been a key constraint. In the past, we've faced issues on that front, which hindered our ability to scale co-lending operations. We are in the process of building internal capacity, and once our IT infrastructure is robust enough to handle the reconciliation process efficiently, we will be better positioned to expand our co-lending activities

Ashok Ajmera, Analyst

Yes, yes, that is definitely required. Even a small Bank like Bank of Maharashtra has developed the complete end-to-end solution for that. And unless you have that kind of capability, it is not advisable to go for that, I am sure.

Shri Binod Kumar, MD & CEO

Yes.

Ashok Ajmera, Analyst

I agree with you, Sir. Yes, yes. Sure, Sir. Okay. Thank you very much, Sir, and all the best.

Shri Binod Kumar, MD & CEO

Thank you. Thank you, Ajmera ji.

Ashok Ajmera, Analyst

And we'll meet again after the first quarter. Okay.

Shri Binod Kumar, MD & CEO

Sure. Thank you.

Ashok Ajmera, Analyst

Thank you, Anand.

Anand Dama (Host – Emkay Global)

Thank you. Thank you, Sir. Any other participant has a question, please use the Raise Hand option and ask your question. Jai, please unmute yourself and ask your question.

Jai Mundhra, Analyst

Hello, Sir. Hi. Good evening. Sir, a question on your yields on advances. So, it looks like that the decline in yields on advances is much sharper relative to what policy action suggests. If you can provide some more color here?

Shri Binod Kumar, MD & CEO

The yield on advances has declined by 28 basis points and is mainly due to the impact of the EBLR only, as 40% of my book is linked to external benchmark. We have already passed on 50 basis point. We've observed a significant rate cut in WCDL loans, and that's primarily Page 14 of 15 what's driving the impact. Additionally, due to surplus liquidity —though this has occurred after the reporting period —borrowers are increasingly opting for commercial paper (CP), which they are able to secure at much lower rates.

Jai Mundhra, Analyst

Right. But Sir, I think we are anyway growth conscious, I mean, profitability conscious in the sense they're not going corporate too much. So, I was a bit surprised that in the quarter, there was only 25 basis point rate cut for two months only. And we pass on the rate cut immediately, right, the 40% book maybe within two, three days

Shri Binod Kumar, MD & CEO

No, very next day.

Jai Mundhra, Analyst

Okay. Sure. And secondly, Sir, the MSME slippages, anything to understand what is, I mean, there was a rise in the slippages QoQ in the MSME, anything to read into this, because there are a lot of reports saying that, export-oriented MSMEs, they are having some little bit of a trouble.

Shri Binod Kumar, MD & CEO

No, as I mentioned in my opening remarks, this is primarily due to the MOC audit of the branches. In a few accounts, auditors recommended a reduction in DP with retrospective effect, which led to the observed impact. However, I can assure you that slippages —both in the MSME segment and overall —will be lower than the levels we've seen so far.

Jai Mundhra, Analyst

And Sir, if possible, can you share the SMA 0 +1+2 number, including below Rs.5 crores loans.

Shri Binod Kumar, MD & CEO

Yes, SMA 0 total is Rs.23,255 crore, SMA 1 is Rs.14,843 crore, and SMA 2 is Rs.7,825 crore, total Rs.45,923 crore, and it is 8.06% total. And more than Rs.25 crores, we have only one account, and that is also because of the court order, but we have made 100% provision in that also.

Jai Mundhra, Analyst
Right, Okay

. And lastly, Sir, with the recent regulatory tightening by the RBI around gold loans —and given that we have a reasonably sizable gold loan portfolio —how do you see this business evolving in terms of growth? Also, how do you view the competitive landscape, particularly with other Banks, NBFCs, and dedicated gold loan financiers?

Shri Binod Kumar, MD & CEO

Yes, of course, there will be impact both on growth and income, but it is draft guidelines, and we have given our feedback . Let us see how, in what shape the final guidelines comes. But if it comes as it is, yes, there will be some impact on both, growth and earning s.

Page 15 of 15 Jai Mundhra, Analyst

Why should there be any impact, Sir, if you can elaborate .

Shri Binod Kumar, MD & CEO

Yes, let me share an example. The RBI now mandates that any income -generating asset must also be hypothecated. Earlier, we would simply take the gold as security and extend the loan without this requirement. Now, if the borrower cannot meet the income criteria, the loan must be classified as a retail or consumption loan. The loan -to-value (LTV) ratio for consumption loans is 75%, whereas for agricultural classification, it's 90%. This leads to two implications: first, the eligible loan amount will be lower. Second, part of the previous growth in the gold loan portfolio wasn't necessarily driven by the circular. Gold prices were at their peak —around Rs.1 lakh per 10 grams —which contributed to higher disbursements. Some moderation in gold prices could also impact growth. Additionally, many of these loans were earlier classified under agriculture, so the regulatory shift may also affect income recognition.

Jai Mundhra, Analyst

Right. Understood, Sir. Thank you very much, Sir. And all the very best.

Shri Binod Kumar, MD & CEO

Thank you, Jai.

Anand Dama (Host – Emkay Global)

Thank you, Jai. Sir, I think we'll take that as a last question. With this, we come to the end of the post results con-call. Sir, do you have any closing remarks to make?

Shri Binod Kumar, MD & CEO

No, I believe all the key questions have been addressed, and I've already covered most points in my opening remarks. I've also provided guidance on ROA. As for recoveries and slippages, we've set strong targets and we are confident of achieving them. In fact, slippages are expected to be lower than what we've reported so far —of that, I'm certain.

On the recovery front, we've set a target of Rs.800 crore through NCLT, and Rs.250 crore through NARCL. One more point on branch expansion is that we plan to expand our branch network, particularly in regions where our presence is currently limited, such as the western region. We've seen that even a single new branch can generate significant business within a year, so this will continue to be part of our strategy going forward. Thank you.

Anand Dama (Host – Emkay Global)

Thank you, Sir. Yes. On behalf of the management and Emkay Global, we thank all the participants for joining us so late. Happy evening and have a good day. Thank you, Sir.

Shri Binod Kumar, MD & CEO

Yes. Thanks Anand. Thanks to all the participants for sparing your time on holiday , and in late hours. Thank you.

INVESTOR SERVICES CELL

Ref. No.: ISC/ 118/2025-26 Date: 31.07.2025

NSE Symbol: INDIANB The Vice President
BSE Ltd.
25, P. J. Towers
Dalal Street, Mumbai -400001

BSE Scrip Code - 532814

Dear Sir / Madam,

Subject: Transcript of Post Earnings Concall / Meet

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of our L etter No. ISC/107/2025-26 dated 18.07.2025 and Letter No. ISC/ 115/2025-26 dated 24.07.2025 regarding Analysts / Investors Concall / Meet, we are enclosing a copy of Transcript of said post Earnings Concall / Meet held by the Bank on 24.07.2025 on the Financial Results of the Bank for the First Quarter of FY 2025 -26 ended on 30th June 2025.

The Concall Transcript has also been uploaded on Bank's website and the same can be accessed through below link:

<https://www.indianbank.in/departments/audio-video-recording-concall-transcripts/>

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary

Encl : A/a

Indian Bank Q 1 FY'26 Results
Post Earnings Conference Call / Meet
Held on 24.07.2025

Transcript

Management:

Shri Binod Kumar
MD & CEO

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Shri Brajesh Kumar Singh
Executive Director

Moderator:

Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd.

Disclaimer :

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Page 1 of 19 Anand Dama (Host – Emkay Global)

Good evening, ladies and gentlemen. We welcome you all to Indian Bank's Post Results Conference Call for the First Quarter of Financial Year 2026, hosted by Emkay Global. From the top management, we have with us Shri Binod Kumar, MD & CEO , Shri Ashutosh Choudhury, Executive Director , Shri Shiv Baj rang Singh, Executive Director and Shri Brajesh Kumar Singh, Executive Director.

I request the MD sir to briefly summarize the key highlights from first quarter FY26 results and also provide some strategic direction on growth, margins and asset quality, post which we will have the Q&A session. Over to you MD, sir.

Shri Binod Kumar, MD & CEO

Good evening, ladies and gentlemen, my colleagues on Board, Mr. Ashutosh Choudhury , Mr. Brajesh Kumar Singh and CGMs . We have come out with our first quarterly result for the financial year 2025 -26, I will say the result is in line. So total business has grown by 1.52% QoQ from Rs. 13.25 trillion to Rs. 13.45 trillion while YoY growth is 10.25% . Deposit has grown 0.97% QoQ and 9.26% YoY from Rs. 7.37 lakh crores to Rs. 7.44 lakh crores. The current account has, in fact, CASA savings and current both have degrown. The current has degrown in QoQ by 3.67%. However, YoY growth is 10.70%. Saving fund again QoQ, there is some marginal decline of 1.76%, but YoY growth of 3.27%. CASA YoY growth of 4.23% at QoQ there is degrowth of 2.03%.

CASA ratio, domestic CASA ratio is at 38.97% against, in March, it was 40.17%, and CD ratio domestic is at 78.32%. Advance, we have grown YoY by 11.50% more from Rs. 5.39 trillion to Rs. 6.01 trillion and QoQ also, there is a growth of 2.21% from Rs. 5.88 trillion to Rs. 6.01 trillion. RAM has grown by 15.93% YoY and QoQ, it is 3.52% and reached to Rs. 3.63 trillion. Retail has grown by 16.52% YoY and 3.83%, QoQ and reached Rs. 1.24 trillion. Agri has also grown by 16.4% YoY & 4.75% QoQ . MSME also, where we were struggling earlier in the range of 5% to 6% growth, now we are growing in the range of 14% to 15%. Last quarter also, it was 11% to 12%. This quarter, it is 14.45%, and we reached to Rs. 0.95 trillion.

RAM share has increased from 64.23% to 65.34% on QoQ basis . Corporate credit has grown; on QoQ basis, it has marginally degrown by 1.41%. However, YoY, there is 1.77% growth. Here, I would like to highlight one thing. In NBFC, our outstanding balance has come down from Rs. 62,000 crores to Rs. 56,000 crores. So, there is a marginal decline in NBFC and some WCDL, where we have a very competitive rate. Even on the last date, I allowed some money to be repaid because of the pricing issue. However, having said that, I would like to add, in this quarter itself, we have total sanction of Rs. 27,000 crores which we have

sanctioned in this Q1 itself, which was Rs. 18,000 crores in the previous quarter of the financial year FY25. So, there is a growth in our sanction of around 50%. So, we are on track there. It was a strategic decision. Then, net Profit grew by 23.69% YoY, 0.57% QoQ and reached to Rs. 2,973 crores. Operating profit is at Rs. 4,770 crores with YoY growth of 5.97% and QoQ marginal decline of 4.96% primarily on account of two factors, which will come in the other income also. Around Rs. 300 crores, there is a degrowth in other income that is primarily because of two factors. In the last quarter interest on income tax refund, we got around Rs. 180 crore and Rs. 86 crores, we have recovered penal charges which we normally recover on half yearly basis, that means September and March. So that amount was not there. So that is the reason, otherwise other components are on track.

Page 2 of 19 Net interest income YoY basis has grown by 2.93% to Rs. 6,359 crores. However, there is marginal decline from Rs. 6,389 crores to Rs. 6,358 crores only Rs. 30 crores. Other income, as I explained,

has degrown from Rs. 2743 crores QoQ basis to Rs. 2439 crores. But if we see YoY basis, YoY basis our other income has also grown by 28%. Domestic NIM has come down from 3.48% to 3.35%. That means there is a decline of 13 bps. Return on asset we have given guidance of in the range of around 1.20% but we have been able to maintain 1.34%, so in this quarter. Return on equity also we have been able to maintain at 20.26% where we have given guidance of around in the range of 19% to 20%.

Staff expenses, other expenses remained flat. It was Rs. 2700 crores in March. Now it is Rs. 2612 crores. Other expenses are also Rs. 1413 crore and now it is Rs. 1415 crore. So, it is almost flat. The cost-to-income ratio has slightly gone up from 45.05% to 45.78%. But that is not on account of any increase in the cost. That is basically, as I explained earlier, it is on account of some reduction in the other income.

PCR ratio is 98.20%. Credit costs have come down substantially from 0.81 % to 0.28 % and earnings per share have increased to Rs 88.28. Cost of deposit there is marginal increase from 5.10 % to 5.14 % because repricing of deposits is yet to happen, part of that will start from this quarter. Yield on advances, despite 100 bps passing on the external benchmark-linked loan, we have been able to contain only marginal decline from 8.64% to 8.58% on QoQ basis.

Gross NPA has come down from 3.77% to 3.01% on YoY basis, that means a 76 bps reduction and QoQ basis, 8 bps reduction. Net NPA has come down on a YoY basis from 0.39% to 0.18%, 21 bps reduction and on QoQ basis, 1 bps reduction from 0.19% to 0.18%. Slippage ratio, in last June it was 1.50%, now it is 0.94%. For the quarter ended March, it was 1.09%. And for the financial year, it was 1.11%. So, we have been able to contain slippages. Recovery, since September '22, is more than consistent. This quarter also, we have been against the guidance, we have given guidance of between Rs. 5,500 crores to Rs. 6,500 crores. We have been able to recover Rs. 2,059 crores in this quarter itself. Out of that, we have also given guidance of AUC of Rs. 2,000 crores, but we have been able to recover around Rs. 815 crores already in this quarter itself.

SMA, if you see SMA number has gone up. SMA -2, if you see particularly, if not entire SMA, SMA overall has come down from 13.32% as of June '24 to 7.99% as of June '25. So, there is a substantial decrease of around 5.32%. But if you see SMA -2 has gone up basically because of 2 PSU accounts, which were in a SMA -1, it has come to SMA -2. But now SMA -2, which was more than Rs. 5 crores, which was Rs. 4,586 crores as of June -end, 30th June. Now it is only Rs. 815 crores. In these accounts, we have government guarantees available. NBFC exposure, I explained, has come down from Rs. 62,000 crores to Rs. 56,000 crores. Overall sanction, if I talk of, including all the different segments of different verticals. In last year, it was Rs. 60,000 crores, now this year, so far, it is Rs. 88,000 crores in the first quarter itself, we have been able to achieve. Capital adequacy ratio is 17.80% with CET is at 15.26%.

RWA density has slightly come down because of AAA-rated exposure has gone up from Rs. 49,000 crores to Rs. 60,000 crores and because of some reduction in RWA NBFC.

So, coming to external benchmark linked loan, it has slightly inched up from 39.06% to 40.46%, but primarily, that is because of the jewel loan being classified in retail. So, Retail loans are necessarily linked to external benchmark.

Page 3 of 19 Coming to the various guidance. We have given deposits in the range of 8% to 10%. It is now 9.26%. Advance, we have given guidance of 10% to 12%. It is in the range of 11.50%. CASA, we have given guidance of around 40%, but our endeavor will be to maintain that 40%. This quarter, it has come down because some money had to flow in but somehow could not. So that is

the reason CASA was slightly come down to 39% approximately.

Our gross NPA guidance of less than 3%, we will definitely achieve, I mean, maybe we can go even up to 2.5%. Net NPA, same range, 0.1%, 0.7%, 0.65%. I mean, we have already provided hardly Rs. 1,000 crores are there. So that does not make any difference now.

NIM, we have given guidance of 3.15% to 3.30%. We are at 3.23%. And I'm hopeful that we will be able to maintain the NIM guidance of between 3.15% to 3.30%. ROA, we have given guidance of 1.20%, but we have been able to maintain at 1.34%. Credit cost, we have given guidance of 1%. We are at 0.28%. Slippage, again, we are maintaining less than 1%. We will definitely achieve that and recovery from NCLT, we have given guidance of Rs. 800 crores. But in this quarter, itself, we have been able to recover Rs. 451 crores from one NCLT account.

We don't have much exposure in unsecured or even in MFI NBFC. Our exposure is only Rs. 855 crores in MFI NBFC, and that is in all good, rated accounts only. Personal loan is at Rs. 7,000 crores, so that is not a cause of concern there. Also, credit card exposure is flat at Rs. 561 crores. So, there is no concern in that. We are focusing on opening saving fund accounts. So, we against last year, we were able to open 10.89 lakh accounts. This quarter, Q1, we have been able to open 12.17 lakh accounts, and the current account also 0.33 lakh to 0.34 lakh. So, these are the numbers. But there are a few initiatives which we have taken, which I would like to share with all of you. CASA, since it is a cause of concern, we have taken some initiative on CASA. We have launched five new CASA products like, one we have opened for the MSME sector. One we have opened for women also, one for pensioners, one for professionals and one for IND Sampoorana for salaried accounts also. We have given many benefit in that. So hopefully that will help us in garnering some CASA and other otherwise also, we have taken some initiative for CASA, which will explain subsequently.

We have very recently opened 51 branches, which will definitely help in garnering some new CASA business. Because the new branch on average gives Rs. 20 crores to Rs. 25 crores, Rs. 30 crore business in a year. So, these branches will add further value to us. And this is our 119th year. So, we are planning to open 119 branches in this financial year. So, 51 we have already opened around another 68 branches we will be opening more.

Few of the initiatives we have taken on the digital side. We have launched a lighter version of our INDSMART app for the transaction only in UPI we have launched. So, with the expectation that we will be able to I mean our customers will use our UPI instead of going to another platform. That is the motive behind launching this app. Then we have also opened an MSME business app so that people can take loan on their own instead of visiting through the branches. So around 13 digital journey we have launched in MSME. So that will further help in getting the business. Then KCC Digital journey wherever land record is digitized. In these states, we have launched digital KCC journey. We have opened one senior citizen branch and let us see how that pans out. We have an expectation that we will get some good sticky deposit at least in that branch and we are really providing good services in that branch. We have Agentic AI. We have launched it for collection so that will further help in containing our SMA and slippage. And we are also trying to automate corporate credit assessment. So, in our Page 4 of 19 board note around 10 sections are there. Out of that four sections, we have digitized and remaining we will take in a staggered manner.

So, these are the few initiatives we have taken and on digital side, we have taken some initiative and we are going to take like CRM. We have started and by September end, I think we will be

going ahead with a few of the services. We will start with in that. Then, we have started Data Lake Journey for that. And then next - generation call center. We have already floated RFP and hopefully, that will help us further. Vendor has been on-boarded for next-gen call center. So that will again help in reducing our customer complaint, improving customer service, and resolution of the complaint and we can use this for various purposes, like for collection, for digital hub, for lead generation, lead monitoring, et c.. We are also in the process of launching EFRMS, new software. So that will again be the revamped version of EFRMS solution. So, these are the few initiatives we have taken. Further, we are also planning to revamp our training system entirely because the knowledge gap is one thing, which, I believe, is cause of concern for not only customer complaint that also impacts our business. So will take a year or so, but we will be revamping our training center completely. The way training is imparted basically, it should be very interactive like quizzes, various small quizzes, presentation, case study, et c. So, we will redefine our curriculum completely.

So these are the few initiatives we have taken. I will request Ashutosh to briefly capture digital Journey.

Shri Ashutosh Choudhury, Executive Director

Thank you, sir. In the Digital journey, I will just capture in the four different phases. The first one is the transactions. If you see, our UPI transactions has grown substantially from 2.12 crore per day to 2.82 crores per day. The mobile banking transaction has also improved this quarter, 59 lakhs per month. The rating of our mobile app has substantially increased from 4.1 to 4.4.

We have launched 11 digital journey this quarter, means Q1, so taking the total to 132. And if you see, digital transactions has gone up from 90% to 93% in a year. And the biggest contribution to that is our UPI channel in the digital transaction. In Mobile Banking, Internet Banking and in the Card also, we have seen good traction. In the Mobile Banking, after launching of our IndSMART mobile banking app in last year, we have seen a lot of onboarding in that particular app, which is user-friendly, a lot of features are available. Hence, we have seen a lot of traction in that particular category. If you see the Digital business, Digital business this particular quarter we have done Rs. 57,955 crore, and we are aiming to do Rs. 2,25,000 crore of digital business this particular financial year. Most of it will be from the digital asset side. One good thing, we have done is that we have started issuing this E-Bank guarantee. We are popularizing this. We are handholding our customers. We are imparting knowledge on how to use that. That will also help a lot to the bank in non-fund business.

If you see the adoption, the digital adoption has gone up substantially more particularly into the retail side, which was 69% one year back. This has improved to 87%. So also, the Agribusiness from 90% to 96%. And we are putting a good efforts to increase the MSME business, which is at present 78%. With that, it will grow in a good manner. The bank has also onboarded itself in the UPI platform and garnered a business of almost Rs. 6,350 crores.

Page 5 of 19 So, sir has told a lot of digital initiatives. So I am not telling all those digital initiatives right now, but one or two things that I will like to tell here. We have launched Employee Assist. So, this particular thing will enhance customer experience, because this Assist is a chatbot which will immediately provide all the answers related to bank's internal guidelines, process, and systems. So, which will help the employee of the bank to reply to the customer promptly. So, rest, sir, has told.

And one more thing I will like to tell here is that the Agentic AI for collection that we have introduced which is right

now in two language that is English and Tamil. With the success and with more use cases, we'll expand it to other regional languages and Hindi. So that will help us in our collection systems, improve our collection system, and that particular Agentic AI system will definitely take it forward for our business cases in the days to come.

Thank you, sir.

Questions And Answers

Anand Dama (Host – Emkay Global)

Thank you, sir. We will now open up the floor for Q&A session. Anybody who wishes to ask a question shall raise their hands. I request the participants to limit the question to two per participants and for further questions please join back the queue. Anyone who wants to ask a question, please raise your hand. Yeah, Mr. Ajmera, please unmute yourself and ask your question.

Ashok Ajmera, Analyst

Good evening, sir. Binod Kumar ji compliments to you sir for keeping at least the, I mean the bottom line at least intact. You are in profit; on the net profit front. Many of the banks are finding it difficult, and even the business growth, the credit growth of 2.21% in this quarter is commendable.

Overall business also is growing. So in spite of so many challenges you have met, you know them, I mean you have given declared good results, good numbers. And in your presentation, and Ashutosh, sir, said digital journey presentation you almost covered I think everybody's 70% to 80% questions or the queries. So, there is hardly anything to ask. But yes, there are some couple of questions on some observations and some data points for the future 3 quarters now because there is no -- you already explained everything in detail like one was on SMA2, and you said that two

government accounts are already, I think one of them has already been regularized under SMA 1 or SMA 0. So, what is the exact number of that now? Where do we stand now vis -a-vis the June number on SMA -2.

Shri Binod Kumar, MD & CEO

SMA 2, these two accounts constitute around Rs. 3300 crores. So total SMA 2 more than Rs.5 crore was Rs. 4586 crore. So, these two accounts had come out of SMA 2, and now SMA 2 is for Rs.815 crores only.

Ashok Ajmera , Analyst

Yeah. So that's a very good encouraging, I mean statement from you because that was the major cause of worry that are we slipping or having the future NPAs or.

Page 6 of 19 Shri Binod Kumar, MD & CEO

I don't think these accounts will slip to NPA.

Ashok Ajmera , Analyst

Even the NPA provision in this quarter also is very less. So, there is hardly any chance, like for any further numbers going NPA increasing. Now, sir, with this part of the benefits, or part of rather, I would say the hit of the rate cuts has already been factored in, but still some parts are left out of the earlier rate cuts and now two more rate cuts of 25bps. So, total about 50bps is also expected in this year , also maybe little, I mean later half or later part of the year. So where do we, because the NIM today is comfortable at 3.23%. But going forward, will you be able to protect that 3.1% or 3.15% with this lag effect as well as the future effect on the -- I mean, effect of the future rate cuts?

Shri Binod Kumar, MD & CEO

I think we will be able to, because see, from this quarter onwards the bulk rate has come down by more than 100 bps. So, the impact of that will start coming in this quarter plus rate cuts have also happened in retail term deposit. So, the impact of that will also start coming out. In another three months to six months, around my Rs. 86,000 crores will be repriced . So, the impact of that will also start coming in. So, I am hopeful that I will be maintaining between 3.15% to 3.30%.

Ashok Ajmera , Analyst

That's very good, sir. Sir, you have been giving a little conservative target , goals and achieving it. That's very good. But looking at the current trend and with your Rs. 88,000 crores of

the sanctioned
or in pipeline, I think it was Rs. 88,000 crores isn't it, you said.

Shri Binod Kumar, MD & CEO

Yeah, yeah. Rs. 88,000 crores we have sanctioned in this quarter.

Ashok Ajmera , Analyst

Is there any chance of upgrading the targets for the credit, going to may be 13%, 14%? Or will we stick to that 10% to 12% only, sir?

Shri Binod Kumar, MD & CEO

As of now, we'll try to stick between 10 -12%; we'll try to be on the higher band of the guidance.

Ashok Ajmera , Analyst

Okay. Sir, one last thing in this round. You had said in last quarter's meet that you are not encouraging much co -lending or increasing your book by participation by others because you are not fully geared up or prepared digitally. Your digital capability is not there to that extent. So, whether there is any change now? Would you be looking for those kinds of arrangements to increase your overall loan book? And secondly, coupled with this, with RBI now relaxing the collaterals; gold collateral for the agri loans of less than Rs. 2 lakhs, do you think that some major chunk can go there now when you can accept the collateral and give the loans?

No. Actually, what happened, let me explain to you. Co-lending, we are still not prepared for our digital platform. So, as and when our digital platform is ready, we are not against co-lending, only technological requirement is there. So as and when we have technological requirements, we can go up for co-lending, number one. Number two, agriculture, we have this gold loan up to Rs. 2 crores, they have allowed now to take Rs. 2 lakhs.

Ashok Ajmera, Analyst

Rs. 2 lakhs

Shri Binod Kumar, MD & CEO

Rs. 2 lakhs, if they are willingly providing. So, when draft guidelines came, we have already initiated shifting this gold loan to retail loan. So now, at least with this, we can further take them as agriculture.

Ashok Ajmera, Analyst

So, the last one is, sir, on the treasury. Indian Bank is known for making very good treasury profit, good arbitrage -- good arbitrage even in the foreign currency. So, going forward and with the rate cuts already there and further rate cuts coming, do you think that we will make some bumper good profit from the treasury in the remaining three quarters?

Shri Binod Kumar, MD & CEO

No. Definitely. So even if you see last quarter also, we have from Forex arbitrage, say, we have earned around Rs. 158 crores and treasury profit, we will book as per requirement because, say, if I sell some of the higher yielding, then again, whatever we'll purchase, that will be low yielding. So, we will book profit as per requirement only. I mean, not a very bumper or something like that.

Ashok Ajmera, Analyst

Okay. Okay, sir. Thank you. Just if you can tell me any bumper provision, which we still have now in our books?

Shri Binod Kumar, MD & CEO

No, see, we have various policies for providing standard assets. So, we are following that policy. I may share with you, like on SMA -2, we have a policy of providing 10%, which is not required, but we have a policy. So similar, there are various pockets where, as per our policy, we keep on providing.

Ashok Ajmera, Analyst

All right, sir. Thank you. And all the best to you, sir.

Shri Ashutosh Choudhury, Executive Director

Thank you.

Thank you, Ajmera ji.

Anand Dama (Host – Emkay Global)

Thank you, Ajmera ji.

Ashok Ajmera, Analyst

Have some time for physical interaction, sir, also.

Shri Binod Kumar, MD & CEO

We'll come. First week or second week, we'll come.

Anand Dama (Host – Emkay Global)

Thank you. We'll take the next question from Jayant Kharote. Jayant, please unmute yourself.

Jayant Kharote , Analyst

Am I audible?

Anand Dama (Host – Emkay Global)

Y

eah, Jayant. Please go ahead. You're audible.

Shri Binod Kumar, MD & CEO

Yeah. Yeah. You're audible.

Jayant Kharote , Analyst

Yeah. So, the question is on the asset yields. How much of the current rate cut has been passed on? And also, if you could highlight on the MCLR book, how much of the book would be corporate where competitive intensity could sort of drive some repricing decisions for us?

Shri Binod Kumar, MD & CEO

See, my MCLR book is 52% and, external benchmark linked is 40.46% and within MCLR, 1 -year MCLR -linked is 41%. So, a substantial portion of even MCLR is linked to 1 -year MCLR. Coming to your question of –

Jayant Kharote , Analyst

The transmission, how much of –

Shri Binod Kumar, MD & CEO

Transmission, so external benchmark linked has happened immediately, we have done on the very Page 9 of 19 next day of the rate cut. We have passed on. So, on 41, 40% of the book has already been passed on. Coming to MCLR since the cost of deposit has not come down, although in the last three months MCLR has come down by 5 bps each month. But by going forward only MCLR will start coming down as and when our cost of deposit starts coming down and marginal cost starts coming down.

Jayant Kharote , Analyst

Sir, but the question is, on margin trajectory would you expect the second quarter margins to take a further hit because of the two months that will be left?

Shri Binod Kumar, MD & CEO

Yes, yes there will be, there will be some margin reduction further.

Jayant Kharote , Analyst

And you're still comfortable with the full year guidance of 3.15 % to 3.30%.

Shri Binod Kumar, MD & CEO

3.15, I think we will be able to maintain.

Jayant Kharote , Analyst

And sir, last question.

Shri Binod Kumar, MD & CEO

Unless there are some very aggressive rate cuts, then, of course, then we will have to think

otherwise we will be able to maintain.

Jayant Kharote , Analyst

So, the last question on the deposit mix. So, there is some pressure on deposit growth, and we've seen the CDs books of a lot of banks rising. How comfortable are you with the mix of CDs moving up? And if you could also help us understand what the growth in that book is .

Shri Binod Kumar, MD & CEO

No. let me explain why my credit deposit growth has not been there. If you, I mean bulk, bulk, I am saying including CD and bulk also. So that book in March was Rs.1.41 Lakh crore and in June it is only Rs.1.45 Lakh crore . So hardly we have taken Rs.4000 crores increase . So not much of bulk. We are not taking very aggressively because that is at a cost.

Jayant Kharote , Analyst

And are you comfortable growing the bulk book in case retail falls short to fund your growth?

Page 10 of 19 Shri Binod Kumar, MD & CEO

I mean if there is no option left and still, we are making some margin, we will.

Jayant Kharote , Analyst

Sorry, the question is essentially growth versus margin, will you pick growth over margin?

Shri Binod Kumar, MD & CEO

No, no, we will strike balance. Like I told in the corporate book, we said around Rs. 12,000 crores . So that will depend on what, at what stage, what margin we are getting. That will depend on that. Say we are at times even bulk, at times we get very cheap er. So, at that point of time there is no harm in taking even bulk.

Jayant Kharote , Analyst

Understood, sir. Thank you and best of luck.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thank you. Jayant. The next question will take from Mahrukh. Mahrukh, please unmute yourself.

Mahrukh Adajania , Analyst

Hello. Hello, sir. Congratulations.

Shri Binod Kumar, MD & CEO

Thank you, Mahrukh.

Mahrukh Adajania , Analyst

Sir, I have a couple of questions. I think Jayant already asked, but just to dwell a li

ttle deep, so our margins have fallen by 14 bps this quarter, right? And next quarter, there will be some impact of the June rate cut, and there will be some amount of MCLR repricing as well. So, given all that, would you say that the quantum of margin decline would reduce in the second quarter, or it could be similar?

Shri Binod Kumar, MD & CEO

No, quantum of margin decline will reduce from this quarter onwards because bulk will also start repricing, and we have also gone for revision of rate in retail term deposit. And also, we have gone for some rate rationalization in saving funds. So, this quarter from 1st of July. So, this quarter onwards, this rate of decline should come down.

Page 11 of 19 Mahrukh Adajania , Analyst

Okay, sir. Got it. And sir, just in terms of retail term deposits, how much would they reprice in one quarter? Because we know all banks have 13 -month to 15 -month maturity, but it may be lumpy in some quarters , not lumpy. So, on a ballpark, what could you say would be the repricing in the second quarter?

Shri Binod Kumar, MD & CEO

So, my retail term deposit is around Rs. 2,50,288 crores . So out of that, Rs.86,000 crore is repricing in the next three months to six months.

Mahrukh Adajania , Analyst

Rs.86,000 crore in next three months to six months. Okay. Okay, sir. Very helpful. And just one last question. In terms of competition, right ? Where do you think private banks are more aggressive relative to PSU banks? for instance, PSU banks have recouped their market share in home loans. So, where are private banks really very aggressive in pricing in which segments?

Shri Binod Kumar, MD & CEO

Very rightly, you are saying, but may be because of their strategy also. Since they have some CD ratio constraint in the past quarter, and very openly, he came and told, we will consolidate. So certain segments like MSME, we are seeing good competition from the private sector banks and certain export -oriented units, there also we are seeing very high competition.

Mahrukh Adajania , Analyst

Okay. And in Corporate, it's largely PSUs only, right, like, say, in the A category or AA category. Would it be PSUs or private?

Shri Binod Kumar, MD & CEO

Mostly PSUs.

Mahrukh Adajania , Analyst

Okay.

Shri Binod Kumar, MD & CEO

And one or two private banks come, but smaller banks come, but that is for a very small amount.

Mahrukh Adajania , Analyst

Got it, sir. Got it, sir. Sir, this is so helpful. Thank you so much. Thank you.

Page 12 of 19 Shri Binod Kumar, MD & CEO

Thank you. Thank you, Mahrukh.

Anand Dama (Host – Emkay Global)

Thank you, Mahrukh. Next question, we'll take from Mona Khetan. Mona, please unmute yourself.

Mona Khetan , Analyst

Hi. Good evening, sir, and congratulations on a good set of numbers. So ■rstly on the bulk deposits you mentioned about Rs. 1.4 lakh crore. What would be the maturity pattern of these deposits , maturity between three months, six months, and so on

Shri Binod Kumar, MD & CEO

50% one year and 50% below one year.

Mona Khetan , Analyst

Okay. So, 50% will be after one year or at one year.

Shri Binod Kumar, MD & CEO

after one year or at one year.

Mona Khetan , Analyst

Okay. Okay.

Shri Binod Kumar, MD & CEO

Normally, bulk we are not taking for more than one year. In very few circumstances we take for more than one year.

Mona Khetan , Analyst

Okay. So, is it fair to say that in the next six months or so, about 50% of this will mature? Is that a fair understanding? Or in the next nine months, that's the case.

Shri Binod Kumar, MD & CEO

No, in six months, because around this quarter itself, 33,000 will reprice. So out of 1,04,000, 33,000 will reprice in this quarter itself.

Mona Khetan , Analyst

Okay. Okay. Got it. And sir, secondly, if I look at your, you've made significant provisions which is the PCR on your existing NPA, and the trend on slippages have also moderated. So, is it fair to Page 13 of 19 assume that sort of credit costs will settle down between 50 bps to 70 bps, or what are the risks you're seeing to credit cost, if any?

Shri Binod Kumar, MD & CEO

No, no. Very rightly we are saying, although we have given guidance of credit card less than one, but it will settle somewhere between 50 to 70, or maybe less than that.

Mona Khetan , Analyst

Sure, sure, got it. And also you've been providing on standard assets. This quarter also, you made some additional provisions. So if I have to look at the outstanding standard provisions, including general restructured and everything, where would it stand?

Shri Binod Kumar, MD & CEO

I think restructured, et c, where smaller loans are there, we have 100% we have made? Restructured, we have made 25%.

Mona Khetan , Analyst

Okay.

Shri Binod Kumar, MD & CEO

And we are taking various measures for providing like one example I told you even in SMA book, SMA -2 we are making 10% provision. And wherever we see -- yes, Mona.

Mona Khetan , Analyst

Yeah. No, sir. Please go ahead.

Shri Binod Kumar, MD & CEO

Yeah, so wherever we see some sector also there is some stress, so we take proactive measures.

Mona Khetan , Analyst

Right. So, if I have to understand the outstanding standard provisions, where would it be? You can tell me mix of general and restructured as well, particularly into these accounts, because you've been consistently providing. So just wanted to get the outstanding number.

Shri Binod Kumar, MD & CEO

Yeah. Absolutely . That number, we'll see. Exactly, I don't remember.

Mona Khetan , Analyst

Sure.

Page 14 of 19 Shri Binod Kumar, MD & CEO

We'll see. Yeah.

Mona Khetan , Analyst

Got it. Got it. And also, just finally, on the recovery from written off, it looks fairly strong from a Q1 perspective. So, anything you want to highlight there that has played out for you?

Shri Binod Kumar, MD & CEO

No, no. It is basically on account of one big account has been resolved.

Mona Khetan , Analyst

Okay.

Shri Binod Kumar, MD & CEO

In one account itself, Rs. 340 crores has come. So that is because of that .

Mona Khetan , Analyst

Okay. Got it. Thanks so much. If you could just come back on those outstanding provisions number standard provisions, that will be very helpful. Thank you.

Shri Binod Kumar, MD & CEO

Sure.

Anand Dama (Host – Emkay Global)

Thank you, Mona. So, before we take the next question, there was one question in the chat, which talks about, like, what's the recovery from written off that you expect in the second quarter and for the full year. I believe you gave a guidance of about Rs. 1,800 crores to Rs. 2,000 crores odd, but I think you already had Rs. 450 crores in the first quarter. So, do you want to revise that number? And any color on, like second quarter, what could be the recovery from written -off pool? Additionally, you also talked about, at the PSLC, there is some relief, which has come from the RBI now. So, then you intend to book some PSLC fees in second quarter?

Shri Binod Kumar, MD & CEO

No. So AUC recovery, whatever, we have given guidance of Rs. 2,000 crores will not revise because already what account has come, we have already accounted for that. So it has come in this quarter. But next quarter also, AUC recovery will be in the range of Rs. 400 crores to Rs. 500 crores. So, and PSLC, we have already booked. If you see, we have already booked in this quarter

of Rs. 258 crores.

Page 15 of 19 Anand Dama (Host – Emkay Global)

Okay. But can that run rate go up now that there is a relief? That's the question.

Shri Binod Kumar, MD & CEO

No. No, because since that guideline was applicable from 1st of April. So, we have already taken measures in PSLC, wherever we have already sold around Rs. 1000 crore PSLC income will come during this year. Out of that pro rata, we have booked to one -fourth in this quarter.

Anand Dama (Host – Emkay Global)

Sure. Sir, secondly, your SMA pool if you look at and the SMA pool of another bank where they had this government -related agri project. What's happening on that? I believe you also have an exposure to that agri project. Is it stressed? Are you getting timely recoveries due after some delay? What's happening over there in that account?

Shri Binod Kumar, MD & CEO

No, we are getting recovery in these accounts. I don't think they will slip because, with some delay, we are getting recovery.

Anand Dama (Host – Emkay Global)

Okay. So, you don't expect any, I mean that account to turn NPA right?

Shri Binod Kumar, MD & CEO

No, no.

Shri Brajesh Kumar Singh , Executive Director

Government guaranteed also we have provided.

Anand Dama (Host – Emkay Global)

Sure, sure. Next question will take from Devendra Kumar. Devendra, please unmute yourself.

Devendra Kumar , Analyst

Hello?

Shri Binod Kumar, MD & CEO

Yes, Mr. Devendra.

Devendra Kumar , Analyst

Hello , Am I audible ?

Page 16 of 19 Shri Binod Kumar, MD & CEO

Yeah. Yes, audible .

Devendra Kumar , Analyst

Okay. Thank you, sir, for giving me opportunity, and thanks for the good set of numbers even above the guidance. Sir, actually, I just want to know what type of initiative are being taken for increasing customer base, like advertisement and other things. We are taking good steps for digital transformation. But how those information are shared with normal public so that they can attract towards bank?

Shri Binod Kumar, MD & CEO

So, we are taking various measures, and publicity is one of them. We are making good publicity of our products on various visible platforms. Digital marketing, also we are adopting, and apart from that we have a very strong team of RAC, Resource Acquisition Centers 100 we have RACs. So their people also go on for marketing. And we have a subsidiary IGSS. So, we are using these manpower also for canvassing our liability products and also generating lead for asset products like a home loan, car vehicle loan etc. So multi-pronged approach we are taking.

Devendra Kumar , Analyst

Okay, sir. Thank you. Thank you very much, sir. Thank you.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thank you. Devendra. We'll take last question from Sushil Choksey. Sushil, please unmute yourself.

Sushil Choksey , Analyst

Congratulation to team Indian Bank for excellent result.

Shri Binod Kumar, MD & CEO

Thank you, Sushil ji.

Sushil Choksey , Analyst

My first question. Sir, my first question is what is the likely balance between RAM and corporate for the year end?

Shri Binod Kumar, MD & CEO

It will be around 65: 35.

Page 17 of 19 Sushil Choksey , Analyst

Sir, what is the average yield which we are getting on RAM today?

Shri Binod Kumar, MD & CEO

RAM average yield, and we have. Average yield on RAM will share with you. Right now, I don't have.

Sushil Choksey , Analyst

No problem, sir. I'll take it offline. Second thing, sir, most of the bankers in the Q1 con call are indicating whether it's a murmur on the street or general assumption there will be two more rate cuts in the second half. In view of that, what is the outlook on treasury? And how are we prepared for if there are two more rate cuts on overall business scenario?

Shri Binod Kumar, MD & CEO

So, overall business scenario we have given guidance, we will achieve that. Advance, we have given guidance of 10% to

12% and deposit also we have given 8% to 10%, we will achieve that.

I'm quite confident in that count. If there are two rates cut, of course there will be profit booking in treasury. But when we have given guidance of 3.15 to 3.30, we have taken into account 100 bps rate cut in the year. 75 already happened, and if as you are saying another 50 happens, then of course then we will have to think about our NIM strategy. So, how we can protect at least whatever guidance we have given. We will have to rework that.

Sushil Choksey , Analyst

Sir, Indian Bank has taken lots of initiative, where digitization, cross -sell, cash management, back office services over the number of years, and Bank has done well to transform. Now, this transformation and digital expenditure which you have done, is it likely that as liquidity in the system is increasing, rates have dropped. Our CASA can move back to 41%, 42% in a year, year and a half.

Shri Binod Kumar, MD & CEO

No, I don't think. CASA moving up will be really a challenge on two counts. One, government is also adopting JIT in many states. And this pace of increasing JIT will further increase only. And number two, if you see where people are shifting their saving to other alternates also. So, and this trend I expect will continue. So, maintaining even around 40 % will be a challenge, to be very candid with you.

Sushil Choksey , Analyst

Okay. So now second thing is southern states, specifically where Indian Bank presence is high. There's a lot of re -energizing of the states happening, because whether it is China Plus One story, GCC, a lot of global manufacturing capabilities coming to India. So, job creation is happening, which ultimately leads to betterment for banks, whether it's for corporate lending or consumer is concerned. Are we seeing in your sanctions such kind of borrowing demand, specifically from new industries?

Page 18 of 19 Shri Binod Kumar, MD & CEO

No, Sir. See, the amount of CapEx expected is not happening, private CapEx, particularly. Public / government CapEx, yes, it is happening. But we are seeing some traction in a few of the sectors, like renewable energy, of course, there is good demand in solar also -- solar module also. So, some traction we are seeing there. Then city gas distribution also. Since government is trying to lay down line for the gas distribution. So traction is being seen in that also. And in PLI sectors, also, we have seen some traction. But the amount of CapEx, which is private CapEx, which is expected, it is not up to that level. If you see ; and one more challenge is that all good -rated companies are going to market for raising their resources instead of either CP or bond.

Sushil Choksey , Analyst

Okay. Sir, second thing is India signed an FTA with UK, many such more deals will happen. So, there is assumption with Bangladesh in turmoil. Textile, which is the big center of Tamil Nadu and adjoining states. Similar way, leather is likely to be where Tamil Nadu is a big player. Are we sensing on specifically MSME, any demand which is supporting the bank for business growth?

Shri Binod Kumar, MD & CEO

Yeah. So, I will reply it. There was some stress in textile sector. So now, we are seeing sign of revival in that.

Sushil Choksey , Analyst

So, prospects of business for Indian Bank may get better in that segment?

Shri Binod Kumar, MD & CEO

In this sector. Yes.

Sushil Choksey , Analyst

Okay. And, sir, any specific digital spends which we are likely to this year and human resource as you have taken so many initiatives, which will be very important for the bank?

Shri Binod Kumar, MD & CEO

Yes, of course, our IT spend will be in the range of approximately Rs. 1,500 crores for this year also. Last year also, it was around Rs. 1,400 crores, Rs. 1,300 crores. So, it will be in that range.

Manpower, also, we are around 3,000 fresh hiring will happen in this year. So out of that part will be in a specialized sector, like we are also going for cybersecurity, IT sector, risk management, Forex officer. So specialized hiring will also happen and generalist hiring will also happen.

Sushil Choksey , Analyst

So, you highlighted in your opening remark that you will be opening 119 branches in the 119th year. Very good luck for that. These branches are likely to be more of metro tier two cities or interiors.

Page 19 of 19 Shri Binod Kumar, MD & CEO

See in few of the sectors, my presence is not much , like in Mumbai, Gujarat, even Rajasthan. Some Sectors , they are . If you take Mumbai or Gujarat, they are contributing around almost 35% to GDP. Our presence is only 7%. So, in these sectors, we'll open the branches wherever potential is there. We will not ; it will not be a specific to any metro or urban area. But in this sector, we will be opening branches.

Sushil Choksey , Analyst

This will be along with your mid corporate, large corporate or it will be all specific branches, more of retail.

Shri Binod Kumar, MD & CEO

No, it will be general branches.

Sushil Choksey , Analyst

Thank you and good luck for the year and best wishes to the entire management. Yeah. Thank you.

Anand Dama (Host – Emkay Global)

Thank you, Sushil ji. We will take that as a last question. With this, we come to the end of Indian Bank's post results conference call for first quarter FY26. I now request the management to give their closing remarks.

Shri Binod Kumar, MD & CEO

We have already discussed everything but two, three things. Asset quality, I mean we are on very right track on the asset quality. Gross NPA, we have given guidance of less than 3, but may be, we will do better than that. Slippage also will be able to maintain a healthy number. And growth also, we will be around whatever guidance given. Our endeavor will be to on the upper band of our guidance. And profit also we will see steady profit because I don't believe in the one quarter going showing a very good numbers and then second quarter going down. So, our endeavor will be to provide steady growth or steady decline, wherever decline is there like gross NPA, net NPA, steady decline will ensure. Thank you, Anand ji.

Anand Dama (Host – Emkay Global)

Thank you, sir. We thank the management, and we thank all the participants. Have a happy evening. Have a good day. Bye -bye. Thank you.

Shri Binod Kumar, MD & CEO

Thank you. Thank you.

INVESTOR SERVICES CELL

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Dear Sir / Madam,

Subject: Transcript of Post Earnings Concall / Meet

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This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary

Encl : A/a

Indian Bank Q 2 FY'26 Results
Post Earnings Conference Call / Meet
Held o n 16.10.2025

Transcript

Management:

Shri Binod Kumar
MD & CEO

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Shri Brajesh Kumar Singh
Executive Director

Moderator:

Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd.

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Page 1 of 27

Anand Dama (Host – Emkay Global)

Good evening, ladies and gentlemen. I welcome you all to Indian Bank's Post Results Conference call for the Second Quarter of Financial Year 2026, hosted by Emkay Global.

From the top management, we have with us Shri Binod Kumar, who is MD & CEO, and we have Executive Directors, including Shri Ashutosh Choudhury Ji, Shri Shiv Bajrang Singh Ji, Shri Brajesh Kumar Singh Ji.

First, I would request MD sir to briefly summarize the key highlights from the second quarter FY'26 results, including on the growth margins and asset quality front. And sir, there are a lot of RBI directives, which actually came through recently, including ECL , directives on M&A, project financing, and all, would request if you can make any comments on these as well in your opening remarks. Over to you, sir.

Shri Binod Kumar, MD & CEO

So good evening, everyone, and let me at the outset, I wish all of you and your family members very happy and prosperous Deepawali, which is, only a couple of days from today. Thank you, Anand, and really, I mean, host of regulations RBI has declared during this MPC, we will discuss a few of them. As regards to the number of the Bank, on growth side also bank has done reasonably well, asset quality side also Bank has done reasonably well, and profitability side bank has done reasonably well.

If you see, total business has grown by 12.34% and has reached Rs. 13.97 trillion and sequentially also it has grown by 3.85%. Total CASA has also grown YoY 7.23% and sequentially 4.23%. Advances has grown by 12.65% and sequentially 3.19%. RAM has grown by 15.57%, sequentially 3.42%. We have been able to maintain CASA of around approximately at the same level as of the last quarter, 38.97%, and now it is 38.87%. CD ratio is healthy , less than 80%. So, we have been able to maintain CD ratio also and CASA ratio also.

One thing I will just share with all of you. We have also sold around Rs. 12,000 crore of IBPC and generated funds at lower cost that will give benefit in the quarter to come. Coming on the asset quality front, net profit has grown 11.49% on annual basis and 1.51% sequentially. Operating profit has also grown by 2.31% annually and 1.40% sequentially. Net interest income has grown by 5.76% annually and 3.02% sequentially. We have been almost able to maintain overall NIM at 3.23%, global NIM at same level. Domestic NIM

also, only marginal decline of 1 basis point from 3.35 to 3.34. So, we have been able to contain that downward trajectory. Return on asset also we have been able to, contain the downward trajectory. 1.34 it was in Q1, and it is 1.32 in Q2. Return on equity is 19.58%. Staff expenses almost has seen a growth of 7.55%. Other expenses also has seen a

Page 2 of 27

growth of around 8.92%. Cost to income ratio has gone up a little bit, but if you see in Q2 last year also cost to income ratio pivoted compared to Q1 it has gone up by 89 basis points. So it has gone around 48 and around 70 basis points this quarter also, but few expenditures were booked in this quarter, which may not be in the next quarter, so subsequently we will be able to contain this cost to income ratio to our guidance level. Provision coverage ratio also increased from 98.20% to 98.28%. Credit cost, again, we have been able to maintain at 0.28% in Q1. It has come down to 0.26% in Q2. Cost of deposit has come down by 13 basis points sequentially, and yield on advances has also come down 18 basis points sequentially. Capital adequacy ratio is healthy at 17.31% with CET 1 at 14.80% and AT 1 is 0.47%.

Gross NPA, it has come down by 41 basis points from 3.01% to 2.60% and net NPA is at 0.16%, come down by 2 basis points. Slippage ratio, it has come down from 0.94% to 0.79%, and overall recovery is more than slippage even in this quarter, and since September 22, we have been able to

maintain recovery more than slippage. Recovery for this quarter is Rs.1,641 crore, out of that AUC recovery is Rs.607 crore. I am keeping all that guidance intact, will not repeat, already you must be having these numbers. One guidance I am revising, gross NPA guidance I am revising from, earlier it was less than 3%, now we will be able to bring it down to less than 2%. So that one guidance I am revising, maintaining rest all the guidance intact. Recovery, etc. also on the track against the guidance of between Rs.5,500 crore to Rs.6,500 crore. We have been able to recover total of around Rs.3700 crore.

A few initiatives we have taken, like on CASA, as I have told earlier also, CASA is a challenge, so we have taken host of measures on increasing CASA. We have launched six products in Q1. We are seeing good traction in that, we have been able to open around 1.77 lakh accounts in that category, and salary account also, we are focusing on salary account in a big way. Agriculture, if I take off the IBPC part, then my growth in agriculture is 22% and we have taken some initiative in agriculture. We have opened 27 agribusiness cells. So, purpose of that is to diversify our agriculture portfolio to food processing industry and production agriculture credit. We have also opened two microset branches, which cater to the needs of SHG. We have seen increased use of Agent AI-based wise calling, which we launched in the last week of the quarter, and we are seeing good traction in that, which will also help in reducing our SMA book.

So, coming to the point of ECL impact, still we are assessing, but one thing I would like to share with all of you is that, we have made provision of SMA 1 around Rs. 400 crore in this quarter. So, well, as per the definition, SMA 1 will be stage 2 and in the draft guidelines of ECL, SMA 2, stage 2 has to make around 5% provision, so that we have initiated in this quarter, and going forward also we will be maintaining that. ECL, we have some numbers, but that number we are still working on. Once that number is finalized, we will share with all the analysts and media also. We are working on that, but one thing I will assure all of

Page 3 of 27

you, impact will not be very huge. We will be able to maintain, I mean, five years may not be required, maybe in one year itself we can do that. Preliminary that is the guidance.

Then, merger and acquisition, RBI has given directions on merger and acquisition, so that is also a good thing I will say, that will help also give impetus to the credit demand. There are only two challenges I see. First, I have to see the quality of the acquirer, who is going to acquire, they should have sound financials, and then the method of valuation. So that is the only challenge, method of valuation, how valuation of the going concern is to be arrived. RBI has also come out with many things to ease of doing business. They have given like transaction account also. So, there were some restrictions on the current account opening, so they have proposed some easing in that also. In AIF also a lot of easing has been done. So, host of regulations and new Basel guidelines, new credit risk guidelines are coming. So good moderation has been done on the risk weight side for rated category, and also on the home loan sector, housing loan sector, so many things on MSME also. So, a lot of positive things have been done, and we see positive impact on the capital adequacy of the banks on account of that, which will help in driving credit growth.

Account opening, I will also touch since we are focusing on account opening. We have been able to open around 15.92 lakh accounts in this quarter, and good thing is that average balance in savings funds is going up. In Q1, it was Rs. 25,000 crore. In Q2, it has gone up to Rs. 44,000 crore. So that is one good sign I like to share. And

corporate credit, you can see on top of it, growth is around 5%, that's why may be I have been able to maintain my NIM. We are shedding some of the low-yielding advances because of that, otherwise my sanction in corporate book has gone up by, on healthier basis, YoY it has gone up by around 60 basis points. So good traction we are seeing there. And in NBFC, exposure has also come down by around Rs. 6,000 crore as compared to March. So, these are the few measures we have taken.

NCLT recovery has been subdued in this quarter, Rs. 141 crore only, because few of the accounts, which were expected to be resolved in this quarter, may be it will come in next quarter. But total recovery guidance and total AUC recovery guidance, I am keeping that intact, I am not revising that. Because AUC recovery in this quarter was also Rs. 607 crore. So I will request my colleague, Mr. Ashutosh, to discuss about some digital initiatives that we have taken, thereafter, we can go ahead with the Q&A.

Shri Ashutosh Choudhury, Executive Director

Good evening, all. Thank you, MD sir. Till now, up to Q2, we have made 132 digital journey launched. We have 166 fintech partnerships for digital products and processes. Our mobile app, that is, INDSMART, has been rated at 4.4. We have the growth of digital transaction QoQ is Rs. 16.38 crore improvement. The mobile banking transactions, which

Page 4 of 27

are only financial transactions, is Rs. 65.4 lakhs per month, and the UPI transactions have crossed Rs. 3 crore per day, this particular quarter. The digital transaction has improved from 92% to 94%, and similarly, the branch transaction has come down from 8% to 6%. The mobile banking user base has increased by 17%, and the transaction has increased by 12%. The UPI user base has increased by 24% and the transaction has increased by 40%. The Internet banking has shown little less increase, that is 6% user base, and transactions are increased by 4%. The debit card user base has increased by 5% and reached Rs. 3.43 crore, and the credit card user base has increased by 5%. We launched this INDSMART app, which is for retail, and INDSMART Business MSME app. This business MSME app we launched last quarter. This has shown good traction in this particular quarter. The user base has increased to approximately 1.2 lakhs here. The login has increased to 1.2 lakhs, and user base has increased to 5,500. The financial transaction have increased to 71,000 -- more than 71,000, amounting to more than Rs. 640 crore. The consolidated digital business has reached Rs. 3,77,865 crore. If we analyze this particular, up to Q2, the digital business has achieved Rs. 1,23,585 crores as against a target of Rs. 2,25,000 crores. Majorly, it is contributed by the asset side, which is Rs. 1,05,147 crore. Rest is digital liability.

If you see the digital adoption, compared to Q1, we are able to maintain in almost all categories, liability, retail, agri. But if you see in the MSME category, the adoption has increased from 45% to 57%. We have introduced a couple of products. If you see the growth in that particular segment is that our digital liability business growth is 1.3 times. The digital home loan is 2.2 times. The digital vehicle loan is 2.1 times. The digital jewel loan is 1.6 times and digital agri loan is 1.6 times, and digital MSME is 1.4 times.

We have recently launched one product, one platform called VBX in the Global Fintech Festival, that is Virtual Banking Experience. This particular idea was conceived by MD sir, where the customers those who are doing banking transactions but not coming to the branch for the transaction, we identified almost 1 crore of such customers, and for them we designed this particular platform. This platform has three varieties. The highest variety is Spark. Spark debit card we have launched in this GFF with MasterCard and Rupay,

which is offering unlimited lounge access, then travel discounts, free OTT subscription, and various lifestyle benefits there. Then, in RBIH ULI platform, we have introduced Milk Insights, a collaboration with Aavin Milk in Tamil Nadu, and there are some key initiatives. We have launched our INDUPI app, that is like Google and PayTM app. This will help us in the long term to reduce our operational costs. We have introduced cash management services for corporates in August 2025. We are also planning to introduce some new

features in UPI app in collaboration with NPCI, like reset of PIN through facial recognition or facial authentication, biometric authentication for payment up to Rs. 5,000. Then we have introduced new FASTag systems in collaboration with a fintech.

Page 5 of 27

We have introduced a new UPI QR sandbox with a T plus 0 settlement. We have introduced one travel card in Chennai, that is Singara Chennai Card, which is a mobility card for Metro as well as other transport systems. We have introduced one cashless transaction card for IGIMS hospital Patna. Similarly, we have online ticketing platform in Victoria Memorial Hall for Kolkata. We have also tied up with MCX for E-TDR facility for their brokers. Then, in personalized banking, we are going to implement a CRM platform. Then, we have introduced 132 digital journeys that I've already told. So, we have introduced Android ATM. We have introduced Virtual ATM. Then, we have introduced PMJJBY portal for Ministry of MSME. Then we are going to launch a new corporate website very soon.

We are going to work out with Data Lake for a seamless customer experience. Then we are also getting partnership with POS aggregators. Then we are going for a mobile app transaction authenticator with a voice biometric. Then with robo advisors we will introduce digital wealth management services. Thank you, sir. Over to you.

Anand Dama (Host – Emkay Global)

Yeah, thank you, Ashutosh Sir, I think very elaborate digital initiatives that you talked about. In PSU banks, typically we don't tend to hear so many initiatives been taken, good that basically you presented that. Sir now, if you are okay, we can open up the floor for Q&A?

Shri Binod Kumar, MD & CEO

Yeah. Yes.

Questions and Answers

Anand Dama (Host – Emkay Global)

Sure. Participants, if you have questions, please use the raise hand option and then unmute yourself. I think we already have first question from Ajmera ji. Ajmera ji, please unmute yourself.

Ashok Ajmera, Analyst

Thank you for giving me this opportunity first as usual. Compliments to you, sir, and the entire team of the Indian Bank for yet another very good quarter. A very balanced kind of a quarter. Even if you take on the profitability, a reasonably good profit. Whether you talk about the operating profit or the net profit, reasonably good growth in your business, whether you take it the credit growth or the deposit growth. And with this, there is no doubt

Page 6 of 27

that you will not only achieve the targeted numbers but even cross them by may be around, I think, 30% -40% with the way you are going. Having said that, sir, I have got some data points, some information, some small observations, and I would like to have your indulgence, your feedback on that. One is that sir, you said about you touched about that ECL provisioning and now when some of the norms are already cleared, and you said that for SMA 1 that you already started making provision of, I think, you said Rs. 400 crores. So just want to understand, sir, what it would be, like you said that in one year itself also we can do it. So, what kind of ballpark, what kind of figure we are looking at additionally, in addition to the buffer, in addition to the provision, which already have? How much impact can be there, though the period of five years is there you can mitigate,

like

in one quarter losses and this thing. But just an idea to your bank how much on the ECL, I mean, rather hit or provisions, which may be required to be made. This is just one question.

I will just speak about some few more points. On the recovery from the written-off account, sir, we have gone a little bit slow in this quarter as compared to Rs. 716 crores, we are

Rs. 489 crores to overall recovery target as you said that Rs.5,500 crore to Rs.6,000 crore out of that you already made half the way, but still there was pressure in this quarter, so something on that recovery front. Then, there is one PSLC commission, which we earned in the last quarter also and this quarter also, whether that continuity of this kind of Rs. 340 crore per quarter is going to be there. Do you see that it continuously is going to be there. And one component of the income is a miscellaneous income, which has gone up from Rs. 114 crores to Rs. 536 crores .

So, it's a one-time/ one-off kind of an income or it's a recurring income going to be on the quarterly basis. So, these were some of the questions on the fees front. In the provision also, this quarter provisions have gone up little bit higher. There is one item of "others " that is Rs. 57 crores, which has only made the major difference in increasing the provision in this quarter. So, what is this Rs . 57 crore others, and is it going to be a continuous phenomenon in the coming quarters? And some color I would like to have, sir, on the overall treasury book, like how much the AFS profit, which we have generated, have gone directly to the balance sheet? How much profit we have accumulated from there?

Because on the treasury front, every bank is facing in this quarter some problems , like not only I will say problem, but there is a reduction of either you say the income from the investment or the loss of on the re-valuation, and overall investment income has comparatively gone down as compared to the previous quarters. So, these are some couple of questions and observations broadly, yes, going forward on the credit side growth and the deposit and overall business growth, and from where you would like to see it coming from ?

Page 7 of 27

Shri Binod Kumar, MD & CEO

Yeah. So, thank you, Ajmera Ji, I mean, very elaborate questions, and thanks for saying good quarterly number. I will come to impact on ECL in the last. So, recovery in AUC, if you remember my Q1, I have told this number, this quarter number, is exceptional, otherwise I was not expecting that much. Some accounts , which I was expecting in the Q2, has come in the Q1 itself. So whatever guidance I have given of Rs 2,000 crore guidance for AUC, so that is intact, and all accounts, whatever we have identified that recovery will come in these accounts, so that is intact. So we can say last quarter number was better, that's why this quarter number is not looking good, but it is intact.

PSLC per quarter, whatever we have given, we will be, achieving that. It will be continued, because PSLC income, we are not booking in one quarter, we are spreading it over all the quarters. So it will be same in the next quarter also. Miscellaneous income, yes, it is one-off. We have got some IT refund of around Rs. 1,300 crore. We have got interest on that, so on account of that, miscellaneous income has gone up. Provision of other Rs. 57 crores . So non-banking assets , we have made some provision of around Rs. 40 crore and unhedged foreign currency Rs. 22 crores , so that is on account of that. Coming to our treasury book. Treasury book, yes, all treasury books there was a challenge, but if you see my treasury book, MTM loss is there, but MTM loss is basically on account of one account and resolved account. So, during inspection, it was pointed out that since other banks are still maintaining provision, it will be prudent that you also

maintain the provision.

So, we have taken Rs. 87 crores hit in that, because of that my MTM is showing negative, otherwise, there is no impact on the treasury side. Of course, treasury profit has come down as compared to last year. If you see, the yield has hardened from 6.32 to 6.57 in Q2, and that was expected. Yes, of course, because of that treasury income will be challenged. The impact on AFS Reserve is around Rs. 500 crores , and around Rs. 221 crore has gone to profit, and forex profit was a round Rs. 149 crores. So, these were on your specific questions.

Coming to ECL. ECL impact, as I told you, we are still working, but initial calculation says that we will be able to in the first year itself, we will be able to come out of that. There are a few components. We are still working on that. Once that is finalized, then exact number; because I am giving you today some number, again, I am revising that, that will not look good. So we are working on that, as and when this number is finalized, we will definitely like to share with all of you. But rest assured impact will not be much, and we will be able to take that in a stride.

Ashok Ajmera , Analyst

Would you like to revise your target, sir, for the credit growth? Because you're already achieving a good growth, and your target was only 10% to 12%.

Page 8 of 27

Shri Binod Kumar, MD & CEO

Let guidance be there, we will try to do better than that.

Ashok Ajmera , Analyst

All right sir. In this round, Anand, otherwise will not permit me more questions. So may be if time permits, I'll come back again. And all the best to you, sir.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thank you, Ajmera ji. Next question we'll take from Mahrukh. Mahrukh, please unmute yourself.

Mahrukh Adajania , Analyst

Hello, sir, congratulations.

Shri Binod Kumar, MD & CEO

Thank you, Mahrukh.

Mahrukh Adajania , Analyst

Sir, a couple of questions. Firstly, what will be the outlook on NIM for the next few quarters? Because you've done very well on margins, but there will be MCLR repricing as well, right? So, in that context, how will margins behave in the next two to three quarters if there is no rate cut? That's my first question, sir. And then I have one more.

Shri Binod Kumar, MD & CEO

So NIM, Mahrukh, very rightly you told, MCLR repricing, around 40% of my MCLR book will be repriced in the next quarter. Deposit around 21% will reprice in next quarter. So, there will be some pressure on the margin, but that impact will not be very high. So, like this quarter, if you see, I have given higher reduction guidance, but we have been able to maintain at only 1 basis point. Impact will not be much, but if there is assume there is no further rate cut, from Q4. I think it should start picking up.

Page 9 of 27

Mahrukh Adajania , Analyst

Okay, sir.

Shri Binod Kumar, MD & CEO

Q3 It should bottom -up.

Mahrukh Adajania , Analyst

Got it, sir. Got it. And so my next question is, in that -- of course, there was this PSU Bank Manthan, and when you read the agenda or when you read the PIB press release, there was no talk about or discussion about mergers , but as late as yesterday, media channels go on talking about PSU Bank mergers and giving some vague lists, so what are your thoughts? Is there any potential, and is it very, very long -term? Is it near -term? Is it medium -term? How do we view this, because it's very confusing, right? And memories of

mergers -- I know that books are much cleaner now, but memories of mergers aren't too good, so that's why I'm asking.

Shri Binod Kumar, MD & CEO

Yeah. See, ■rst of all, merger, I will say good to the banking industry. If you see health of the banks, all are good. But there was no discussion on this count . I mean, that was a huge gathering, all MD s, all EDs

were there, so such sensitive issues will not be discussed in that type of gathering. So, there was no discussion on that. M ay be Govt. is thinking, but I am not aware at least.

Mahrukh Adajania , Analyst

Because of media reports, even yesterday there was a report in Money Control.

Shri Binod Kumar, MD & CEO

Yeah, I also saw that, but no discussion with us.

Mahrukh Adajania , Analyst

Okay. Okay. That makes sense, sir. Okay, sir. Thank you so much, and all the very best.

Shri Binod Kumar, MD & CEO

Thank you. Mahrukh. Thank you.

Page 10 of 27

Anand Dama (Host – Emkay Global)

Yeah, thank you. Mahrukh. Next question will take from Mona Khetan . Mona, please unmute yourself.

Mona Khetan , Analyst

Hi, am I audible?

Anand Dama (Host – Emkay Global)

Yes, Mona, you are audible.

Shri Binod Kumar, MD & CEO

Yeah, yeah, you are audible.

Mona Khetan , Analyst

Congratulations on a good quarter. Sir, ■rstly, is it possible to share the SMA 1, 2 for the entire book, that is including sub Rs. 5 crore kind of accounts.

Shri Binod Kumar, MD & CEO

Yeah, yeah. Yes. Yes. You can take. I can give you. SMA 1 and 2, you are asking?

Mona Khetan , Analyst

Yes.

Shri Binod Kumar, MD & CEO

SMA 1 is Rs. 10,041 and SMA 2 is Rs. 8,926 So taken together around, approximately Rs. 19,000.

Mona Khetan , Analyst

Okay. And you mentioned of Rs. 4 billion provisions or Rs. 400 crore provisions against

SMA 1 book, so this was entirely made in this quarter or include something.

Page 11 of 27

Shri Binod Kumar, MD & CEO

Yeah, yeah, this quarter only.

Mona Khetan , Analyst

Okay. Okay , and so if I have to understand your standard provisions that you have made through the quarters, where would it stand at today, barring the minimum requirements? You've been making some excess provisions, if I'm correct. What would all of this add up to if I have to look at that number today?

Shri Binod Kumar, MD & CEO

In fact, we have not added up, because if you add up that will give us complacency, so we have not added up. But like I told we have started SMA 1, and like last quarter also you are asking the question, like we are also making provision for SMA 2 already, 10% we are providing. So, like wherever we see that there is some requirement, we are making provision, but we have not made any attempt to add it up.

Mona Khetan , Analyst

Okay. Okay. So, SMA 1 Rs. 400 crore you've provided, and SMA2 10% provisions you have already made.

Shri Binod Kumar, MD & CEO

Yes.

Mona Khetan , Analyst

Okay, got that. And just on the other income bit, when I look at core fees, it's come down about 7% year -on-year despite a 14% loan growth, so what explains that? The limited growth in core fee items for you.

Shri Binod Kumar, MD & CEO

Other income, you are talking?

Mona Khetan , Analyst

Yeah, the core fee income.

Page 12 of 27

Shri Binod Kumar, MD & CEO

So, minimum balance charges we have waived, so the impact of that is around Rs. 125 crore quarterly.

Mona Khetan , Analyst

Okay. Okay. So that is the main item which falls under the transaction fees?

Shri Binod Kumar, MD & CEO

That comes under the transaction fees. Yes, true.

Mona Khetan , Analyst

Okay. Okay. Got it. Thanks a lot. I'll come back in the queue.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thank you, Mona. Next question we'll take from Nitin Aggarwal . Nitin, please unmute yourself.

Nitin Aggarwal , Analyst

Am I audible?

Shri Binod Kumar, MD & CEO

Yeah. Yes, audible.

Anand Dama (Host – Emkay Global)

Yes, you are audible.

Nitin Aggarwal , Analyst

Yeah. Hi, sir. Good evening, and congratulations on a very consistent and healthy performance.

Page 13 of 27

Shri Binod Kuma

r, MD & CEO

Thank you, Nitin.

Nitin Aggarwal , Analyst

Sir, I have a question on the ECL transition. While you mentioned that you want to talk about the number later on, but just like when we have started making these provisions, this quarter we made Rs. 400 crore of provisions. What kind of PCR will you look to maintain as the bank migrate to ECL? Will it remain as high as to what it is or will you want to take it down? Because such a high 93% PCR may not be really needed once banks migrate to ECL. What is the thought process on that line?

Shri Binod Kumar, MD & CEO

So, in initial days, definitely this 98% will look very high. But gradually in long -term may be when bank has inherent strength, then always better to have some cushioning.

Nitin Aggarwal , Analyst

Right. So basically, the provisioning number that you are working with and are providing for is keeping the PCR level broadly unchanged in the initial days as you migrate to ECL, is that right?

Shri Binod Kumar, MD & CEO

You can say so.

Nitin Aggarwal , Analyst

Yeah. Because the reason I ask is, PSU Banks, today, they have materially higher PCR versus private banks, but they don't have as much of contingent provisions, so will...

Shri Binod Kumar, MD & CEO

But see, Nitin, if you go through the guidelines, in initial days, in any case, we will have to maintain that. They are saying, if account is upgraded, you cannot write it back provision also. So cooling period they have also introduced in case of upgradation.

Nitin Aggarwal , Analyst

Okay, okay, sir. So the other question is on the micro enterprises. How are you seeing
Page 14 of 27

the credit environment there? That's like a significant exposure for us and that piece we are not growing. So, when do you look to resume growth in that space, and does this pose any asset quality-related kind of worries going down the line? Not immediately, but down the line. How do you read that?

Shri Binod Kumar, MD & CEO

But my growth in micro is better. Out of my MSME book, growth in micro and small is better. I don't have exact number that I can share with you. Yes, micro 3.29%. Okay, okay. From there it is coming. Okay. So, some IBPC we have sold out of micro. Because of that, that number is looking subdued.

Nitin Aggarwal, Analyst

Okay. But otherwise, sir, how are you looking at the credit environment in this space? Because otherwise medium and small are doing fairly strong in 25% and 30% growth, but herein.

Shri Binod Kumar, MD & CEO

There, as you see, we are all talking about some stress in a smaller segment, so because of that we have put some restrictions on the branches also like that they have to take up administrative approval from one step higher. If you see the slippages also happening, that is happening also in the smaller category only, because of that only we have kept some restrictions on that.

Nitin Aggarwal, Analyst

Okay. Okay, sir. And the last question is on CASA. When you mentioned that there is pressure on CASA, but we have reported a fairly healthy growth in both CA and SA this quarter. So, between CA and SA, is there any one segment wherein you are more optimistic when you look at the overall CASA growth? Because our CA mix has been like a little over 5%, So do you see any room to grow CA mix if not SA, or any color around these two like deposit segments.

Shri Binod Kumar, MD & CEO

We definitely like to grow in CA, but CA is very volatile. Some sustainability -- actually, we are working on various strategies so that we can get some CA -- stable CA, like various - - we are going for some collection accounts also. We are going for fees collection account also. We have some good products, which is being used by many universities also. So we are trying to replicate it in other universities also. Of course, CA is also there, but my
Page

15 of 27

focus is on SA, so that salary account, if you can get, that will give us good opportunity to cross-sell also. So more focus is on salary account. Of course, all accounts are welcome, but salary account we are focusing little aggressively.

Nitin Aggarwal, Analyst

Okay. Okay. Sure, sir. That's very useful, sir. Thank you so much.

Shri Binod Kumar, MD & CEO

Thank you, Nitin.

Anand Dama (Host – Emkay Global)

Thank you, Nitin. Next question we'll take from Jay Mundra. Jay, please unmute yourself.

Jay Mundra, Analyst

Yeah. Hi. Good evening, sir. Thanks for the opportunity, and congratulations on the good numbers.

Shri Binod Kumar, MD & CEO

Thank you, Jay.

Jay Mundra , Analyst

The first question, on agri gold loan, sir, if you can quantify how much is the total gold loan at the bank, and within which, how much is agri and non -agri for this quarter, and maybe YoY number.

Shri Binod Kumar, MD & CEO

Total agri, I remember Rs.1.04 lakh crore . Total is how much? Rs.123 lakh crore, total gold loan book is Rs. 123 lakh crore, out of that agri is Rs. 1.04 lakh crore.

Jay Mundra , Analyst

Okay. And sir, if you have the number for last quarter also, Q1 FY '26, last quarter just to get a sense.

Shri Binod Kumar, MD & CEO

Q1 I don't have number here available.

Jay Mundra , Analyst

Sir, have you after the final guidelines on gold loan wherein LTV was generalized...

Page 16 of 27

Shri Binod Kumar, MD & CEO

Yeah. It is in presentation, jewel loan. Agri jewel loan, non -priority it is there , Rs. 12,000 crores. presently it is Rs. 14,000 crores , but you are asking total . Total we will give you.

Jay Mundra , Analyst

Sure. Sir, after RBI changed the Rule , I mean, they have given the banks that you can change the LTV on non -consumption loan, have you done any changes in the gold loan product after the RBI has liberalized the LTV?

Shri Binod Kumar, MD & CEO

No, we have not changed. We have not changed any LTV.

Jay Mundra , Analyst

Okay. Sure. And sir, on this thing, this quarter -- okay, so leave it there. So that is one. Sir, on ECL, I think Nitin was also asking the same thing. I'll ask in a different way that when you say that ECL impact is manageable, and we may not need to amortize, when you do that calculation, do you account for the write back that you may have possibly from such a 90% plus PCR or that is the gross number that you believe is so manageable that you can do it in one year itself.

Shri Binod Kumar, MD & CEO

No, write back also.

Jay Mundra , Analyst

Okay, so that number is after assuming some write back, given the ...

Shri Binod Kumar, MD & CEO

After write back also, yes.

Jay Mundra , Analyst

Okay. Sir...

Shri Binod Kumar, MD & CEO

That's why I'm saying -- actually, that's why I'm not giving the number. Write back, we are still thinking, should we take write back, should we not? Because if you see, we have to maintain provision even if account is upgraded. So, we'll have to think, actually, that's why we are not sharing the number. Once our number is finalized and we internally are convinced.

Page 17 of 27

Jay Mundra , Analyst

Right. And sir, the draft guidelines, I think they are silent, right? If you can write back or if you not write back or what is your reading? I mean, what do the draft guidelines say in terms of provisions already created? Can you write back or cannot write back ?

Shri Binod Kumar, MD & CEO

Guidelines does not speak anything. If I have gone through correctly and understand correctly, there is no discussion on that point at all.

Jay Mundra , Analyst

Right. Okay. And sir, on Stage 2, right, so your SMA 1 plus 2 is Rs. 19,000 crore, which is roughly 3% of the book. Is that a number of good proxy for Stage 2 assets, or would there be over and above this number or lesser than this

number? How should one look at stage 2 as per draft guidelines?

Shri Binod Kumar, MD & CEO

I think that should be a good. SM A 1 and 2 combined should be good. Yes. So upgraded accounts will also come under Stage 2.

Jay Mundra , Analyst

But that are very small number, right? I mean, even though if you wait for...

Shri Binod Kumar, MD & CEO

Yeah, yeah.

Jay Mundra , Analyst

Okay.

Shri Binod Kumar, MD & CEO

But SMA 1 and 2 will be a good proximity for a Stage two.

Jay Mundra , Analyst

Right. And sir, there is an improvement in SMA 2 in corporate book. Is that a state government account or what?

Shri Binod Kumar, MD & CEO

Yeah, yeah, that account has gone to SMA 0. That is oscillating between 0 and 2.

Page 18 of 27

Jay Mundra , Analyst

Right. Anyway, it was a state government account, right? So you have got the money, right? Is that understanding ?

Shri Binod Kumar, MD & CEO

Yes. Yes.

Jay Mun dra, Analyst

Okay, sir. Thank you, and all the very best.

Shri Binod Kumar, MD & CEO

Thank you. Thank you, Jay.

Anand Dama (Host – Emkay Global)

Thank you, Jay. Next question we'll take from Jayant Kharote from Axis. Jayant, please unmute yourself.

Jayant Kharote , Analyst

Thanks Anand. Congratulations, sir, on a good set of numbe rs. So ■rst, again, going back to the NIM discussion, can you clarify that 40% number in 3Q repricing? You mentioned overall book or the MCLR book ? Also for the deposit book? .

Shri Binod Kumar, MD & CEO

MCLR book. MCLR around , so whatever, say, my MCLR book is 48%. So, 40% of that will be repriced in Q3, and similarly, out of total term deposit, 22% will be repriced in Q3.

Jayant Kharote , Analyst

And sir, what is the current status of how much of the total book has already been repriced in MCLR? So Q4 will also have some bunching up, right?

Shri Binod Kumar, MD & CEO

Q4 also, yes. Q4 is also there. Okay. So more than that, you can say around 50% to 60%

has already been repriced.

Jayant Kharote , Analyst

Okay, sir. Sir, actually, I'm not able to get the math. If 50%, 60% is repriced, and you're seeing another 40% gets repriced in Q3, then Q4, we would have already repriced the whole book.

Page 19 of 27

Shri Binod Kumar, MD & CEO

That's why I'm saying it should bottom out in Q3. See, some repricing will always happen, but rate cut started .

Shiv Bajrang Singh , Analyst

Three months, up to three months MCLR will keep on repricing.

Shri Binod Kumar, MD & CEO

Only one year MCLR impact will come in Q4.

Jayant Kharote , Analyst

Understood, sir. But you're saying that the bulge will be behind us from Q3.

Shri Binod Kumar, MD & CEO

Yeah.

Jayant Kharote , Analyst

That is what I understand.

Shri Binod Kumar, MD & CEO

Yes. Yes.

Jayant Kharote , Analyst

And in TD you are expecting. Actually, TD can keep releasing you some gains in Q4.

Shri Binod Kumar, MD & CEO

TD bulk repricing will happen in Q4 because rate has not gone down substantially . You can say upto Q1 at least, rate has not gone down substantially.

Jayant Kharote , Analyst

Understood, sir. Sir, you said there was some IT refund. Pardon my ignorance. You don't capture IT refund -- interest on IT refund in your NIMs, do you by any chance, and if that was the case...

Shri Binod Kumar, MD & CEO

No, no, no, we don't. That comes as part of other income.

Page 20 of 27

Jayant Kharote , Analyst

Understood. And in Q3, you are expecting a steady or slight decline and then recovery in Q4.

Shri Binod Kumar, MD & CEO

NIM?

Jayant Kharote , Analyst

NIMs, yes.

Shri Binod Kumar, MD & CEO

Yeah.

Jayant Kharote , Analyst

Sir, second question is on credit growth. We have seen first 15 days post the 22nd GST, how is the uptake? Any products that you want to call out where the numbers are better than your

expectation?

Shri Binod Kumar, MD & CEO

The impact ; I am getting this question from many places, but what I can say. See, so far, we have seen good consumption demand and some good traction, particularly, in vehicle loan. So apart from that, gradually it will come, but we are expecting good traction in a few of the sectors like consumer goods and then vehicle loan . We should see some good traction.

Jayant Kharote , Analyst

Sir, mid corporate segment, is there -- some banks are saying some uptake towards the end of the quarter from mid corporates, are you seeing any of that?

Shri Binod Kumar, MD & CEO

Yeah, mid corporate, of course, also there will be because of the consumption there will be demand.

Jayant Kharote , Analyst

Sir, lastly, on capital release due to the new risk weights, have you done any calculations? How much can it be? The AA book will release some risk weights ?

Page 21 of 27

Shri Binod Kumar, MD & CEO

See, net -net may be -- I mean, very marginal release maybe because, if you see, you have seen the two components. Number one, they have told that PD has to be in the range of whatever they have given one range, so PD has to be in that range. If PD of the external rating agency is not in that range then it will be capital charge for the lower rating category will be applied. So there will be some increase there also. And one component CCF, you have seen CCF on the under -on portion. There also they have increased some multiplication factor. So, net-net there may not be very substantial improvement in the capital, maybe 5 to 10 basis points.

Jayant Kharote , Analyst

Great. Thank you very much, and congratulations once again for a great set of numbers.

Shri Binod Kumar, MD & CEO

Thank you. Thank you, Jayant.

Anand Dama (Host – Emkay Global)

Thank you, sir. We have one question in the chat box. And it says that you have SMA 1 and SMA 2 book somewhere about Rs. 19,000 odd crores, loans below even Rs. 5 crores, and if one assumes about 5% of that it comes down to about Rs. 1,000 odd crores of provision that you will require. And of that Rs. 400 crores you've already done, so whether you intend to finish off the entire ECL provisioning of additional about Rs. 600 crores in just FY26 itself.

Shri Binod Kumar, MD & CEO

No, no, if you talk of SMA 1, SMA 2 only, it is already there. SMA 2, we are providing 10%, already providing 10% on SMA 2, and 5% we have started now in SMA 1.

Anand Dama (Host – Emkay Global)

Okay. So, on SMA 1, basically, you should be largely done in terms of provisioning in FY26 itself, right? That's a fair understanding.

Shri Binod Kumar, MD & CEO

Yeah, yeah.

Anand Dama (Host – Emkay Global)

FY27, we will not have any ECL -related impact.

Shri Binod Kumar, MD & CEO

Stage 2. On account of Stage 2.

Page 22 of 27

Anand Dama (Host – Emkay Global)

And on Stage 1.

Shri Binod Kumar, MD & CEO

Other factors we have some impact.

Anand Dama (Host – Emkay Global)

Sure. Sure. And sir, on the PSLC fees, this quarter was about Rs. 340 crores. You said that, I think, you're spreading the PSLC fees over four quarters. But versus first quarter, the PSLC fees obviously were better in second quarter. Now, there is a change in the guideline, do you expect this Rs. 340 crores, Rs. 350 crores kind of run rate in third and fourth quarter as well, or it should go up?

Shri Binod Kumar, MD & CEO

No, no. I think it will be maintained at this level only. Because, see, if you are not selling further PSLC in the H2, there will be no addition in the PSLC income.

Anand Dama (Host – Emkay Global)

Right, sir.

Shri Binod Kumar, MD & CEO

So, it will be maintained at this level.

Anand Dama (Host – Emkay Global)

Sure. Sir, last two questions, we'll take from the participants, one from Ashlesh and then from

Bhavik. Ashlesh, please unmute yourself.

Ashlesh Sonje , Analyst

Hi, sir. Good evening.

Shri Binod Kumar, MD & CEO

Good evening, Ashlesh.

Ashlesh Sonje , Analyst

Sir, just a clarification on the ECL part. If I understand correctly, you already have 98% PCR, you have another 5% coverage on SMA 1, 10% on SMA 2, then for which set of loans do you require any additional provisions for that?

Page 23 of 27

Shri Binod Kumar, MD & CEO

LGD stage 1. On a standard book, we will require stage 1, and there they are asking for LGD of 65%. So, requirement in that segment will be higher.

Ashlesh Sonje , Analyst

Okay. And approximately what is the coverage do you expect on that ?

Shri Binod Kumar, MD & CEO

And also one component, if you have gone through, on eligible collateral, normally we are maintaining 0% risk weight. They have asked now 45% LGD. So on that count also we will have to provide. I mean, we will have to make provisions.

Ashlesh Sonje , Analyst

Understood, sir. And roughly what is the coverage you will expect on Stage 1?

Shri Binod Kumar, MD & CEO

I didn't get you.

Ashlesh Sonje , Analyst

What ECL coverage do you expect to eventually maintain on Stage 1 loans?

Shri Binod Kumar, MD & CEO

It depends on how much requirement comes, Shri Ashutosh Choudhury , Executive Director
Normally 1.5 points.

Shri Binod Kumar, MD & CEO

It is coming around 1.5%.

Ashlesh Sonje , Analyst

Understood, sir. And the current provisions would be roughly around 40 basis points.

Shri Binod Kumar, MD & CEO
Yeah.

Ashlesh Sonje , Analyst
Okay, sir. Thank you.
Page 24 of 27

Shri Binod Kumar, MD & CEO
Thank you. Thank you, Ashlesh.

Anand Dama (Host – Emkay Global)
Hello.

Bhavik Shah , Analyst
Hello. Yes. Hi, sir. Thanks for the opportunity. Congrats on the good numbers . On MCLR, core have taken cut of 65 basis points. We have also taken a term deposit cut from the one, two, three -year bucket by 60 basis points. We have also cut SA rates. We have also cut SA rates. Sir, our MCLR cuts in one -year bucket have only been 25 basis points versus large credit banks, they have cut one -year MCLR by 75 basis point. Sir, why such a disconnect? So, would we accelerate MCLR cuts going forward, or we are good, incrementally we won't.

Shri Binod Kumar, MD & CEO
No, actually, see, MCLR is formula -driven. RBI has given formula, we are putting input in that, and whatever it is coming we are taking that, and it is marginal cost of funding formula. And if you see, marginal cost of bulk deposit has gone down, but on term deposit, which is the core term deposit, which is the major component of our resources, there rate has not gone down substantially, so because of that only MCLR reduction is a little subdued.

Bhavik Shah , Analyst
Okay, sir. Sir, There's component of return on equity also in the MCLR Computation. So, would we be using 18%, 20% or it will be lower than that?

Shri Binod Kumar, MD & CEO
Return on equity, around 18% to 20% we will be maintaining.

Bhavik Shah , Analyst
Okay. And sir, on ECL , I just wanted to confirm the 400 crore provision currently lies in your standard book, right? They are not a part of MCLR. They are already a part of specific, which will reverse it to standard.

Shri Binod Kumar, MD & CEO
Yeah, that is part of a standard book, SMA 1.

Page 25 of 27
Bhavik Shah , Analyst
Understood, sir. Thank you.

Shri Binod Kumar, MD & CEO
Thank you, Bhavik

Anand Dama (Host – Emkay Global)
Sir, we just take last question from Gaurav Kocha r. Gaurav, please unmute yourself. Maybe we can't hear Gaurav. I think Kunal was there. Kunal, you want to ask a question?

Kunal Shah , Analyst
Yeah. Am I audible?

Anand Dama (Host – Emkay Global)
Yeah, Kunal, please go ahead.

Kunal Shah , Analyst
Yeah. So just

wanted to reconfirm. So now this Rs. 400 crores of provisioning that is coming in the standard asset provisioning through P&L. So that's the correct assumption. Otherwise, maybe here was a write back in the standard asset provisioning, but I think because of this

line item it is showing like almost a similar number like a last quarter.

Shri Binod Kumar, MD & CEO

Yeah. There was some release in other segments, so because of that, it is looking like similar number.

Kunal Shah , Analyst

Okay, okay. And just to maybe looking at what you are indicating, it seems like from this Stage 3 provisioning, we are not looking to allocate much of the provisioning towards Stage 1 and Stage 2, and it will be the incremental provisioning that we will create. So, is that the fair assumption?

Shri Binod Kumar, MD & CEO

Yeah, yeah. Yes.

Kunal Shah , Analyst

So, this is our conservative, or this is something which is being indicated.

Page 26 of 27

Binod Kumar, Analyst

No, no. See, what I am saying, so the account which is upgraded write back may not be a lot in these certain accounts. But we have some additional provision in Stage 3, then of course, in final calculation that will be taken care. But if some account is upgraded, whatever upgradation, provision of that will not be written back immediately.

Kunal Shah , Analyst

Okay, okay, got it. But maybe when we are looking to create Stage 1 provisioning of 1.5, and even like say Stage 2 provisioning, which you are already carrying at 10% odd, so this Stage 1 can actually come from the additional provisioning which is sitting in the Stage 3.

Shri Binod Kumar, MD & CEO

Stage 3. Yes.

Kunal Shah , Analyst

Okay. Okay, got it. Yeah, thanks. Thanks.

Shri Binod Kumar, MD & CEO

Thank you, Kunal.

Anand Dama (Host – Emkay Global)

Thank you. Kunal. I think Gaurav is connected, sir. So he just want to ask a question. Yeah, Gaurav, please unmute yourself. I think we can't still hear Gaurav. So, I think he has put the question in the chat box. What is the miscellaneous income that you have put out? So, I think you mentioned that miscellaneous income is higher because of interest on IT refund. But most other banks tend to put the interest on IT refund in the interest income, the other interest income. So why is that we put it into other income? And if it is, so why is the other interest income also higher?

Shri Binod Kumar, MD & CEO

I mean, this is accounting policy of the bank. We are booking each under miscellaneous income.

Gaurav , Analyst

We have seen the FAQs at RBI, there also it is given that we have to book under other income. Yes.

Shri Binod Kumar, MD & CEO

And other in interest income not much difference, Anand, 600 to 610 only sequentially.

Page 27 of 27

Anand Dama (Host – Emkay Global)

Okay, sir. So that was the question which was there from Gaurav.

Shri Binod Kumar, MD & CEO

Okay.

Anand Dama (Host – Emkay Global)

Yeah. I think we have answered all the questions. So we'll take basically that as a last question, and with this, we can come to the end of the Indian Bank's post results conference call. Sir, do you have any closing remarks to make?

Shri Binod Kumar, MD & CEO

I think all the points have been discussed, and whatever guidance we have given, we are on track of that. We are committed to maintain that. One one guidance I have revised, Gross NPA. I have given less than 3%, now I'm revising it to less than 2%. Rest all the guidance and we are on track of whatever guidance we have given.

Anand Dama (Host – Emkay Global)

Sure, sir. That's very helpful. On behalf of Emkay and the management of Indian Bank, I thank all the participants for joining and happy evening and Happy Diwali. Thank you, sir.

Shri Binod Kumar, MD & CEO

Thank you. Thank you. Happy Deepawali once again to all of you.

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For Indian Bank

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Transcript

Management:

Shri Binod Kumar
MD & CEO

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Shri Brajesh Kumar Singh
Executive Director

Ms. Mini T M
Executive Director

Moderator:
Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd.

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Page 1 of 21
Anand Dama (Host – Emkay Global)

Good evening, ladies and gentlemen. I welcome you all to Indian Bank 's Post Results Conference Call for the Third Quarter of Financial Year 2026, hosted by Emkay Global. From the top management, we have with us Shri Binod Kumar, MD & CEO , Shri Ashutosh Choudhury, Executive Director , Shri Shiv Bajrang Singh, Executive Director , Shri Brajesh Kumar Singh, Executive Director , and Ms. Mini TM, Executive Director.

First, I would request the MD sir to briefly summarize the key highlights from the Q3 FY26 results and also provide strategic direction on growth, margins, and asset quality, post which we'll have the Q&A session. Over to you, MD sir.

Shri Binod Kumar, MD & CEO

Good evening, all. Thank you, Anand, for hosting, and all the participants for joining. We have just published our results, and the total business of the Bank grew by 13.34%, R s 14.30 trillion. Deposits reached R s 7.91 trillion with a YoY growth of 12.62%. CASA also, with a growth of 9.86%, reached to R s 2.96 trillion.

Advances also, one thing I will highlight , my bulk has remained at the same level whatever it was in the September. Global advances grew by 14.24% and reached R s 6.39 trillion. Corporate grew by 8.16% and crossed Rs 2 to 2.01 trillion. RAM grew by 16.65% and reached Rs 3.90 trillion. Retail grew by 18.54% and reached R s 1.36 trillion. Agriculture also grew by 15.14% and reached R s 1.49 trillion. MSME grew by 16.41% and reached R s 1.05 trillion. My CD ratio is 80.77%.

Coming to P&L, net profit grew by 7.33% and reached R s 3,061 crore . Operating profit also grew by 5.79% YoY and sequentially 3.87% and reached R s 5,024 crore . First time we have crossed operating profit of R s 5,000 crore . Net interest income, we have seen growth of 7.5% YoY and 5.27% QoQ , and reached R s 6,896 crore . Domestic NIM has improved sequentially from 3.34% to 3.40%.

ROA also , I mean, there is marginal decline from 1.32% to 1.30%, but that is well above the guidance whatever we have given of 1.20% . 1.32% is for the nine -month ROA. Provision coverage ratio is at 98.28%. Cost -to-income ratio of 46.90%. Credit cost 0.21%. Capital , we are well capitalized, 16.58%. R s 2,000 crore of Tier 1 bond has retired , but we have not gone for raising fresh Tier 1, because we are still well capitalized. CET1 is 14.54%. Gross NPA has come down to 2.23% and net NPA 0.15%.

Fresh slippage during the quarter has been R s 997 crore , and recovery is R s 1,453 crore . If I talk of the nine -month recovery, nine -month recovery is approximately Rs 5,20 0 crore, to be precise Rs 5,153 crore , against a guidance of between R s 5,500 crore to Rs 6,500 crore . So, we are on track of that. Slippage ratio has come down from 0.79% to 0.69%, which is within the guidance. Slippage in absolute number is also only R s 997 crore . SMA , it has come down substantially. There is substantial improve ment in SMA , from 11.88%, it has come down to

Page 2 of 21

5.05%. SMA 2, on top of it, it seems like it has gone up from R s 632 crore to Rs 3,689 crore . But there are two PSU accounts which keep on oscillating in SMA , at times it is in SMA 0 , 1 or 2. So, because of that, if we take out that number, SMA 2 is also very much under control.

My MCLR -linked loan book is 46.07%, and out of that, repricing in this quarter is also due of around 37%, next quarter also, wherever quarterly reset or half -yearly reset is there, so that is 20%. Deposit also, repricing is due 18% in this quarter and 53% in next quarter.

Many initiatives we have taken for CASA. CASA, like salary account, as I have been discussing in previous quarters, we are focusing hugely on CASA. Salary account also, and this quarter, we have provided fintech solution to around 22 different state government departments. We have added non -SNA account of more than 1,000 ac

counts, and average balance in savings fund accounts has gone up from R s 26,000 to R s 36,000. Similarly, average balance in current account has also gone up from R s 2.12 lakhs to R s 2.44 lakhs and we have launched five new products in July. So, in that product, we have opened more than 5 lakh accounts and we have garnered business of R s 1,500 crore in that.

Account opening also, we are seeing good traction. Whatever it was opened last year, we have surpassed that in nine months itself. Savings fund, current account, and sanction also , whatever it was sanctioned in the last financial year, R s 2.62 trillion. So far in these nine months, we have already sanctioned R s 2.95 lakh crore . We are also focusing on non -fund business, and that's why there is improvement in the processing charges and LC/BG commission, there is improvement we have seen in our traction. AUC recovery, we have guidance of R s 2,000 crore . We have already reached that figure R s 2,000 crore we have already reached. NCLT recovery, one good account / one chunky account has been recovered during this quarter. In that, around R s 300 crore recovery has come, so through recovery through NCLT is R s 338 crore .

On digital front, we are investing hugely and going forward, I expect that benefit of that has already started, we are accruing , but not to the extent we desire. So , we are taking various measures for increasing our digital adoption so that benefit of that may come to us. Now I will request my colleague, Shri Ashutosh Choudhury, to discuss about the digital products and thereafter, we can proceed with . Last point, we have a good pipeline of around R s 50,000 crore in the corporate credit. Over to Ashutosh.

Shri Ashutosh Choudhury, Executive Director

Good evening, all. The Bank 's digital business footprint is at R s 1.98 lakh crore for Q3 , nine months ended FY26. That is a growth of 66% YoY and cumulative digital business has crossed Rs 4.52 lakh crore . So, our fintech partnership has gone up to 169. The digital transaction has grown by R s 12.54 crore . We have 147 digital journeys now, and our mobile app rating is 4.4 star. The digital transaction is 94% and the branch transaction is 6%.

In digital Bank ing, the mobile Bank user and the transaction has grown 21% and 14%, respectively, YoY. The UPI users and transaction have increased by 21% and 28% YoY. So

Page 3 of 21

the users of internet Bank ing have grown by 5%, and the debit card has grown by 7%. So, our mobile Bank ing app has two features. One is for retail, and one is for MSME. In the retail, we have total number of 2.25 crore customers and having a financial transaction value of 50,000+ crore during this quarter. The best part is that our MSME app, which was launched last financial year in February '25, has a customer base of around 25,000, and the platform has a login of 2.42 lakhs and their financial transaction value is 14,000+ crore during this Q3.

So, the digital business, against a target of R s.2,25,000 crore , we have already achieved Rs.1,98,350 crore till nine month ended, and we are pretty sure to surpass this particular target.

If you see the digital adoption, it has consistently increased YoY. The liability has increased from 37% to 43%. The retail asset has increased from 74% to 92%, agri from 83% to 96%, MSME is from 86% to 94%. We have launched 10 new MSME journeys, so that is yet to pick up. That is why the overall is showing 73%. E -BG issuance has grown from 4% to 27%.

So, last quarter, we launched a separate set of niche customers, that is virtual Bank ing experience customers. In a single quarter, we have reclassified 6.33 lakhs of customer into that segment. Then, with RBI -ULI, also we have sanctioned more than 1 lakh of loans, amounting to 12,000 -plus crore against a target of R s 9,000 crore . We have implemented 13 initiatives in the last quart

er, and the same kind of pipeline is there with us in the future also. If you see, for the customer engagement, we have launche d a virtual ATM. We have launched a lot of things, but I'm only concentrating on virtual ATMs, where through an aggregator, we have tied up with 6 lakh -plus merchants, where the cash can be withdrawn. So, we have also introduced the new Fastag system during Q3, and there are some ongoing projects. The CRM project, two modules we have launched , another three modules we are going to launch soon.

Employee Assist, it is a new concept that we have introduced in our Bank for our own employees to assist them about the process, guidelines of the Bank and Bank ing industry. And we are also started using agentic AI, and some of the use cases are in customer onboarding, corporate ecosystem, then lead nurturing and management, personal finance management segment, then grievance redressal system, and tracking suspic ious transactions. So, these are the use cases where we are going to use, and you are using also .

If you see, in the operational efficiency parameters, we have migrated to cloud for our optimum utilization of hardware. Then we are going for data like project, and some of the process, we are planning for robotic process automations. So, while we are going very fast on digital and also swiftly moving towards our intelligent Bank ing system, we are also planning to establish a resilience operation center in the near future. With that, sir, the digital part is over. Thank you.

Shri Binod Kumar, MD & CEO

Before going to Q&A, the one thing I will add. Last quarter, I have made provision of 5% on SMA 1. This quarter, I have increased it up to 10%, so additional R s 380 crore provision we have made on SMA 1.

Page 4 of 21

Anand Dama (Host – Emkay Global)

Sure, sir. We will now open the floor for Q&A session. Anybody who wishes to ask question shall raise their hands. I request the participants to limit their questions to two per participant, and for further questions, please join back the queue. So, any pa rticipant, if you have a question, please use the Raise Hand option.

Yeah, we have first question coming from Mr. Ajmera. Ajmera ji, please unmute yourself.

Ashok Ajmera, Analyst

Yeah. Thank you, Anand, for giving the opportunity first, as usual. And compliments to you, sir, for the fantastic quarter. I think you not only , according to me, not only surpassed the operating profit, the highest operating profit, but even the net profit also. I think post -tax provision also is the highest, as I see in 10 quarters. So, it is probably may be the highest ever even net profit also. So, my compliments to you and the entire team of Indian Bank . Even on other parameters also, you have performed very well. Your asset quality also has improved, and your net NPA now has gone to 0.15%, 1 5bps . So, below that, there is hardly any scope for getting it down. So, the provision may not be required so much. But having said that, sir, my first question is basically on the ECL that the provisioning will continuously still will be required to be made. And you said that you have made the additional provision on SMA 1 even in this quarter also of R s 380 crore and some other floating provisions. So, where do we stand as far as our preparations for the ECL implementation, which is coming soon? And how much are you going to absorb everything before the April 2027, or you are going to take the benefit of those ext ended period allowed or permitted?

Shri Binod Kumar, MD & CEO

See, we have assessed ECL requirement on various permutation and combination. So, not giving that number because that will not make sense. Because we have also, I mean, that draft guidelines was open for discussion and for comments. So, we have sent some comments to RBI and expect, I mean, I don't know, but let us see what comes finally in the guidelines.

So, based on that, but as far as my preparedness is concerned, my endeavour will not definitely to take five years. So, first year itself, we will do whatever we have to do. Quarter-wise, we'll see, let us see how many quarters that will take. But definitely not more than one year. So, that much I can tell you, and this philosophy will continue, that wherever we can make some provision so that the quarter we shift to ECL impact is minimum.

Ashok Ajmera, Analyst

Sir, in your initial remark, you had covered some, I think, SMA 2, but as I see the total overall number of SMA 2 of this quarter is Rs 4,309 crore as against the last quarter of Rs 1,448 crore. So, I just couldn't hear properly. I mean, what is the explanation? You said you are comfortable on that. So?

Page 5 of 21

Shri Binod Kumar, MD & CEO

Yeah, yeah. There are two PSU accounts where state government guarantee is available. So, last quarter, that was in SMA 0. This quarter, it has come to SMA 2. So, I mean, chances of slipping these account are, I mean, very less.

Ashok Ajmera, Analyst

How much is that quantum of these two state government accounts?

Shri Binod Kumar, MD & CEO

Rs 3,000 Crore

Ashok Ajmera, Analyst

Okay. So, basically, we are only 1,309 if you remove those state government accounts, and there is no chance of slipping them in NPA, isn't it?

Shri Binod Kumar, MD & CEO

Yes.

Ashok Ajmera, Analyst

Sir, as far as the overall business growth is concerned, of course, on annualized basis, still we are at comfortable this thing. But if you see the nine months' numbers, on credit growth, we are 8.62%, and on the deposit side, we are 7.29%. So, you have a strong pipeline, you said. But at the same time, on the capital adequacy-wise, we are at almost nowadays, whatever the normal CRAR is there of the Bank's guarantee, we are at the little lower side of, say, 16.58% of the CRAR. So, considering CD ratio is 80.77%. So, considering all this, whether you will reach the target, you will surpass the target given, and whether your pipeline and the other adequacy is available that you reach the target or cross, especially on the advances front?

Shri Binod Kumar, MD & CEO

Yeah, yeah. Whatever guidance we have given, we'll surpass that. There is no doubt in that. Because see, even in this quarter, I have sold IBPC of Rs 7,000 crore.

Ashok Ajmera, Analyst

Yeah.

Shri Binod Kumar, MD & CEO

If not sold, that will add to my growth only.

Page 6 of 21

Ashok Ajmera, Analyst

No, that is there. But I mean, where is it coming from? Like, your corporate, I think you said R s 50,000 crore

Shri Binod Kumar, MD & CEO

Pipeline is there.

Ashok Ajmera, Analyst

In the sanctioned pipeline.

Shri Binod Kumar, MD & CEO

Yeah, yeah. RAM, we are seeing good growth. Retail also, if you see, we have grown by 18%. MSME also, we are seeing good growth of 16%. Agriculture also 15%. So, good growth is coming through RAM sector. And in few sectors in corporate also, we are seeing good demand, like green finance. There are various subsets of green finance, like EV, solar panel manufacturing, solar power plant itself. So, few sectors, we are seeing good demand. And then one logistics sector is also coming up. So, lot many proposals we are getting for the warehouse development. So, we are seeing good growth .

Ashok Ajmera, Analyst

The last question in this round, sir. On the treasury front, I think we are doing reasonably well. So, what is going forward in this remaining quarter of the FY26, where do we stand as far as our treasury performance is concerned?

Shri Binod Kumar, MD & CEO

See, treasury, we should be able to maintain. I mean, although, if you see, yield has hardened as compared to the last quarter, but still we have generated profit of around including forex, around R s 500 crore

. So, treasury, next quarter, I am expecting somewhere around R s 350 crore . So, there will be / I am expecting some moderation in the treasury income, so around R s 350 crore , I am expecting that.

Ashok Ajmera, Analyst

Okay. So, this will little bit taper down ?

Shri Binod Kumar, MD & CEO

But if you see, Q2 also was only R s 330 crore .

Page 7 of 21

Ashok Ajmera, Analyst

Yeah, yeah. But in this quarter, it was investment, if you see in the other income also, it is R s 342 crore treasury. So, I mean, the estimate of R s 350 crore overall looks a little conservative. And then, impact of this new labor code also will come, sir, now, I think. So, there also, the gratuity and the leave encashment, I mean, all those factors are there. Has that been assessed for the calculating the profitability?

Shri Binod Kumar, MD & CEO

Yes, assessed, and we have impact of only R s 56 lakhs. To be precise, R s 55.86 lakhs.

Ashok Ajmera, Analyst

Thank you very much, sir. And thank you, Anand, for giving me so much of time.

Shri Binod Kumar, MD & CEO

Thank you, Ajmera ji.

Anand Dama (Host – Emkay Global)

Thank you, Ajmera ji. Next question, we'll take from Kayuri . Kayuri , please unmute yourself.

Kayuri , Analyst

Hi. I just wanted to know whether the asset quality and loan growth will incrementally improve from hereon

Shri Binod Kumar, MD & CEO

Got it. So, asset quality, we are already at very good level. Gross NPA, 2.2 3%, net NPA, 0.15%. So, what improvement? I mean, we will maintain that. I have already given guidance of less than 2%. We'll maintain that. Net NPA, 0.5%. We can do 0, but then after 0, what to do? So , we will maintain that, and expecting slippage ratio, I may also expect that this level of slippage ratio will continue. Only aberration remains March. In March, because branches where people go for audit to the branches, at that time, some MOC s is being passed by them. So, to that extent, there will be some impact on the asset quality. But after that, it remains steady. Credit growth , I'm hopeful that credit growth is also a function of how economy is doing. If you see, most of the estimates for credit growth is also coming around this calendar year also, next calendar year also, they are giving good guidance of between 6.5% to 7%. So, my expectation is even next year, credit growth, whatever we are maintaining, we will be able to sustain that.

Kayuri , Analyst

Thank you, sir.

Page 8 of 21

Anand Dama (Host – Emkay Global)

Sir, in that context, how do you expect the deposit growth to pan out right now? We have scope to improve the LDR, but deposit growth in the system certainly remains a challenge. So, what is that you think, like, how deposits will mobilize, how CASA is going to come through, and whether that's going to be a challenge for you?

Shri Binod Kumar, MD & CEO

Yeah, yeah. See, I am part of the industry, so I cannot be aloof of them. So, impact of that will come definitely on us. And already if you see, after December, already bulk rate has gone up by 20-30bps because credit growth is good, deposit is not coming. And CASA, what I am feeling, CASA is a structural change. Behavior of the people is a structural change, and they will shift to other modes of investment. Having said that, we are taking so many measures on CASA, and we are instead of relying on one or two bulk, chunky deposits, we are trying to make it granular so that we can have float volume. That's why, if you see, a lot of efforts are being put on the technology side, QR code, salary account, cross -sell. So, because of that, we will be able to maintain or may be marginal decline , not only in this quarter, going forward, I am seeing.

Not immediate future, but going forward, may be if deposit is not coming, bulk is very high, then we have to see other sources of deposit rais

ing. Like, we may go for some bond, etc. So, these sources will come into play going forward. So, net-to-net there will be some moderation, some impact on the NIM. Ultimately even if we are giving so many facilities in our saving fund product or credit card, so ultimately, these are adding to our cost only. So, it will happen, but it will happen gradually. It's not like overnight, it will drastically change.

Anand Dama (Host – Emkay Global)

Sure, sir. Sure. Next question, we'll take from Parth Gutka. Parth, please unmute yourself. And

any other participants, you have questions, please use the Raise Hand option now. Parth, please unmute yourself.

Parth Gutka , Analyst

Yeah, hi. Thanks. Thanks, Anand. So, sir, on Slide 19, within the Op ex line items, the insurance cost has gone up materially during this quarter. Any specific reason for the same?

Shri Binod Kumar, MD & CEO

Yeah, yeah. DICGC, they have changed some formula. I mean, a few accounts for which they were not asking earlier premium, they have added these accounts, and they have also asked for the yesteryears. So DICGC cost itself has gone up by R s 128 crore . Out of that, R s 82 crore relates to previous years , remaining relate to this quarter, which will also be going forward, that will continue. Around R s 60 crore increase in DICGC premium will continue.

Page 9 of 21

Parth Gutka , Analyst

Okay, sir. Thanks. And my second question is, within Op ex, within the employee 's benefit, that line item has also gone up , as in, the increase in the line item is much more than the overall Opex growth. Anything to highlight there, sir?

Shri Binod Kumar, MD & CEO

AS 15, we have made. If you see, from last quarter, it has gone up by R s 102 crore . So that is purely based on the actuarial valuation.

Parth Gutka , Analyst

Okay, sir. Thanks. Thanks a lot.

Anand Dama (Host – Emkay Global)

Next question, we'll take from Darshil. Darshil, please unmute yourself.

Darshil , Analyst

Good evening, sir. Thank you so much for taking my question. Hopefully, I'm audible.

Shri Binod Kumar, MD & CEO

Yeah, yeah, audible.

Darshil , Analyst

Yeah. Hi, sir. So, sir, we've previously given guidance in regard to NIM and ROA. But we are already outperforming that guidance. So, is there a positive upgrade that you would like to issue? Because I think we were saying around 3.1% to 3.3% in NIMs, and we're already at 3.45%. And similarly, ROA is also, we are performing much better than what we've guided. So , may be for next year and this year, are we upping the guidance, sir?

Shri Binod Kumar, MD & CEO

I mean, this year, even if I don't upgrade, already I think we will surpass that , both NIM and ROA. ROA also, I expect for the year also, it should remain around 1.3 0%, because in nine months, it is 1.32%. But this quarter may be 1 or 2 basis point s NIM negative impact may come because MCLR book is repricing around 37% in this quarter, including three month, six month, all. Out of that, one-year MCLR is around 19%, is repricing. And impact of 25 basis rate cut, two months will come in this quarter. So, there may be some impact out of that. But part of that will be offset by deposit repricing, which is 18% in this qua rter. So , may be 1 or 2 basis point may be it may go down in this quarter.

Page 10 of 21

Darshil , Analyst

Okay, okay. And, sir, for FY27, so we can have the same levels or higher than this also? Like, can we try to mix it up?

Shri Binod Kumar, MD & CEO

Let us see. Because see, as I told, after December, already bulk rate has gone up by 20 -30 basis point. So, let us see how this quarter pans out. Then it will be better to give guidance for the next quarter / I mean, next financial year.

Darshil , Analyst

Okay, okay, fair enough, sir. And sir, just wanted to understand, like, when you say that there

is some cost of funds is increasing for you. So, structurally, what you feel that there'll be more intensity? Like, there'll be pricing issues, like from other Banks also that will push this cost of funds higher, or how do we see that, sir? Because our reach and network are there, we'll be kind of shielded from that. So, how do you see that intensity, sir?

Shri Binod Kumar, MD & CEO

No, no, definitely , see around 18% of my deposit is through bulk. Even if you see, against a rate cut of 125 basis point, even term deposit rate cut has been around only 60 -70 basis points. So, impact will come. We will also be impacted. If bulk rate goes up, then definitely we will also be impacted. Cost of fund will go up.

Darshil , Analyst

Okay, okay. So, we can for next year, may be we can expect some cost of funds going up.

Shri Binod Kumar, MD & CEO

We will see. Because see, many things come into play. So, some strategies also evolve. We are also working , I mean, on how to at least maintain CASA share. So, many things we are working on. So let us see. But I mean, that will purely be the function of how deposits, I mean how term deposit and bulk deposit rate, how it comes out.

Darshil , Analyst

Okay, okay, fair. And the last question from my end, sir. Like, credit cost, what do we expect, sir, going forward, like, for this year and next year, sir?

Shri Binod Kumar, MD & CEO

Credit cost, we'll maintain this level. I think we will be able to maintain. Although I have given guidance of less than 1, but I think at least next quarter, I will be able to maintain , may be a

Page 11 of 21

little bit it may go up, because, as I told in last quarter, through some MOC, some slippages increase. So, may be a little bit, 1 basis point, 2 basis point here or there.

Darshil , Analyst

Okay, okay, fair enough, sir. That's it from my side. Thank you so much, sir.

Anand Dama (Host – Emkay Global)

Thank you. Next question, we'll take from Jai Mundhra. Jai, please unmute yourself.

Jai Mundhra , Analyst

Hello. Yeah, hi, good evening, sir. A couple of questions.

Shri Binod Kumar, MD & CEO

Yeah, Jai.

Jai Mundhra , Analyst

Sir, first is, this IBPC transaction that we have done, sorry, I missed the amount. What was the amount?

Shri Binod Kumar, MD & CEO

This quarter, we have done Rs 7,000 crore .

Jai Mundhra , Analyst

Okay. So, sir, this Rs 7,000 crore you have sold. But you could have received some NII, right? Is there any positive , I mean, there will be some positive impact on NII.

Shri Binod Kumar, MD & CEO

Yeah, yeah, definitely.

Jai Mundhra , Analyst

Can you quantify, sir, if possible? I mean, how much you would have earned without being in a denominator thing? Rough number will also be okay.

Shri Binod Kumar, MD & CEO

Rs 240 crore . Rs 240 crore absolute number.

Page 12 of 21

Shri Shiv Bajrang Singh , Executive Director

3%-3.25% for annual. So, half yearly , it was half yearly, so 1.87% roughly on Rs 7,000 crore . That would be roughly 1.6% annual.

Shri Binod Kumar, MD & CEO

So, percentage, you can calculate around say, differential, you can say around you can take 2%. So, on Rs 7,000 crore , 2% means around Rs 140 crore .

Jai Mundhra , Analyst

Right. So, 140 Crore is the additional interest earned on this.

Shri Binod Kumar, MD & CEO

Not interest earned , on interest saved.

Jai Mundhra , Analyst

Correct. Interest saved. Right. And there is no implication on the fee or other income, right?

Shri Binod Kumar, MD & CEO

No. No implication.

Jai Mundhra , Analyst

Okay, sure. And secondly, sir, I was under the impression that some of the , let us say you are a mid -size to small -size Bank , and there is a lot of news flow about M&A merger. So, other smaller Bank s- they are showing much fa

ster growth, right, may be to avoid any likely M&A, right? And at the same time, you are actually shedding Rs 7,000 crore in this quarter, and last quarter, you also shed. So, I was thinking that may be you will show more base versus you are actually helping yourself.

Shri Binod Kumar, MD & CEO

That decision of amalgamation will not depend on the one quarter growth. So that will of course, depend on long -term viability.

Jai Mundhra , Analyst

Okay, sure. Secondly, sir, if you can specify the total SMA. Now you have 10% provision on both SMA as well as SMA 2. And if you can specify, sir, what is the absolute amount of SMA 1 and SMA 2 and SMA 0, if possible?

Page 13 of 21

Shri Binod Kumar, MD & CEO

Yes. Total SMA book is R s 31,488 crore . Out of that, SMA 0 is R s 12,000 crore , SMA 1 is Rs 8,000 crore , SMA 2 is almost R s 11,000 crore . So, R s 11,000 crore and R s 8,000 crore , on R s 19,000 crore , 10%.

Jai Mundhra , Analyst

Right. Right. Okay. And sir, on ECL number, so assuming, do you intend do you have a number in mind which you want to reach, or now you have 10% on both SMA 1, 2, you are there?

Shri Binod Kumar, MD & CEO

No, no, not there. Of course , because, see, that guidelines say , simply one guideline. They are saying LGD of 65%. That itself huge demand will generate. Then they are saying on restructured, they said all 100% PD. So, huge amount will be required. So, many things. Let us see how it pans out. But yes, of course, I will be working on to minimize the impact going forward as far as possible in the first quarter itself or in the second quarter so that we can absorb all these.

Jai Mundhra , Analyst

Correct. Correct. So, sir, what would be your assessment? Let's say you have around Rs 10 to 19 hundred crore as standard assets provisioning. Where do you want to reach? I mean, would it be like R s 5,000 -10,000 crore ? How much will be that amount?

Shri Binod Kumar, MD & CEO

See, I mean, you cannot reach unless you have a profit. So, I have to worry of the ROA also. I have to see other parameters also. But any surplus whatever we are getting, maintaining ROA, etc. we will try to give cushion to the balance sheet. Not any specific number in mind.

Jai Mundhra , Analyst

Okay. Sir, other Bank s have given, like, 1% of RWA number. So that is why I was just trying to benchmark. So, let's say, your RWA number would be around R s 4 lakh crore . Other Bank s have said around 1% of RWA.

Shri Binod Kumar, MD & CEO

Jai, I'm telling you scenario. Say, if they are accepting the request of the Bank s that restructured asset not 100%, they still make, say, 50%, there will be huge impact. They accept to the request of, say, LGD from 65% to 60%, there will be huge impact. So, I mean, the Bank s are giving their best -case scenario. There is worst -case scenario. So, who is talking what, we don't know.

Page 14 of 21

Jai Mundhra , Analyst

Okay. Sure, sure. Sure.

Anand Dama (Host – Emkay Global)

Jai, please fall back in the queue.

Jai Mundhra , Analyst

Sure. Okay. Thank you. Thanks a lot, sir.

Anand Dama (Host – Emkay Global)

Next question, we'll take from Antariksha. Antariksha, please unmute yourself.

Antariksha , Analyst

Got it. Yeah, yeah. Good evening, sir. Sir, just two questions. One is, in the jewel loan or gold loan portfolio, can you tell us what is the incremental LTV that you're doing business in? Both in retail and in agri.

Shri Binod Kumar, MD & CEO

Somewhere around 65%.

Shri Chandrasekaran V, General Manager (RBD & FI)

Sir, in agriculture, we are having 75%, sir, as of now. And other retail and MSME, it is ranging from 65% to 75%.

Shri Binod Kumar, MD & CEO

But we have done one thing. We are taking price of the gold on the moving average.

Antariksha , Analyst

t

Okay. So, it's one -month, three -month moving average , something like that, isn't it?

Shri Chandrasekaran V, General Manager (RBD & FI)

Last 30 days or last day, whichever is less, we are taking.

Antariksha , Analyst

Okay. Okay, sure. And the second thing is, sir, you mentioned about bulk deposit rates going

Page 15 of 21

up incrementally. I'm assuming these would most likely be about three months, six months tenure, right?

Shri Binod Kumar, MD & CEO

Up to one year also.

Shri Brajesh Kumar Singh, Executive Director

Across all buckets.

Antariksha , Analyst

So, if you just do a blended duration, what would be the incremental bulk rate today? I mean, if you were to do fresh borrowings, be it six months, one year, whatever it is.

Shri Binod Kumar, MD & CEO

Not less than 6.70 % to 6.80%.

Antariksha , Analyst

So, then I was thinking, if your incremental borrowing of short -tenor loans is at 6.70% to 6.80%, and there are some loans which , your total yield on book today is about 8.1%. And so, fresh yield, I'm sure, would be less than that. There is a spread of 100 -125 basis points on

incremental basis for some loans, if you take the most expensive source of liability and the most cheapest cost of assets. So, if you load your costs and some credit cost on that, incremental basis, there are some loans which are hardly making ROA, no.

Shri Binod Kumar, MD & CEO

Yeah, yeah. That's why, that is the reason if you see our corporate. In corporate we are, I mean, very careful in giving the rates.

Antariksha, Analyst

But if that is the case with you, it should be true for the whole system, right? Why is pricing still so low is my question.

Shri Binod Kumar, MD & CEO

See, everybody pursues their different strategies. Somebody pursues aggressive growth. Somebody thinks about moderate growth. Somebody thinks about bottom line. So, depends on the strategy of the person, I can say. And bulk if you see, for us, bulk is around only 18% of the total deposit.

Page 16 of 21

Antariksha, Analyst

Yes, yes, you mentioned that. Correct. And that number should be going down, right? Because the rates are high.

Shri Binod Kumar, MD & CEO

Going down, I mean, depends. Going down, going up, cannot say. That will depend on the market situation. But endeavour will be to get it down or maintain at this level.

Antariksha, Analyst

Yeah. Okay. Thank you, sir.

Anand Dama (Host – Emkay Global)

Thank you, Antariksha. Next question, we'll take from Ajmera ji.

Ashok Ajmera, Analyst

Yes, sir. Sir, my one question was on, basically a general question, but it is impacting everyone today, that what is going geopolitically in the world. The kind of disturbances and of course, started with Trump tariff, and now so many things are happening, and it is affecting various businesses at various levels. So, first thing is that, have we made any assessment of a kind that all these sanctions and so many turbulences and the tariffs and other things, whether our, if we look at our customer profile, even a smaller businessman, MSMEs, or this thing that is there any sizable impact going to be anywhere, and are we prepared for that?

Shri Binod Kumar, MD & CEO

So, I will, say, reply to you in two part. First of all, what will be the impact on growth because of the geopolitical tensions. This year also, a lot of geopolitical tensions are there, but still our economy is doing good. So, I expect our economy also, and if you see, most of the external agencies also are saying that Indian economy will be the fastest -growing economy and will grow in the range of 6.5% to 7%. So, don't see any challenge on the growth part. Number one. If you don't say any challenge on the growth part, I think impact on, I mean, asset quality should also be not huge. Next question, any p

articular impact to the tariff? Tariff, yes, we have assessment. We are not seeing much impact. Our total export business is very minuscule. Exposure to US is only 4% to 5%. So, I am not seeing any much of the impact of that.

Ashok Ajmera, Analyst

Okay, that's good to know. And sir, one last thing. On gold loan portfolio, and in that also, the

bifurcation between the gold agri loans and non -agri loans, and what kind of yield are we having on the gold loans of both agri and non -agri? And in our growth plan, are we aggressively

Page 17 of 21

pushing gold loans? And similarly, our funding through the NBFC, or NBFC funding, whether co-lending or a direct lending, and what is the picture there, and are we, I mean, similarly bullish on that also?

Shri Binod Kumar, MD & CEO

No. You see, gold loan is a very safe type of loan. Only risk we carry is that if some fraud happens. So, we have put in various measures to avoid fraud. And since we were traditionally doing, so our system is robust. So, don't see much of the challenge on that. Yield we are getting good yield. 8.70% we are getting approximately.

Ashok Ajmera, Analyst

That is overall or non -agri?

Shri Chandrasekaran V, General Manager (RBD & FI)

Overall.

Ashok Ajmera, Analyst

Okay. Good. I mean, it's a reasonably good yield.

Anand Dama (Host – Emkay Global)

Yeah, thank you. Ajmera ji, I think we'll have to move to next question.

Ashok Ajmera, Analyst

No, no. No problem, no problem. Thank you for even giving this much opportunity.

Anand Dama (Host – Emkay Global)

Sure, sure. Sure, sir. Next question, we'll take from Darshil. Darshil, please unmute yourself.

Darshil , Analyst

Hello. Yeah, hi. Sorry, all my questions are answered. Just one question from my end. Sir, in terms of credit growth, when we are trying to reach double digit, 10% to 12%, are we looking that may be next year, with good GDP numbers expected and good growth happening, can we aim for a higher, level of growth? Is that or may be just 15% or something? like is there you know any type of plan being formulated to reach that growth or are we you know willing to just have around you know topline growth of 10 -12%.

Page 18 of 21

Shri Binod Kumar, MD & CEO

I think 12% to 13% growth is good, Darshil. Because see, if you pursue very aggressive growth no, then you will start asking why your NPA is going up. So, because of that reason, we are pursuing very , I mean, growth so that our NPA should not go up. I am more remain more worried about that. Risk should not build up. See, because risk is always built up in the good time. So, I always remain careful of that.

Darshil , Analyst

Okay, okay. Fair enough, sir. Fair. Yeah, that's it from my side. Thank you.

Anand Dama (Host – Emkay Global)

Sure. Last question, we'll take from Sushil Choksey. Sir, keep your questions limited and sir,

before, I think, when Ajmera sir was asking, one question which came in the chat box was that have you done or basically extended any moratorium to the MSMEs? And if yes, what's your quantum?

Shri Binod Kumar, MD & CEO

MSMEs, you mean to the forex business?

Anand Dama (Host – Emkay Global)

The export -related disruption, which has come, yeah.

Shri Binod Kumar, MD & CEO

So far, we have not extended.

Anand Dama (Host – Emkay Global)

Okay. Sure. Yeah, Sushil, you can unmute yourself and ask your question.

Sushil Choksey , Analyst

Congratulations to team Indian Bank for excellent performance, and market is also rewarding . Sir, my first question.

Shri Binod Kumar, MD & CEO

Thank you, Choksey ji.

Page 19 of 21

Sushil Choksey , Analyst

If I take 12 -24-month outlook, what would be a balance between RAM and corporate book? Any Board policy or direction?

Shri Binod Kumar, MD & CEO

We will like to maintain same ratio.

Sushil Choksey , Analyst

65:35 %

Shri Binod Kumar, MD & CEO

Yeah, 65:35. Reason I am telling you because, see, as a responsible Bank ing, we also need to participate in the building up of the country. And if you don't do corporate, then Bank s don't do, then who will do? I mean, infrastructure lending, we have to do. So, as a part of a strategy, we like to maintain between 65:35.

Sushil Choksey , Analyst

Second thing, sir, when you are working so efficiently on RAM, on the digital stack, you have announced many products. You have launched and spent a lot of money. What is likely capex for next 12 -24 months to be more efficient, more connected system , tapping salary account host to host system many other systems , supply chain . What kind of spend will we do to garner a bigger pie from the existing wallet?

Shri Binod Kumar, MD & CEO

Around R s 2,000 crore per annum. Including both cape x and opex . Because majority of IT expenditure is also coming in the shape of opex.

Sushil Choksey , Analyst

Sir, it's a hypothetical question. Let's assume that our book value next year is Rs 600, and if your stock is trading at nearing 1.82 times book value, will you dilute equity, or equity is not required at all?

Shri Binod Kumar, MD & CEO

No, no. Otherwise, equity is not required at all. But if that's why I have if you see, even this year, I have kept approval from the Board for QIP, up to Rs 5,000 crore . If you get opportunity, we can, of course. But as a part we don't need as of now. Already at 16.58%. So, in March, it will cross 18%.

Page 20 of 21

Sushil Choksey , Analyst

You may not need equity, but the market ?

Shri Binod Kumar, MD & CEO

Yeah, yeah, I may not need. That's why Enabling clause I have kept, which I would like to keep next year also. If some good opportunity is coming, we can, I mean, get good rate, why not?

Sushil Choksey , Analyst

So, anyway, on the international book, it seems a lot of opportunities are coming from Indian promoters, specifically in the geography we are present. What is our outlook on that segment specifically in financing the entities which are Pan -India but growing overseas, people are shifting from Bangladesh to Sri -lanka for textile, auto ancillary also repositioning some of the location you already said , EV you are doing, battery management led to solar and other things are coming , so, what kind of a situation we are in where these kind of pipelines are concerned?

Shri Binod Kumar, MD & CEO

No, no, these type of pipeline, good number of people . If you see, I give you just one number. My growth in green finance itself is around 60%. So, we have good pipeline of that also, and we are open to get any opportunity. Only thing I remain cautious, only one thing always in green finance. I mean, good name, we will do. Because many new players are coming. I don't want to take that risk, and they don't have much expertise, and they ultimately would end up in trouble and bring Bank also into trouble. So, good names, good background, good proven history, we are doing, and we remain open to that.

Sushil Choksey , Analyst

Sir, out of the pipeline of Rs 50,000 crore corporate book, which you indicated, how much would be manufacturing?

Shri Binod Kumar, MD & CEO

That I will give you, Sushil ji.

Anand Dama (Host – Emkay Global)

Sir, I think in the interest of time, we'll have to take that as a last question.

Sushil Choksey , Analyst

Thank you, and all the best, sir.

Page 21 of 21

Anand Dama (Host – Emkay Global)

With this, we come to the end of the Indian Bank 's post -results conference call of Q 3 FY26. I now request the management to give their closing remarks.

Shri Binod Kumar, MD & CEO

I think we have already discussed so many things, and very relevant questions had come

. But

we have taken few initiatives and few things I would like to discuss as a concluding remark. We are investing usually in IT, and benefit of that is accruing, but not to the extent I desire. Lot of initiative we are taking how we can digitally onboard our customers. We are seeing good traction also, and good benefit also we are seeing. Like, my target is, say, my total digital business is 15%. I want to take it up to 50% in next two to three years. December to January, I have internally set a target that we will double the business figure in five years December last December. So that means more than 25 lakh crore by Dec -2029 and we are on track of that also.

We have plan of using AI in various segment of the Banking. And we are already in discussion or in or at some stage, use of AI in current opening, cross -sell module, personal finance management, automatic grievance redressal mechanism, then suspicious transaction reporting. So, these are the few sectors we are working on where we can use AI and be more proactive rather than reactive. And we will continue focusing on RAM and CASA. As I told, my half of the time goes on CASA , but that is worth investing. If I can maintain this percentage of CASA, that will be worth investing. So, with that, I mean, whatever guidance we have given, we are on track in most of the parameters.

Thank you.

Anand Dama (Host – Emkay Global)

Sure, sir. So, yeah, on behalf of Emkay and the management of Indian Bank , I thank all the participants for joining. Happy evening, and a good day.

Ashok Ajmera, Analyst

On behalf of all the participants, I thank the management and to you also, Anand.

Shri Binod Kumar, MD & CEO

Thank you, Ajmera ji. I also thank all the participants for sparing their time and joining the conference. Thank you. Good evening.

Call: May 2026

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Corporate Office: 254 -260, Avvai Shanmugam Salai, Royapettah, Chennai – 600 014
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Dear Sir / Madam,

Subject: Transcript of Post Earnings Concall / Meet

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of our Letter No. ISC/ 24/2026 -27 dated 22.04.2026 and Letter No. ISC/ 36/2026 -27 dated 29.04.2026 regarding Analysts / Investors Concall / Meet, we are enclosing a copy of Transcript of said post Earnings Concall / Meet held by the Bank on 29.04.2026 on the Financial Results of the Bank for the Fourth Quarter and FY 2025 -26 ended on 31st March 2026 .

The Concall Transcript has also been uploaded on Bank's website and the same can be accessed through below link:

<https://www.indianbank.bank.in/departments/audio-video-recording-concall-transcripts/>

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary

Encl : A/a

Indian Bank Q 4 FY'26 Results
Post Earnings Conference Call / Meet
Held on 29.04.2026

Transcript

Management:

Shri Binod Kumar
MD & CEO

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Ms. Mini T M
Executive Director

Moderator:
Shri Anand Dama
Analyst, Emkay Global Financial Services Ltd.

Disclaimer :

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Page 1 of 19 Anand Dama (Host – Emkay Global)

Good evening, ladies and gentlemen. We welcome you all to Indian Bank's Post-Results Conference Call for the Fourth Quarter of Financial Year 2026, hosted by Emkay Global.

From the top management, we have with us Shri Binod Kumar ji, MD & CEO , Shri Ashutosh Choudhury, Executive Director , Shri Shiv Bajrang Singh, Executive Director , Shri Brajesh Kumar Singh, Executive Director and Ms. Mini T. M., Executive Director.

First, I would request MD Sir to briefly summarize the key highlights from the fourth quarter FY '26 results and also provide strategic direction on growth, margins, and asset quality for FY '27, post which we will have a Q&A session.

Over to you, MD Sir.

Shri Binod Kumar, MD & CEO

Thank you, Anand ji. My colleague on board, Mr. Ashutosh, Mr. S. B. Singh, Madam T. M. Mini. And one correction, Mr. Brajesh Kumar Singh is not here. He's out for some other meeting.

Anand Dama (Host – Emkay Global)

Okay.

Shri Binod Kumar, MD & CEO

Dear investors, analysts, thank you for sparing on time and coming to the call of Indian Bank. So, if I summarize the result, I think it has been a decent year, almost all parameters except cost-to-income ratio, we have done better than our guidance. Total business has grown by 12.79%, and total deposit has grown by 12.29%.

Advance has grown by 13.43%. CASA, which has been the challenge, CASA still, we have grown by 10.85%. And after a dip in June, consistently all three quarters the bank CASA share has gone up. In September, it was 38.87%, then 39.08%, then 39.67%. So, CASA, we have been able to maintain almost . We have given guidance of 40%, so 39.67% almost we have maintained. We remain very cautious in raising bulk deposits. Of course, we have to, but we remain very cautious in raising bulk deposits .

Advance has grown by 13.43% and primarily contributed by RAM sector. RAM has grown by 15.18%. And corporate has grown. Corporate last year, if you see growth was only 3%. This year, corporate also has grown by 9.19%. And, within RAM, it is contributed primarily by retail, which is 18.72%, and MSME, which is 16.39%. We have sanctioned around 6 lakh loans and Rs 48,000 crore to MSME sector. Jewel loan remain our strength area, so jewel loans also has grown at a very decent pace of almost 28% and reached up to Rs 1.27 trillion.

Coming to the efficiency parameter, net profit has reached for the quarter . Rs 3,103 crore, with a sequential growth of 1.3%. And, for the year, Rs 10,918 crore to Rs 12,156 crore, with a growth of 11.33%. Operating profit has touched Rs 5,286 crore, with Q-o-Q growth of 5.21%. If I talk of annually, it has gone from Rs 18,998 crore to Rs 19,916 crore, with a growth of 4.83%. NII also, we have Rs 7,109 crore, it has touched with a sequential growth of 3.09%. If I talk of annually, with a growth of 6.91% and has reached Rs 26,915 crore.

Other income, we have seen a marginal decline sequentially, Y-o-Y 8.32% growth, primarily because of the impact on the treasury income. NIM, if you see for the quarter, it is 3.23%, but if Page 2 of 19 you see annually, it has come down from 3.41% to 3.24%, so 17 bps decline. We have given guidance of between 3.15% to 3.30%, so we have maintained that. ROA, for the quarter it is 1.28%, but if you see annually, in March '25 it was 1.32%, and March '26, we ended at 1.31%, so only 1 bps decline in that.

Return on Equity for the quarter it is 18.98%, but for the year end, it is 19.53%. Then cost-to-income ratio, of course, is one area where we have given guidance but actually, we ended up for the year at 46.03%, but we have taken course correction, and cost

-to-income ratio has come

down from 46.90% in December to 44.99% in March '26. Provision coverage ratio is constant at 98.28%, we are maintaining since December also, March also. For the year also it is the same. Credit cost annualized for the quarter is 0.47%, for the year it is 0.31%.

Then asset quality, gross NPA has come down from 3.09% to 1.98% with a reduction of 111 bps, net NPA from 0.19% to 0.15%. Slippage ratio for the quarter is 0.96%, but if you talk of annualized it is 0.85%, which has come down from 1.09%. Recovery for the quarter is Rs 1,499 crore, but for the year it is Rs 6,651 crore. We have given guidance of between Rs 5,500 crore to Rs 6,500 crore. SMA, of course, I would like to highlight, so I will start from March '24.

March '24 SMA was 15.59%, which was 18.06% in March '25, and now it is 4.73%. Good work has been done by the department on the SMA front. And SMA, if I talk of more than Rs 5 crore, it is Rs 922 crore only. We have made some provisions , although we are not seeing any stress because of the West Asia crisis, but we have made a provision of around Rs 310 crore keeping this crisis in view. But, as I told in the SMA data, we are not seeing any stress.

This is purely prudently we have made this so that in case something happens, then we will have some cushion. Then, during the year, we have sanctioned around Rs 4,26,000 crore taken altogether, retail, agriculture, MSME, corporate, with a growth of 62%. 62% growth there is in the sanction. Corporate also we have sanctioned around Rs 1.31 trillion. So, corporate also around 62% growth we have seen. Maximum growth is in MSME at 81%. We have a pipeline of Rs 51,000 crore. And not much stress we have because of personal loan, we don't have much, only Rs 6,500 crore.

MFI also not much, Rs 3,300 crore. In corporate, last year around Rs 8,000 crore. Exposure in NBFC, it has come down by around Rs 8,000 crore. Out of that NBFC exposure in AAA, AA, and A, it is around 99%. So, the majority of that is in AAA category. Coming to the guidance, we are giving deposit guidance between 9% to 11%. Advances growth of between 11% to 13%. CASA, approximately, we will maintain around 40%. CDR around 80%, gross NPA between 1.50% to 1.60%, net NPA at the same level, I mean, less than 0.25%, you can say.

Recovery, of course, as our pool is coming down, so going forward, if you see from last year to this year, it has come down by around Rs 1,000 crore. It was Rs 7,600 crore, which has come down to Rs 6,600 crore. So, giving guidance of between Rs 4,500 crore to Rs 5,500 crore. AUC recovery last year also was good. We have given guidance of Rs 2,000 crore and actually we surpassed that. We are giving guidance of recovery in written -off book between Rs 1,200 crore to Rs 1,500 crore.

I don't see further rate cuts, but cost of deposit, I expect that it will remain elevated because advance growth is outpacing deposit growth. So, I see some pressure on the NIM. So, that's why I'm giving guidance between 3.10% to 3.25%. ROA also, I'm giving some guidance between 1.20% to 1.30%. Credit cost, we'll maintain less than 1%. Slippage ratio, we'll maintain less than 1%. Broadly, these are the things and apart from that, we have taken some initiative.

Like I told in CASA, we have taken some initiative because of that, we have been able to maintain CASA share. We have launched various products and two products, really, we have seen good Page 3 of 19 traction. We are analyzing why other products have not taken off. So, in that line, we have

launched IND Aspire for Women because IND Aspire, we have seen good traction. So, we have launched IND Aspire for Women and IND Gig Champion.

For gig workers, we have launched a new product. So, hopefully, we will see some traction in the coming quarter and very recently, we have launched.

In operative accounts, we have around 34 lakh in operative accounts, we have made them operative and that has resulted in a total balance of around Rs 4,000 crore. Similarly, we are focusing on QR code and POS machines, et c. Because float, I believe everybody knows that financial literacy is improving. And there is a structural shift. People are becoming investors instead of savers. So, we have to rely on float. We have added around more than 3 lakh salary accounts during the quarter.

Average balance, I would like to highlight. If see, average balance in saving fund, normal account, I am saying, ex BSBD account, it has gone up from Rs 30,000, which was last year, to Rs 46,000. Similarly, in current account, average balance has gone up from Rs 1.88 lakh to Rs 2.64 lakh. So, we are focusing on strengthening the relationship, depending on the relationship.

Of course, two challenges I will say for this year. Growth, I believe country, government, and RBI, as you must be seeing in the newspaper also, they will take all measures to sustain the GDP growth. So, if GDP growth is intact, I believe credit growth will also be intact. If there is some headwind on the GDP growth, of course, then impact will come on us.

But two immediate challenges I see is the recovery. Recovery, of course, Rs1,000 crore already it has gone down. And this year, treasury profit may not be to the extent it was last year. But there are also some good news. We have not book very high profit in the treasury. That means we have not sold some good yielding securities. So, that may help us in passing through this phase.

Now I will request my colleague, Mr. Ashutosh, to highlight about the digital initiative, what we have taken during the year.

Shri Ashutosh Choudhury, Executive Director

Thank you, sir. Good evening, all. The digital business of the Bank for financial year '25 -'26 has grown by 63% and reached Rs 272,000 crore. The mobile banking customers have increased to 2.36 crore. The base has increased. And the mobile banking transaction has shown a healthy growth of 15%. That is 65.8 lakh per month. The transaction is happening there. The digital adoption rate in retail and agri has reached to 97%. That means the retail and agri loan that has been sanctioned, that is 97% through digital channel.

The bank is implementing 10-plus AI and agentic AI-related platforms with the help of almost more than 160 fintech partners. When sir has talked about the CASA, let me say last year we introduced a segment of customers, VBX. Those who have not visited the branch for quite some time, we have classified them. That particular category of customers are almost increasing. And it has reached 22 lakh. And the base identified to move some more customers. That base is almost 1 crore plus. So, in the digital aspect, we have done that.

And, this year, we have introduced a CRM platform. The CRM platform that we introduced is for retail. Now, we are going to introduce for corporate. And, on that platform, the module also will enable service requests and sales management. So, this will not only deepen the existing relationship with existing customers, but also it will give a boost to acquire new customers based on sales management.

Page 4 of 19 Now, I would like to tell you a couple of things that we have done during this particular financial year. We have digitized the corporate credit. The journey is almost complete. And we are taking one step forward in our corporate credit journey that I will discuss with all of you.

We have a partnership with POS aggregators where we can provide POS machines to customers of other banks. Then we also introduced a new corporate website. We are strengthening our UPI app, IND UPI. The updated version will be introduced this financial year. We have introduced EFRM solutions. That is a real-time AI-driven behavioral analysis platform, which will help in curbing the digital frauds, as well as money mule accounts.

We have introduced IND Optima. That is our cash management services where almost 150-plus

corporate customers have been onboarded. So, in the pipeline, I would like to also highlight some of the things. We are introducing a corporate ecosystem engine which will help our relationship managers while negotiating with the customers. We are also planning to introduce an RFP creator because we produce a lot of RFPs for onboarding IT and non-IT vendors. We are also in the process of introducing invoice processing. This will automate the receipt validation, approval, and payment of invoices.

In CRM platform, we are introducing lead nurturing management. We are introducing an intelligent document reader. This will help with our documentation. Post-sanction when we go for documentation, this will check the legality of that particular document. So, also with this EFRM solution, this suspicious transaction reporting that we are planning to automate. Along with this, with our news and contact center, we are automating the grievance redressal mechanism which will reduce the TAT and improve the customer experience.

Thank you, sir, with this.

Anand Dama (Host – Emkay Global)

Thank you, sir. Now we'll take up the Q&A. (Operator Instructions) First question we'll take from Ajmera ji. Ajmera ji, please unmute yourself and ask a question.

Ashok Ajmera, Analyst

Yes, hello

Shri Binod Kumar, MD & CEO

Yes, Ajmera ji.

Ashok Ajmera, Analyst

Yes. Hello, sir. Good evening, sir. And congratulations for yet another good quarter. As you yourself have also said, and I can see also that you have surpassed on almost every front except one or two on the guidance. So, that is commendable. And not only touched or this thing, but like in case of the credit also, the growth is very good, 13.43%. Even in the deposit also, in spite of the various challenges, you have done very well, 12.29%. And AUCA recovery in the entire year is very good, Rs 2,508 crore.

Of course, next year, the target you have reduced a bit than that. So, my compliments on that, sir. So, my first question or rather I would like to seek your views and comments on this ECL guidelines. Now, they have been finalized now, and RBI declared the final guidelines, which we were waiting for for quite some time. And many of the banks have already started preparing for that and making some extra additional provisions also. So, in our case, in our bank, how is the Page 5 of 19 preparedness? How much total hit we are going to get?

And whatever the time has been given, I think up to March 31, 2030, or some people are saying '31. How are we prepared to take care of this extra provisioning? So just my first, even though you are saying that even in this quarter also you have made Rs 310 crore extra provision on standard assets to take care of any eventuality, but that is on the geopolitical situation in the West Asia war. So, can I have your views on this, sir?

Shri Binod Kumar, MD & CEO

Yes. Thank you, Ajmera ji. So, before coming to that, this quarter also we have sold IBPC of around Rs 6,000 crore. And we have opened 102 branches against; we have set target of opening around 300 branches in three years.

So, we are on track of that. So, coming to your question about your ECL guidelines, Ajmera ji, guidelines came only yesterday, and few things they have added. So, whatever we have calculated in the draft guidelines, I think impact will be a little higher than that.

However, we are in the process, actually guidelines have come only yesterday. We are in the process of calculating. See, I can give some number, but that will not be very relevant because ultimately, next meeting, you will say, sir, you have told this number, now you are saying this number. So, I don't want to create that situation. We will give you concrete numbers so that

variation is minimum. But, having said that, let me assure you, all of you, that impact is not going to be very huge. Because we, as all of you know, we have been preparing in different ways, not only in the name of ECL, but we have been preparing in different ways. Since last five years, we have been going through a very good phase, I will say benign asset quality phase. So, I don't see much of the impact in the, I mean, overall impact.

And, as I told you earlier in the earlier call, that we will be able to absorb all the impact in one year. Now I'm saying, we will be able to absorb all the impact in, say, six to nine months, maybe between one to three quarters, maybe. That is, I mean, broad, broad, broad, you can say.

Ashok Ajmera, Analyst

Okay, sir. Point well taken, sir. Sir, my another observation is on this slippage in this quarter, which has increased to Rs 1,355 crore as against about Rs 1,000 crore in the last quarter. And going forward with this kind of situation prevailing, geopolitical, which impact might not have seen much in March, but, in this quarter, in the coming April, May, June, we might have some impact on that. And you also covered a little bit on this.

So, where do you see the, I mean, first of all, do you see that it will make major impact if the war, I mean, goes on? Or I mean, there's total uncertainty about that. And how much impact do you see, and from where it can come negatively? And how are we prepared to take care of that? So, that is my another, if you can just elaborate on that.

And, coupled with that, the SMA numbers has drastically come down. SMA -2 from Rs 4,309 crore to Rs 922 crore. And SMA -1 has gone just a little bit, Rs 700 crore only higher. So, whether going forward, both these questions are coupled. I mean, it's basically connected to each other.

Shri Binod Kumar, MD & CEO

Yes. Thank you. Thank you, Ajmera ji. So, first of all, if you see, from the March to December, it has gone up, slippage. But that is every quarter, if you see, every annual March, there will be around Rs 400 crore to Rs 500 crore MOC. So, this number has gone up basically on account of MOC. Page 6 of 19 And that was in the last March also, there was around Rs 500 crore MOC. This quarter also around Rs 400 crore MOC. So, this March will always be have some MOC because of that slippage ratio will be higher.

Thereafter, that one thing I can assure you, during the financial year, this number, of course, I mean, something drastic happens, then I cannot say, But, in normal situation, this number, slippage ratio, will be better in all the quarters. Except for March, again, there will be some MOC. So, every quarter, you can assume that the slippage number will be less than that, number one. Number two, coming to SMA. So, SMA reduction, I will not take any brownie point because two government accounts are there, so that is not in SMA -2. That's why number has come down. So, no brownie point for that.

SMA -1 increase has come because one account out of that is in SMA -1. So, SMA -1 has increased a little bit. But if you see SMA, total SMA has really gone down

. From last year, Rs 45,000 crore –

Rs 46,000 crore, now it is Rs 31,000 crore. So, SMA number overall has come down. See, if you talk of stress, stress is not only from the war. Stress is already from the tariff point. That means, from August, you can say that there is some stress in the system.

I believe in the resilience of the banking system and resilience of our economy. And you must be seeing various positive response from all the governors and various ministers that whatever required, they will try to maintain the economic growth rate. So, if economic growth rate is maintained, I think the government will take some measures. And, because of that, I am not seeing much impact on the asset quality also. And, if at all, because already it is around four to five months, around seven months.

If you take from August, that means four and three, seven months, almost seven months. Then almost it should have started some incipient increase in SMA, so which we are not seeing. So, hopefully, we will try it this time also without being impacted much.

Ashok Ajmera, Analyst

Sir, now on the treasury also, you touched on the treasury front, in this quarter also, it has taken a toll. The loss on the sale of the investment is Rs 105 crore. And then profit, Rs 99 crore minus,

means treasury has a pressure on this, as far as this quarter, even in the last quarter also it was there little bit. So, but you also said at the same time that going forward, we, since we have the higher value, higher yield, lower yield, higher income investments in our book. So, in the coming quarter, how do you see the treasury, performing going forward?

Shri Binod Kumar, MD & CEO

No, of course, there will be impact on the treasury, no denying. But impact, only limited. My point is, impact will not be very severe because we have not seen, if we have sold all the securities and has raised securities with the lower yield, then my impact would have been higher. But, since we have not sold, so impact will be there, of course, but impact will not be as severe.

And still I expect that around, for the year I am saying, maybe around Rs 1,000 crore, Rs 1,200 crore profit we will earn through treasury.

Ashok Ajmera, Analyst

Sir, on your digital front, you have performed exceedingly well. In fact, there is a lot of advancement, and Ashutosh Sir, as usual, has explained very much in detail about the digital advancement of the bank. But, in the real term, whenever these journeys are completed and these digital products are put to the use, are we assessing the actual impact of the digital Page 7 of 19 introduction or apart from the surveillance and other things which doesn't directly produce anything, are we seeing any commercial like benefits?

Is there any study done on that and like vis-a-vis the kind of investment which you are making, every bank is making huge investment on this, but have you started measuring it on the impact on the revenue on the positive side and how much is it, is that process has been put into the practice, sir?

Shri Binod Kumar, MD & CEO

See, very, very pertinent point, Ajmera ji, because I have also been saying that we are spending huge in IT, but benefit of that, to the extent we desire, is yet to come. That will happen, as our digital, you say, what we say, adoption, not only adoption, but people also actually start using digital channels. Like, for example, still, yes, of course, if you ask, are we getting benefit, we are getting benefit. Like our 94% transactions are through digital channel. So, if they visit the branch, cost will be at least 5x higher.

If a customer visits branch, cost will be at least 5x higher, plus we will

have to keep more employees. So, we are taking benefits, if not directly, indirectly, we are taking benefit of that. And, as rate of this adoption will increase. One, just one data I am sharing, say digital FD, people come to branch bank for making FD. So, we have just tried to push that, why people are coming to the branch. There are certain sets of people, they will definitely come. So, we don't discourage them.

But for those who can do transaction on their own, we are encouraging them to do transaction on their own. So, when they will do transaction on their own, of course, that will be cost saving to us.

Ashok Ajmera, Analyst

What a coincidence around this. I was sitting with a client just a little before, in the afternoon only. And, of course, that is a private bank. So, he was having Rs 1 crore rupees only in the current account. He's a small MSME kind of a client. So, I said, why don't you stagger it and put it in the FD? That banker, that person, came within 15, 20 minutes. They had some visit. And, on the spot online, he made three FDs of Rs 20 lakhs, Rs 25 lakhs for different duration of 91 days to 271 days or whatever.

On the spot, within five minutes, the FDs were made. I mean, on the system only and its seen. So, of course, effect-wise, positive, whether it would have been in the current account, it would have benefited more for three days to the bank. Like that's a different thing. But ease of doing business and these things is going to be. Only thing, many of the bankers I'm talking about is that the time has not come when we start putting, I mean, using some tools, putting some measurement that the profit or the advantage can become measurable.

Shri Binod Kumar, MD & CEO

We will try to.

Ashok Ajmera, Analyst

Okay, sir. Thank you very much, sir.

Page 8 of 19 Shri Binod Kumar, MD & CEO

I mean it is in the backdrop of the mind, but quantification. So, one measure that run in my mind, I'll just share with you, that say if you see manpower of the banks has remained constant over the last five years. But, if you see, business of bank has grown by double or in few cases, more than double. So, of course, the benefit we are driving, it's not that benefit we are not driving. Only thing, it is not quantified on paper. We'll definitely try to .

Ashok Ajmera, Analyst

Yes, sir. You have become almost Rs 15 lakh crore business bank, just shying away with Rs 5,000 crores, Rs 6,000 crores only. So, anyway, sir, compliments to you. All the best to you. And, if time permits, I might come again. Thank you.

Shri Binod Kumar, MD & CEO

Thank you.

Anand Dama (Host – Emkay Global)

Thank you, Ajmera ji. Any other participant, if you have a question, please use the raise hand option. We'll have question from Akshay Badlani. Akshay, please unmute yourself and ask the question.

Akshay Badlani , Analyst

Yes, hi. Thank you for taking my question. My question was around the lines of, as you indicated, the cost of funds will be going up. Currently also it's going up. So, what levers do we have on the asset side, where we could offset this or if there are certain set of, segments where we can price our loans better going forward?

Shri Binod Kumar, MD & CEO

If you ask me, very frankly, very few levers are left because see, almost 50% of loan book is linked to external benchmark. We have hardly any lever on that. Only area remains , a loan linked to MCLR. Because their cost of fund is inbuilt also. So, that is the only lever, but MCLR is also formula driven . You cannot do much.

Then only one thing remains, we take benefit of IT and try to, I mean, at least maintain CASA share, if not increase . Because CASA, that will be t

he only thing because see, bulk rate is very high. You cannot do anything with that. Since bulk rate is high, retail term deposit rate, we cannot reduce anything. So, that is the, only that remains and asset quality. We have to ensure that asset quality remains very good. Otherwise if NIM is also not there, and there is an issue on the asset quality, then of course there will be tough time.

Akshay Badlani , Analyst

Sure, sir. Just then coming to asset quality, since our exposure overall in our loan mix into agri and MSME sectors is high, although we have created extra provision buffer this quarter, how do you envisage the situation, especially in both the segments, which could be vulnerable going forward, given the, if there could be inflationary pressure going forward?

Page 9 of 19 Shri Binod Kumar, MD & CEO

See, agri, we don't have much challenge because majority of my agri book is from jewel loan. So, agri, we don't see any challenge. MSME, of course, MSME, if some stress comes, which is, if industry is impacted, I will also be impacted.

But, as I told, I think government will also do something. If something happens, then government will do also something. And, at least as of now, it is not reflected, as I told in SMA, otherwise something must have, I mean, started inching up, at least in SMA, not NPA, then SMA, it must have started inching up. So, far I have not seen. And I believe we will pass through this phase without being impacted much.

Akshay Badlani, Analyst

Okay. Sure, sir. Sure. Thank you for answering my questions.

Anand Dama (Host – Emkay Global)

Thank you, Akshay. Next question we'll take from Jay. Jay, please unmute yourself.

Jay, Analyst

Yes, hi. Good evening, sir, and thanks for the opportunity. Sir, if you can quantify that you said that the total SMA is Rs 31,000 crore, if you have the number for SMA -0, SMA -1, and SMA -2 separately?

Shri Binod Kumar, MD & CEO

Yes, thank you, Jay. So, total SMA is Rs 31,000 crore. Out of that, SMA -0 is almost Rs 16,000 crore. SMA -1 is Rs 9,000 crore. SMA -2 is Rs 6,000 crore.

Jay, Analyst

Okay, sure. So, sir, SMA -0 only has gone up. But if I compare versus last quarter, then SMA -1 and SMA -2, they have reduced, okay? SMA -1 is similar, and SMA -2 has reduced.

Shri Binod Kumar, MD & CEO

Yes.

Jay, Analyst

And, secondly, sir, on your growth, so last year, at the beginning of the quarter, we also said 10%, 11% kind of a growth. But we did, if I look at this year, we ended at around 15% kind of a growth. You have excellent asset quality, less than 80% LDR. What is the realistic growth number that we should assess? Because, sir, 10%, 11%, 12% is actually lower than the industry. So, are you okay with growing lesser than industry, or you want to be at least similar to industry?

Shri Binod Kumar, MD & CEO

So, this year also, industry has grown at 16%. So, I am okay with little bit, I mean, even if little bit slower than industry, without compromising on the asset quality and NIM. So, my focus is, of course, growth, but NIM and asset quality should also remain intact.

Page 10 of 19 But one thing why I am giving guidance of 11% to 13% in advance, let me tell you, around 16% to 17% of my book is jewel loan. And last year, jewel loan, because of the increase in price, we have seen good number. So, maybe similar kind of growth, we may not see in jewel loan this year. So, that's why I am giving guidance of between 11% to 13%.

Jay, Analyst

Understood. And, sir, the retail term deposit, that should continue to improve, right? I mean, as of now, even if the repricing, bulk of the repricing is over, but still the cost of deposit will keep reducing

g only, right? Is that the understanding right or not?

Shri Binod Kumar, MD & CEO

No. See, retail term deposit also, we are not able to reduce any rate of interest on that. Because bulk is at elevated level, then you cannot keep very wide gap between retail term deposit and bulk. So, because of that, even retail term deposit will remain at this level. Or maybe a few of the banks you have noticed, in March few of the banks have increased retail term deposit rates.

Jay, Analyst

All right. Okay, sure. And, sir, if you can quantify your AFS reserve. How much is the AFS reserve as end of the quarter and maybe quarter three? So just to understand how much was the swing.

Shri Binod Kumar, MD & CEO

Yes, swing is massive. December quarter it was Rs 4,000 crore plus, March quarter it is minus Rs 200 crore.

Jay, Analyst

Okay. So, around Rs 4,200 crore swing right?

Shri Binod Kumar, MD & CEO

No, Rs 4,000 I told, sorry, Rs 400 crore. So, Rs 400 crore to minus Rs 200 crore.

Jay, Analyst

Right, right. And, sir, total gold loan books sir we have given the retail gold, but how much will be the agri gold and MSME gold put together if you have that number?

Shri Binod Kumar, MD & CEO

Rs 1.27 lakh crore is the total jewel loan.

Jay, Analyst

Right. Okay. Thank you so much, sir. I will come back in the queue sir.

Shri Binod Kumar, MD & CEO

Thank you. Thank you, Jay.

Page 11 of 19 Anand Dama (Host – Emkay Global)

Yes. Thank you, Jay. Next question we'll take from Parth Gutka. Parth, please unmute yourself.

Parth Gutka, Analyst

Yes. Hi, Sir. My question is on the overseas advances. Last couple of quarters we are seeing phenomenal growth in this segment. Can you just elaborate on the same. As in this relating to which sectors, and from which regions? Yes.

Shri Binod Kumar, MD & CEO

We have only two branches, Sri Lanka hardly anything, only GIFT City and Singapore. So, we are participating basically in the syndicated loan, and some trade finance. So, I mean not any sector specific, but we are participating in syndicated loans, so from different sectors. It is not any specific sector.

Parth Gutka, Analyst

Okay, sir my next question is what is the proportion of bulk deposits within the overall deposits?

Shri Binod Kumar, MD & CEO

Bulk and CD taken together around 18% to 19%.

Parth Gutka , Analyst

Okay. And what is the internal threshold?

Shri Binod Kumar, MD & CEO

We have not kept internal threshold as such but we would like to maintain in this range only, I mean less than 20%.

Parth Gutka , Analyst

Okay. Okay, sir. Thanks a lot sir. Thanks a lot for answering my questions.

Shri Binod Kumar, MD & CEO

Thank you, Parth.

Anand Dama (Host – Emkay Global)

Thank you. Next question we'll take from Akshay Badlani. Akshay, please unmute yourself. Yes, Akshay is not around, we'll take the questions from Jayant Kharote. Jayant, please unmute yourself and ask your question. Jayant, we request you to unmute yourself and ask your question. Jayant, we are not able to hear you.

Jayant Kharote , Analyst

Am I audible?

Page 12 of 19 Anand Dama (Host – Emkay Global)

Yes, Jayant. Yes, audible.

Jayant Kharote , Analyst

Sorry about that. First question is on the asset quality. If you can help us quantify what is the total outstanding floating provisions that you hold on your book, contingent or floating, and then follow up to that is the ECL requirement. I know you said that the number could be higher, but if you could help us what was the initial assessment at least in the size, why I am getting slightly confused is you said the number m

ay be higher, but then you said we will do it in three quarters and not four. So, is it about the steady -state impact or is it about the one-time impact? If you can just sort of give us three clarifications.

Shri Binod Kumar, MD & CEO

So, in NPA, in fact, we are not holding any floating provision, NPA whatever we are making only a specific account -wise provision. Number one, number two, see while I told it is number is higher, when we make assessment of the ECL guidelines, there were certain things we have taken up with RBI. Based on that, we have made various scenarios. So, keeping these scenarios in view, I have told that maybe we may need one -year time.

But now that final guidelines have come and now we, with I mean almost certainty we can say of course number we are calculating and why there is some impact because HTM book earlier it was not part of the draft guidelines. Now HTM book has come, that is why impact will go up. But overall impact what we are saying say worst case scenario, so from worst case scenario now it has improved. That is why I am saying it will go up, but overall impact will be less as compared to worst case scenario.

Jayant Kharote , Analyst

Okay. Sir, you have also done some accelerated provisions this quarter, right? Related to the West Asia war. So, including that, what is the total provisions that you hold outside your PCR?

Shri Binod Kumar, MD & CEO

They do not even tell me. My CFO is very hard nut. He does not disclose to me also.

Jayant Kharote ,Analyst

Sir, but you would have some idea because it will be needed in our ECL to offset the ECL impact, right?

Shri Binod Kumar, MD & CEO

They are giving only with the impact that to exact, they have not given so far. So, we are working on that. Let us see.

Jayant Kharote , Analyst

Sir, how much of this quarter at least can you call out of the provisioning, this quarter was linked to NPA provisions and others were standard?

Page 13 of 19 Shri Binod Kumar, MD & CEO

No, see NPA will not help much. So, we have around this quarter around Rs 500-odd crore we have made in the standard.

Jayant Kharote ,Analyst

Great, sir. Sir, second question was regarding LCR, if you could help us give your average LCR number and again how has that been trending and I have a follow -up.

Shri Binod Kumar, MD & CEO

Yes, LCR we are comfortable, throughout the year we are comfortable and because of the implementation of these new guidelines from April 1, there is benefit of 4 to 5 bps.

Jayant Kharote , Analyst

Sir, where are you right now on the LCR?

Shri Binod Kumar, MD & CEO

LCR 127%?

Shri Ashutosh Choudhury, Executive Director

Average is 127%.

Shri Binod Kumar, MD & CEO

Average 127%.

Shri Ashutosh Choudhury, Executive Director

At present we are at 123%, 124%.

Shri Binod Kumar, MD & CEO

Average is 127%. At present we are at 123%, 124%.

Jayant Kharote , Analyst

Sir, then just to add if you are sitting at 127% and you will have 400 bps to 500 bps release, why run at such a high LCR when you are paying such high cost for deposits, why not operate at 115%, 120% and it will help your NIMs?

Shri Binod Kumar, MD & CEO

Without taking name of the bank, one bank had to raise very huge sum at very high cost. So, I don't want to create that situation when everybody panics. So, a little cushion is already there.

Jayant Kharote , Analyst

What do you think is a fair number? What is a fair number that every bank should operate at?

Page 14 of 19

Shri Binod Kumar, MD & CEO

I think we should have around 115% to 120% . Going below 115%, I mean say some event may entirely impact.

And let me tell you, we are not making a special effort for maintaining LCR.

Whatever, we have excess in the SLR book that is contributing to maintaining the LCR. So, it's not like that specifically for this purpose we are purchasing SLR.

Jayant Kharote , Analyst

Great. So, basically that's where you are also not guiding for very high trading profits because you want to enjoy that on both on NIM side as well as LCR side.

Shri Binod Kumar, MD & CEO

LCR side, yes.

Jayant Kharote , Analyst

Benefits of that bond. Great. So, I think that is a good, stated strategy. Thanks, and all the best for the next year

Shri Binod Kumar, MD & CEO

Thank you. Thank you, Jayant.

Anand Dama (Host – Emkay Global)

Yes. Thank you, Jayant. Last question we'll take from Ashlesh. Ashlesh, please unmute yourself and ask your question.

Ashlesh , Analyst

Hi, sir. Good evening. So, two questions from my side. First one is on the comment you made, prefer to prioritize maintaining margin and asset quality over just growth. Good to hear that. But, sir, if I have to paint a scenario where over the next year the cost of deposit continues to inch up. From this level, let's say by 20 basis points or 30 basis points, how would you in that scenario, maintain your margins, what levers would you have at your disposal, that is one.

Secondly, you made the statement about ECL that you will potentially be able to absorb it over a period of one to three quarters. Does that mean that the ECL shortfall one-time number will be somewhere between 1x to 3x your quarterly PPOP? Is that the understanding?

Shri Binod Kumar, MD & CEO

I mean, you can make inferences, but that is a huge number gap. One to three quarters is a huge gap. So, as I told you, if cost of deposit keeps on inching, so part of that will be offsetted by increasing MCLR because cost of deposit is also part of the MCLR. So, part of that, of course, MCLR will also start increasing, then that will help.

Ashlesh , Analyst

Anything you can do on the asset side, possibly change the mix further towards better yielding assets or high pricing?

Page 15 of 19 Shri Binod Kumar, MD & CEO

See, asset side, I really, I mean, don't see much of the scope because in corporate book, definitely not. Something can be done in the segment, say mid-segment, you can say between

and, again, retail, MSME is linked to your EBLR. There also you cannot increase spread, etc. So, that book is also tied up. Only thing remains, some corporates between mid-segment corporates, and that's why we are focusing on mid-segment corporates between Rs 50 crore or Rs 100 crore to Rs 500 crore. There we can command little better price as compared to the corporates or retail and MSME, and that area remains my focus area.

Ashlesh , Analyst

Understood, sir. And second one on that ECL thing, just trying to understand the statement which you have made when you say we'll be able to absorb it in one to three quarters

Shri Binod Kumar, MD & CEO

But that is wide range. Let us see. I will come up. I will give numbers very shortly. It's not like that. We have some assessment .

Ashlesh , Analyst

Okay.

Shri Binod Kumar, MD & CEO

But I don't want to give any number and then come back and say that, no, no, it has gone up and or it has substantially come down. Either way, it is not right. If I give you a number and that number go up, it is not right for anybody. And either way also, if I give number and then you come down substantially, that is also not right. That's why it is too early ,for day before yesterday it has come.

Ashlesh , Analyst

Understood, sir. Sir, and just lastly, if I can squeeze in one more. Give

n that bond yields have increased over the past few months, does that mean that your provisions for AS 15 can decline materially over FY '27?

Shri Binod Kumar, MD & CEO

I expect. Materially means I mean per quarter if you are making say R s 800 crore. So, may be Rs100 crore you can save.

Ashlesh , Analyst

Understood, sir

Shri Binod Kumar, MD & CEO

Yes.

Ashlesh , Analyst

Perfect. Okay, sir. Thank you.

Page 16 of 19 Shri Binod Kumar, MD & CEO

Thank you, Ashlesh.

Anand Dama (Host – Emkay Global)

Sir, one question which has come in the chat box. Again, it is related to ECL only, is that earlier basically you had said that about 1% to 1.5% will be the impact on the capital in terms of ECL. Now it would have gone up or down whatever like you may do the calculation, but does it mean that in FY '27 itself you will absorb the ECL impact through P&L and you will not need any impact to be taken on the April 1, 2027 through net worth? Is that what it means?

Shri Binod Kumar, MD & CEO

No. 1% to 5% have I told? I have told we will absorb in one year, that is what I have told. So maybe

somebody might make inference out of that, but of course no, of course, some impact will come in next year also, because entirely we cannot make provision in this financial year. Although we have four quarters but still we cannot make entire whatever requirement is there. So, some impact will spill over to the next year also.

Anand Dama (Host – Emkay Global)

Okay. And, despite assuming I mean absorbing the ECL impact you're still guiding about 1.2% 1.3% ROA?

Shri Binod Kumar, MD & CEO

This year?

Anand Dama (Host – Emkay Global)

Yes.

Shri Binod Kumar, MD & CEO

Yes.

Anand Dama (Host – Emkay Global)

Sure. So, do you expect some one-offs to come through like that you are going to absorb so much of ECL impact this year itself?

Shri Binod Kumar, MD & CEO

No, no one-off; normal. This year also, so despite doing all these things we have been able to maintain around 1.3%.

Anand Dama (Host – Emkay Global)

Sure, sir. Last question we'll take now.

Shri Binod Kumar, MD & CEO

Only challenge that treasury will not be there.

Page 17 of 19

Anand Dama (Host – Emkay Global)

Right, sir.

Shri Binod Kumar, MD & CEO

So part of that will be compensated by I mean NIM decrease. I expect that it will not be as severe as last year.

Anand Dama (Host – Emkay Global)

Sure, sir. Last question we will take from Sushil Choksey ji. Please limit your questions so that we can end the call on time. Over to you sir.

Sushil Choksey , Analyst

Good evening. Congratulations to team Indian Bank. Sir, based on current global environment India may be better off, and southern states are even better off because lot of manufacturing, GCC, even textile has some stability, and some other sectors. How is the pipeline visible on various sectors starting from renewable infrastructure, data center, MSME and what is unavailed credit as of today?

Shri Binod Kumar, MD & CEO

So, we have around Rs 51,000 crore in pipeline, out of that sanctioned and unavailed is Rs 34,000, Rs 35,000, that is term loan only. So, that is the pipeline.

Sushil Choksey ,Analyst

What sectors are attracting Indian Bank to underwrite businesses, sir?

Shri Binod Kumar, MD & CEO

Two, three sectors, Sushil ji. One, green, you see, already green is everywhere, battery also, EV also, then solar power also. Transmission line also. I think this year transmission line we will see lot of this government PPP. And then data center, data center also we are seeing lot of demand in data center. I think last year road sector has been

little slow, but we may expect this year some traction in the road sector.

Sushil Choksey , Analyst

Any color on MSMEs specifically from southern region which led by auto, ancillary, textile, other manufacturing sectors like leather tanneries in south?

Shri Binod Kumar, MD & CEO

Textile, I think textile is struggling since last, I mean, one year. Before that also textile was not doing very great. And in fact that has saved many of the textile companies, since last two, three years they were not doing very good. I know many of the companies they have not availed any of the working capital even. Few of the companies I know who has not availed working capital since their sales is not very good, sir. We do not have much exposure in leather, so we do not worry much on that account. Only a little bit worry we had for the textile, but I think they have, so far they have tide away.

Page 18 of 19

Sushil Choksey ,Analyst

So, being conservative at the same time being prudent on quality, you are very comfortable where your growth is concerned despite challenges for this year, this is the summation of your Q&A?

Shri Binod Kumar, MD & CEO

Yes. I mean asset quality plus bottom line is also important.

Sushil Choksey , Analyst

Sir, one last question to Ashutosh ji, what is the digital budget for this year, and as India is transforming, we also need to transform, processes are changing, what is our budget now for coming years on the digital spend?

Shri Ashutosh Choudhury, Executive Director

Choksey ji, let me answer it in a relative manner, the budget will be more or less equivalent to the human cost, that means the salary and all those things we are paying to our employees. So, in that way you can definitely correlate.

Sushil Choksey , Analyst

So, you will match the human cost in digital spend, that is what you mean?

Shri Ashutosh Choudhury, Executive Director

Yes, almost the employee cost. It will be in and around that.

Sushil Choksey , Analyst

Sir, any signs on RAM specifically of some kind of indicative warnings that economy is having some impact? Specifically in April.

Shri Binod Kumar, MD & CEO

Not much of impact, we have seen Sushil ji because even otherwise SMA, it would have started increasing SMA. So, not much impact we have seen.

Sushil Choksey , Analyst

Sir, thank you for answering all my questions. And good luck for the year to the entire team of Indian Bank.

Shri Binod Kumar, MD & CEO

Thank you. Thank you, Sushil ji.

Page 19 of 19 Anand Dama (Host – Emkay Global)

Thank you, Sushil ji. We will take that as the last question. With this, we come to the end of Indian Bank's post -results conference call for fourth quarter FY '26. I now request the management to give their closing remarks if you have any, sir.

Shri Binod Kumar, MD & CEO

No, I think all the points have been discussed. The only thing as I told, we remain very cautious for the bottom line and growth, bottom line and asset quality. And growth, we are okay with 1% to 2% less than the industry. So, that is okay.

This year also, it is around 13.46%, whereas we could have shown even more. Because for the year, we have sold around R s 23,000 crore of IBPC. So, we remain cautious of that. And two challenges, as I explained earlier, two challenges this year, see recovery and treasury income. But we will be able to maintain whatever guidance we have been given. Thank you. Thank you, all.

Anand Dama (Host – Emkay Global)

Sure, sir. that's very helpful. On behalf of Emkay and the management of Indian Bank, I thank all the participants for joining this evening, and have a good day. Thank you.

Shr

i Binod Kumar, MD & CEO

Thank you. Thank you, Anand ji. Thank you, all.

Call: Jul 2026

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Corporate Office: 254 -260, Avvai Shanmugam Salai, Royapettah, Chennai – 600 014
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Dear Sir / Madam,

Subject: Transcript of Post Earnings Concall / Meet

In terms of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of our Letter No. ISC/ 127/2026 -27 dated 06.07.2026 and Letter No. ISC/ 136/2026 -27 dated 10.07.2026 regarding Analysts / Investors Concall / Meet, we are enclosing a copy of Transcript of said post Earnings Concall / Meet held by the Bank on 10.07.2026 on the Financial Results of the Bank for the First Quarter of FY 2026 -27 ended on 30th June 2026 .

The Concall Transcript has also been uploaded on Bank's website and the same can be accessed through below link:

<https://indianbank.bank.in/en/audio-video-recording-concall-transcripts>

This is for your information, record and dissemination please.

Yours faithfully,

For Indian Bank

AGM & Company Secretary

Encl : A/a

Indian Bank Q 1 FY'27 Results
Post Earnings Conference Call / Meet
Held on 10.07.2026

Transcript

Management:

Shri Binod Kumar
MD & CEO

Shri Ashutosh Choudhury
Executive Director

Shri Shiv Bajrang Singh
Executive Director

Ms. Mini T M
Executive Director

Moderator:
Shri Anand Dama
Analyst, Nuvama Wealth Management Ltd.

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Page 1 of 12
Anand Dama (Host, Nuvama Wealth)

Good evening, ladies and gentlemen. I welcome you all to Indian Bank's post-results conference call for the first quarter of FY'27, hosted by Nuvama Wealth Management. From the top management, we have with us Shri Binod Kumar, Managing Director and Chief Executive Officer, Shri Ashutosh Choudhury, Executive Director, Shri Shiv Bajrang Singh, Executive Director and Ms. Mini T. M., Executive Director. I request the Managing Director to briefly summarise the key highlights from the Q1 FY'27 results and provide strategic direction on growth, margins and asset quality. We will then open the call for questions and answers. Over to you, sir.

Shri Binod Kumar, MD & CEO

Anand ji, first of all, I am sorry that I will have to leave at 6:30 p.m. because of an urgent call. However, the conference can continue, as Mr. Ashutosh Choudhury and the other members of the management team are here and can address the questions.

First of all, thank you once again for joining this analyst call. The results have been published and we have seen good growth in both deposits and advances. It is a very balanced growth profile. Deposits grew by 13.40%, while advances grew by 13.89%, leaving a gap of only around 40 basis points. I believe the gap between deposit and advance growth should remain range-bound, otherwise, a wide gap starts affecting overall profitability and NIM. The key highlight is that CASA grew by 15.30%, with savings deposits growing by 13.54% and current account deposits by 26.33%.

The domestic CD ratio is 78.66%, while the global CD ratio is 81.06%. The domestic CASA ratio improved by 6 basis points sequentially and by around 76 basis points year-on-year. Advances grew by 13.89% to around Rs.6.85 lakh crore. Corporate advances grew by 11.49%, while RAM advances grew by 14.80%. Retail grew by 18.74%. Agriculture grew by 9.96%, partly because the transition in jewel loans during the first two months involved IT issues and the framing of various policies. Growth was negative during the initial two months, but it picked up thereafter, resulting in growth of around 10%. There is no concern on that count. Going forward, we expect agriculture growth to return to the 15-16% range. MSME grew by 17%, and RAM constitutes 66% of the overall loan book.

Net profit increased by 5.48% sequentially and 10.09% year-on-year to Rs.3,273 crore. Operating profit increased by 5.13% sequentially and 16.51% year-on-year to Rs.5,557 crore. NII grew by around 17% year-on-year and 4.59% sequentially. Both domestic and global NIM expanded by 6 basis points. Return on assets declined by 3 basis points year-on-year but improved by 3 basis points sequentially. Return on equity stood at 19.48%. The cost-to-income ratio declined to 44.80%, compared with around 46% for the previous financial year. We have guided for around 45% and we expect it to remain in that range.

The provision coverage ratio stood at 98.22%, compared with 98.28% at the end of the previous financial year.

Page 2 of 12

We could have maintained the earlier level, but the net NPA ratio would then have declined further from 0.15% to 0.14% or 0.13%, therefore, we are comfortable with the current position. Credit cost declined from 0.47% in March 2026 to 0.23%. There were concerns in the previous analyst meeting about credit cost increasing, but that was a March phenomenon. It may again rise in March because of audit-related factors, but for the remaining quarters, slippages and credit cost should remain within our guided range of 1%.

The capital adequacy ratio is 17.58%, and CET1 is 16.51%. The transfer of IFR reserves of Rs.2,000 crore from Tier 2 to Tier 1 had an impact of around 44 basis points. Gross NPA declined by 115 basis points year-on-year and

12 basis points sequentially to 1.86%. Net NPA remained flat at 0.15%. The slippage ratio declined to 0.77% from 0.96% in March '26. Recoveries were Rs.1,885 crore, compared with slippages of Rs.1,250 crore. One large account contributed a recovery of around Rs.400 crore during the quarter.

The overall SMA book remained broadly flat. SMA -2 accounts above Rs.5 crore increased by around Rs.190 crore, mainly because one account moved into SMA-2 following a DCCO-related issue. The DCCO extension has been received, and the repayment schedule will be extended accordingly. Once we approve the DCCO extension, that SMA account should also move back within the normal range.

We are on track on almost all guidance parameters. Against our recovery guidance of Rs.4,500-5,500 crore, we have already achieved almost Rs.1,900 crore. We expect gross NPA to reach 1.50-1.60%, and I do not see any challenge in achieving that. We had guided for a CASA ratio of 40%, and we reached 39.73% during the quarter. CASA remains a challenge, but with the support of our staff, we expect to maintain progress.

One encouraging development is the increased participation of branches. During the corresponding period last year, only around 25-27% of branches achieved their targets. This quarter, 51% of branches achieved their targets. That is a good sign that branches have started participating more actively. With that, we can move directly to the question-and-answer session.

Anand Dama (Host, Nuvama Wealth)

Do you see any stress in the MSME segment? A few banks have spoken about this. Second, have you sanctioned any ECLGS credit? Please also discuss the amount in absolute terms or as a percentage of credit.

Shri Binod Kumar, MD & CEO

We had also expected that there might be some MSME stress, but so far it is not visible. The SMA book declined year-on-year from 7.99 to 4.69 and sequentially from 4.73 to 4.69. Therefore, as of now, we are not seeing any stress, although we will remain watchful going forward.

Page 3 of 12

If some stress emerges, ECLGS will come to the rescue of such accounts. The total eligible ECLGS amount is approximately Rs.11,000 crore, based on the formula prescribed by the government, of which around Rs.5,000 crore has been disbursed.

Ashok Ajmera, Analyst

You have said that MSME stress is not visible so far, but around Rs.5,000 crore has already been disbursed under the renewed ECLGS facility. Your SMA-2 numbers have also increased from Rs.922 crore to Rs.1,112 crore. Given the situation involving the United States, Iran and Israel, do you expect a lasting impact on small industries and businesses in India? Could stress emerge going forward?

Shri Binod Kumar, MD & CEO

As I mentioned, SM A-2 increased because of one account. Once we extend the DCCO, that account should move out of SMA-2, so the increase is not indicative of broader stress.

I had also expected some impact. However, the country has shown great resilience. I was expecting an impact from August 2025, when the first Trump tariffs were imposed. Despite that, strong domestic demand and consumption, as well as exporters' ability to diversify from one country to several countries, have limited the impact. We remain watchful. That is why we made a provision of Rs.310 crore for the West Asia crisis in the previous quarter and have continued it. With the exposure increasing by around Rs.12-13 crore, we made a further provision of Rs.13 crore. So far, stress is not visible, but if something emerges, we have the capacity to absorb it.

Ashok Ajmera, Analyst

The standard advances provision has increased from Rs.490 crore to Rs.733 crore. Is this the provision you are referring to?

Shri Binod Kumar, MD & CEO

The impact of the West A

sia crisis within that amount is Rs.13 crore. The rest reflects prudent provisioning. We have also made an additional floating provision of Rs.1,000 crore for ECL, over and above the provisions already held.

Ashok Ajmera, Analyst

On the treasury front, many banks benefited during the quarter. In our case, treasury profit did not increase to the same extent compared with the previous quarter. Did we take any mark-to-market impact, or did more of the gain go into the AFS reserve?

Page 4 of 12

Shri Binod Kumar, MD & CEO

The AFS reserve, which was negative earlier, has improved. It was negative by around Rs. 41 crore in the previous quarter, now it has gone up by around Rs. 544 crore. In treasury, I had expected a profit of only Rs. 250-300 crore. Yields declined during the final week, which improved the actual profit. Therefore, the outcome is better than I had expected.

Ashok Ajmera, Analyst

Credit grew by around 2.62% during the quarter compared with March. Sector-wide credit growth has strengthened, and so many banks are discussing growth of 17-18%. What level of credit growth do you expect for Indian Bank in FY'27?

Shri Binod Kumar, MD & CEO

Growth is not a challenge. If agriculture grows by 16%, RAM growth itself can reach 17-18%. However, we must remain mindful of the gap between credit growth and deposit growth, because an excessive gap can affect margins. We will pursue balanced growth. If deposits grow by 13%, I would not mind advances growing by 15%, provided we do not compromise NIM. Growth of 13-14% is also a good outcome.

Mahrukh, Analyst

Do you expect gold loans to pick up, given that prices have been volatile? How much has been added to the AFS reserve? On FCNR(B), you had earlier discussed a mobilisation target of USD1 billion. How much has already been mobilised, particularly as the returns appear weaker than in 2013-14?

Shri Binod Kumar, MD & CEO

The AFS reserve improved by around Rs.544 crore, from negative Rs. 41 crore to positive Rs. 503 crore.

On FCNR(B), we have raised around USD150 million as of today, until yesterday, the amount was USD135 million. Going forward, I expect to raise between USD1.5 billion and USD2 billion. Raising FCNR(B) deposits is not the challenge, as we have strong traction and already have a pipeline of USD1 billion. The challenge is deploying and funding the corresponding demand loans. We are managing this and remain confident that, taken together, ECB and FCNR(B) mobilisation will be between USD1.5 billion and USD2 billion.

On gold loans, I do not expect growth of 26 -28% as seen last year, because that growth was driven primarily by higher gold prices rather than tonnage. I expect gold-loan growth of around 15-16% this year. Even after a 30% decline in gold prices, the LTV remains at a comfortable level, and we do not see any stress.

Page 5 of 12

Jayant Kharote, Analyst

Margins expanded healthily quarter-on-quarter. One positive surprise was the decline in the cost of deposits despite some tightening during the first two months. Were the gains back-ended, with bulk deposits rolling over in the last month? What drove the improvement in the cost of funds and deposits, and how sustainable is it over the next two or three quarters? The reported yield on advances also increased by around 2 basis points. Were any particular products responsible, and is the improvement sustainable?

Shri Binod Kumar, MD & CEO

On the deposit side, we remain very careful about the rates at which we raise funds. We focus strongly on CASA and are selective about bulk deposits. We also prefer market borrowings where they are economically attractive.

Borrowings are available at around 5.00 -5.25%, whereas even short -duration bulk deposits of 30 or 60 day

can cost at least 100 -150 basis points more. This preference for borrowings has helped.

Bulk deposits remained unchanged at around Rs.1.61 lakh crore between March and June. When certificate -of- deposit and bulk -deposit rates were rising towards 7.7 -8.0%, we stayed out of the market. That helped, and deposit repricing contributed around 1 -1.5 basis points.

On advances, we remain cautious about very thinly priced loans. Wherever possible, we either exit such loans or reprice them at better rates. When quoting for WCDL or lines of credit, we remain mindful of whether higher funding costs can be passed on. On a sequential basis, we shed around Rs.6,000 crore of loans where pricing was highly competitive. We expect this disciplined approach to continue.

Jayant Kharote, Analyst

Does this mean that the bank is likely to deliver at the upper end of its NIM guidance of 3.15 - 3.25% for the year?

Shri Binod Kumar, MD & CEO

Hopefully, yes. There is currently no major trigger for further margin expansion unless interest rates rise or further repricing occurs. The negative impact from MCLR repricing, estimated at around 2 basis points, should be offset by a 2 -3 basis -point benefit from bulk -deposit repricing. Therefore, we do not expect meaningful margin compression or expansion from here, but the upper end of the guidance range is achievable.

Page 6 of 12

Jayant Kharote, Analyst

How are rollovers in retail term deposits? Is competitive intensity increasing?

Shri Binod Kumar, MD & CEO

There was some pressure earlier, when bulk -deposit rates were touching 7.8 -7.9% and banks began increasing retail term -deposit rates. That pressure is not visible now.

Jayant Kharote, Analyst

Did you undertake any accelerated ECL provisioning on standard assets during the quarter? What was the amount?

Shri Binod Kumar, MD & CEO

Yes. We made a floating provision of Rs.1,000 crore during the quarter.

Jayant Kharote, Analyst

What is the expected gross and net impact of ECL on the steady-state credit cost?

Shri Binod Kumar, MD & CEO

We expect the ECL transition impact to be around Rs.3,000 -3,500 crore. Earlier, I had indicated that we would try to provide Rs.1,500 -2,000 crore during the year, of which Rs.1,000 crore has already been provided. We will endeavour to provide another Rs.500-1,000 crore during the year.

There is no impact on the transition side after provisioning, but there will be some impact on the ongoing credit cost. Standard -asset provisioning is currently around 0.4 -0.5%; under ECL, it may be around 1.5%. Therefore, the increase would be around 1% on incremental growth. If advances grow by 12%, the impact on credit cost would be around 12 basis points on a flow basis, or approximately 8 -10 basis points after tax.

Jayant Kharote, Analyst

Is that the net impact after considering any release from Stage 3 or NPA provisions?

Page 7 of 12

Shri Binod Kumar, MD & CEO

The final guidelines require a 100% provisioning floor for doubtful -3 and loss assets. A large part of our provision is held against these categories, so there will be hardly any release from them.

Jai Mundhra , Analyst

In a television interview, you said that margins had bottomed and should ideally improve. On this call, you indicated that margins may remain broadly stable. What is the final view?

Shri Binod Kumar, MD & CEO

When I said margins had bottomed, that was correct. There is no trigger for margins to decline unless interest rates fall. At the same time, there is no major trigger for a significant increase. Margins may expand marginally by around 2 -3 basis points.

Jai Mundhra , Analyst

The bank had already made a 10% provision on SMA-1 and SMA-2 accounts. Can that provision be used for the ECL transition? Is the Rs.3,000 crore impact over and above

ve the
existing provision?

Shri Binod Kumar, MD & CEO

Yes, we will use the existing provision. The remaining impact, over and above the provisions already made, is around Rs.3,000 crore.

Jai Mundhra , Analyst

Did the bank undertake any IBPC transaction during the quarter? What was the quantum?

Shri Binod Kumar, MD & CEO

Only around Rs.200 crore. The amount was not significant.

Jai Mundhra , Analyst

What is the total jewel-loan book, including agriculture and M SME?

Shri Binod Kumar, MD & CEO

The total jewel-loan book is Rs.1.32 lakh crore.

Page 8 of 12
Aslesh, Analyst

Are you seeing any change in the competitive environment, particularly in home-loan and corporate-loan pricing? Is any further repricing of term deposits pending?

Shri Binod Kumar, MD & CEO

Competition remains intense across vehicle loans, home loans and corporate loans, particularly for highly rated accounts and good public-sector undertakings. Further term-deposit repricing is pending, but the impact should be limited to around 2-3 basis points.

Aslesh, Analyst

Is competitive intensity increasing or improving at the margin?

Shri Binod Kumar, MD & CEO

Competitive intensity remains at the same level; it was already cut-throat. The bulk-deposit market has cooled suddenly, but home-loan rates remain around 7.15-7.20%. No bank is taking the lead in reducing rates further; a large bank would have to initiate such a move.

Param, Analyst

Fee income was strong during the quarter. Slide 17 indicates that miscellaneous fee income and loan-processing charges were key drivers. What drove the miscellaneous fee income?

Shri Binod Kumar, MD & CEO

Two three items contributed. We earned syndication fees of around Rs. 72 crore. We also received a DEAF incentive of Rs. 30 crore and CBDC cost reimbursement also. So around Rs.47 crore and Rs. 72 crore syndication fee. These were the primary drivers. Loan-processing charges are sustainable, and we will continue underwriting and syndication activities as opportunities arise.

Param, Analyst

Did the bank increase processing-charge rates?

Shri Binod Kumar, MD & CEO

No. The increase was driven only by higher volumes.

Page 9 of 12
Param, Analyst

What was the LCR for the quarter, and what is the outlook for treasury profit in the next quarter, given the decline in G-Sec yields and the expected FCNR(B) liquidity?

Shri Binod Kumar, MD & CEO

The LCR was 123% for the quarter. The 10-year G-Sec yield is around 6.75%. It may decline by another 5-6 basis points, and if Bloomberg index inclusion provides support, it may move towards 6.65%. I do not expect yields to fall materially below that level. Therefore, we do not expect a large treasury contribution. In our annual plan, we have assumed treasury profit of only around Rs.600-700 crore.

Param, Analyst

Why did the LCR not improve quarter-on-quarter despite the benefit expected from the revised LCR calculation?

Shri Binod Kumar, MD & CEO

We continue to use cheaper borrowings through TREPS and the call market. These borrowings are repriced every day, and the corresponding daily outflows affect the LCR.

Kaushik Agarwal, Analyst

The presentation shows that exposure to NBFCs grew by only around 2% year-on-year, while RBI industry data indicates much stronger system-wide growth. Is there anything specific to call out, including competitive intensity?

Shri Binod Kumar, MD & CEO

We have been very selective in lending to NBFCs and participate largely in AAA- and AA-rated opportunities. Many opportunities are available, but we remain cautious. The NBFC book had declined by around Rs.6,000-7,000 crore between June and March. During this quarter, we added around Rs.3,000 crore, while remaining

mindful that repayments will occur during the year.

Aman Singh, Analyst

Please provide the all-ticket-size data for SMA-1 and SMA-2 separately.

Page 10 of 12
Shri Ashutosh Choudhury, Executive Director

SMA-1 is approximately Rs.7,000 crore and SMA-2 is approximately Rs.7,700 crore.

Sushil Choksey, Analyst

System liquidity from FCNR(B) and ECB mobilisation is estimated at USD50-70 billion. Indian Bank plans to raise USD1.5-2.0 billion, while system liquidity could increase by around Rs.4.5-7.0 lakh crore. How do you see this affecting G-Sec yields, the bank's cost of funds, lending-book diversification, cross-border transactions and the outlook for the international book, including Singapore?

Shri A shutosh Choudhury, Executive Director

We plan to raise USD1.5-2.0 billion through FCNR(B), including ECB. This would provide roughly Rs.18,000 crore of liquidity. The cost will not be materially lower; compared with a deposit cost of around 6.0-6.5%, the overall funding cost may not decline significantly.

Domestic credit demand remains robust, so we can deploy this liquidity in the domestic credit market. The impact on the 10-year G-Sec yield will also depend on how the government borrowing programme develops. We currently expect the yield to remain around 6.65%, although it may decline somewhat if the additional liquidity flows into the system.

Sushil Choksey, Analyst

What is the outlook for digital spending, cybersecurity and new initiatives? Is the bank allocating any additional budget given the strong profitability?

Shri A shutosh Choudhury, Executive Director

The capital budget is around Rs. 750 crore for AI initiatives and cyber resilience. We are strengthening the cybersecurity operations centre, and we plan to implement user and entity behaviour analytics and zero-trust architecture to improve our cyber-resilience posture.

We also plan to develop a data lakehouse in view of the Digital Personal Data Protection Act, so that data is standardised and available in one place. The total IT budget, including capital and revenue expenditure, will be around Rs. 3,000 crore.

Sushil Choksey, Analyst

Do you have any view on bank consolidation? Would Indian Bank be open to acquiring another bank, or would it prefer to remain standalone?

Page 11 of 12

Shri A shutosh Choudhury, Executive Director

That decision is the prerogative of the Government of India. The government will take a call if it has anything in mind. We are not in a position to comment on the matter.

Jayant Kharote, Analyst

Regarding the Rs.1,000 crore floating provision made during the quarter, the presentation shows an NPA provision of Rs.360 crore and a standard-advance provision of around Rs.700 crore. How should the numbers be reconciled?

Shri A shutosh Choudhury, Executive Director

The Rs.733 crore standard-advance provision shown in the presentation is a net figure. Some provisions were released and some were created, which is why the reported net figure is Rs.733 crore.

Jay, Analyst

Why was the LCR stable? Is the explanation that the bank is now a borrower in the repo market? Any bank can borrow in the repo market, and it is generally cheaper than term deposits or bulk deposits. What was different during this quarter?

Shri A shutosh Choudhury, Executive Director

Three factors need to be considered together: the amount of credit growth, the amount of deposit growth, and the proportion of credit funded through borrowings. If credit grows by Rs.100 and total funding required is Rs.125, the source of that Rs.125 is important. As the Managing Director explained, we use borrowings as far as possible within our permitted borrowing limits, with the balance funded through deposits. The deposit mix is also important.

We d i

d not rely heavily on bulk deposits, which were expensive in Q1. These factors together produced the result. The use of borrowings enabled us to maintain an LCR of 123%. Without such borrowings, the LCR would have been higher, but we would have relied more heavily on deposits to fund growth.

Jay, Analyst

PSLC income appears to have declined year-on-year despite good growth in gold loans and a healthy market for priority-sector lending certificates. Why did it decline?

Shri Ashutosh Choudhury, Executive Director

The Q1 figure was not high last year either. On a Q1-to-Q1 comparison, there is an increase in PSLC income. The income booked in each quarter reflects the opportunities available and

Page 12 of 12

is recognised across the relevant period. Additional opportunities may arise in Q2 and Q3, so the figures for Q2, Q3 and Q4 will continue to change. Income earned in Q4 FY26 was added in that quarter, and income earned in Q4 FY27 will similarly be added in that quarter. Therefore, the year-on-year Q1 figures are comparable and show growth.

Jay, Analyst

It appears that PSLC income in Q1 last year was around Rs.18 crore, which means the income has actually increased. On insurance expenses, which declined by around 19% year-on-year, is the bank in bracket one or bracket two?

Shri Ashutosh Choudhury, Executive Director

We are in bracket one.

Shri Ashutosh Choudhury, Executive Director

We are maintaining all the guidance that we have provided. Based on the Q1 results, we expect performance to be towards the upper end of the guided ranges. Thank you.

Anand Dama

Thank you, sir. That is very helpful. On behalf of Nuvama, we wish the management the very best. We will end the call now. Thank you, everyone.

Shri Sunil Jain, CFO

We are thankful to our investors and analysts for their continued support. Thank you very much.